ANNUAL REPORT

GRUPO BIMBO, S.A.B. DE C.V.

Annual Report filed pursuant to the general provisions applicable to Securities Issuers and Other Participants in the Securities' Market (*Disposiciones de Carácter General Aplicables a las Emisoras de Valores y a Otros Participantes del Mercado de Valores*) for the fiscal year ended on December 31, 2023.

Name of the issuer: Grupo Bimbo, S.A.B. de C.V.

Headquarters: Prolongación Paseo de la Reforma No. 1000, Colonia Peña Blanca Santa Fe, C.P. 01210, Mexico City. The address of Grupo Bimbo, S.A.B. de C.V.'s Internet website is www.grupobimbo.com, provided, however, that the information contained therein is not part of this Annual Report.

Outstanding shares: the authorized capital stock of Grupo Bimbo, S.A.B. de C.V. consists of ordinary nominative, Series "A" common shares, ordinary, nominative, with no par value, registered under the Securities Section of the National Securities Registry ("RNV") and listed on the Mexican Stock Exchange (Bolsa Mexicana de Valores, S.A.B. de C.V.). Also, Grupo Bimbo, S.A.B. de C.V. has outstanding notes registered in the RNV, which are described below.

Ticker symbol: "BIMBO".

The registration with in the RNV does not constitute a certification as to the investment quality of the securities, the solvency of the issuer, or the accuracy or veracity of the information contained in this Annual Report, nor does it validate the acts, if any, that were carried out in violation of the laws.

Mexico City, April 30, 2024

KEY INFORMATION WITH RESPECT TO THE NOTES (*CERTIFICADOS BURSATILES*) ISSUED BY GRUPO BIMBO, S.A.B. DE C.V.

AS OF DECEMBER 31, 2023

Ticker Symbol	BIMBO 16	BIMBO 17	BIMBO 23L	BIMBO 23 -2L
Amount	$8,000,000,000	$10,000,000,000	$12,000,000,000.00	$3,000,000,000.00
Number of Series in which the issuance is divided	N.A.			
Issuance date	September 14, 2016	October 6, 2017	June 2, 2023	June 2, 2023
Maturity date	September 2, 2026	September 24, 2027	May 20, 2033.	July 24, 2026.
Issuance period	3,640 days, approximately 10 years	3,640 days, approximately 10 years	3,640 days, equivalent to approximately 10 years.	1,148 days, equivalent to approximately 3.2 years.
Interest rate	Gross annual fixed interest rate of 7.56%	Gross annual fixed interest rate of 8.18%	Gross annual fixed annual gross interest on its face value of 9.24%.	TIIE gross annual interest plus 0.10%.
Periodicity in payment of interest	Every 182 days beginning on March 15, 2017	Every 182 days beginning on April 6, 2018	Every 182 days starting on December 1, 2023.	Every 28 days starting on June 30, 2023.
Place and manner of payment of principal and interests	The principal and interests due will be paid on their maturity date, by electronic funds transfer, at the registered office of S.D. Indeval Institución para el Depósito de Valores, S.A. de C.V., or, in its case, at the registered office of the Issuer.			
Subordination	Lien limitations / Payment Priority (Pari Passu status)			
Maturity and acceleration	A single payment on the corresponding maturity date. The Company shall have the right to prepay all (but not a portion) of the Notes on any date before the Maturity Date, as described in the Supplement (Make-Whole).		A single payment on the corresponding maturity date. The Company shall have the right to prepay all or a portion of the Notes on any date before the Maturity Date, as described in the Supplement (Make-Whole).	
Guarantee	The Notes will be unsecured and will be guaranteed (avalados) by Bimbo, S.A. de C.V., Barcel, S.A. de C.V., and Bimbo Bakeries USA, Inc.			
Trustee	N.A.			
Rating	AAA (mex) by Fitch México, S.A. de C.V. and mxAAA by Standard & Poor's, S.A. de C.V.			
Common Representative	Monex Casa de Bolsa, S.A. de C.V., Monex Grupo Financiero.			
Depositary	S.D. Indeval Institución para el Depósito de Valores S.A. de C.V.			
Tax treatment	The applicable withholding tax rate, as of the Supplement date, with respect to the interest paid pursuant to the Notes, is subject to (i) for individuals and legal entities resident in Mexico for tax purposes, as provided in articles 54, 134, 135, and any other applicable provisions of the Income Tax Law in force, and (ii) for individuals and legal entities residing abroad for tax purposes, as provided in articles 153, 166, 175, and any other applicable provisions of the Income Tax Law in force. Potential purchasers of the Notes should consult with their advisors on the tax consequences resulting from their investment in the			

Ticker Symbol	BIMBO 16	BIMBO 17	BIMBO 23L	BIMBO 23 -2L
	Notes, including the application of specific rules regarding their particular situation. The tax regime in force may be modified throughout the duration of the Program and the term of the Issuance.			

Change of control: In accordance with the terms of the Notes, in the event of a “change of control”, which means a change of control resulting in the decrease of the rating of the Notes, Grupo Bimbo will be obliged to make an offer in order to repurchase all of the Notes at a purchase price equal to 100% of the par value of such Notes plus the unpaid accrued ordinary interest on the principal of the Notes outstanding on the date of the repurchase.

Corporate Restructuring: In case of a corporate restructuring, Grupo Bimbo will distribute to the investors the applicable disclosure document and other information required under applicable laws. In accordance with the terms of the Notes, Grupo Bimbo shall not merge or sell its “material assets” (as such term is defined in the Notes), except under certain circumstances.

Essential Assets: In accordance with the terms of the Notes, Grupo Bimbo shall not create liens on its assets, except for “permitted liens” (as such term is defined in the Notes). In case Grupo Bimbo decides to create a lien on its essential assets in order to carry out its operations, Grupo Bimbo shall obtain the necessary corporate consents and, if so required by the applicable law, will disclose such event to investors.

TABLE OF CONTENTS

	Page
1) GENERAL INFORMATION	3
a) Summary of Terms and Definitions	3
b) Executive Summary	6
c) Risk Factors	13
d) Other Securities	51
e) Material Changes to the Security Rights Registered in the RNV	55
f) Use of Proceeds	56
g) Public Documents	57
2) THE COMPANY	58
a) Company's History and Development	58
i) Legal Background	58
ii) History	58
iii) Recent Events	71
b) Business Description	73
i) Main Activity	73
ii) Distribution Channels	96
iii) Patents, Trademarks, Licenses and other Contracts	97
iv) Main Customers	98
v) Applicable Law and Tax Situations	99
vi) Human Resources	101
vii) Environmental and Social Performance Indicators	102
viii) Market Information	102
ix) Corporate Structure	108
x) Main Assets Description	109
xi) Judicial, Administrative or Arbitration Processes	113
xii) Shares Representing the Capital Stock	114
xiii) Dividends	115
3) FINANCIAL INFORMATION	116
a) Selected Financial Information	116
b) Financial Information per Business, Geographic Zone and Export Sales	116
c) Report on Significant Debt	117
d) Management´s Discussion and Analysis of the Company´s Financial Condition and Results of Operation	120
i) Results of Operations	123
ii) Financial Position, Liquidity and Capital Resources	128
iii) Internal Control	137
e) Estimations, Provisions and Critical Accounting Reserves	138

TABLE OF CONTENTS

	Page
4) GOVERNANCE	152
a) External Auditors……..	152
b) Transactions with Related Parties and Conflicts of Interests…..……..	152
c) Main Officers and Shareholders……..…….....	154
d) Bylaws and Other Agreements…….....	171
e) Rights of Shareholders…….....	175
f) Shareholders' Meeting and Voting Rights……...	176
g) Shareholders' Minority Rights…….....	178
5) CAPITAL MARKETS	179
a) Shareholding Structure……	179
b) Share Performance in the Stock Market…….....	179
c) Market Maker…….....	181
6) RESPONSIBLE PERSONS	182
Responsible Persons…...……..……	182
7) EXHIBITS	183
a) Audit Committee's opinion corresponding to the year ended as of December 31, 2023..…….	184
b) Independent Auditor's Report to the Board of Directors and Shareholders of Grupo Bimbo, S.A.B. de C.V., corresponding to the years ended as of December 31, 2023, 2022 and 2021……	187
c) Audited Financial Statements as of and for the years ended as of December 31, 2023, 2022 and 2021…..……	18 300
d) Audit Committee's Report corresponding to the years ended as of December 31, 2023, 2022 and 2021…….....	

No underwriter, person appointed as an attorney-in-fact to carry out operations with the public, or any other person, has been authorized to disclose any information or make any representation that is not contained in this Annual Report. As a consequence of the above, any information or

representation that is not contained in this Annual Report must be understood as not authorized by Grupo Bimbo, S.A.B. de C.V.

In addition, unless otherwise indicated, the Company's information contained in this Annual Report is shown as of December 31, 2023.

1) GENERAL INFORMATION

a) Summary of Terms and Definitions

Unless otherwise indicated by the context, for the purposes of this Annual Report, the following terms shall have the meaning specifed below, which shall apply equally to the singular and plural forms of the terms defined:

Terms	Definitions
"Adghal"	Groupe Adghal.
"Adjusted EBITDA"	Operating income plus depreciation, amortization, impairments and provision of multiemployer pension plans and other non-cash items. The Group's administration uses this measure as an indicator of its operating results and of its financial condition; however you should consider it in isolation, as an alternative to net income, as an indicator of the operating performance or as a substitute for the analysis of results reported in accordance with IFRS, because, among others: (i) it does not reflect cash expenditures, or future requirements for capital expenditures or contractual commitments, (ii) it does not reflect changes in, or cash requirements for working capital needs, (iii) it does not reflect interest expenses, and (iv) it does not reflect any cash income tax to be paid by the Group. Due to the foregoing, the Group's Adjusted EBITDA shall not be considered as a discretionary measure of cash available to invest in the Group's growth or as a measure of cash that will be available in order for the Group to fulfill its obligations. Adjusted EBITDA is not a financial measure recognized in accordance with IFRS and may not be compared with similar official measures presented by other companies in the industry, since not all companies use the same definition. Consequently, the focus shall mainly be on results in accordance with IFRS, and Adjusted EBITDA only as a supplementary measure.
"Annual Report"	This Issuer's Annual Report, prepared in accordance with the General Provisions Applicable to Securities Issuers and Other Securities Market Participants Issued by CNBV.
"Audited Financial Statements"	The Company's audited consolidated financial statements, audited as of and for the years ended December 31, 2023, 2022 and 2021, which were prepared in accordance with the IFRS, as well as the respective notes, which are attached to this Annual Report.
"Barcel"	Barcel, S.A. de C.V.
"BIMBO", "Company", "Issuer", "Group", "Grupo Bimbo" or "Entity"	Grupo Bimbo, S.A.B. de C.V., and, whenever the context requires so, together jointly with its consolidated subsidiaries.
"Bimbo"	Bimbo, S.A. de C.V.
"Bimbo Bakeries USA"	Bimbo Bakeries USA, Inc., an operating subsidiary of BBU.
"Bimbo Iberia"	Bimbo, S.A.U.
"BIMBO XXI"	Project for the implementation of a system to streamline ERP (Enterprise Resource Planning) resources, database and support systems.
"BMV"	Mexican Stock Exchange (*Bolsa Mexicana de Valores, S.A.B. de C.V.*).

Terms	Definitions
"Board of Directors" or "Board"	Board of Directors of BIMBO.
"BBU"	Bimbo Bakeries, Inc.
"Cakes"	Cakes sold individually.
"Canada Bread"	Canada Bread Company, Limited.
"CDOR"	Canadian Dealer Offered Rate.
"CDP"	Carbon Disclosure Project
"China"	People's Republic of China.
"CNBV"	National Banking and Securities Commission.
"Corporate Bylaws"	Corporate Bylaws of BIMBO as amended from time to time.
"Dollars" or "dollars"	Currency of legal tender in the USA.
"EAA"	Europe, Asia and Africa
"Earthgrains"	Earthgrains Bakery Group, Inc.
"East Balt" or "Bimbo QSR"	East Balt Bakeries
"El Globo"	Tradición en Pastelerías, S.A. de C.V.
"ERP"	Enterprise Resource Planning.
"ESG"	Environmental, Social and Governance.
"Europe"	United Kingdom and countries of the European Union where BIMBO carries out operations.
"Fast Food"	Food ready to be eaten.
"FDA"	Food and Drug Administration, a USA governmental agency.
"George Weston"	George Weston Bakeries, Inc., Entenmann's Products Inc., Entenmann's, Inc. and Entenmann's Sales Company, Inc. (TSX: WN)
"Gruma"	Gruma, S.A.B. de C.V., Mexican Company engaged in the production of corn flour, tortillas, wheat flour and similar products.
"IASB"	International Accounting Standards Board.
"IEPS"	Special tax over production and services.
"IFBA"	International Food and Beverage Alliance
"IFRS"	International Financial Reporting Standards issued by the IASB.
"Indeval"	S.D. Indeval Institución para el Depósito de Valores, S.A. de C.V.
"INPC"	National Consumer Price Index (*Índice Nacional de Precios al Consumidor).*
"IRI"	Information Resources Inc.
"ISR"	Income Tax (*Impuesto sobre la Renta*).
"IVA"	Value Added Tax (*Impuesto al Valor Agregado*).

Terms	Definitions
"Latin America"	Central and South America; comprises the countries of this geographical area where BIMBO carries out transactions.
"LIBOR"	London Interbank Offered Rate.
"LMV"	Securities Market Law (*Ley del Mercado de Valores*).
"Mexico"	United Mexican States.
"MEPPs"	Multiemployer Pension Plans.
"Nielsen"	The Nielsen Company.
"NOM"	Mexican Official Standard (*Norma Oficial Mexicana*).
"Notes"	Negotiable instruments issued by the Company in accordance with the Securities Market Law, under the Notes Program (*Programa de Certificados Bursátiles*) and which are outstanding.
"OEE"	Overall Equipment Effectiveness. A manufacturing productivity indicator. The formula considers effectiveness multiplied by performance. Effectiveness is obtained by measuring actual manufacturing time against available production time. Performance is obtained by measuring the quantity of finished product (piece) effectively delivered to the logistics area against the theoretical quantity of pieces according to the masses processed during the consultation period (shift, day, week, month, or year).
"Packaged Bread"	Sliced and packaged bread.
"Panrico"	Panrico S.A.U.
"Pesos", "pesos" or "$"	Currency of legal tender in Mexico.
"PTU"	Employee Profit Sharing (*Participación de los Trabajadores en las Utilidades).*
"Ready Roti"	Ready Roti India Private Limited
"Revolving Credit Facility"	Committed and multicurrency revolving credit facility for an amount of USD$1,750 million dollars that has been contracted with a syndicate of banks. On March 15, 2023, the amount of the credit facility was extended to USD$1,931 millions.
"RNV"	National Securities Registry (*Registro Nacional de Valores*).
"SEC"	U.S. Securities and Exchange Commission.
"Stonemill Bakehouse"	Stonemill Bakehouse Ltd.
"Supan"	Supan, S.A.
"TIIE"	Interbanking Equilibrium Interest Rate (*Tasa de Interés Interbancaria de Equilibrio)*.
"USA" or "United States"	United States of America.
"WFI"	Weston Foods, Inc., baking business in the USA that was owned by George Weston Limited and which BIMBO acquired on January 21, 2009.
"WHO"	World Health Organization.

Unless otherwise specified, the financial information contained in this document is expressed in millions of Mexican pesos and was prepared in accordance with IFRS.

b) EXECUTIVE SUMMARY

This chapter contains a brief summary of the information provided in this Annual Report. Since it is a summary, it is not intended to contain all substantial information included in the Annual Report.

a) The Company

The global headquarters of the Company are located at Prolongación Paseo de la Reforma No. 1000, Colonia Peña Blanca Santa Fe, Álvaro Obregón, Mexico City, 01210, Mexico, and its telephone number is (55) 5268-6600. The Company was established under the laws of Mexico on June 15, 1966. The number of its commercial registry *(folio mercantil)* with the Public Registry of Property and Commerce of Mexico City (*Registro Público de la Propiedad y de Comercio de la Ciudad de México*), or the Mexican Registry, is 9,506 and its taxpayer identification number is GBI 810615 RI8.

As of 2023, Grupo Bimbo is a global food company, the leader in the global baking industry and a relevant participant in the snack industry, according to information from *Euromonitor*. Grupo Bimbo operates in 34 countries, including Mexico, the United States, Canada, most of Latin America, Spain, Portugal, France, Italy, the United Kingdom, Turkey, Switzerland, Ukraine, Kazakhstan, China, South Korea, Russia, India, Morocco, Rumania and South Africa. The Company has a balanced and diversified portfolio of over 9,000 products covering different categories sold under iconic, strategic or renowned brands. By means of its wide range of bakery and snack products, the Company serves from premium and value categories to all consumption occasions.

The Group produces, distributes and commercializes baking products in each of its categories: sliced bread, buns & rolls, pastries, cakes, cookies, toasted bread, English muffins, bagels, tortillas & flat breads and salty snacks and other food products. The brand portfolio of the Company includes iconic brands, such as Bimbo®, Marinela®, Oroweat®, Barcel®, Thomas'®,Sara Lee® and Entenmann's®.

Grupo Bimbo has achieved leadership in the baking industry in most of the countries in which it operates, through development of iconic brands that have been in the minds of consumers for generations, strategic brands with deep regional relevance and high consumer recognition, and continuous innovation in its portfolio.

In the eleventh edition of the "Brand Footprint" study from 2023 published by Kantar Worldpanel, the Bimbo® brand appears as the brand with the highest penetration in Mexican households in the food sector. Additionally, the Bimbo® brand obtained the first position as the most chosen brand in the food category in Mexico, the third position in Latin America, and the sixteenth position globally. In addition, BBU was recognized by IRI (Information Resources, Inc.) as the fourth fastest growing consumer packaged goods (CPG's) company in 2022 and as the fastest growing food company.

Since its foundation in 1945, Grupo Bimbo has built a reliable and integrated commercial platform of significant scale through a combination of organic growth and strategic acquisitions. Organic growth has been driven by continuos market penetration supported by an extensive distribution network, the development of lasting and emblematic brands with the opportunity of being replicated in new markets and/or categories, the quality and innovation of its products and its efficient operations. In the past 15 years, it has successfully integrated more than 50 companies into its portfolio, through which it has expanded its footprint into new markets, product categories and sales channels. The Group became the largest packaged bread market participant in the United States following the acquisitions of Weston Foods Inc., in 2009, and Earthgrains, Sara Lee Corporation's North American fresh baking business, in 2011, according to information from IRI. Also in 2011, it accessed the European market with the acquisition of Sara'Lee's baking business in Europe. In 2014, it entered the Canadian and United Kingdom markets with the acquisition of Canada Bread, producer of Dempster's®, the leading bread brand in Canada. In 2017, it entered in new

countries with the acquisition of Adghal in Morocco, Ready Roti in India and East Balt Bakeries in eleven countries of Europe and Asia. In 2018, Grupo Bimbo completed the acquisition of Mankattan, a major player in the Chinese baking industry. In 2023, it expanded its operations to Rumanía, expanding its global leadership to 34 countries. These and other acquisitions, together with its organic growth, have consolidated Grupo Bimbo as the world's largest and leading baking company. According to Euromonitor (2022), the Group holds the largest market share globally in baked goods and in its two most relevant categories: bread and cakes. Additionally, it is the leader in the QSR (Quick Service Restaurant) channel, where the sales volume represents 79% of the total market according to Euromonitor (2022). As of 2012 and until December 31, 2023, its Adjusted EBITDA increased from $14,076 million to $54,942 million. Moreover, during said period, its Net Sales grew at a CAGR of 8.7%, driven by a CAGR of 9.3% in North America, 7.5% in Mexico and 4.9% in Latin America.

As of the end of this report, it operates 217 bakeries and plants located in 34 countries with an extensive distribution network, which is believed to comprise one of the largest sales' fleets in the Americas. As of December 31, 2023, its direct-distribution network consisted of more than 57,000 distribution routes, spread on more than 1,500 sales centers to ensure the freshness of its products and meet the needs of the consumer.

The following table shows certain financial information of Grupo Bimbo as of the closing of each of the years indicated:

	For the years ended December 31,		
	2023	2022	2021
Net Sales	399,879	398,706	338,792
Operating Profit	35,455	53,696	32,580
Adjusted EBITDA	54,942	53,446	47,372
Net Majority Income	15,477	46,910	15,916

Note: figures in millions of Mexican pesos

b) Financial Information

In accordance with the General Provisions Applicable to Securities Issuers and to Other Participants in the Securities Market as of January 1, 2012, the Mexican corporations with securities listed in the BMV, including the Company, shall prepare and submit their financial information in accordance with IFRS. Therefore, consolidated financial statements were prepared under IFRS. Unless otherwise indicated, all information contained in the audited financial statements included in this Annual Report has been expressed in millions of pesos.

The Mexican peso is the functional currency of the Company's Mexican operations and is used to report the Company's consolidated financial statements. Figures corresponding to 2023, 2022 and 2021 are shown in pesos in nominal terms as of the date on which they were registered.

Company's consolidated financial statements were prepared with an historic base cost, except for certain financial instruments (assets and liabilities), which are measured at its fair value at the closing of each period, and for non-monetary assets of subsidiaries in hyperinflationary economies, which are adjusted for inflation, as explained in accounting policies.

Consolidated Income Statement			
For the years ended December 31:	**2023**	**2022**	**2021**
Continuing operations			
Net sales [(1)]	**399,879**	**398,706**	**338,792**
Costs of sales	**194,369**	193,325	157,703
Gross Profit	**205,510**	**205,381**	**181,089**

Distribution and sales costs	**139,477**	140,455	124,422
Administrative costs	**25,860**	26,172	23,147
Integration costs	**288**	367	724
Other (renevue) costs, Gross	**4,430**	(15,309)	216
Operating Profit	**35,455**	**53,696**	**32,580**
Interest expense	**10,006**	8,049	7,823
Interest income	**(809)**	(740)	(363)
Foreign exchange (gain)/loss, net	**1,323**	995	538
Gain from monetary position	**(73)**	(34)	(25)
Comprehensive Financial Result	**10,447**	**8,270**	**7,973**
Equity in results of associated companies	**316**	452	247
Profit before income tax of Continuing Operations	**25,324**	**45,878**	**24,854**
Incurred Taxes	**9,462**	9,938	7,846
Deferred Income Tax	**(1,076)**	4,443	880
Income Tax[(2)]	**8,386**	**14,381**	**8,726**
Net income after taxes from discontinued operation[(3)]	**(16)**	16,988	1,254
Consolidated net profit	**16,922**	**48,485**	**17,382**
Controlling interest	**15,477**	46,910	15,916
Non-controlling interest	**1,445**	1,575	1,466
Basic earnings per ordinary share	**3.50**	10.54	3.55
Dividend per share	**0.78**	0.65	1.00
Adjusted EBITDA	**54,942**	**53,446**	**47,372**

Notes to the Consolidated Income Statements:

(1) During 2023, 2022 and 2021, net sales of the subsidiaries located in the Mexico segment represented approximately 32.6%, 29.4% and 29.0%, respectively, of the Company's consolidated net sales. During the same periods, the net sales of the North America segment represented approximately 48.1%, 51.6% and 51.8%, respectively, of the Company's consolidated net sales.

(2) For more information on the income or tax, see note 16 of the audited consolidated financial statements including the ISR of uncertain positions and a review of foreign withholding taxes reserved in prior years.

(3) For further information regarding discontinued operations, please refer to notes 3e) and 24 of the consolidated financial statements.

	Consolidated Statement of Financial Position		
As of December 31st:	**2023**	**2022**	**2021**
Cash and cash equivalents	**6,353**	12,313	8,748
Receivable accounts from clients and other receivable accounts, net	**33,269**	32,185	27,170

Inventories	**16,120**	16,989	13,710
Prepaid expenses	**1,378**	928	2,296
Derivative financial instruments	**119**	38	1,293
Guarantee deposits for derivative financial instruments	**1,519**	879	-
Assets held for sale	**156**	138	194
Total Current Assets	**58,914**	**63,470**	**53,411**
Property, plant and equipment, net	**129,156**	113,505	103,891
Right-of-use assets, net	**25,848**	28,477	30,754
Investments in associates	**5,031**	4,398	3,891
Derivative financial instruments	**468**	2,005	1,962
Deferred income tax	**7,313**	3,962	7,861
Intangible assets, net	**55,101**	59,062	56,965
Goodwill	**62,000**	68,085	74,565
Other assets, net	**4,271**	4,800	4,340
Total Assets	**348,102**	**347,764**	**337,640**
Short-term portion of long-term debt	**12,932**	6,435	10,625
Accounts payable to suppliers	**40,409**	44,058	35,752
Other accounts payable and accrued liabilities	**22,072**	24,198	24,102
Lease liabilities	**5,751**	5,930	5,793
Accounts payable to related parties	**1,412**	1,240	1,527
Income Tax	**665**	4,604	708
Statutory employee's profit sharing	**1,787**	1,811	1,692
Derivative Financial Instruments	**2,164**	1,458	169
Other short-term liabilities	**-**	**-**	392
Total short-term liabilities	**87,192**	89,734	80,760
Long-Term Debt [(1)]	**97,003**	77,619	82,230
Lease liabilities	**21,064**	23,255	25,356
Derivative financial instruments	**1,888**	590	67
Employee benefits	**7,217**	9,382	30,712
Deferred Income Tax [(2)]	**9,224**	7,575	7,087
Other long-term liabilities	**12,886**	12,007	9,822
Total Liabilities	**236,474**	**220,162**	**236,034**
Controlling interest	**108,322**	124,111	97,100
Non-controlling interests	**3,306**	3,491	4,506
Total Equity	**111,628**	**127,602**	**101,606**

Consolidated Statement of Financial Position Notes:

(1) Some financial liabilities provide certain restrictions and obligations to the Company's financial structure (see Note 13 of the Audited Financial Statements).
(2) See Note 16 of the Audited Financial Statements.

Additional Financial Information			
As of December 31st:	**2023**	**2022**	**2021**

Depreciation and Amortization	**18,929**	18,282	16,375
Net cash flows from operating activities	**31,411**	38,851	45,776
Net cash flows used in investing activities	**(42,440)**	(9,122)	(32,459)
Net cash flows used in financing activities	**5,904**	(25,692)	(14,116)
Cash and cash equivalents at end of year	**6,353**	12,313	8,748
Operation Margin	**8.9**	13.5%	9.6%
Adjusted EBITDA Margin	**13.7**	13.4%	14.0%
Majority Net Margin	**3.9**	11.8%	4.7%
Return on Assets (1)	**4.6**	4.6%	4.5%
Return on Capital (1)	**14.1%**	15.0%	13.7%
Adjusted EBITDA	**54,942**	53,446	47,372
Total Debt / Adjusted EBITDA (2)	**2.2**	1.7	2.2
Net Debt / Adjusted EBITDA (2)	**2.1**	1.5	2.0

Notes to the Additional Financial information:

(1) Adjusted for the MEPPs (Mexican Economic Protection Program) and divestment of Ricolino in 2022, and in 2023 only with the MEPPs.
(2) For the calculation of the financial ratio, Adjusted EBITDA does not consider the effect of the implementation of IFRS 16 or the effect of IFRS 16 in general.

3) Capital Markets

The authorized capital stock of Grupo Bimbo consists of Series “A” common shares, nominative, with no par value, registered in the RNV.

These shares are publicly traded in Mexico, listed on the BMV under the ticker symbol "BIMBO" and registered in the RNV. As of December 31, 2023, its market capitalization was approximately Ps.377,500 billion.

BIMBO shares started to trade on the BMV on February 1980, when the Company carried out its initial public offering. Since February 1, 1999 BIMBO is part of the Price and Quotation Index (*Índice de Precios y Cotizaciones*) of the BMV.

The trading of BIMBO shares has not been suspended in the past four years.

As of the date of this Annual Report, the BIMBO share is classified as high trading volume, in accordance with the Trading Activity Index published by the BMV.

Since 2011, BIMBO is included in the Sustainable IPC Index of the BMV. This index allows investors to follow companies’ performance on environmental, social responsibility and corporate governance matters.

On the date of the present annual report, the Company does not have a market maker agreement.

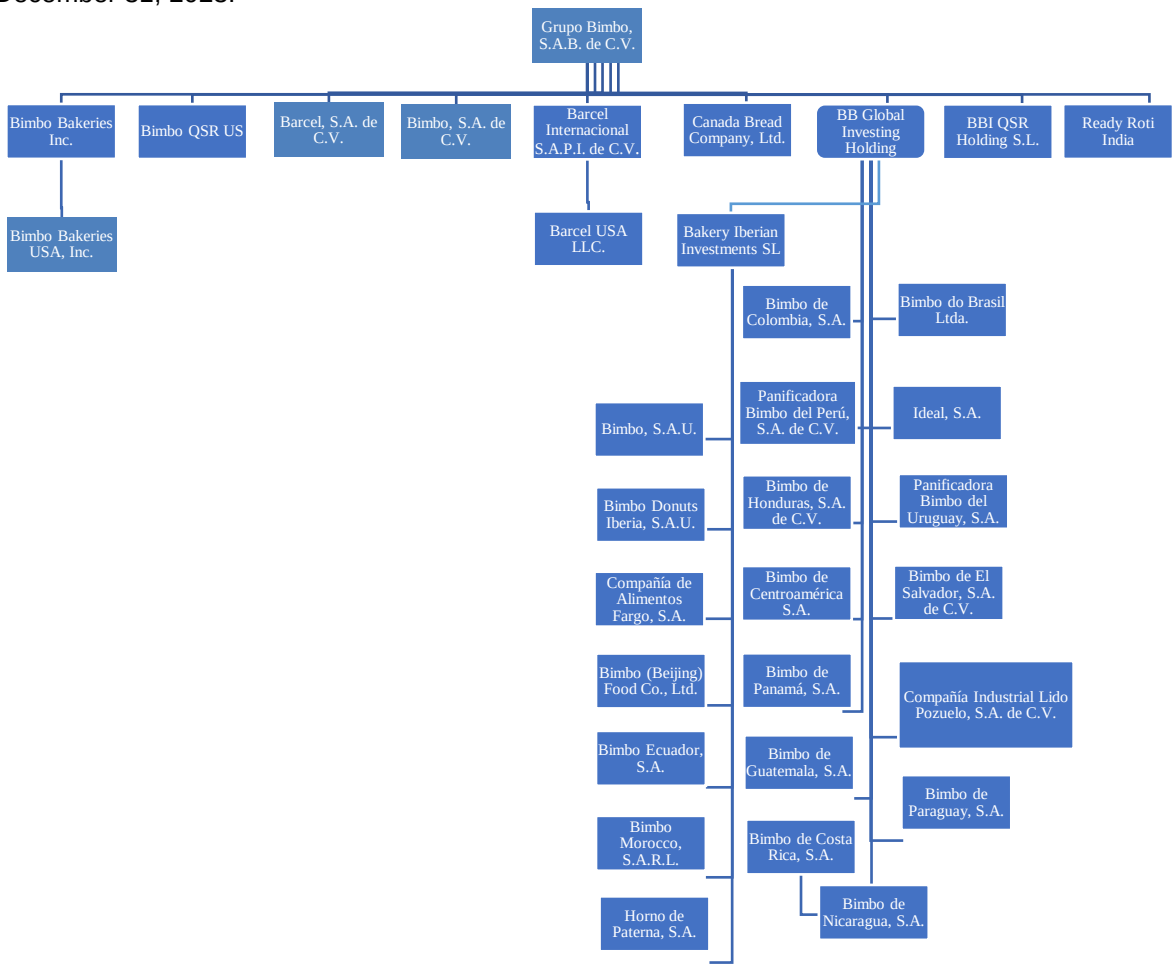
The following table shows the maximum, minimum and closing adjusted quoted prices in nominal pesos as well as the transaction volume of BIMBO Series “A” shares in the BMV, during the indicated periods.

Year ended December 31	Mexican Pesos per Share "A"			Shares "A" Transaction Volume
	Maximum	Minimum	Closing	
2011	28.47	28.47	28.47	577,729,900
2012	33.47	28.44	33.47	557,993,449
2013	45.80	31.72	40.20	597,627,669
2014	43.17	32.53	40.70	521,029,420
2015	49.04	37.81	45.95	481,273,569
2016	59.86	44.43	47.01	621,595,607
2017	48.51	42.19	43.51	532,853,721
2018	46.46	35.07	39.15	592,951,520
2019	43.04	32.83	34.43	635,679,042
2020	45.09	26.95	43.24	768,815,635
2021	63.40	37.10	62.97	689,926,743
2022	87.56	53.20	82.36	707,648,123
2023	98.96	70.7	85.95	518,486,689

Volume of operation of Series "A" stock obtained from Nasdaq IR Insight®.

4. Corporate Structure

The following table shows the main subsidiaries comprised in the Group's corporate structure as of December 31, 2023:



c) RISK FACTORS

The following risks factors described may adversely affect the Company's development, financial status and/or operating results, as well as affect the price of any securities of the Company.

Risks Related to the Business, Industry and Supply

Increases in prices and shortages of raw materials, fuels and utilities could cause costs to increase

Grupo Bimbo purchase large quantities of raw materials, including wheat flour, edible oils and fats, sugar, eggs and plastics used to package its products, the prices of which are volatile and fluctuate due to conditions that are difficult to predict. These conditions include global competition for resources; currency fluctuations; geopolitical conditions or conflicts (including the ongoing war in Ukraine and international sanctions imposed on Russia for its invasion of Ukraine and the conflict between Hamas and Israel); adverse weather conditions (including the effects of global climate change); consumer investment demand; changes in governmental regulation; corruption, crime and insecurity; alternative energy sources and government-sponsored agricultural programs; crop disease or pests; water risk; health pandemics, including COVID-19; forest fires; inflationary pressures related to domestic and global economic conditions or supply chain issues; transportation and labor disruption. Grupo Bimbo is also exposed to changes in oil prices, which impacts its packaging and transporation costs. The prices of raw materials, other materials and energy can fluctuate due to market conditions and currency fluctuations.

Increased government intervention and consumer or activist responses caused by increased focus on climate change, deforestation, water, plastic waste, animal welfare and human rights concerns, human rights and other risks associated with the global food system could adversely affect Grupo Bimbo's or its suppliers' reputation (including palm oil suppliers) and its business, and therefore harm Grupo Bimbo's ability to procure the materials needed to operate its business. Some raw materials are grown by smallholder farmers who might not be able to invest in increasing productivity, adapt to changing conditions, or access financing since their assets may not be adequate guarantees. Grupo Bimbo's work to monitor its exposure to raw materials prices and hedge against input price increases cannot fully protect it from changes in raw materials costs due to factors like market illiquidity, specific local regulations, raw materials quality fluctuations, and downstream costs.

Grupo Bimbo cannot assure that these fluctuations will not have an adverse effect on financial performance or that it will be able to pass along the effect of increased costs to consumers.

Grupo Bimbo also relies on diverse fuels and utilities (including water) to carry its operations. For example, its facilities use natural gas, liquefied gas and electricity to operate. In addition, its distribution operations require the use of gasoline and diesel fuel to deliver their products. These fuels and utilities are also subject to price fluctuations. In addition, Grupo Bimbo's operations require significant amounts of water and scarcity may negatively impact its ability to operate its facilities. Rising costs in raw materials, energy and other inputs could materially affect the Group's cost of operations, including the production, transportation and distribution of its products, which could materially and adversely affect its business, financial condition, results of operations and prospects.

To ensure supply of raw materials, Grupo Bimbo enters into wheat, natural gas and other inputs hedging contracts to mitigate exposure against price volatility. Nevertheless, these contracts could cause incurring in higher prices for raw materials than those available in the market, materially and adversely affecting the Group.

The Group may not achieve its targeted cost savings and efficiencies from cost reduction initiatives

The Group's success depends in part on its ability to be a low-cost producer in a highly competitive industry. Grupo Bimbo periodically makes investments in its operations to improve its production facilities and reduce operating costs. The Group may experience operational issues when carrying out major production, procurement, or logistic changes and these, as well as any failure to achieve its planned cost savings and efficiencies, could have a material adverse effect on the business, financial condition, results of operations and prospects.

Competition could adversely affect the Group's business, financial condition, results of operations and prospects

The baking industry is highly competitive and increased competition could reduce the Group's market share or force it to reduce prices or increase promotional spending in response to competitive pressures, all of which would adversely affect its business, financial condition, results of operations and prospects. Competitive pressures may also restrict the Group's ability to increase prices, including in response to commodity and other cost increases. Competition is based on product quality, price, customer service, brand recognition and loyalty, effective promotional activities, access to retail outlets and sufficient shelf space and the ability to identify and satisfy consumer preferences.

Any reduction in sales revenue as a result of competitive pressures would negatively affect the profit margins and, if the Group's sales volumes fail to offset any reduction in margins, it will be materially and adversely affected.

Grupo Bimbo competes with large national and transnational companies, local traditional consumer foods producers, smaller regional operators, small family-owned businesses, supermarket chains with their own products and brands, grocery stores with their own in-store bakery departments or private label products and diversified food companies. In particular, competition against private label products could negatively impact the Group's business. In most of its product categories, the Group faces branded and price-based competition. Its products must provide higher value and/or quality to its consumers than alternatives, particularly during periods of economic uncertainty. Consumers may not buy its products if relative differences in value and/or quality between its products and private label products change in favor of the Group's competitors' products or if consumers perceive such a change. If consumer preferences shift to private label products, then the Group could lose market share, experience lower sales volumes, or need to shift its product mix to lower margin offerings, which could have a material effect on its business, financial condition, results of operations and prospects.

Competitor and customer pressures require that Grupo Bimbo timely and effectively respond to changes in distribution channels and technological developments that may require changes in prices. These pressures could affect the ability of the Group to increase prices in response to raw materials and other cost increases. Failure to effectively and timely assess new or developing trends, technological advancements or changes in distribution methods and set proper pricing, as a result of inflation, weak economic conditions or recessions, or effective trade incentives, could negatively impact demand for products, operating results, achievement of strategic and financial goals and ability to capitalize on new revenue or value-producing opportunities.

In particular, from time to time, the Group experiences price pressure in certain of its markets as a result of its competitors' promotional pricing practices, which could be exacerbated by excess industry capacity. As a result, the Group may need to reduce the prices for some of its products to respond to competitive and customer pressures and to maintain market share. Such pressures also may restrict its ability to increase prices in response to raw material and other cost increases. The Group's competitors may also improve its competitive position by introducing competing or new products, improving production processes or expanding the capacity of production facilities. If Grupo Bimbo is unable to maintain its pricing structure and keep pace with its competitors' initiatives, its business, financial condition, results of operations and prospects could be materially adversely affected.

The reputation of the Group's brands and its intellectual property rights are key to its business

Most of Grupo Bimbo net sales derive from sales of products offered under brands that the Group owns. Its brand names and other intellectual property rights are key assets of its business. Maintaining the reputation of its brands is essential to the Group's ability to attract and retain retailers, consumers and associates and is critical to the Group's future success. Failure to maintain the reputation of its brands could materially and adversely affect its business, financial condition, results of operations and prospects. These issues include, but are not limited to, appropriately dealing with potential conflicts of interest, non-compliance with legal and regulatory requirements, safety conditions in the Group's operations, ethical issues, money-laundering, antitrust and other governmental investigations affectinf the Group or its business partners, privacy, record-keeping, sales and trading practices and the proper identification of the legal, reputational, credit, liquidity and market risks inherent in its business.

Grupo Bimbo main trademarks are registered in the countries in which the Group uses such trademarks. While Grupo Bimbo intends to enforce its trademark rights against infringement by third parties, its actions to establish and protect its trademark rights may not be adequate to prevent imitation of its products by others or to prevent others from seeking to block sales of the Group's products on grounds that its products violate their trademarks and proprietary rights. In addition, the authorities in certain jurisdictions in which the Group operates may not timely and efficiently recognize and enforce Group's rights in time (which could result in the reputation of its brands being affected). If a competitor were to infringe on the Group's trademarks, enforcing its rights would likely be costly and would divert resources that would otherwise be used to operate and develop the business. Although Grupo Bimbo intends to actively defend its brands and trademark rights, it may not be successful in enforcing its intellectual property rights, which could materially and adversely affect the Group's business, financial condition, results of operations and prospects. The Group's failure to obtain or adequately protect its intellectual property rights, or any change in law or other changes that serve to lessen or remove the current legal protections of its intellectual property, may diminish the Group's competitiveness and could materially harm its business, financial condition, results of operations and prospects.

See Section "2. The Company – b) Business Description – vi) Patents, Trademarks, Licenses and other Contracts".

Grupo Bimbo must leverage its brand value to compete against lower-priced alternative brands

In nearly all of its product categories, the Group competes with lower-priced alternative products. The Group's products must provide higher value and/or quality to its consumers than alternative brands, particularly during periods of economic uncertainty. Consumers may not purchase the Group's products if the difference in value or quality between the Group's products and the products of other brands changes in favor of the Group's competitors, or if consumers perceive this type of change. If consumers choose the lower-priced brands, then the Group may lose market share or sales volumes, which could materially and adversely affect its product sales, financial condition, and operating results.

Inability to anticipate changes in consumer preferences or enhance the Group's product portfolio may result in decreased demand for its products

Consumer preferences change over time and Grupo Bimbo success depends on its ability to maintain consumer demand for its products by identifying and satisfying the evolving needs, tastes, trends and health habits of consumers in order to respond in a timely manner and offer products that appeal to these needs, tastes, trends and habits. Changes in consumer preferences combined with the Group's failure to anticipate, identify or react to these changes could result in reduced demand for its products, which could in turn adversely affect its business, financial condition, results of operations and prospects. In particular, demand for the Group's products could be impacted by the popularity of trends such as low carbohydrate diets and by concerns regarding the health effects of trans fats, sugar content and processed wheat. Furthermore, Grupo Bimbo may not be able to quickly introduce substitute products, as a means to satisfy consumer demands. Consumer preferences may shift in the future due to several factors that are difficult to predict such as changes in demographic trends, governmental regulations (including current or future

regulations related to labeling requirements), weather conditions, concerns over nutritional or food safety aspects or changes in economic conditions. Even though the Group's experience has given it a solid understanding of the markets in which it operates, the Group cannot predict the preferences and needs of its current or potential consumers with absolute certainty. The Group commercializes its products in several different countries and the consumers in each country have their own tastes and preferences (which the Group may be unable to rapidly identify).

The Group's success depends in part on its ability to enhance its product portfolio by adding innovative new products in fast growing, profitable categories as well as increasing market share in its existing product categories. Introduction of new products and product extensions requires significant research and development as well as marketing initiatives. If the Group's new products fail to meet consumers' preferences, the return on its investment in such new product will be less than the anticipated and the Group's strategy to grow net sales and profits may not be successful, which could in turn materially and adversely affect the Group's business, financial condition, results of operations and prospects.

A decrease in consumer confidence and changes in consumer habits may adversely affect the Group's business, financial condition, results of operations and prospects

Grupo Bimbo is exposed to certain political, economic and social factors in Mexico and in the other countries where it operates that are beyond its control and could adversely impact the confidence and habits of consumers. Changes in employment and salary levels, interest rates and other economic indicators, as well as the effect of pandemics, among other factors, have a direct impact on consumers' income and their purchasing power and an indirect impact on their confidence and consumption habits, which could have an adverse effect on the Group's business, financial condition, results of operations and prospects.

Grupo Bimbo may be unable to drive revenue growth in its key products or add new products that are faster-growing and more profitable

The Group's future results will depend, in part, on its ability to drive revenue growth in its key products. Because a significant portion of the Group's operations are concentrated in North America, where growth in the sweet baked goods industry has been moderate in recent years, the Group's success also depends in part on its ability to enhance its portfolio by adding innovative new products rapidly responding to new consumer demands. There can be no assurance that new products will find widespread acceptance among consumers. The Group's failure to drive revenue growth in its key products or develop innovative new products could materially and adversely affect its profitability, financial condition and operating results.

Grupo Bimbo relies on a limited number of customers for sales through certain of its distribution channels

The Group's Sales under certain distribution channels, in particular those made under traditional and quick service restaurants channels, rely on a limited number of customers with whom the Group does not have written contracts in place, instead, purchases and sales are made on a purchase order basis. Usually the Group has long-standing relationships with its customers, however, such customers may stop purchasing the Group's products at any time. The loss of key customers could materially and adversely affect the Group's business, financial condition or operating results. Additionally, consumer concentration can exert pressure on prices, and any change in purchasing behavior or loss of key customers can have a significant negative effect on the Group's business.

Grupo Bimbo would be adversely affected by any significant or prolonged disruption to its bakeries and production facilities

Any prolonged and/or significant disruption to the Group's production facilities, whether due to repair, maintenance or servicing, industrial accidents, mechanical equipment failure, human error, authority supervision, natural disaster, pandemics or other, would disrupt and adversely affect the Group's operations. In particular, any major disruption to its production facilities may have an adverse impact on its ability to comply with its obligations under its contracts with its customers, which could result in sanctions or penalties

under such contracts, including early termination by the Group's customers. Under such circumstances, the Group cannot assure that it will be able to negotiate an amendment to the respective contracts or the termination thereof, which could materially or adversely affect the Group's business, financial situation, results of operations and prospects.

Additionally, Grupo Bimbo has consolidated the production of certain products in production centers. Grupo Bimbo could experience a production disruption in these or any other factories, resulting in a reduction or lack of availability of some products. If Grupo Bimbo cannot obtain alternative production capacity in a timely manner, it could adversely and significantly affect its business, financial situation, and operating results.

Grupo Bimbo is a holding company that does not generate profits directly, rather it depends on dividends and, to a lesser extent, royalties, lease payments and other financial resources from its subsidiaries to fund its operations and pay dividends, if the Group determine to do so

Grupo Bimbo is a holding company and conducts all of its operations through its subsidiaries. Grupo Bimbo has no independent operations or material assets other than the shares of its subsidiaries and certain intellectual property. Consequently, the Group's ability to fund its operations, pay interest on its debt and, to the extent that the Group decides to do so, pay dividends, primarily depends on its subsidiaries' ability to generate revenue and pay dividends and, to a lesser extent, pay certain royalties and make certain lease payments to the Group. The Group's subsidiaries are separate and distinct legal entities. Any dividend payment, distribution, credit or advance from its subsidiaries is limited by the general provisions of Mexican legislation regarding the distribution of corporate earnings, including those regarding legally required employee profit sharing payments and, in certain circumstances, contractual restrictions, such as those derived from financing contracts of its subsidiaries, which could limit the Group's capacity to obtain dividends from its subsidiaries. In addition, under Mexican law, the Group's Mexican subsidiaries may only pay dividends (i) out of retained earnings included in financial statements that have been approved by their respective shareholders' meetings, (ii) after all losses from prior fiscal years have been satisfied and (iii) if the corresponding subsidiary has allocated 5.0% of its net profit for such fiscal year to its legal reserve, which allocation must be made on an annual basis until its legal reserve represents at least 20.0% of such entity's capital stock. If a shareholder initiates legal action against Grupo Bimbo, the enforcement of any judgment would be limited to the Group's subsidiaries' available assets. The payment of dividends by the Group's subsidiaries also depends on their earnings and business considerations. In addition, the Group's right to receive any assets from any subsidiary upon its reorganization or liquidation, in its capacity as a shareholder of such subsidiary, will be effectively subordinated to the rights of such subsidiary's creditors, including trade creditors. Any adverse change in the financial situation or in the result of operations of the Group's subsidiaries could affect its business, financial condition, results of operations and prospects.

Health and product liability risks related to the food industry could adversely affect the Group's business, financial condition, results of operations and prospects

The Group is subject to risks affecting the food industry generally, including risks posed by contamination or food spoilage, evolving nutritional and health-related concerns, consumer product liability claims, product tampering, the availability and expense of liability insurance and the potential cost and disruption of product recalls. The Group may also become involved in lawsuits and legal proceedings if it is alleged that the consumption of any of its products causes injury, illness, or death. A product recall or an adverse result in any such litigation could adversely affect its business, financial condition, results of operations and prospects. In addition, food safety events involving the Group or its QSR customers could negatively impact its business.

The use of social media to post complaints against companies engaged in the food industry, including the Group, as well as the use of mobile devices to capture any deviation from their processes, products or facilities, could adversely affect the Group's business. As a global consumer food company, the Group depends on consumer confidence in the quality and safety of the Group's products. Any illness or death related to its products, or any deviation or perceived deviation in the Group's processes, products, or faciities, could substantially damage its operations. The spread of food-borne illnesses is often beyond the Group's control and the Group cannot assure that new illnesses will not develop in the future.

Any actual or perceived health risks associated with the Group's products, including any adverse publicity concerning these risks, could cause consumers and customers (including the Group's customers in the foodservice industry) to lose confidence in the safety and quality of its products. In recent years, governments in many jurisdictions have negatively referred to products in the industries in which Grupo Bimbo participates and have threatened or imposed taxes that may negatively impact demand for its products. Even if the Group's own products are not affected by contamination, its industry may face adverse publicity if the products of other producers become contaminated, which could result in reduced consumer demand for the Group's products in the affected category. In addition, adverse publicity about the safety and quality of certain food products, such as the publicity about foods containing genetically modified ingredients, whether or not true, may discourage consumers from buying the Group's products or cause production and delivery disruptions.

Grupo Bimbo maintains systems and internal policies designed to monitor food safety risks throughout all stages of the production process. However, the Group's systems and internal policies may not be fully effective in mitigating risks related to food safety. Any product contamination could have a material adverse impact on the business, financial condition, results of operations and prospects of the Group. Furthermore, the Group's customers in the foodservice industry may have claims against it if any of the foregoing events materializes, and if the Group is found liable with respect to any such claim, its business, financial condition, results of operations and prospects may be materially and adversely affected.

The Group's operations are subject to extensive food quality and safety regulations

The Group's operations, including its manufacturing facilities and other assets and products, are subject to extensive regional and national laws, rules, regulations and standards of hygiene and quality regulation in the food safety area and oversight by authorities in each of the countries where the Group operates regarding the processing, packaging, labeling, storage, distribution and advertising of its products. These authorities enact and enforce regulations with respect to the Group's operations by, among other things, licensing its plants, enforcing federal and state standards for selected food products, grading food products, inspecting plants and warehouses. Consequently, Grupo Bimbo is required to maintain various registries, licenses and permits in order to operate its business.

The Group's operations in Mexico are subject to extensive laws, rules, regulations and standards of hygiene and quality regulation and oversight by designated authorities such as the Mexican Ministry of Health (*Secretaría de Salud*), the Ministry of Agriculture, Farming, Rural Growth, Fish and Food (*Secretaría de Agricultura, Ganadería, Desarrollo Rural, Pesca y Alimentación*), the Federal Commission for Protection from Sanitary Risks (*Comisión Federal para la Protección contra Riesgos Sanitarios*) and the Ministry of Economy (*Secretaría de Economía*) and other authorities regarding the processing, packaging, labeling, storage, distribution and advertising of the Group's products.

The Group's U.S. products and packaging materials are regulated by the U.S. Food and Drug Administration, or FDA. This agency enacts and enforces regulations relating to the production, distribution and labeling of food products in the United States. In addition, various states regulate the Group's U.S. operations by licensing plants, enforcing federal and state standards for selected food products, grading food products, inspecting plants and warehouses, regulating trade practices related to the sale of food products and imposing their own labeling requirements on food products.

The Group's operations in Europe are subject to extensive food safety regulations and are subject to governmental food processing controls in each of the European countries in which Grupo Bimbo conducts its business. Regulation EC/178/2002, as is or may have been modified, provides the framework for a unified approach to food safety in the European Union and all member states have implemented the requirements into law. Among the other major requirements of Regulation EC/178/2002 Article 17, which imposes on food business operators a general obligation to ensure that the operations under their control satisfy the relevant food law requirements and an obligation to verify that such requirements are met, and Article 18, which imposes a mandatory traceability requirement along the food chain. In addition to the general requirements of Regulation EC/178/2002, Grupo Bimbo is subject to specific food hygiene legislation. Further, the Group

is regularly inspected by various national and local regulatory authorities. In addition, Grupo Bimbo is subject to extensive consumer-protection and product liability regulations.

Grupo Bimbo is subject to comparable health, hygiene and quality-related local laws and regulations in other countries where it operates. Government policies and regulations in the United States, Mexico and its other markets may adversely affect the supply demand and prices of its products, restrict its ability to do business in existing and target local and export markets and could adversely affect its business, financial condition, results of operations and prospects.

The laws and regulations to which the Group is subject, as well as their interpretations, may change, sometimes dramatically, as a result of a multiplicity of factors beyond the Group's control, including political, economic, regulatory or social.

Changes in the legal or regulatory requirements under which the Group operates (such as new or modified food safety requirements, sanitary standards, and labeling regulations) or the evolution of interpretations of existing laws or regulations could result in a significant increase in compliance costs, capital expenditures, and other financial obligations, as well as disruptions in operations and changes in consumer preferences, which in such cases could adversely affect its business, financial situation, operating results, and prospects. For example, in 2020, the Mexican congress approved a reform to the applicable law requiring the Group to include, on the front label of most of its products, simplified information regarding sugar content, salt, trans fatty acids, saturated fats, and calories, in a manner that contributes to consumer nutritional education. Additionally, this reform grants health authorities the right, at their sole discretion, to request the Group to include additional information, warnings, or images on the labels of most of its products, which may discourage the purchase of its products. The Group cannot assure that Mexican health authorities will not exercise such right nor can it assure that governments of other countries will not establish similar laws

If the Group is found to be out of compliance with applicable laws and regulations, the Group may be subject to civil remedies, including fines, injunctions, termination of necessary licenses or permits, or recalls, as well as potential criminal sanctions, any of which could have an adverse and material effect on the Group's business. Even if a regulatory review of the Group's operations does not result in such outomes, it could potentially create negative publicity or a negative perception of the Group which could damage its business or reputation and might adversely affect the results of the Group's operations.

The regulations on health and labelling

The Group's operations are subject to various laws, regulations, guidelines, and Mexican Official Standards that include specific provisions on hygiene and quality, which implies being under the scope of surveillance of various authorities in relation to the production, packaging, distribution, information, and advertising of the Group's products.

Government policies and regulations in the countries where the Group operates could negatively affect the supply, demand, and prices of its products, as well as limit the Group's ability to operate. Furthermore, if there were significant changes in health regulations, the Group could suffer significant increases in its operating costs and be forced to implement measures that could generate interruptions in its operations.

An increase in regulation in the bakery or food industry, including proposals to improve food safety, impose health-related requirements, or regulate certain ingredients, could increase the Group's costs.The legislation of some countries in which the Group operates, including the United States, requires the Group's products to include labels with certain warnings and nutritional information.

In Mexico, since 2013, there have been prohibitions on the sale, distribution, and promotion of high-calorie food to minors in basic education school facilities. While this federal regulation must be complied with by the states, their regulatory frameworks have been aligning over the years to include the same provisions.

On the other hand, in 2020, Oaxaca approved the absolute prohibition of the sale, distribution, and promotion of high-calorie food to minors in any type of establishment. Although some state and federal initiatives have tried to replicate this local regulation of Oaxaca, sometimes even promoted by the Federal Ministry of Health, none of them have prospered to date. Additionally, the Federal Ministry of Health has requested to the Congress of the Union to legislate on adequate nutrition, in order to regulate the sale and advertising of high-calorie food to minors outside school facilities as part of an effort to address the problems caused by the global pandemic and high rates of obesity and chronic diseases such as diabetes. Finally, the new labelling rules established in 2020 continue to be implemented in accordance with the staggered system established in the corresponding regulations, these rules establish that food products may not include within their labels pictures of characters, drawings, celebrities, gifts, offers, toys or contests that aim to promote their consumption, which could affect sales, financial situation and results of operations of the Group.

Although there have been some isolated resolutions related to the use of trademarks and the infringement of industrial property rights, issues related to labeling have been brought before Mexico's Supreme Court of Justice, and it is expected that they will be resolved in 2024.

On the other hand, on September 8, 2022, a Decree was published amending, adding, and repealing various provisions of the Products and Services Health Control Regulation and the Regulation of the General Health Law on Advertising and Publicity. This decree provides for stricter provisions related to the advertising of food and non-alcoholic beverages, including the obligation to obtain a permit from the health authority to advertise such products that include front-of-package labeling system and that will be advertised on open or restricted television, movie theaters, the internet, and other digital platforms. This new obligation requires obtaining the corresponding permits to advertise the food or non-alcoholic beverages that include the front-of-package labeling system. This new provision will have an economic impact since it will be necessary to obtain the corresponding permits before carrying out any advertising activity, which will generate greater scrutiny from the health authority and the corresponding payment of fees.

The Group relies QSR chains to sell its products to its consumers, and if they perform poorly or give preference to competing products, Grupo Bimbo could be negatively affected

Grupo Bimbo derives a portion of its operating revenues from sales to retailers and other clients. Grupo Bimbo sells its products to retailers and quick service restaurants, such as supermarkets, hypermarkets and hard discounters, and to traditional retailers, such as small convenience stores and small family-owned stores. These third parties, in turn, sell the Group's products to final consumers. A portion of its revenues comes from the foodservice distribution channel which includes operators such as restaurants and the on-the-go channel including vending machines. Any significant deterioration in the business performance of the Group's customers could adversely affect the performance of its products. In addition, shelf and retail space for sweet baked goods is limited and subject to a competitive environment and other industry pressures. Therefore, traditional and non-traditional retailers also carry products that directly compete with the Group's products for consumer purchases, retail space and marketing efforts. There is a risk that such retailers may give preference to products of, or form alliances with, the Group's competitors or give preference to their own private label products, different from the products that Grupo Bimbo produces for such private labels. Private label products represent an alternative for value-conscious consumers. These products allow retailers to increase their sales and margins, which incentivizes retailers to take advantage of their platform to give preference to such private label products at the expense of branded products. There can be no assurance that retailers will provide the Group sufficient shelf space for its products to enable Grupo Bimbo to meet its growth objectives. If retailers put pressure on Grupo Bimbo's margins, fail to purchase the Company's products or fail to provide the Company's products with adequate marketing efforts, the Group's business, financial condition, results of operations and prospects could be adversely affected.

Additionally, alternative retail channels, such as internet-based retailers, mobile applications, subscription services, discount stores and club stores, have become more prevalent in recent years. This trend, away from retail grocery, and towards such channels, is expected to continue in the future. If the Group is not successful in expanding its channel sales in alternative retailer channels, its business or

financial resuts could be affected adversely. In addition, these alternative retail channels may create price deflation to the customer, which could affect retail customer relationships and present additional challenges to its ability to increase prices in response to the increase of product costs. Moreover, if these alternative retail channels had a significant market share away from traditional retailers, it may impact the Group's business and financial results.

The Group relies on retailers to sell its products.

A significant portion of the Group's product sales occur through retailers, including non-traditional retailers such as supermarkets and hypermarkets. These retailers sell the Group's products to consumers, as well as products from the Group's competitors and their own branded products. A significant deterioration in the businesses of these retailers could impact the Group's product sales. Additionally, it is possible that these retailers may prioritize the products of the Group's competitors.

Further consolidation in the supermarke and retail food industries and growth of hard discounters may adversely impact the Group

The growth of and consolidation in the supermarket industry has changed the grocery retail landscape in recent years. Originally, supermarkets stood out by selling numerous types of goods under one roof, largely replacing small grocery stores and other retailers that only sold one particular type of product. In order to increase efficiency and maintain competitiveness, supermarket chains have begun consolidating, a trend that has led to a reduction in the number of retailers. In addition, the accelerated growth of hard discount grocers in Europe and the United States is creating a new competitive landscape for traditional supermarkets and large retailers. As a result, the Group and other producers are becoming increasingly dependent on a small number of customers for sales volume and the channels to make its products available to consumers are becoming more limited. As the retail grocery trade continues to grow and consolidate and retailers become larger, the Group’s large retail customers have sought, and may continue to seek in the future, to use their position to improve their profitability through improved efficiency, lower pricing, increased promotional programs funded by their suppliers and more favorable terms. Sales to the Group’s larger customers on less favorable terms could adversely affect the Group’s business, financial condition, results of operations and prospects. In addition, to the extent that hard discounters continue to expand, price-based competition is likely to put additional pressure on the Group’s margins. If the Group is unable to use its scale, marketing expertise, product innovation and category leadership positions to respond, its profitability or volume growth could be negatively affected.

In addition, consolidation among the Group’s competitors in the baked goods and retail food industry may cause its competitors to gain in size and competitive strength, adversely affecting its business, financial condition, results of operations and prospects.

Disruption of the Group’s supply chain and distribution network could adversely affect its business, financial condition, results of operations and prospects

The Group’s operations depend on the continuous operation of its supply chain and distribution network. Damage or disruption to the Group’s production or distribution capabilities due to weather, natural disaster, fire, electricity shortages, wars (including current conflicts in Ukraine, Russia, the Gaza Strip, and Israel), terrorism, embargoes, international, regional, or local instability, and conflicts in general, pandemics, and other public health issues (including contaminated food, foodborne diseases, manipulation or failure of water supply, or widespread diseases or pandemics such as COVID-19, Ebola, avian flu, H1N1 influenza, and MERS), pandemics, strikes, disputes with, or the financial and/or operational instability of, key suppliers, distributors, warehousing and transportation providers, changes in the transport regulations, or other reasons could impair the Group’s ability to manufacture or distribute the Group’s products or to timely comply with its commitments.

To the extent that Grupo Bimbo is unable, or if it is not financially feasible for the Company, to mitigate interruptions in its supply chain or its potential consequences, whether through contracts, insurance

arrangements or otherwise, there could be an adverse effect on its business, financial condition, results of operations and prospects, and additional resources could be required to restore the Group's supply chain.

Natural disasters and other events could adversely affect the Group's operations

Natural disasters, such as storms, hurricanes, earthquakes, and floods (including those events resulting from climate change and extreme weather) could disrupt operations, damage infrastructure or adversely affect the Group's production plants and distribution processes. Any of these events could increase its expenses or investments, result in a *force majeure* event under certain contracts and/or impact the economies of the markets affected by such disasters or events and consequently affect the business, financial condition, results of operations and prospects of the Group.

Furthermore, the Group cannot ensure that current insurance policies are sufficient or, in any case, provide effective coverage against any unforeseen events. In the event that the current insurance coverage proves to be insufficient, the Group may incur costs and expenses to remedy and mitigate any damage caused by such natural disasters and other events, which could adversely and materially affect the business, financial situation, and operating results of the Group.

Additionally, as stated in the Sixth Assessment Report of the Intergovernmental Panel on Climate Change in March 2023, there is ongoing scientific evidence, as well as public concern, that greenhouse gas emissions and related human activities have caused and will continue to cause significant changes in global temperatures and climate patterns, and will increase the frequency or severity of weather events, wildfires, and floods. As pressures from climate change and global population growth lead to increased demand, the food system and global supply chain become increasingly vulnerable to acute crises, resulting in rising prices and volatility, especially in energy and raw materials. Adverse changes like these may (i) unfavorably impact the cost or availability of raw materials or packaging materials, especially if such events negatively impact agricultural productivity or water supply, (ii) disrupt production schedules and the Group's capacity, or the capacity of the Group's suppliers or manufacturers, to manufacture or distribute the Group's products, (iii) reduce crop size or quality, (iv) disrupt the retail operations of the Group's customers, or (v) unfavorably impact the demand for the Group's products, or the ability of the Group's customers to purchase the Group's products. Additionally, the Group faces transition risks related to climate, including new legislation and regulation aimed at addressing climate change and changes in market preferences for more sustainable products and services. Federal, state, and local regulatory agencies are increasingly focused on environmental policies related to climate change, greenhouse gas emissions, energy policies, and sustainability, including single-use plastics. This increased or heightened attention may result in new or stricter laws and regulations that could increase the risk of the Group being subject to litigation or government enforcement actions and force the Group to incur higher costs of legal, accounting, and financial compliance, make some activities more difficult, slow, and costly, and put pressure on our staff, systems, and resources. In particular, growing regulation of fuel emissions could substantially increase distribution costs and supply chain costs associated with the Group's products. Additionally, consumers and customers may prioritize the purchase of sustainably grown and produced products, which would require the Group to incur higher costs for transparency, due diligence, and reporting. Consequently, climate change and measures taken to mitigate it could negatively impact the Group's business and activities.

The COVID-19 pandemic has had, and will likely continue to have, certain negative impact on the Group's business, revenues, expenses, costs and overall results of operations and financial condition.

The COVID-19 pandemic has had, and will continue to have, certain negative impact on the Group's business, revenues, expenses, costs and overall results of operation and financial condition. Furthermore, the spread of COVID-19 and the resulting regulatory measures implemented by the governments of the countries in which the Group operates has caused the Group to modify its business activities, including changes in distribution and manufacturing procedures, limiting travel, temporarily closing offices and facilities and implementing remote work capabilities. In addition, the impact of COVID-19 in the financial markets has adversely affected the cost of borrowing, hedging activities and access to capital in general which could limit the Group's ability to obtain financing in favorable terms or at all.

The COVID-19 pandemic may not be fully contained for the foreseeable future and certain regions may be subject to an increase in the number of infected people and deaths. Therefore, a prolonged health crisis could continue to reduce economic activity in Mexico and the other countries in which the Group operates, resulting in a further decline in employment, as well as in confidence among businesses and consumers. For some sectors uncertainty still prevails and the strong increase in unemployment rates will affect the expected recovery of consumption. Furthermore, it is unclear how the macroeconomic business environment or social norms may be impacted after the pandemic. The post-COVID-19 environment may undergo unexpected developments or changes in financial markets, fiscal, tax, labor and regulatory environments and customer and consumer behavior. These developments and changes could have an adverse impact on the Group's results of operations and financial condition. Ongoing business and regulatory uncertainties and changes may make the Group's longer-term business, balance sheet and budget planning more difficult or costly. To the extent that the Group is not able to adapt to the new business environment, it could experience business loss and its results of operations and financial condition could materially suffer.

The extent to which COVID-19 may impact the Group's operations, liquidity, financial condition, and results of operations will depend on future developments, including, but not limited to, the duration and spread of the pandemic, its severity, the actions to contain the disease or treat its impact, and the duration, timing and severity of the impact on financial markets and the financial condition of its customers and consumers and the availability of a vaccine, all of which are highly uncertain and cannot be predicted. The Group will continue to closely monitor and evaluate the nature and extent of the impact of COVID-19 on its operations, liquidity, financial condition, results of operations and prospects. The Group may also take further actions that alter its business operations, as may be required by federal, state or local authorities, of the countries in which the Group operates, or that it determines are in the best interests of its associates, suppliers, customers and consumers.

The operations of the Quick Service Restaurant Channel of the Group are subject to high operating standards, which may require the Group to make significant capital investments.

The operations of the QSR channel are subject to extremely high operational quality standards by the Group's customers, which include standards related to cleanliness, product consistency, delivery times, practice of manufacturing recognized worldwide, compliance with food regulations, health and control, at the local level (e.g., a systematic method of product safety that emphasizes prevention within the production plant through analysis, inspection and monitoring). In addition, the approval processes for customers and potential customers in the Group's QSR branch are thorough and lengthy in order to ensure compliance with their high quality standards. The Group may be required to make significant investments to achieve compliance with those standards; however, there is no certainty that the Group will ever become a supplier to such customers, that will develop close relationships with such customers and that will refrain from acquiring competing products.

Grupo Bimbo operations could be adversely affected if its suppliers fail to perform in a satisfactory manner

The Group's production depends on the availability of raw materials such as wheat flour, edible oils and fats, sugar and eggs, which the Group obtains from several third party suppliers in different countries. Although Grupo Bimbo believes any of its suppliers could be replaced, if for any reason any of its major suppliers is unable or unwilling to continue providing the Group with raw materials due to production delays, increased competition for their products, failure to meet its quality or hygienic standards or any other reason, the Group may face delays in obtaining alternate suppliers, and such suppliers may be unwilling to supply its raw material needs on terms as favorable, or by satisfying the same quality, as those provided by the Group's current suppliers. In addition, in the event of severe shortages, the Group's suppliers may be directed by government agencies to supply certain consumers directly, with preference over Grupo Bimbo. Any such event could result in delays in the Group's operations, deterioration of its brands (and, as a result, reduced demand for its products) and diminished financial results.

Grupo Bimbo may be subject to unknown or contingent liabilities related to its recent and future acquisitions

The Group's recent and future acquisitions of assets and entities may be subject to unknown or contingent liabilities (including violations of antitrust, anticorruption, anti-bribery and anti-money laundering laws, and tax and labor disputes) or breaches of representations and warranties for which the Group may have no recourse, or only limited recourse, against the former owners. In some of the Group's acquisitions the former owners agreed, or may agree, to indemnify the Group for certain of these matters. However, such indemnification obligations are often subject to materiality thresholds and guaranty limits, and such obligations are generally time limited. For certain acquisitions, Grupo Bimbo may not be able to successfully negotiate for such indemnification obligations. As a result, the Group may not recover any amounts with respect to losses due to unknown or contingent liabilities or breaches by the sellers of their representations and warranties. In addition, the total amount of costs and expenses that may be incurred with respect to liabilities associated with the acquired assets and entities may exceed the Group's expectations, and the Group may experience other unanticipated adverse effects, all of which may adversely affect its business, financial condition, results of operations and prospects.

The Group's growth opportunities through acquisitions, mergers or joint ventures may be limited by antitrust laws, access to capital resources and other claims related to the integration of significant acquisitions.

The Group may pursue further acquisitions in the future. The Group does not know if it will be able to successfully complete such acquisitions or whether it will be able to successfully integrate any acquired business into its business or retain key associates, suppliers or distributors. Furthermore, there is no guarantee that no claim will be made regarding antitrust provisions, in connection with its existing operations or any acquisition that the Group may pursue in the future. If any such claim arises, the Group may be required to sell or divest itself of significant assets, or be unable to consummate any acquisition.

The Group's ability to successfully grow through acquisitions depends upon its ability to identify, negotiate, complete and integrate suitable acquisitions and to obtain the required financing on terms acceptable to Grupo Bimbo. These efforts could be expensive and time consuming, disrupt its ongoing business and distract management. If Grupo Bimbo is unable to integrate any acquired businesses effectively, its business, financial condition, results of operations and prospects could be materially affected.

The Group may be unable to successfully expand its operations into new markets

If the opportunity arises, The Group may expand its operations into new markets. Each of the risks applicable to the Group's ability to successfully operate in its current markets is also applicable to its ability to successfully operate in new markets. In addition to these risks, the Group may not possess the same level of familiarity with the dynamics and market conditions of any new markets that it may enter, which could adversely affect its ability to expand into or operate in those markets. Grupo Bimbo may be unable to create similar demand for its products in these new markets, which could adversely affect its profitability. If Grupo Bimbo is unsuccessful in expanding its operations into new markets, its business, financial condition, results of operations and prospects could be materially and adversely affected.

Currency fluctuations may adversely affect the Group

Grupo Bimbo generates revenues and incur operating expenses and indebtedness in local currencies in the countries where it operates. The amount of its revenues denominated in a particular currency in a specific country typically varies from the amount of expenses or indebtedness incurred by its operations in that country given that certain costs may be incurred in a currency different from the local currency of that country, such as the U.S. dollar. This situation exposes the Group to potential losses and reductions in its margins resulting from currency fluctuations, which may materially and adversely affect its business, financial condition, results of operations and prospects.

As of December 31, 2023, 38% of its consolidated debt and a significant portion of its income, operating costs and taxes were denominated in U.S. dollars. However, other significant portions of the Group's income, operating costs and taxes were denominated in Mexican pesos and certain other currencies. As a result, the appreciation or depreciation of the Mexican peso and other currencies against the U.S. dollar affects the Group's results of operations and financial condition. Significant fluctuations of the Mexican peso and other currencies relative to the U.S. dollar have occurred in the past, negatively affecting the Group's results. For example, according to the Mexican Central Bank, the Mexican peso depreciated by 3.2% in 2021, and 5.9% in 2020, while it was appreciated by 12.8% in 2023, 5.7% in 2022, 4.3% in 2019, 0.5% in 2018, and 4.6% in 2017**,** all in nominal terms. The Mexican Central Bank may from time to time participate in the foreign exchange market to minimize volatility and support an orderly market. The Mexican Central Bank and the Mexican government have also promoted market-based mechanisms for stabilizing foreign exchange rates and providing liquidity to the exchange market. However, the peso is currently subject to significant fluctuations against the U.S. dollar and may be subject to such fluctuations in the future.

Currency fluctuations could also affect the Group's ability to import raw materials and finished products denominated in dollars to businesses outside the United States. If such fluctuations were significant without the possibility of implementing economic strategies and effective financial measures, including local manufacturing measures, the Group could be forced to radically change its business model or to suspend or cease its operations in the affected countries.

The Group selectively hedges its exposure to the U.S. dollar with respect to the Mexican peso and other currencies, its U.S. dollar-denominated debt obligations and the purchase of certain U.S. dollar-denominated raw materials. A severe depreciation of the Mexican peso or any currency of the countries where the Group operates may result in a disruption of the international foreign exchange markets and may limit its ability to transfer or to convert Mexican pesos or such other currencies into U.S. dollars for the purpose of making timely payments of interest and principal on its U.S. dollar-denominated indebtedness or obligations in other currencies. While the Mexican government does not currently restrict, and since 1982 has not restricted, the right or ability of Mexican or foreign persons or entities to convert Mexican pesos into U.S. dollars or to transfer other currencies out of Mexico, the Mexican government could establish restrictive exchange rate policies in the future. Any change in the monetary policy, policies related to the transferability of funds, the exchange rate regime or in the exchange rate itself, as a result of market conditions over which the Group has no control, could have an adverse effect on its business, financial condition, results of operations and prospects. Restrictions on the Group's right to convert pesos into U.S. dollars or make payments outside of Mexico could affect its ability to make timely payment of its obligations due to be paid outside Mexico or in a currency other than Mexican pesos. Furthermore, there can be no guarantee that any hedging transactions Grupo Bimbo enters into will sufficiently protect it against any such impacts.

The Group's business operations could be disrupted due to interruptions or failures in its information technology systems

Grupo Bimbo relies on sophisticated information technology systems and infrastructure to support its business, including process control technology. For example, its production, distribution and inventory management of the Group uses technologies of the information to increase efficiency and optimize costs. These systems are also fundamental for the management and reporting of the results of its operations. In addition, an important part of the communications between, and storrage of personal data of, its associates, customers and suppliers depend on information technology.

The information and operational technology systems of the Group, and the systems of the parties it communicate and collaborate with, may be vulnerable to a variety of interruptions, as a result of updating its enterprise platform or due to events beyond its or their control, including, but not limited to, power, network, software or hardware failures, malicious or disruptive software, unintentional or malicious actions of associates or contractors, cyberattacks by hackers, criminal groups or nation-state organizations or social-activist (hacktivist) organizations, geopolitical events, commercial restrictions, fiscal policy changes, natural or man-made disasters, failures or impairments of telecommunications networks, pandemics (such as de COVID-19 pandemic) or other catastrophic events.

On the other hand, the Group's computer systems have been subject to, and possibly will continue, subject of attacks by viruses, malware, ransomware and other malicious code, social engineering attacks, unauthorized access attempts, theft of passwords, money and information, security system failures, internal errors, attacks and cybernetic crimes of known and unknown natures. Cyber threats are constantly evolving, are becoming more sophisticated and are being made by organizations, groups and/or individuals with a wide range of expertise and motives, which increases the difficulty of detecting and successfully minimizing the impact of these events and/or defending against them. These events have and may continue to compromise the Group's confidential information, impede or interrupt its business operations, and may result in other negative consequences, including remediation costs, loss of revenue or market share, litigation and reputational damage. Furthermore, if a breach or other breakdown results in disclosure of confidential or personal information, the Group may suffer reputational, competitive and/or business harm.

Grupo Bimbo currently utilizes third party e-commerce providers and request that they have the appropriate cybersecurity controls and meet regulatory requirements. However, the cybersecurity and compliance controls the Group or its third party providers implement might not be effective. In particular, continuity of business applications and services may be disrupted by errors in systems' maintenance, migration of applications to the cloud, power outages, hardware or software failures, viruses or malware, denial of service and other cyber security attacks, telecommunication failures, natural disasters, terrorist attacks and other catastrophic events.

Should any of these risks materialize, the need to coordinate with various third party service providers might complicate the Group's efforts to resolve the related issues. If the Group's controls, disaster recovery and business continuity plans do not effectively resolve the issues in a timely manner, its business, financial condition, results of operations and prospects may be materially and adversely affected.

In addition, the Group must comply with increasingly complex and rigorous regulatory standards issued for the purpose of protecting personal or business information in the European Union, the United States, and other jurisdictions regarding privacy, protection of personal data and data security, including those related to the collection, storage, handling, use, disclosure, transfer and securing of personal data. There may be significant uncertainty regarding compliance with these laws and regulations, including those relating to the General Data Protection Regulations of the European Union ("GDPR") (which impose additional obligations to companies regarding the handling of personal data and grant rights of personal privacy to the persons whose data is stored), thus they evolve constantly and can be interpreted and applied differently in each country, situation that may result in inconsistent and contradictory requirements. In addition, the Group's efforts to comply with these laws, including the GDPR, may result in significant costs and challenges that are likely to increase over time.

In addition, should confidential information belonging to the Group or its associates, customers, consumers, partners, suppliers, or governmental or regulatory authorities be misused or breached, the Group may suffer financial losses relating to remediation, damage to its reputation or brands, loss of intellectual property, or penalties or litigation related to violation of data privacy laws and regulations.

The Group enters into significant transactions with affiliates and related parties, whether individuals or legal entities, and this may create potential conflicts of interest and result in less favorable terms for the Group

The Group participates in transactions with individuals and companies affiliated or related to the Group. Even when its Audit and Corporate Practices Committee is in charge of analyzing these operations, operations with related parties could create potential conflicts of interest that could result in less favorable terms for the Group than those obtained from an unaffiliated third party.

See Section "4. GOVERNANCE - b) Operations with Related Parties and Conflicts of Interest ".

The Group depends on the expertise and capability of its senior management and associates, and its business may be disrupted if it loses their services

The Group's senior management team possesses extensive operating experience and industry knowledge. Grupo Bimbo depends on its senior management to set its strategic direction and manage its business and believes that their involvement in it is crucial for its success. Furthermore, its continued success also depends upon its ability to attract, hire or retain experienced and talented professionals. The loss of the services of its senior management or its inability to recruit, train or retain a sufficient number of experienced and talented associates could have an adverse effect on the Group's business, financial condition, results of operations and prospects. Grupo Bimbo does not maintain any key person insurance on any of its senior management or associates for these purposes. Its ability to retain senior management as well as experienced and talented associates will in part depend on the Group having in place appropriate staff remuneration and incentive schemes. The remuneration and incentive schemes Grupo Bimbo has in place may not be sufficient in retaining the services of its experienced and talented associates.

Environmental regulations

Environmental standards have become increasingly strict, and this trend could continue with the intention of guaranteeing the preservation of the environment, including promoting the creation of state environmental taxes focused on plastic packaging for food and drink, as an additional source of income for states given the budgetary pressures.

Similarly, in Baja California, Coahuila and Nuevo León (entities where the Group has operations), and other states, "environmental taxes" have been published, through which certain tax rates are established for the generation and disposal of waste, emissions of pollutants to the atmosphere, soil, and bodies of water, as well as the generation of greenhouse gases. These taxes may have some impact -which is not estimated to be material- on the Group's profitability.

On the other hand, since 2016, at the federal and state levels in Mexico, various legislative initiatives were presented to restrict and even ban the use of single-use plastics, varying the definition of these in each state, as well as regulating their composition to include percentages of recycled material, establishing mandatory management plans and collection targets staggered to 2025 and 2030, and including additives that make them biodegradable. To date, all states have some type of restriction focused on reducing waste generated by single-use plastics, mainly focusing on the prohibition of sale or gift of plastic bags for carrying, polystyrene foam (UNICEL) containers or packaging, and disposable plastic items such as straws, cups, plates, and cutlery.

On November 18, 2021, the Senate of the Republic approved the report for the issuance of the General Law of Circular Economy (the "LGEC"), which regulates what is provided in articles 4, fifth parragraph, 25, seventh parragraph and 73, XXIX-G fraction, of the Political Constitution of the United Mexican States on environmental protection, sustainable development, preservation, and restoration of ecological balance. Although this project continues in its legislative process before the Chamber of Deputies as the revising chamber, and its final approval and publication in the Official Gazette, the LGEC will be of general observance throughout the national territory and has among its main objectives to promote efficiency in the use of products, services, materials, raw and secondary materials, by-products through reuse, recycling, and redesign.

On the other hand, on November 18, 2021, the same Senate of the Republic approved the comprehensive reform report to the General Law for the Prevention and Integral Management of Waste ("LGPGIR"), which contains various modifications to federal legislation focused primarily on regulating the disposal, management, and comprehensive management of plastic waste. Although this project continues in its legislative process before the Chamber of Deputies, as the reviewing chamber, and its final approval and publication in the DOF, the minute contains important changes that provide legal certainty, mainly: (i) homogenizing at the federal and state levels the definition of "single-use plastics" to be understood as "those plastics, including containers and packaging that are designed to be used only once, that are not subject to a mandatory management plan and that are not reusable, recyclable, compostable, or susceptible to

valorization or use"; (ii) allowing the possibility of having a management plan included in the concept of extended responsibility, avoiding a more aggressive definition (e.g., reverse logistics); (iii) promote that the 100% of the containers can be used, recicled or composted by 2025; (iv) including progressive targets for recycled material content in packaging of 20% by 2025 and 30% by 2030, and (v) including progressive targets for national collection of PET of 70% by 2025 and 80% by 2030.

Government environmental regulations and, in general, trends in public policies in the countries where the Group operates, could negatively affect the supply, demand, and prices of its products, as well as limit its ability to operate.

If any of the jurisdictions where the Group operates were to implement significant changes in environmental regulations or if their enforcement becomes stricter, the Group could suffer significant increases in its operating costs and be forced to implement measures that could generate interruptions in its operations. This could have an adverse effect on the Company's financial results or position.

We are subject to federal, state, and local laws and administrative regulations related to environmental protection in each of the countries where the Group operates. There is no certainty that the Group will be able to comply with future environmental regulations, and the Group cannot assure that, in the event of having to adapt or implement actions aimed at compliance with environmental regulation, it will not incur significant responsibilties, liabilities or costs. Even though the Group may continue to invest significant amounts in relation to compliance with environmental regulation, the nature of its products and operations exposes them to risks of claims and sanctions resulting from violations of environmental regulation that could imply additional costs or the suspension, temporary or permanent, of certain operations.

In 2012, the General Law on Climate Change was published in Mexico. This law establishes provisions to address the adverse effects of climate change and, among other things, provides for (i) the creation of a registry of emissions generated by fixed sources, both direct (i.e., generated by the industry itself) and indirect (e.g., those generated by energy consumption, vehicle fleet, etc.); (ii) companies to report their emissions, if required, and (iii) the imposition of fines on companies that do not report their emissions or that report false information. Likewise, in 2014, Mexico published the Regulation of that law regarding the National Emissions Registry, which aims to regulate the General Law on Climate Change by identifying the sectors and sub-sectors in which the establishments subject to reporting are grouped. In accordance with this regulation, we must calculate and report our greenhouse gas emissions, direct or indirect, annually for each of our plants in Mexico. One of the most important purposes of this regulation is the application of policies and actions that mitigate greenhouse gas and compound emissions. Obligations to reduce greenhouse gas emissions could require us to incur additional expenses or investments that could adversely affect our business.

In line with the above, the General Law of Climate Change and its Regulation foresee the implementation of an emissions trading system, which will operate under the cap and trade scheme, involving the allocation and sale of emission rights. The food industry is among those obligated to participate in this , which began its pilot phase in 2020 and is expected to be fully operational by 2024. It is important to note that, as of the date of this Annual Report, SEMARNAT has not yet published the guidelines for the operational phase of the mandatory emissions trading system.

It is anticipated that Bimbo's participation in this emissions trading system will have direct economic effects on the company's final profits, as it will be necessary to invest in more efficient equipment that reduces emissions, increase the consumption of energy from renewable sources, and, if necessary, purchase emission rights if the allocated limit for the industry group is exceeded.

In 2013, the Federal Law on Environmental Responsibility was published in Mexico, which aims to regulate environmental responsibility arising from damages caused to the environment, as well as the repair and compensation of such damages when enforceable through federal judicial processes, alternative dispute resolution mechanisms, administrative procedures, and those corresponding to the commission of environmental crimes. In the event that the group's operations fall within the scope of environmental damage

caused by illegal activities established in the law, the group may be subject to environmental responsibility and therefore to potentially significant sanctions.

Finally, on March 11, 2022, the Official Mexican Standard NOM-001-SEMARNAT-2021 was published in the Official Gazette of the Federation, which establishes permissible limits for pollutants in wastewater discharges into national bodies of water. This standard replaces the NOM-001-SEMARNAT-1996 and establishes stricter criteria for the presence of pollutants in wastewater discharges, which will generate the need to invest in pollutant abatement equipment in the Group's production processes. Non-compliance with this new standard may result in fines and other administrative sanctions, such as the suspension of the activities that generate discharges that do not comply with the established parameters.

Compliance with environmental and other governmental laws and regulations could result in added expenditures or liabilities

The Group's operations are subject to federal, state and municipal laws, rules, regulations and official standards, relating to the protection of the environment and natural resources in all the markets in which it operates. In general, environmental laws impose liability and clean-up responsibility for releases of hazardous substances into the environment and set out the requirements to obtain and maintain environmental permits for the Group's facilities.

Environmental regulations have become stricter, and this trend could continue as federal, state, and local governments focus more on environmental preservation, including through state taxes on plastic packaging for food and beverages. Government regulations on the environment and, in general, public policy trends in countries where the Group operates could negatively affect the supply, demand, and prices of the Group's products, as well as limit the Group's operating capacity.

If any of the jurisdictions where the Group operates were to implement significant changes in environmental regulations or if their enforcement were to become stricter, the Group could incur increases in operating costs and be forced to implement measures that could disrupt its operations. This could adversely affect the Group's financial results or position.

In the United States, Grupo Bimbo is subject to federal, state and local laws and regulations relating to the protection of the environment. These laws and regulations include the Clean Air Act, the Clean Water Act, the Resource Conservation and Recovery Act and the Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA or Superfund).

In Mexico, the Group is subject to various Mexican federal, state and municipal environmental laws and regulations that govern discharges into the environment, as well as the handling and disposal of hazardous substances and wastes. Grupo Bimbo is subject to strict regulation in Mexico by, among other agencies, the Environmental and National Resources Ministry (*Secretaría de Medio Ambiente y Recursos Naturales*), the Labor and Social Security Ministry (*Secretaría del Trabajo y Previsión Social*), the Federal Environmental Protection Bureau (*Procuraduría Federal de Protección al Ambiente*) and the National Water Commission (*Comisión Nacional del Agua*). These agencies may initiate administrative proceedings for violations of environmental and safety ordinances and impose economic penalties on violators.

In 2023, the *Gecko Project* reported that the company was sourcing palm oil from *First Resources* and/or its subsidiaries, whose parent company is linked to widespread deforestation. The company is undergoing a claims process with its tier 1 suppliers involved. Additionally, as *First Resources* is also a member of RSPO, the Group has committed to RSPO to include this new information in the ongoing investigation. The Group is committed to purchasing 100% RSPO-certified oil by 2023. By the end of 2023, the Group achieved its goal where 100% of the volume is certified at least under *Book & Claim* practices. However, the Group cannot guarantee that this or other breaches by its suppliers of deforestation laws and regulations will not adversely affect its business, financial situation, operating results, and prospects.

Although the Group has specific programs across its business units designed to meet applicable environmental compliance requirements, modifications of existing environmental laws and regulations or

the adoption of more stringent environmental laws and regulations in the jurisdictions in which the Group operates may result in the need for investments that are not currently provided for in its capital expenditures program and may otherwise result in a material adverse effect on the Group's business, financial condition, results of operations and prospects.

The Group is subject to anti-trust, anti-corruption and anti-money laundering laws in different countries where it has operations. Failure to comply with these laws could result in penalties, which could harm the Group's reputation and have an adverse effect on its business

The Group operates in multiple jurisdictions and is subject to complex regulatory frameworks with increased enforcement activities worldwide. Grupo Bimbo is subject to anti-trust, anti-corruption and anti-money laundering laws. Although the Group maintains policies and processes intended to comply with these laws, including a review of its internal control over financial reporting, the Group cannot ensure that these compliance policies and processes will prevent intentional, reckless or negligent acts committed by its officers or associates. If the Group's officers or associates fail to comply with any applicable anti-trust, anti-corruption, anti-bribery or anti-money laundering laws, they may be subject to criminal, administrative or civil penalties and other remedial measures, which could have material adverse effects on the business, financial condition, results of operations and prospects of the Group. Furthermore, the entities or businesses the Group acquires may not comply with the same control standards and procedures as Grupo Bimbo. Any investigation of potential violations of anti-trust, anti-corruption, anti-bribery or anti-money laundering laws by governmental authorities in any jurisdiction where the Group operates could materially and adversely affect its business, financial condition, results of operations and prospects. This could also adversely impact the Group's reputation and ability to, when applicable, obtain contracts, assignments, permits and other government authorizations.

In 2017 Canada's Competition Bureau commenced an investigation over allegations relating to an industry collusion among several bread suppliers (including Canada Bread, which the Group acquired in 2014), in relation to price-fixing that occurred from 2001. On June 21, 2023, the Group announced that Canada Bread resolved the investigation, including the payment of a fine of USD $38 million (CAD $50 million), which was paid in full on July 20, 2023. In addition, the Group was notified of two class actions (resulting from the consolidation of 12 previously filed lawsuits) by groups of consumers and/or consumer associations against all the parties allegedly involved in Canada's Competition Bureau investigation. The Group cannot guarantee that the result of this investigation or the class action will not have an adverse effect on its business, financial situation, results of operations and prospects.

In addition, Grupo Bimbo is subject to economic sanctions regulations that restrict its dealings with certain sanctioned countries, individuals and entities. There can be no assurance that the Group's internal policies and procedures will be sufficient to prevent or detect all inappropriate practices, fraud or violations of law by its affiliates, associates, directors, officers, partners, agents and service providers or that any such persons will not take actions in violation of Group's policies and procedures. Any violations by Grupo Bimbo of anti-bribery and anti-corruption laws or sanctions regulations could have a material adverse effect on its reputation, business, financial condition, results of operations and prospects.

An impairment in the recoverable value of goodwill or intangibles could affect the Group's consolidated operating results and net worth

The carrying value of goodwill represents the fair value of acquired businesses in excess of identifiable assets and assumed liabilities as of the acquisition date. The carrying value of the intangibles represents the fair value of trademarks, trade names, and the acquired intangibles as of the acquisition date. Goodwill and acquired intangibles that are expected to contribute indefinitely to the Group's cash flows are not amortized, but must be evaluated by management at least annually for impairment. If carrying value exceeds current recoverable value, the goodwill and indefinite-lived intangible assets are considered impaired and is reduced to recoverable value via a charge to earnings. Events and conditions which could result in an impairment include changes in the industries in which Grupo Bimbo operates, including competition and advances in technology; a significant product liability or intellectual property claim; or other factors leading to reduction in expected sales or profitability. Should the value of one or more of the acquired

intangibles become impaired, the Group's consolidated operating results and net worth may be materially and adversely affected.

Financing to meet the Group's future capital needs may not be available or sufficient on terms acceptable to it and/or at all

Grupo Bimbo may need additional financing to build new facilities, expand existing ones, undertake mergers and acquisitions, refinance its debt or for other purposes. Some of the financing agreements entered by the Group and by its subsidiaries contain financial ratios and other customary covenants for transactions of this type which may limit its ability to incur in additional debt.

The global market and economic conditions are unpredictable and may continue to be so in the future. Debt capital markets have been affected in the past by significant losses in the international financial services industry and economic events in certain countries, among other factors. In the future, the cost of fundraising in debt capital markets may increase significantly, while funds available from these markets may materially decrease. The Group's growth strategy may require financing by public or commercial banks and loans from other public or private financial institutions. If the Group incurrs in variable rate debt, the Group will be exposed to fluctuations in interest rates that could result in an increase in its funding costs. In case that there are no funds available from public or private banks, or if such funds are provided on less favorable terms, the Group may not be able to meet its capital needs, or these needs may be limited or hampered, and the Group may not be able to (i) take advantage of certain business opportunities, (ii) respond to competitive pressures, (iii) fund needed capital expenditures or working capital or (iv) fund required debt payments, margin calls or margin deposits in connection with hedging transactions, which may adversely affect its business, financial condition, results of operations and prospects.

Grupo Bimbo may incur additional indebtedness in the future that could adversely affect its financial condition and its ability to satisfy its total outstanding debt obligations from its cash flow

In the future, the Group could incur in additional debt, situation which could have the following effects:

- limit its ability to pay its debt;
- limit its ability to pay dividends;
- increase its vulnerability to adverse general economic and industry conditions;
- require the Group to dedicate a portion of its cash flow from operations to servicing and repaying its indebtedness, which may place the Group at a competitive disadvantage with respect to its competitors with less debt;
- limit its flexibility in planning for or reacting to changes in its business and the industry in which it operates;
- limit, along with the financial and other restrictive covenants of its indebtedness, its ability to borrow additional funds; and
- increase the cost of additional financing.

The Group's ability to generate sufficient cash to satisfy its outstanding and future debt obligations will depend on its future operating performance, which will be affected by prevailing economic conditions and financial, business and other factors, many of which are not controlled by the Group. If the Group is unable to service its indebtedness, it will be forced to adopt an alternative strategy that may include actions such as reducing or delaying capital expenditure, selling assets, restructuring or refinancing its

indebtedness, or seeking equity capital. These strategies may not be instituted on satisfactory terms, if at all.

In addition, certain of the Group's financing arrangements impose operating and financial restrictions on its business, such as limitations on its ability to incur liens, consummate mergers, sell substantially all of its assets and enter into similar transactions, and requirements to maintain certain financial ratios. These provisions may negatively affect its ability to react to changes in market conditions, take advantage of business opportunities the Group believes to be desirable, obtain future financing, fund needed capital expenditures, or overcome existing or future downturns in its business.

On the other hand, the Group's credit ratings may vary due to changes in the calculation methodologies used by rating agencies, modifications to Mexico's credit rating, or for other reasons beyond the Group's control. A downgrade in the credit rating could result in higher financing costs and affect the Group's ability to incurr in new debt or refinance existing debt.

In the future, the Group may from time to time incur in substantial additional indebtedness. If the Group or its subsidiaries incur additional debt, the risks that it faces as a result of its existing indebtedness could further intensify.

Applicable law could adversely affect the Group.

The Group is subject to regulation in each of the countries where it operates. The main areas in which Grupo Bimbo is subject to regulation are water, environment (including regulation relating to single use plastic), labor, transportation, taxation, health and antitrust. The adoption of new laws or regulations or a stricter interpretation or enforcement thereof in the countries where the Group operates, including the imposition of taxes directed to products that the Group sells or requirements for the packaging that the Group uses for its products, may increase its operating costs or impose restrictions on its operations which, in turn, may adversely affect its business, financial condition, results of operations and prospects. In particular, environmental standards are becoming more stringent in several of the countries where the Group operates, and the Group is in the process of complying with these standards, although it cannot assure that it will be able to meet the timelines for compliance established by the relevant regulatory authorities. Further changes in current regulations may result in an increase in compliance costs, which may have an adverse effect on the Group's future results or financial condition.

The Group is affected by governmental regulations and guidelines imposing health, food safety and nutritional standards. Grupo Bimbo may also be affected by labeling requirements for its products in order to comply with such health, food safety and nutritional standards. The Group's compliance with such standards may require it to incur in substantial costs for research and development and use costlier ingredients in its products. Grupo Bimbo may not be able to make corresponding increases in the prices it charges consumers for its products, which would adversely affect the business, financial condition, results of operations and prospects of the Group.

Voluntary price restraints or statutory price controls have been imposed historically in several of the countries where the Group operates. Currently, price controls on the Group's products exist in certain of the territories in which it has operations. The imposition of these restrictions or voluntary price restraints in other territories may have an adverse effect on its business, financial condition, results of operations and prospects. Grupo Bimbo cannot assure that governmental authorities in any country where it operates will not impose statutory price controls or that it will not need to implement voluntary price restraints in the future.

In addition, the governments of the countries where the Group operates, particularly in Mexico and the United States, may approve amendments to tax regulations, including changes in tax rates. As a result of such amendments, the Group would not be able to predict with certainty the magnitude of the impact on its business, financial condition or results of operations.

The Group's operations are subject to the general risks of litigation

The Group is involved in litigation arising from the ordinary course of its business or for other causes, which could lead to unfavorable decisions or financial sanctions against it. Such litigation could include class actions involving consumers, shareholders, associates or affected persons, as well as lawsuits related to commercial, labor, economic competition, administrative, intellectual property, liability for damages, contractual, fiscal or environmental matters. Class actions were recently recognized in Mexico. Moreover, the process of litigating requires substantial time, which may distract the Group's management. Even if the Group is successful, any litigation may be costly, and may approximate the cost of damages sought. Furthermore, there may be claims or expenses which are denied insurance coverage by the Group's insurance carriers, not fully covered by its insurance, in excess of the amount of its insurance coverage or not insurable at all. Litigation trends and expenses and the outcomes of litigation cannot be predicted with certainty and adverse litigations, trends, expenses and outcomes could have a material adverse effect on the Group's business, financial condition, results of operations and prospects.

In addition, the Group's operations have from time to time been subject to investigations and proceedings by antitrust authorities and litigation relating to alleged anticompetitive practices (including related class actions and other proceedings). In 2017, Canada's Competition Bureau commenced an investigation over allegations relating to an collusion between various participants in the baking industry (including Canada Bread, which the Group acquired in 2014) in connection with price-fixing that occurred from 2001. On June 21, 2023, the Group announced that Canada Bread resolved the investigation, including the payment of a fine of USD $38 million (CAD $50 million), which was paid in full on July 20, 2023. Additionally, Grupo Bimbo was notified of two class actions (resulting from the consolidation of 12 previously filed lawsuits) filed against all the parties allegedly involved in such investigation by consumers and/or consumer associations. The Group cannot assure that the outcome of this investigation or of the class actions will not have an adverse effect on its business, financial condition, results of operations and prospects.

The Group will continue to be subject to legal proceedings and investigations. The Group cannot assure that these investigations and proceedings will not have an adverse effect on its business, financial condition, results of operations and prospects. Moreover, adverse publicity about regulatory or legal actions or investigations and allegations by other parties involved in regulatory or legal actions against the Group could damage its reputation and brand image, undermine the confidence of the Group's customers and reduce long-term demand for the Group's products, even if the regulatory or legal action is unfounded or not material to the Group's operations.

Recent amendments to Mexican tax regulation.

In December 2019, the Mexican government published several amendments to the Income Tax Law, the Value Added Tax Law, the Excise Tax Law and the Federal Tax Code, most of which became effective on January 1, 2020. This set of tax reforms is one of the most important in recent years and its main objective is to address tax evasion by strengthening the control mechanisms available to the tax authorities. Among the principal modifications contemplated by the tax reforms that could affect the Group's results of operations are strict restrictions on the deductibility of certain expenses, such as a new limitation on the deduction of net interest that exceeds 30% of taxpayers' adjusted income, the non-deductibility of certain payments to related parties or through structured agreements with respect to income that is considered subject to preferential tax regimes, or that is subject to hybrid mechanisms. Likewise, important amendments were introduced with respect to the tax regime applicable to foreign entities or legal entities that are transparent for tax purposes, as well as to foreign entities or legal entities whose income is considered subject to preferential tax regimes.

The 2020 tax reform also introduced a new mandatory disclosure regime for transactions that are considered reportable transactions in terms of the provisions of Title VI, Sole Chapter of the Federal Tax Code, mainly directed to tax advisors of taxpayers.

On September 1, 2021, a reform regarding the subcontracting of personnel entered into force, which introduced various modifications in tax and labor matters that could affect the Group's operating flows and results. Among the main modifications contained in the reform, is the prohibition of subcontracting of personnel for the performance of activities of the corporate purpose or predominant economic activity of the contracting party, the need to have authoritzation of outsourcing services providers with the Mexican Ministry of Labor, deem payments made under non-permitted outsourcing schemes as non-deductible and significantly increase the statutory profit sharing payments that employers are required to pay to associates.

Due to the tax reform that came into force on January 1, 2022, various modifications were introduced that may affect the Group's operating results; among them, changes in the order of priority for crediting income tax, changes in the parameters for determining foreign exchange gains or losses, limitations on the application of preferential withholding rates in the context of financing entered into with related parties, additional obligations regarding transfer prices and the establishment of additional requirements for crediting the value added tax.

The tax regime in other countries where the Group operates could be modified. The imposition of new taxes or an increase in existing taxes, the imposition of measures related to tax collection, or any modifications in the interpretations of tax authorities in the countries where the Group operates could have an adverse negative effect on its financial situation, business, operating results, and projections.

Although the Group expects to maintain a cost structure that allows it to remain a profitable business, the Group cannot guarantee that these new taxes, or any similar taxes that may be approved in the future, will not have a negative impact on its operating results.

Seventh Amendment to the Harmonized System

On June 7t, 2022, the "Decree issuing the General Law of Import and Export Taxes" was published in the Official Gazette, which stipulates in its first article the fees that, based on the classification of goods, will serve to determine general import and export taxes, that is, the tariff applicable to the import and export of goods.

This decree materializes the "Seventh Amendment to the texts of the Nomenclature of the Harmonized System for the Designation and Coding of Goods," approved by the Customs Co-operation Council of the World Customs Organization.

The decree includes modifications to various tariff fractions of the General Law of Import and Export Taxes (TIGIE), creating 531 tariff fractions, modifying 803, and eliminating 259 fractions, in order to adapt it to current flows of international trade and technological advances.

Likewise, the creation of Commercial Identification Numbers (NICO) is established in order to have more precise statistical data, which constitutes a commercial facilitation tool that allows the separation of commercial intelligence and statistics from the regulatory function, both in the tariff aspect and in non-tariff regulations and restrictions.

As a result of the above, with the elimination, modification and creation of a large number of tariff items, it is likely that both National Association of Importers and Exporters (ANAM) and the Tax Administration Service (SAT) will begin to determine different tariff classification criteria to those that already existed in order to collect and achieve their goals.

It's important to mention that from 2019 to the present date, there has been three different General Laws of Import and Export Taxes in effect, respectively. As a consequence, since the ANAM and the SAT may audit imports from the last five years, three different General Laws of Import and Export Taxes could potentially apply.

Audit in Mexico

The Tax Administration Service continues with tax collection in 2022, consolidating its strategy in three main areas:

1. Increase tax efficiency through programs focused on promoting tax efficiency and coercive collection, through which omissions or inconsistencies in compliance with obligations were identified in a timely manner and the payment of determined debts is encouraged.

2. Reduce tax evasion and avoidance through the implementation of programs that prioritize the scheduling of audit activities in which specific irregularities are detected, such as the annual audit program for Large Taxpayers, which aims to streamline audits to strengthen tax collection through four lines of work: (i) scheduling new activities, (ii) strengthening audits in progress, (iii) analyzing appeals for revocation that are susceptible to correction, and (iv) monitoring balance control. Additionally, these efforts are supported by the use of information technologies to increase assertiveness and streamline resource allocation.

3. Combat corruption through anticorruption campaigns that aim to publicize sanctions and strengthen the culture of prevention and fight against corruption, as well as to promote confidential reporting through various means available to the Tax Administration Service.

In addition, the Federal Revenue Law for the 2024 Fiscal Year does not contemplate new taxes or increases to existing ones, in accordance with the assumptions of the macroeconomic framework, as well as the estimated income and expenses in the Economic Package for the 2024 Fiscal Year. As a result, the group believes that auditing will increase in Mexico in order to meet the tax authorities' revenue targets.

Creation of National Customs Agency

On July 14, 2021, the Decree creating the National Customs Agency of Mexico (ANAM) was published in the Official Gazette of the Federation. The ANAM is an administrative decentralized body of the Ministry of Finance and Public Credit, which is autonomous and independent of the Tax Administration Service (SAT), to which the General Administration of Customs (AGA) originally belonged. Operationally, it will have representation offices in different federal entities and abroad.

Among the various faculties conferred on the ANAM for the accomplishment of its objective are: Collecting contributions and profits applicable to foreign trade operations and their accessories; determining and settling such contributions; directing customs and inspection services; carrying out operations aimed at verifying the legal stay of goods in national territory and goods in transit, including those relating to the review or confirmation of the correct origin of such goods, among others.

On December 21, 2021, the Interior Regulation of the National Customs Agency of Mexico was published in the Official Gazette of the Federation, as well as various reforms and additions to the Interior Regulation of the Ministry of Finance and Public Credit and the Interior Regulation of the Tax Administration Service in order to establish the norms and attributions of the National Customs Agency of Mexico.

As a result, the National Customs Agency of Mexico began operating on January 1, 2022. It has been an adaptation process, since systems and infrastructure had to be quickly created in order not to hinder Mexican foreign trade. According to statistics published by the ANAM from January to September 2022, over 820 billion pesos have been collected, including customs clearance in all customs of the country. They also report that over 15.5 million operations were carried out during the year.

The personnel of the different Customs is mainly composed of the Secretariat of the Navy and the Secretariat of National Defense, who are not fully trained or familiar with customs matters.

Supplemental waybill for merchandise in transport in CFDI

On September 29, 2021, the tax and customs authority determined the addition of a requirement to prove ownership or possession of merchandise transported by land, air, sea, or rail within and from Mexico, called the "Waybill".

This obligation had various extensions for its enforceability as part of the mandatory documentation that owners, possessors, and carriers must have with them at the time of transporting merchandise. However, it was determined that as of January 1, 2022, the Digital Fiscal Receipt (CFDI) must include the "Waybill" supplement to prove ownership or possession of these goods or merchandise. The carrier must have the electronic file or printed representation of the CFDI, along with the Waybill supplement.

It is important to mention that, as of that date, transportation services for goods and/or merchandise cannot be deducted with a CFDI that does not include the Waybill supplement, as it will not comply with tax deduction requirements.

On December 31, 2023, the enforcement of sanctions derived from the requirements of completing the *Carta Porte* supplement came into effect, with compliance with these filling requirements being mandatory starting from January 1, 2024.

With the enforceability of this new obligation, the Group considers that the tax authority will be initiating preventive powers without a formal authority act, to verify the legal ownership or possession of merchandise in transport, as well as the possibility of denying deductions that could be considerable, under the argument that they do not include said supplement.

If the Group is unable to maintain relationships with labor unions it may have an adverse effect on its business, financial condition, results of operations and prospects

A large portion of the Group's workforce are affiliated to a union, guild or labor representation, nevertheless, the Group has a good relationship with all the groups that represent the interests of its members and works every day to maintain and strengthen it.

However, labor relations always have a risk and unforeseen component, in which the Group could be exposed to labor contingencies. The Group cannot assure that it or its subsidiaries will not experience labor disruptions or strikes in the future, which could result in a material adverse effect on its business and returns. The Group also cannot assure that it will be able to negotiate new collective bargaining agreements on the same terms as those currently in force or that it will not be subject to strikes or labor interruptions before or during the negotiation process of such agreements. These labor disputes may be motivated by changing social and economic conditions in the countries in which the Group operates.

Labor disputes that result in strikes or other disruptions could also cause increases in operating costs, which could damage the Group’s relationships with its customers and adversely affect its business, financial condition, results of operations and prospects. For example, in 2017 the Group suffered two separate strikes each in different plants located in Canada, which resulted in the interruption of its operations in such plants for several weeks. The Group cannot assure that similar strikes will not occur in the future and any such strikes may have a material negative impact on its operations. In addition, if any significant differences exist or arise during the negotiations with labor unions or associates, its business, financial condition, results of operations and prospects may be materially and adversely affected.

In case of significant differences with the unions during negotiation processes or comprehensive review of collective labor contracts, the business could be adversely affected. The content of the initial collective contracts, as well as the respective review agreements, must be consulted and approved by the majority of the workers through a personal, free and secret vote. If the initial collective labor contract or the bargaining agreements does not have the majority support of the workers covered by it, the union may exercise its right to strike.

As of the date of this Annual Report, the Group is not aware of any union organizing efforts, requests for representation certificates, inter-union conflicts, strike notices, or collective lawsuits against the Group.

In addition, increases in labor costs may materially and adversely impact the Group's business, financial condition, results of operations and prospects. A shortage in labour or other general inflationary pressures or changes in applicable laws and regulations could increase labor cost, which could have a material adverse effect on Grupo Bimbo.

The Group's labor costs include the cost of providing benefits for associates. Grupo Bimbo sponsors a number of defined benefit plans for associates in most of the regions where it operates, including pension, retiree health and welfare, active health care, severance and other post-employment benefits. Grupo Bimbo also participates in a number of MEPPs for certain production facilities in United States and Canada, where the Group makes periodic contributions to these plans to allow its workforce meet their pension benefit obligations. Grupo Bimbo required contributions to these funds could increase because of a shrinking contribution base as a result of the insolvency or withdrawal of other companies that currently contribute to these funds, inability or failure of withdrawing companies to pay their withdrawal liability, lower than expected returns on pension fund assets or other funding deficiencies. In addition, the annual cost of benefits and MEPP provisions can vary significantly from year to year and is materially affected by such factors as changes in the weighted-average discount rate used to measure obligations, the rate or trend of health care cost inflation, the provisions of collectively bargained wage and benefit agreements or material adjustments in the MEPP sponsors. For example, a minor decrease in reference interest rates would result in a lower weighted-average discount rate used to determine the net present value of future obligations under MEPPs and therefore the amount of the provisions.

Recent amendments to Mexico's labor legislation, and the eventual incapacity of the Group maintaining its relationships with labor unions can have an adverse effect in its business, financial condition and results of operations and prospects

In May 2019, the Federal Labor Law and other related regulations were reformed and abolished in the area of labor justice and workers' rights to organize and carry out the negotiation of collective agreements. At the same time as these reforms, among other things, new labor authorities and courts, new labor and conciliation processes, provisions relating to the freedoms of association and organization of workers were created, and negotiation of collective agreements and the rules against employment discrimination were issued or reformed. The Group cannot ensure that these changes will not adversely affect its business, financial situation, and results of the operation and prospects.

The approval of the amendments introduced by the Federal Executive regarding subcontracting, with labor, social security and tax scope, could result in a modification of its hiring scheme.

The labor legislation in Mexico has undergone multiple reforms since 2019, including, among others, the creation and operation of new labor courts, the implementation of mandatory pre-judicial conciliation procedures, authentic collective bargaining, transparency and democratic trade unions, prevention of psychosocial risk factors at work, teleworking, labor outsourcing, and changes to the inspection and sanctioning procedures.

The tax and labor reforms regarding personnel outsourcing include the prohibition of personnel outsourcing for activities that are part of the contracting party's core business or predominant economic activity, the requirement to obtain authorization from the Ministry of Labor and Social Welfare for the provision of specialized outsourcing services, the non-deductibility and inadmissibility of tax credits for income tax and value-added tax, respectively, corresponding to payments made for personnel outsourcing, and an increase in workers' participation in profit-sharing schemes. Labor, social security, and tax authorities are expected to continue verifying compliance with labor outsourcing reforms through inspections and audits this year.

Currently, there are various reform initiatives regarding the hiring of older adults and related to digital platform workers.

As a result of these changes, the Group has implemented various changes in its hiring schemes, labor structure, and associates' transfers in order to comply with the new labor outsourcing legislation in the required terms.

Finally, on January 1, 2023, the legislation granting workers the right to enjoy 12 consecutive days of vacation in their first year of service came into effect.

These reforms, as well as any other labor reforms that may be implemented in the future, could increase the Group's operating costs and therefore affect its operating results.

The Group is subject to different disclosure and accounting standards than companies in other countries

A main objective of the securities laws of Mexico and other countries is to promote full and fair disclosure of all material corporate information, including the financial information of the issuers. However, it is possible that issuers of securities in Mexico do not disclose the same information or disclose different information from what would be mandatory for them to disclose in other countries. The Group is subject to obligations consisting of the submission of periodic reports with respect to shares listed on the Mexican Stock Exchange. The disclosure standards imposed by the CNBV and the Mexican Stock Exchange could be different than those required in other countries or regions. In addition, the standards of accounting and disclosure requirements of Mexican public bodies are different from those of the United States of America. In particular, the financial statements are prepared in accordance with IFRS, which differ from US GAAP by several aspects. Items in a company's financial statements prepared in accordance with IFRS may not reflect its financial position or results of operations in the way they should be reflected if such financial statements had been prepared in accordance with US GAAP.

Modifications to IFRS

Some IFRS have been recently modified and others may be modified or come into effect in the future. The initial application of new IFRS could have a negative impact on the Group's internal processes, as well as its operations, financial situation, and compliance with contractual obligations. Likewise, financial information prepared in accordance with the new IFRS or their modifications may not be comparable to financial information reported in previous periods and fiscal years.

Real Estate

The real estate used by the Group is subject to a large number of environmental, tax, and safety provisions that could become stricter in the future, therefore, imposing greater responsibilities and requiring additional investments in assets.

The operation of the real estate is subject to a wide range of environmental and safety regulations at the federal, state, and municipal levels, as well as surveillance by the authorities responsible for enforcing these laws and the policies derived from them. Among other things, these laws require obtaining environmental permits and licenses for the operation, remodeling, or expansion of the real estate.

The operation of the real estate is also subject to possible environmental risks that may affect its performance. This could impose obligations on the Group to prevent environmental damage and force it to invest in assets or incur other unforeseen expenses to mitigate potential harm.

The enactment of new, stricter environmental and safety provisions could require the Group to make investments in assets that enable it to comply with the new provisions. Such additional investments could increase the maintenance expenses of the real estate.

A decrease in consumer confidence and changes in consumer habits may adversely affect the business, financial condition or Income Statement of the Group

The Group is exposed to certain political, economic and social factors in Mexico and in the other countries in which it operates that are beyond its control and could adversely impact the confidence and habits of consumers. Changes in employment and salary levels, interest rates and other economic indicators, among other factors, have a direct impact on consumers' incomes and their purchasing power and an indirect impact on their confidence and consumption habits, which could have an adverse effect on the sales and Income Statement of the Group.

It may be difficult to enforce civil liabilities against the Group's directors, executive officers and controlling shareholders

The Company is a listed variable stock corporation (*sociedad anónima bursátil de capital variable*) organized under the laws of Mexico, with its registered address in Mexico, and most of its directors, executive officers, and controlling shareholders are residents in Mexico. Moreover, a significant portion of its assets and a significant portion or all of the assets of such resident persons are located in Mexico.

As a result, it may be difficult for foreign investors to bring legal processes outside Mexico against such persons or the Group, or to enforce judgments against them or the Group in courts of any jurisdiction outside of Mexico, including any judgment predicated upon the civil liability provisions of such persons in those countries. There is doubt as to the enforceability in Mexican courts of civil liabilities arising under the federal laws of the United States, by means of judgments carried out in Mexico or enforcement processes of judgments from US courts. There is currently no treaty between the United States and Mexico covering the reciprocal enforcement of the judgements of the foreign country. In the past, the Mexican Supreme Court of Justice Mexican has issued a ruling regarding the homologation of a foreign judgment and its enforcement in Mexico, requiring that the enforcement of such judgment does not violate public order, without requiring an exact match between the legislation of both countries. Therefore, it would be necessary to analyze the specific case to determine whether a foreign judgment can be enforced in Mexico.

Increased electricity and fuel expenses

The Group's operations consume significant amounts of electricity and fuel. Although the Group has taken several measures to mitigate the volatility of energy costs, such measures may not be sufficient. Increases in energy and fuel expenses that the Group is unable to transfer to the price of its products would have an adverse effect on its financial condition and results of operations.

In Mexico, the Federal Government issued several regulatory amendments in the electric energy sector in order to (i) increase the costs for transmission service for holders of legacy interconnection agreements with renewable or efficient cogeneration sources, as well as conventional sources, (ii) establish certain restrictions on the modification of self-supply and cogeneration permits to incorporate new partners and load centers to such self-supply and cogeneration schemes, and (iii) propose the modification of rules on the granting and modification of electricity generation permits, interconnection and dispatch processes (especially for intermittent renewable power plants), among others. In addition, the Mexican Congress approved an amendment of several provisions of the Electricity Industry Law of which the following stand out: (i) rules were established for the revocation of self-supply permits that have been granted for a purpose other than the production of electricity for own consumption (i.e., provision for the needs of third parties); and (ii) amendments to the order of dispatch of power plants interconnected to the National Electric System, specifically, assigning dispatch priority (without being subject to economic efficiency criteria) to power plants owned by or at the service of the Federal Electricity Commission for the provision of basic supply.

Grupo Bimbo has entered into electricity supply agreements with several suppliers. In the event that, as a result of such amendment, the corresponding generators are unable to comply with their obligations under such agreements, the Group would have to pay, at least temporarily, the regulated rate for basic supply determined by the Energy Regulatory Commission, which could represent a significant increase in its electricity costs and, therefore, affect its results of operations.

Currently the Group is unable to predict with certainty the magnitude of the impact that the approval of this initiative could have on its business, financial condition or results of operations.

Risks Related to Countries in Which the Group Operates

The Group's business and financial performance may be adversely affected by risks inherent in international operations

Grupo Bimbo currently maintains production facilities and operations in Mexico, the United States, Argentina, Brazil, Canada, Chile, China, Colombia, Costa Rica, Ecuador, El Salvador, France, Honduras, Guatemala, India, Italy, Kazakhstan, Morocco, Nicaragua, Panama, Paraguay, Peru, Portugal, Russia, Rumania, Spain, South Africa, South Korea, Switzerland, Ukraine, Uruguay, Turkey, the United Kingdom and Venezuela. The Group's ability to conduct and expand its business and its financial performance is subject to the risks inherent in international operations. The Group's liquidity, results of operations and financial condition may be adversely affected by trade barriers, currency fluctuations and exchange controls, political unrest, high levels of inflation and increases in tariffs, taxes and governmental royalties, as well as changes in local laws and policies of the countries in which the Group conducts business, including changes to environmental laws that could affect its production facilities or to health safety laws that could affect its products. The governments of the countries where the Group operates, or may operate in the future, could take actions that affect the Group materially and adversely, including the taking, expropriation or condemnation of its assets or subsidiaries.

Any limitation on foreign trade in any of the countries where the Group operates could affect its business, financial condition, results of operations and prospects. Individual governments could impose trade restrictions for a variety of reasons, either tariff or non-tariff, restricting, limiting or prohibiting international trade of goods. Such measures would adversely affect the Group's business, financial condition, results of operations and prospects since Grupo Bimbo imports a significant portion of its raw materials.

Global economic conditions may adversely affect the Group's business and financial performance

The Group's business, financial condition, results of operations and prospects may be affected by the general conditions of the economies, rates of inflation, interest rates or exchange rates for the currencies of the countries where Grupo Bimbo operates. These conditions vary by region and may not be correlated to conditions in the Group's operations in other regions. Decreases in the growth rate of these countries' economies, periods of negative growth and/or increases in inflation or interest rates in these countries may result in lower demand for the Group's products, lower real pricing of its products or a shift to lower margin products.

Consumer demand, preferences, real prices and the costs of raw materials are heavily influenced by macroeconomic and political conditions in the other countries where the Group operates. When economic conditions deteriorate, the final markets for the Group's products may experience declines, and the Group may suffer reductions in the Group's sales and profitability. In addition, the financial stability of the Group's customers and suppliers may be affected, which could result in decreased, delayed or canceled purchases of the Group's products, increases in uncollectable accounts receivable or non-performance by suppliers.

The global economy may continue to experience periods of slowdown and volatility which in turn may further diminish expectations and consumer spending in the economies in which the Group operates and may be adversely affected by a significant lack of liquidity, loss of confidence in the financial sector, currency fluctuations, disruptions in the credit markets, difficulty in obtaining financing, reduced business activity, rising unemployment, uncertainty in the level of interest rates, erosion of consumer confidence and reduced consumer spending. Although the Group's strategy is targeted at offsetting or taking advantage of market trends as appropriate, a worsening of the global economic downturn in general has had, and may continue to have, a negative impact on the business, financial condition, results of operations and prospects of Grupo Bimbo.

Furthermore, on June 23, 2016, the United Kingdom held an in-or-out referendum on the United Kingdom's membership within the European Union, the result of which favored the exit of the United Kingdom from the European Union, or "Brexit." On March 29, 2017, the country formally notified the European Union of its intention to withdraw pursuant to Article 50 of the Lisbon Treaty, which triggered a two-year negotiation to define the terms of the relationship between the United Kingdom and the European Union. The referendum agreement to which the European Union and the United Kingdom arrived was rejected three times by the Parliament of the United Kingdom, and a new deadline was set for the ratification of the treaty by which the United Kingdom would leave the European Union on 31 October 2019. On July 23, 2019, Boris Johnson, who had openly supported the United Kingdom's exit from the European Union and swore to leave on 31 October of the same year, was elected as Prime Minister of the United Kingdom. On January 31, 2020, the withdrawal agreement became effective, subject to a transition period until the end of 2020. During such transition period, the United Kingdom and European Union's commercial agreement remained the same, allowing the European Union and the United Kingdom to agree upon and implement a new commercial agreement. As of January 1, 2021, the United Kingdom and the European Union's commercial relations are regulated by the EU-UK Trade and Cooperation Agreement, which brings upon a significant change for the citizens, companies and governments of the European Union and the United Kingdom. The potential impact of the terms and conditions of the EU-UK Trade and Cooperation Agreement as a consequence of Brexit on the results of the Group's operations cotinues to be unclear. Currently, the results of the EU-UK Trade and Cooperation Agreement, economic conditions in the United Kingdom, the European Union and global markets continue to be uncertain as the new terms and conditions negotiated between the European Union and the United Kingdom continue to be implemented. The continued uncertainty related to Brexit could have a negative operational or economic impact and increase volatility in the financial markets, particularly in Europe. Such volatility and negative economic impact could, in turn, adversely affect the Group's business.

Political or social developments in any of the countries in which Grupo Bimbo has operations, over which it has no control, may have an adverse effect on the global market or on the business, financial condition, results of operations and prospects of the Group.

Adverse economic conditions in North America in particular may negatively affect the Group's business, financial condition, results of operations and prospects

Grupo Bimbo was founded in Mexico, and a significant portion of its operations are conducted in Mexico, the United States and Canada. For the year ended December 31, 2023, 80.7% and 88.2% of its Net Sales and Adjusted EBITDA (giving effect to the amortization of losses from its operations in Europe), respectively, were attributable to its operations in Mexico, the United States and Canada. As a result, the Group's business, financial condition, results of operations and prospects may be affected by the general condition of the economies in the United States, Canada and Mexico, including price instability, inflation, interest rates, regulation, taxation, increasing crime rates and other political, social and economic developments over which Grupo Bimbo has no control. In addition, the Mexican economy continues to be heavily influenced by the U.S. economy, and therefore, deterioration in the conditions of the U.S. economy or in the U.S.-Mexico relationships may affect the Mexican economy. In the past, Mexico has also experienced prolonged periods of economic crisis caused by internal and external factors over which the Group has no control. These periods have been characterized by exchange rate instability, high inflation, economic contraction, a reduction of international capital flows, a reduction of liquidity in the banking sector and high unemployment rates. Such conditions may return and could have a material and adverse effect on the Group's business, financial condition, results of operations and prospects.

To a certain degree, the market value of the securities of Mexican companies are affected by economic and market conditions in other emerging market countries. Although economic conditions in these countries may differ significantly from economic conditions in Mexico, investors' reactions to developments in any of these other countries may have an adverse effect on the market value of securities of Mexican issuers, including Grupo Bimbo.

In addition, the direct relationship between economic conditions in Mexico and the United States has narrowed in other years as a result of the North America Free Trade Agreement and the increase in economic activity between the two countries. The T-MEC formally entered into force on July 1, 2020.

The Group considers that, throughout the year 2023, both Mexico and the United States and Canada have viewed positive economic results of the T-MEC. However, due to Mexico´s energy reform, the United States expressed its desire to trigger a dispute resolution panel, citing various violations of foreign investments. Currently, Mexico is negotiating with the United States in order to prevent the latter from triggering a dispute settlement panel, however, it is highly likely that it will happen in the short term.

It is important to remember that if a sanction is defined in a dispute settlement panel, the party that implemented the measure is bound to withdraw it or modify it so that it complies with the Treaty's commitments, and may even go so far as to impose retaliation through the elimination of tariff preferences against the party that fails to withdraw or modify the measure found to be in violation of the Treaty.

On the other hand, and regarding the relationship between Mexico and the United States, on August 20, 2021, the government of Mexico, through the Ministry of Economy, formally requested the start of consultations with the Government of the United States in matter of rules of origin of the automotive sector according to Article 31.4 (Consultations) of the T-MEC, for which Canada joined and participated in the consultation process.

The consultations stage did not result in the resolution of the dispute, thus on January 6, 2022, Mexico submitted a request for the establishment of a panel under paragraph 1 of Article 31.9 (Establishment of a Panel) of the T-MEC to determine the correct interpretation and application of the provisions of Chapter 4 (Rules of Origin) and the Uniform Regulations of the T-MEC. On August 2 and 3, 2022, the hearings of the Dispute Settlement Panel that Mexico and Canada requested from the United States regarding the interpretation of the Rules of Origin in the automotive sector were held in Washington, D.C. On January 11, 2023, the panel constituted between Mexico, the United States, and Canada issued the final report on the dispute United States – Rules of Origin in the Automotive Sector (USA-MEX-2022-31-01). According to its resolution, the panel ruled in favor of the claimants, determining that the T-MEC allows vehicle manufacturers to consider essential parts of a finished vehicle (engine, transmission, body, etc.) as originating, once those auto parts have separately met the minimum regional content percentage (75%), using the alternative methodologies established by the treaty itself.

The Group cannot assure that the implementation of the T-MEC and the Uniform Regulations could not affect the Mexican economy and have an adverse and significant effect on the business, financial situation and results of operations of the Group.

Moreover, on November 3, 2020, the presidential elections were held in the United States, and Joseph R. Biden Jr., of the Democratic Party, was elected President of that country. His presidency began on January 20, 2021, and will extend until January 19, 2025. In November 2022, elections were held in the United States in which new representatives were elected throughout the country. As a result of the elections, the Republican Party obtained the majority in the House of Representatives and the Democratic Party maintains the majority in the United States Senate. The full scope of Mr. Biden's legislative agenda, the relationship between the executive and legislative branches, and future US policies regarding issues of importance to Mexico and its economy , in particular trade and migration, remain uncertain. The Group cannot guarantee that the future political environment in Mexico and the United States, over which the Group has no control, will not have a material adverse effect on its business, results of operations, financial condition or projections. Moreover, the Group cannot assure that the changes in policies and legislation by the administrations in office in the United States and Mexico and the rest of the countries in which the Group operates, may not affect the economies in said countries, causing a significant adverse effect on its business, financial condition and results of operations.

It is important to mention that the year 2024 will be an electoral year in the United States of America. Therefore, candidates may use rejecting or promoting the USMCA (T-MEC in Spanish) as a strategy, much

like what happened during the administration of Donald Trump. In this regard, we cannot guarantee the stance of the candidates and the elected president.

If the United States of America seeks to implement additional measures or sanctions, it could affect the Mexican economy and have a significant adverse effect on the Group's business, financial situation, and operating results, although the USMCA could offset such a situation.

Other International Treaties

Mexico has a total of 14 Free Trade Agreements (TLCs) with 50 countries, 30 Agreements for the Promotion and Reciprocal Protection of Investments (APPRIs) with 31 countries or administrative regions, and 9 limited scope agreements (Economic Complementation Agreements and Partial Scope Agreements) within the framework of the Latin American Integration Association (ALADI).

In addition, Mexico actively participates in multilateral and regional organizations and forums such as the World Trade Organization (OMC), the Asia-Pacific Economic Cooperation (APEC) Mechanism, the Organization for Economic Cooperation and Development (OCDE), and ALADI.

Currently, negotiations are underway for South Korea to join the Pacific Alliance as an associate member. Additionally, on March 1, 2022, Mexico and South Korea agreed to begin negotiations for a Free Trade Agreement.

Furthermore, on May 20, 2022, Mexico and the United Kingdom began negotiations in London to establish a modern and progressive TLC between the two countries that relates to the trade of goods and services, as well as digital trade, cross-border data flows, e-commerce, regulatory cooperation, innovation, among others. Since December 2020, the commercial relationship between both countries has been regulated through an agreement establishing that from January 1, 2021, the tariff preferences that have been benefited under the Free Trade Agreement between the European Union and Mexico (TLCUEM), would remain in force, despite the UK's exit from the region.

Finally, the government of Malaysia announced its ratification of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (TIPAT), becoming the ninth country to do so, with only Chile and Brunei remaining to conclude the process. The Government of New Zealand, as the Depositary, notified that the Treaty came into force for Malaysia on November 29, 2022. In the same vein, on February 21, 2023, the CPTPP entered into force for Chile, and on July 12, 2023, for Brunei, thereby concluding its entry into force for the 11 countries that initially signed it.

In relation to the above, on February 1, 2021, the United Kingdom formally requested accession to the CPTPP, and on June 2, 2021, the Commission of said FTA agreed to formally initiate accession negotiations with the United Kingdom. For this purpose, on March 31, 2023, the ministers of the CPTPP met virtually to discuss the UK's accession to the CPTPP and announced the substantial conclusion of the negotiations. As a result, on July 16, 2023, the ministers responsible for the CPTPP member countries and the United Kingdom signed the United Kingdom's Accession Protocol to allow the United Kingdom to join said FTA, so it is simply a matter of time for its entry to materialize.

It is worth noting that in addition to the above, six more countries have expressed interest in joining the CPTPP, among which Indonesia, South Korea, the Philippines, Thailand, Taiwan, and Colombia stand out. If these additions were to take place, the trade bloc that would be formed would be formidable.

On the other hand, it is important to mention that Mexico is a member of the Free Trade Agreement, called the Pacific Alliance, which is made up of Chile, Colombia, Mexico, and Peru. Recently, Australia, Canada, New Zealand, and Singapore have been negotiating to join said Agreement.

This integration that Mexico has had and maintains in order to expand its network of international treaties with the global community, favors the entry and exit of products from different origins with the application of tariff preferences.

As of this day, the most important trading partner of Mexico remains the United States, with approximately 80% of Mexico's global trade concentrated in exports and imports to North America.

Recently, Brazil has expressed its intention to seek a Free Trade Agreement (FTA) with Mexico, which was revealed in a meeting of the World Trade Organization. Therefore, during 2024, discussions may strengthen and negotiations may even begin to achieve this goal. If such an FTA is reached, we consider it highly beneficial for Mexico's exports and commercial relations with South America whichrepresents business opportunities in a jurisdiction that has maintained a highly restrictive and protectionist tariff policy until now, compared to other countries.

Possible impact on trade regulation during the 2024 electoral year

In 2024, there will be presidential elections in Mexico, so there is a possibility that the executive branch will use the issuance of decrees and regulations as a strategy in the face of the elections, in order to collect and obtain funds through import and export operations and thereby obtain greater funds for its social programs, projects, among others.

In line with the previous section, on August 15, 2022, the Federal Executive published in the Official Gazette of the Federation the "Decree by which the Tariff of the Import and Export General Taxes Law is amended", by which it substantially and suddenly increased the general import tax that must be paid upon introduction to Mexico of the products identified in said Decree, which practically encompasses 0.3% of the tariff universe.

According to the reasons given in said Decree, in order to combat the deceleration in the economic growth of various sectors of the national industry, as well as the “vulnerable” situation of the textile, clothing, and footwear sectors, and in order to implement mechanisms that generate stability in the sectors of the national industry that allow the elimination of distortions in trade, to safeguard the balance of the global market in accordance with international law and international commitments, it was considered necessary to modify 392 tariffs applicable to tariff sections relating to steel, aluminum, bamboo, rubber, chemicals, oils, soap, paper, cardboard, ceramic products, glass, electrical material, musical instruments, and furniture, among others, increasing to 25% the general import tax rate to be paid by importers.

These tariffs will be valid until July 31, 2025, with the understanding that, upon reaching said date and if the Decree is not extended in its validity, the tariffs prior to the aforementioned Decree will apply.

Nearshoring and its Impact on Mexico

Nearshoring represents a highly relevant opportunity for Mexico to seek the relocation of business and production operations to our country, derived from its privileged geographical location for the North American market, as well as its extensive network of trade agreements, surpassing more distant locations. Mexico offers advantages in labor costs, logistics, cultural affinity, without sacrificing quality or efficiency, among others.

Mexico's proximity to the United States of America and Canada, a highly qualified workforce, and the network of Free Trade Agreements position Mexico as an attractive hub for multinational companies. Specifically, the Northern and Central regions of the country have benefited from this phenomenon on a national scale.

It is estimated that the widespread positive impact of nearshoring may be reflected possibly in five years or more, although in the short term, a significant number of relocations have also materialized in the northern region of the country, which will result in the Group commercially benefiting from the new consumers of the Group’s products.

Nearshoring represents an additional opportunity for Mexico to integrate into the world, not only into the North American market but also globally, by merging its productive and value chains into consumer goods that are marketed worldwide, further strengthening the country's export vocation, the provision of

international services, the development of infrastructure for the import and transportation of inputs, as well as for the export of final or intermediate goods. This, combined with certain infrastructure projects that can strengthen the transportation of goods on a large scale (such as the development of the Isthmus of Tehuantepec), could strengthen Mexico as the reference hub for the exchange of goods and international connectivity between countries.

The conflict between Russia and Ukraine could negatively affect the world economy and, in turn, the business, financial situation, results of operations and prospects of the Group

On February 21, 2022, Russia recognized the independence of the Donetsk People's Republic and the Luhansk People's Republic, two self-proclaimed independent states in the Donbass region of eastern Ukraine. The next day, the Russian Federation Council unanimously authorized President Putin to use military force outside Russia's borders. As a consequence, diplomatic relations between Russia and Ukraine broke down and a military confrontation between the two countries began.

In response to the recognition of the two breakaway republics and the Russian military invasion of Ukraine, Western countries began to implement sanctions against Russia, including sanctions against financial institutions, against individuals involved in the invasion of Ukraine, airspace restrictions, and other government sanctions such as prohibition of the sale, supply, transfer or export of certain goods and technology. In addition, it is uncertain the measures and reactions that Russia could have in face of the sanctions imposed.

Although at this time it is not possible to predict the magnitude of the economic, political and social consequences that will result from the conflict, the Group has presence in Ukraine and Russia. Due to the current international situation, and in line with the Group's values, on February 23, 2022 the Company reported the temporary suspension of operations at the Ukraine plant and on March 14, 2022 the suspension of sales under the Bimbo brand, as well as new capital and marketing investments in Russia. In March 2022, the plant in Ukraine restarted its operations.

Although the Group considers that both actions will not have a material impact on its business, the Group will continue to monitor and assess the situation as circumstances evolve, as external factors over which the Group has no control, such as political, economic or social developments derived from the conflict, could have an adverse negative effect on the global market or on the business, financial situation, results of operations and prospects of the Group.

Political, economic and social conditions in Mexico could materially and adversely affect Mexican economic policy and, in turn, the Group's business, financial condition, results of operations and prospects

Political circumstances in Mexico may significantly affect Mexican economic policies which could have an effect on the Group's operations. Mexico's presidential, federal and local elections were held on July 1, 2018 with a majority result (in the presidential, federal and local elections) in favor of the left-wing political party Morena. Mr. López Obrador, president of Mexico since December 1, 2018, and the designated public officials of Morena, acting within their corresponding positions, have the ability to direct the policies of the public administration and to present and approve modifications to the regulations issued by the Executive Power, which could negatively affect economic, political and social conditions in Mexico. Furthermore, as a result of the majority in both houses of Congress obtained by Morena, Mr. López Obrador has considerable power to pass new laws, amend existing laws, and determine government policies and actions that relate to the Mexican economy and, consequently, affect the operations and financial performance of businesses in Mexico, such as the Group's business. Furthermore, the Group cannot predict the outcome of the next elections for deputies in the chambers of Congress. The outcome of these elections, including which political party will constitute the majority in Congress, will also affect Mexico's political environment in the coming years and, consequently, the operations and financial performance of companies in Mexico.

The Mexican federal government occasionally makes significant changes in policies and regulations and may do it again in the future. The Mexican federal government drastically decreased the 2019 expenditure budget and could continue decreasing it in the future. On July 2, 2019, the new Federal Republican Austerity Law was approved by the Mexican Senate and it was published in the Official Gazette of the Federation on November 19, 2019. Actions to control inflation and other regulations and policies have involved, among other measures, increases in interest rates, changes in tax policies, price controls, currency devaluations and capital controls and limits on imports. The Group's business, financial situation and results of operations could be affected by changes in govern policies and regulations involving its administration, operations and tax regime. Grupo Bimbo cannot assure that the Mexican government will maintain existing political, social, economic or other policies or that such changes would not have a material adverse effect on its business, financial condition, results of operations and prospects. In particular, tax legislation in Mexico is subject to constant change, and the Group cannot assure that the government will maintain the social, economic, or other existing policies, nor that those changes will not adversely affect the business, financial position, results of operation or prospects.

The administration of Mr. López Obrador has taken actions that have significantly undermined investors' confidence in private ventures following the results of public referendums, such as the cancellation of public and private projects authorized by the previous administration, including the construction of the new Mexican airport, which immediately prompted the revision of Mexico's sovereign rating and the cancellation of the construction of a brewing facility of "Constellation Brands" in Baja California, Mexico. The Group cannot assure that similar measures will not be taken in the future, which could have a negative effect on Mexico's economy.

The Group cannot predict the impact that political, economic and social conditions will have on the Mexican economy. Furthermore, the Group cannot provide any assurances that political, economic or social developments in Mexico, over which the Group has no control, will not have an adverse effect on its business, financial condition, results of operations and prospects. Mexico is currently experiencing high levels of violence and crime due to the activities of organized crime. In response, the Mexican government has implemented various measures to increase security and has strengthened its police and military forces. Despite these efforts, organized crime (especially drug-related organized crime) continues to exist and operate in Mexico. These activities, their potential escalation and the violence associated with them have had and may have a negative impact on the Mexican economy or our operations in the future. The social and political situation in Mexico could adversely affect the Mexican economy, which in turn could have a material adverse effect on the Group's business, financial condition, results of operations and prospects.

In the past, Mexico has experienced several periods of slow or negative economic growth, high inflation, high interest rates, currency devaluation (in particular with respect to the Mexican peso-U.S. dollar exchange rate), convertibility restrictions and other economic problems. These problems may worsen or reemerge, as applicable, in the future and could adversely affect the Group's business and ability to service its debt. During 2023, Banco de México increased its reference rate by 75 basis points, from 10.50% in 2022 to 11.25%. Future increases in interest rates may adversely affect the Group's results of operations by increasing its financing cost. In addition, a worsening of international financial or economic conditions, such as a slowdown in growth or recessionary conditions in Mexico's trading partners, including the United States, or the emergence of a new financial crisis, could have adverse effects on the Mexican economy, the Group's financial condition and its ability to service its debt.

Andrés Manuel López Obrador's presidency from the Movimiento de Regeneración Nacional (MORENA) Party concludes on September 30, 2024. As of the date of this Annual Report, and as a result of the electoral process in June 2021, MORENA and its allied parties hold an absolute majority in the Chamber of Deputies and the Senate, and no political party or alliance holds a qualified majority in both chambers. On June 2, 2024, federal and state elections will be held in which, among other positions, a new president of Mexico will be elected, along with members of the Chamber of Deputies and the Senate, as well as governors of different states, including Mexico City. The electoral process associated with these elections and the potential changes in the national agenda may generate uncertainty and risks that could result in a significant adverse effect on the Group's business and its ability to fulfill its financial obligations or functions.

High inflation rates may adversely affect the Group's financial condition, results of operations and prospects

Mexico has a history of high levels of inflation and may experience high inflation in the future. Historically, inflation in Mexico has led to higher interest rates, depreciation of the peso and the imposition of substantial government controls over exchange rates and prices. As provided and published by Mexican National Institute for Statistics and Geography (*Instituto Nacional de Estadística y Geografía*, or INEGI), the annual rate of inflation for the last three years was 7.36% in 2021, 7.82% in 2022 and 4.66% in 2023. High inflation means higher costs that the Group could not be able to transfer to consumers affecting its margins. Grupo Bimbo cannot assure that Mexico will not experience high inflation in the future, including in the event of a substantial increase in inflation in the United States, any of which could increase the Group's capital expenditures and adversely affect its ability to obtain financing in the future, adversely affecting its financial condition and its ability to make payments on the notes, business, operating results. If Mexico experiences high levels of inflation as it has in the past, this may also impact the Group's costs and may adversely affect its business, financial condition, results of operations and prospects.

Government efforts to combat inflation may hinder the growth of the Brazilian economy and could harm the Group's business

Brazil has in the past experienced extremely high rates of inflation and, as a result, has adopted monetary policies that have resulted in one of the highest real interest rates in the world. The Central Bank of Brazil sets the base interest rates generally available to the Brazilian banking system, based on the expansion or contraction of the Brazilian economy, inflation rates and other economic indicators. The trend of periodic reductions of the base interest rate (*Sistema Especial de Liquidação e Custódia*, or "SELIC" rate) implemented by the Central Bank of Brazil from 2005 to 2007, was temporarily reversed during 2008 when the SELIC rate moved from 11.25% in 2007 to 13.75% in 2008. However, in response to the effects of the global financial crisis on the Brazilian economy, in 2009 the Central Bank of Brazil significantly reduced the SELIC rate, which reached 8.75% in 2009. In 2015, the SELIC rate reached 14.25%, however, from 2016 to 2020 there was a period of periodic restrictions in the rate, moving from 13.75% in 2016 to 2% in 2020. As of December 31, 2023 the SELIC Rate reached 11.75%. Inflation and the Brazilian government's measures to fight it, principally through the Central Bank of Brazil, have had and may have significant effects on the Brazilian economy and businesses. Tight monetary policies with high interest rates may restrict Brazil's growth and the availability of credit. Conversely, more lenient policies of the government and the Central Bank of Brazil and interest rate decreases may trigger increases in inflation, and, consequently, growth volatility and the need for sudden and significant interest rate increases, which could negatively affect the Group's business in Brazil.

The impact on the Group's operating costs due to inflation in Argentina could have a material adverse effect on the Group's results in Argentina

Historically, inflation has materially weakened Argentina's economy and the Argentinian government's ability to create conditions for growth. In recent years, Argentina has experienced high rates of inflation. The Argentinian government continues to implement measures to monitor and control the prices of the most relevant goods and services. Despite these measures, the Argentinian economy continues to experience high levels of inflation.

High rates of inflation affect Argentina's external competitiveness, social and economic inequality, and negatively affect employment, consumption, the level of economic activity and weakens confidence in the Argentinian banking system. Given its persistent nature in recent years, inflation continues to be a challenge for Argentina, so this could lead to a significant increase in the Group's operating costs, particularly in labor force costs, and result in a negative impact of the results of the Group's operation in Argentina. For financial purposes, beginning in July 2018, the operation in Argentina qualifies as a hyperinflationary economy; therefore, the subsidiaries of Grupo Bimbo in that country recognized the accumulated inflation adjustments. In particular, the accumulated inflation rate in Argentina in the three years prior to 30 June 2018, exceeded 100%, with no significant reduction expected in the short-term deadline. Therefore, Argentine companies using IFRS, including subsidiaries of the Group in Argentina, are required to implement IAS 29 to their

financial statements for the periods subsequent to July 1, 2018, and recognize cumulative inflation adjustments in the Group's financial statements. Future impairments in the Argentinian economy, regulation, business or politics could lead to the recognition of impairment charges for some of the Group's assets in Argentina.

Violence in Mexico has adversely impacted, and may continue to adversely impact, the Mexican economy and may have a negative effect on the Group's business, financial condition, results of operations and prospects

Mexico has recently experienced a significant increase in violence relating to illegal drug trafficking and organized crime, particularly in Mexico's northern states near the United States border. This increase in violence has had an adverse impact on the economic activity in Mexico. In addition, social instability in Mexico and adverse social or political developments in or affecting Mexico could adversely affect the Group and its financial performance. Also, violent crime may increase the Group's insurance and security costs. Grupo Bimbo cannot assure that the levels of violent crime in Mexico or its expansion to a larger portion of Mexico, over which it has no control, will not increase. Corruption and links between criminal organizations and government authorities also create conditions that affect the Group's business operations, as well as extortion and other acts of intimidation, which may have the effect of limiting the level of action taken by federal and local governments in response to such criminal activity. An increase in violent crime could adversely affect the Group's business, financial condition, results of operations and prospects.

Grupo Bimbo is exposed to the risk of potential expropriation or nationalization of its assets in some of the countries where it operates

Grupo Bimbo is exposed to the risk of potential expropriation and nationalization of its assets that are located in the various countries in which the Group operates, such as Venezuela, and other countries that have been subject to volatile political conditions in the recent past; therefore, the Group cannot assure that the local governments will not impose retroactive changes that could affect the Group's business, or that would force the Group to renegotiate the current agreements with such governments. The occurrence of such events could materially affect its financial condition, results of operations and prospects.

The Group's operations in Venezuela are subject to risk due to political instability in Venezuela

In Venezuela, the Group continues to face adverse economic conditions, including restrictive exchange rate policies, lower per capita income, pricing elasticity, high operating costs as a percentage of revenues and scarcity of and restrictions on importing raw materials. These adverse economic conditions and political inestability have had in the past and will continue to have an adverse effect on the revenues, sales volume and profitability of the Group's Venezuelan operations.

Even though that for financial purposes, from May 2017, the Group no longer consolidates its subsidiaries in Venezuela, Grupo Bimbo chose to classify its financial investments in equity in its subsidiaries in Venezuela as equity and alternative financial instruments designated at fair value, as it intends to maintain these investments for the foreseeable future.

The perception of higher risk in other countries, especially in emerging economies, may adversely affect the economy, the business, financial situation, results of operation and prospects of the Group

The Group's growth strategy depends, in part, on its ability to increase its operations in emerging market countries. However, the emerging markets such as Mexico are subject to greater risks than more developed markets, and financial turmoil in any emerging market could disrupt business in Mexico. Moreover, financial turmoil in any important emerging market country may adversely affect prices in stock markets and prices for debt securities of issuers in other emerging market countries as investors move their money to more stable, developed markets. Any increase in the perceived risks associated with investing in emerging markets could dampen capital flows to Mexico and adversely affect the Mexican economy in

general. The Group cannot ensure that the value of its financial products will not be adversely affected by events in other emerging markets or the global economy in general.

In many countries, particularly those in emerging economies, there is a perception of a greater possibility that third parties, including the Group's suppliers, its customers, and other related parties, engage in business practices prohibited by law and regulation with extraterritorial reach, such as laws relating to anti-corruption sanctions and money laundering. The fact that these non-Group persons incur in these prohibitions could subject the Group to civil and criminal sanctions that could adversely affect its reputation, financial condition and results of operations.

Political and social events in Mexico and in the countries where the Group operates

The social, political, economic and other developments in Mexico and in the other countries in which the Group operates may adversely impact its operations and results.

Governmental action as well as any other social or political developments in Mexico and in other countries in which the Group operates may adversely impact the market conditions and the price of its raw materials or products, which may affect its financial situation.

It may be difficult to enforce civil liabilities against the Group or its directors, executive officers or controlling persons.

Grupo Bimbo is a listed variable stock corporation (*sociedad anónima bursátil de capital variable*) organized under the laws of Mexico. Most of its directors, executive officers, controlling persons and experts named in this Annual Report are residents in Mexico, and a significant portion of the assets of these shareholders and of Grupo Bimbo are located in Mexico. As a result, it may be difficult for foreigns to bring legal processes in any jurisdiction outside of Mexico against such persons or the Group, or to enforce judgments against them or the Group in courts of any jurisdiction outside of Mexico. In the past, the Mexican Supreme Court of Justice Mexican has issued a ruling regarding the homologation of a foreign judgment and its enforcement in Mexico, requiring that the enforcement of such judgment does not violate public order, without requiring an exact match between the legislation of both countries. Therefore, it would be necessary to analyze the specific case to determine whether a foreign judgment can be enforced in Mexico.

Sanitary emergencies with worldwide effects or affecting any of the countries in which the Group operates

A sanitary emergency due to the origination and dissemination of diseases may be declared internationally or in any country in which the Group operates, such as the sanitary emergency declared with respect to the SARS-CoV-2 virus (commonly known as “coronavirus”) and the disease it causes (“COVID-19”), which may bring commercial and social activity to a halt, and cause the closing of factories and places of work, convenience stores, places of study, among others, as well as future confinement of the general population. In addition, such sanitary emergency may cause volatility or falls within the capital markets and economic recessions. The Group cannot anticipate the actions that may be required from the governments, companies or private citizens to face such sanitary and health emergency.

The Group’s ability to produce, distribute and sell its products is critical for its operations and any sanitary and health emergency, whether international or in any country in which the Group sell or distribute its products, may have an adverse effect on its operations, as well as on market conditions and prices of materials, which may materially affect its product sales, financial condition and results of operation.

Uncertainties regarding the transition away from or possible discontinuance of the London Inter-Bank Offered Rate (LIBOR) could have adverse consequences on the Group.

LIBOR is extensively used as a “benchmark” or “reference rate” across financial products and markets globally. The UK Financial Conduct Authority (FCA) has raised questions about the future sustainability of LIBOR, and, as a result, the FCA obtained voluntary panel bank support to sustain LIBOR only until 2021,

and was suspended as of January 1, 2022. The effects of the discontinuation of LIBOR and its replacement with the Secured Overnight Financing Rate (SOFR) are not expected to have a material adverse effect on the Group. However, the transition away from and discontinuance of LIBOR or any other benchmark rate presents various uncertainties, risks and challenges to financial markets and institutions. These include, among others, the pricing, liquidity, value of, return on and market for financial instruments and contracts that reference LIBOR or any other applicable benchmark rate.

Certain of the Group's agreements denominated in U.S. dollars are referenced to LIBOR. As a consequence of the transition and discontinuation of LIBOR, the Group will have to make, at an operational level, the necessary adjustments to operate with the new reference rate or rates and the defined methodologies, adapting the current processes to these new changes. While all of the Group's LIBOR-referenced agreements and instruments provide for alternative benchmark rates, the new benchmark rates may significantly differ from the prior rates. As a result, the Group may need to proactively address any rate differences in such instruments and contracts, which could be time consuming and costly. However, the Group does not expect any material adverse effects from the transition and discontinuation of LIBOR, such transition and discontinuation could result in disputes, including litigation, involving contracts that reference LIBOR, whether or not the underlying documentation provides for alternative benchmark rates.

d) OTHER SECURITIES

As of December 31, 2023, the following securities were registered by Grupo Bimbo in the RNV:

1. Authorized capital stock Series "A" common shares, ordinary, nominative, with no par value, listed in the BMV since 1980 under ticker symbol "BIMBO".

2. *Certificados Bursátiles*:

(i) Bimbo 16 – Issued on September 14, 2016 in the aggregate amount of Ps.8,000,000,000 maturing on September 2, 2026.

(ii) Bimbo 17 – Issued on October 6, 2017 in the aggregate amount of Ps.10,000,000,000 maturing on September 24, 2027.

(iii) Bimbo 23L – Issued on June 2, 2023 in the aggregate amount of Ps. $12,000,000,000 maturing on May 20, 2033.

(iv) Bimbo 23-2L – Issued on June 2, 2023 in the aggregate amount of Ps. $3,000,000,000 maturing on July 24, 2026.

Senior Notes:

1. On June 27, 2014 Grupo Bimbo issued (i) Senior Notes in the international markets, in the aggregate amount of $800,000,000 US dollars maturing on 2024, and (ii) Senior Notes in the international markets, in the aggregate amount of $500,000,000 US dollars maturing on 2044, according to Rule 144A and Regulation S of the SEC.

On November 3, 2023, Grupo Bimbo carried out a cash repurchase of senior notes issued by Grupo Bimbo with a maturity date in 2024, in the amount of $391,638,000 US dollars.

2. On November 10, 2017 Grupo Bimbo issued Senior Notes in the international markets, in the aggregate amount of $650,000,000 US dollars maturing on 2047 according to Rule 144A and Regulation S of the SEC.

3. On September 6, 2019, Grupo Bimbo issued Senior Notes issue in the international markets, in the aggregate amount of $600,000,000 US dollars maturing on 2049 according to Rule 144A and Regulation S of the SEC.

4. On May 17, 2021, Grupo Bimbo, trhough its subsidiary BBU, made an issue of senior notes in the internation markets, in the aggregate amount of $600,000,000 US dollars maturing on 2051 according to Rule 144A and Regulation S of the SEC.

5. On November 2, 2023, Grupo Bimbo, through its subsidiary BBU, issued (i) senior notes in the international markets for $550,000,000 U.S. dollars maturing in 2034, and (ii) senior notes in the international markets for $450,000,000 U.S. dollars maturing in 2029, pursuant to Rule 144A and Regulation S of the SEC.

The Company has been complying on a timely basis with all of its obligations to disclose information on material events as well as the legal and financial information required by the applicable provisions.

I. <u>Annual Information</u>:

1. The third business day following the date of the annual shareholders' meeting in which the annual results are approved, which shall be held during the first four months of each year:

a. Reports and opinion referred to in article 28, paragraph IV of the LMV.

b. The annual financial statements or their equivalents, depending on the nature of the issuer, together with the opinion of the external auditor, as well as the audited annual financial statements of associated entities that contribute more than 10% of the Company's earnings or consolidated assets.

c. Letter signed by the secretary of the board of directors, stating the current status of the shareholders' meetings minutes registry, board of directors meetings minutes registry, share registry book, and, for corporations with variable capital (*sociedades anónimas de capital variable*), capital variation registry book.

d. Documents of the external auditor, referred to in Articles 84 and 84 Bis of the General Provisions Applicable to Securities Issuers and to Other Participants in the Securities Market and articles 4, 5, 36 and 37 of the General Provisions applicable to entities and issuers supervised by the National Banking and Securities Commission that contract external auditing services for basic financial statements and subscribed by the external auditor.

e. Declaration of statements by the officials responsible for initialing the financial statements referred to in article 32 of the General Provisions applicable to entities and issuers supervised by the National Banking and Securities Commission that contract external auditing services for basic financial statements.

2. No later than April 30 of every year:

a. The annual report corresponding to the fiscal year immediately ended, prepared in accordance with the General Provisions Applicable to Securities Issuers and other Securities Market Participants.

3. No later than May 31 of every year:

a. Submit to the National Banking and Securities Commission the Final Statement of Observations obtained from the External Auditor.

4. No later than June 30 of every year:

a. Report corresponding to the fiscal year immediately ended, regarding the level of adherence to the Best Corporate Practices Code, pursuant to the format issued by the BMV.

II. Quarterly Information:

Within 20 business days following the end of the first three calendar quarters and within 40 business days following the end of the fourth calendar quarter of each fiscal year, the Company must report its financial statements and the economic, accounting and administrative information set forth in the corresponding electronic templates, comparing at minimum the results for the relevant quarter against the financial statements for the previous fiscal year according to the applicable accounting principles. The electronic documents shall include an update of the annual report (or prospectus, if as of the date of presentation of the financial information the issuer has not been required to publish such annual report) with management's comments and analysis of the results of the operations and financial situation of the issuer.

In addition, the Company shall deliver to the Commission and BMV a certificate signed by the Chief Executive Officer or the Chief Financial Officer, or any other person holding a similar title, stating, under oath, that, in the competence of their authority, they prepared the relevant information of the Company contained in the quarterly report, which, as of their knowledge, reflects in a reasonable manner the situation

of the Company. Likewise, they should state that they are not aware of any material information that is missing in the quarterly report or that the report contains information that could confuse an investor.

III. Legal Information:

1. On the date of their publication, the calls for shareholders' meetings and the calls for bondholders' meetings or meetings of holders of other securities. Such calls must contain each and all of the items of the agenda to be discussed during the relevant meeting.

2. On the business day immediately following the date on which the relevant meeting is held:

a. A summary of the resolutions adopted at the shareholder's meeting held pursuant to article 181 of the General Corporations Law, including the application of profits and, as the case may be, the payment of dividends, number of coupon or coupons against which payment will be made, as well as the place and date of payment.

b. A summary of the resolutions adopted at the shareholder's meetings other than the meetings mentioned above, as well as the resolutions adopted by the meetings held by the holders of other securities.

3. Within 5 business days following the date of the shareholder's meeting or of the holders of other securities meetings, as applicable:

a. A copy, certified by the secretary of the board of directors of the Company or any person authorized thereto, of the shareholder's meetings minutes, together with the attendance list signed by the examiners appointed for such purposes, stating the number of shares that correspond to each shareholder and, as the case may be, on behalf of whom is acting, as well as the total number of shares represented at the meeting.

b. A copy, certified by the chairperson of the meeting, of the holders of the securities minutes' meetings, together with the attendance list signed by the holders of the securities or their representatives and by the examiners appointed for such purposes, stating the number of securities that correspond to each holder of the securities, as well as the total number of the securities represented at the meeting.

4. At least 6 business days before the start of the period within which it is intended to carry out the acts referred to in each of the following notices:

a. Notice to the shareholders for the exercise of any rights of first offer derived from capital increases and the subsequent issuance of shares, whose amount is required to be paid in cash.

b. Notice for the delivery or exchange of shares, obligations or other securities.

c. Notice for the payment of dividends, which must include the corresponding amount and the proportion of such dividends or, as the case may be, the payment of interest.

d. Any other notice addressed to the shareholders, holders of other securities or the general public.

5. No later than June 30 of every third year, the notarization of the shareholder's meeting by means of which a restatement (*compulsa*) of the Company's by-laws has been approved.

IV. Repurchase of the Company's own shares:

The Company is required to disclose to the BMV no later than the next business day following the consummation of any transactions involving the repurchase of the Company's shares.

V. Material events:

The Company is required to disclose to the BMV all material events pursuant to the provisions set forth in the General Provisions Applicable to Issuers of Securities and Other Participants in the Securities' Market.

VI. Audit and non-audit services:

Audit services consist of performing audit procedures in accordance with the International Standards of Audit, as well as the issuance of an audit report on the consolidated financial statements of the Group and its subsidiaries at the end of each year. The audit services include the issuance of statements, declarations and opinions applicable in accordance with the Sole Circular of External Auditors (CUAE).

In addition, the Group has certain obligations, which include the issuance of communications and delivery of certain information, among others, including, but not limited to, the following:

a. To inform and deliver a copy to the CNBV, authenticated by the Secretary of the Board, of the resolution approving the contracting or ratification of the external audit firm, no later than 15 business days following said contract or ratification.

b. Inform the CNBV of the detail and amount of the consideration for services other than external audit services, rendered by the audit firm, within 30 business days following the session of the Board approving such contract.

e) MATERIAL CHANGES TO THE SECURITY RIGHTS REGISTERED IN THE RNV

During 2023, there were no significant changes to the capital stock of Grupo Bimbo. As of December 31, 2023, such capital stock was represented by 4,392,091,440 shares.

f) USE OF PROCEEDS

There are no unused proceeds obtained from the issuance of securities completed in previous years (see "Section “1. GENERAL INFORMATION – d) Other Securities").

g) PUBLIC DOCUMENTS

In order to review this Annual Report, please visit the Investor Relations website:

www.grupobimbo.com/en/investors/

For any clarification, please contact the Investor Relations team at Paseo de la Reforma 1000, Col. Peña Blanca Santa Fe, C.P. 01210, Mexico City, Mexico, telephone 5268-6830 and at the following e-mail:

ir@grupobimbo.com

In connection with the public information that has been delivered to the BMV, please visit the following websites:
http://www.grupobimbo.com
www.bmv.com.mx

The information available on these websites is not a part of this Annual Report.

For more information and documentation regarding the corporate governance of Grupo Bimbo please visit the following address:

http://www.grupobimbo.com

2) THE COMPANY

a) COMPANY'S HISTORY AND DEVELOPMENT

i) Legal background

Incorporation

The Company was incorporated by public deed number 10,670, dated June 15, 1966, granted before Tomás O'Gorman, at the time, Public Notary number 96 of Mexico City, the first official transcript of which was filed in the Public Registry of Commerce of Mexico City, in the Commerce section, under number 299, pages 377, volume 636, 3rd book.

Corporate Name

The Company was originally incorporated under the corporate name of Promoción de Negocios, S.A. In 1978 it changed its corporate name to Grupo Industrial Bimbo, S.A. and in 1981 it adopted the form of a *sociedad anónima de capital variable*. On August 24, 1999, the Company changed its corporate name to Grupo Bimbo, S.A. de C.V., and on November 16, 2006, by public deed number 30,053, granted before Ana de Jesús Jiménez Montañez, Public Notary number 146 of Mexico City, the first official transcript of which was filed in the Public Registry of Commerce of Mexico City in mercantile folio number 9,506, the Company adopted the form of a *sociedad anónima bursátil de capital variable*. The Company's commercial name is Bimbo.

Duration

The Company's duration is indefinite.

Domicile and Telephone Numbers

The Company's headquarters are located at Prolongación Paseo de la Reforma 1000, Colonia Peña Blanca Santa Fe, C.P. 01210, Mexico City. The telephone number is 5268-6600. The Company's website is: www.grupobimbo.com. The information contained in the Company's website is not part of this Annual Report.

ii) History

All figures shown in this Section correspond to historical values on the dates indicated.

1945 Taking advantage of their experience in the baking industry, Don Lorenzo Servitje Sendra and Don Lorenzo Sendra Grimau decided to create an American style packaged bread factory, to which they invited Don Alfonso Velasco, as well as Don Jaime Jorba Sendra and Don José T. Mata to participate as industrial partners. Another founder was Don Roberto Servitje Sendra, who collaborated since the inception as sales supervisor. Even though he did not participate as a partner at the Company's inception, gradually Don Roberto Servitje acquired grater responsibilities and likewise participated in the decision making process. He later purchased BIMBO shares and, subsequently, became Chief Executive Officer, a position he left in 1994, when he was appointed chairman of the Board of Directors, replacing Don Lorenzo Servitje who held that position since its foundation.

For the creation of the packaged bread factory, the founding partners mainly addressed the needs of the market at that time; that is, timely and quality attention to the customers, and product freshness. To satisfy these needs, the products to be manufactured and the characteristics of the packing thereof were determined, in addition to putting in place direct distribution systems and the replacement of unsold products every two days. On December 2, 1945, Panificación Bimbo was formally founded in Mexico City.

1947-1952 In 1947, the outside distribution to some cities in the states of Veracruz, Morelos, Hidalgo and Puebla was initiated. By 1952, four plants were already installed in Mexico City and the bun category was already integrated within the Company's products. Likewise, the distribution had extended to some of Mexico's central and northern states.

1956 In May 1956, the corporation Pasteles y Bizcochos, S.A. was incorporated, currently known as Productos Marinela, S.A., with which the Group ventured in the cakes category. As of this date the establishment of plants outside Mexico City began. The first of them were Bimbo de Occidente, S.A. (Guadalajara) and Bimbo del Norte, S.A. (Monterrey), which significantly broadened the geographical distribution coverage and the variety of products offered by the Company.

1963-1978 The period between 1963 and 1978 was characterized by great expansion and diversification. In addition to opening eight more plants in different states of the Mexican Republic, the existing plants were enlarged and other additional cake lines were integrated to those offered by Productos Marinela, S.A. Moreover, it ventured into the candies and chocolates industry, with the establishment of the first Ricolino plant, and into the salty snacks market, with what is currently known as Barcel. At that time practically all the states of the country were covered through the Company's direct distribution system.

In this period, the Group's vertical integration initiated with the inauguration of the first jam plant. Not only were the other Group's companies supplied with these products, but also the line of products offered to the consumers was diversified.

Regarding pastry products, in the 1970's BIMBO launched the *Suandy* line*,* whose products were prepared based on butter. This line was significantly enlarged in 1981.

1979 In 1979, *Tía Rosa* was introduced as a house-made baking brand in the domestic market and some of the production lines under this brand were rapidly developed with automated systems.

1983 By this time, the Group already manufactured some equipment and parts, which were used in its plants. Therefore, in 1983 the inauguration of the Maquindal, S.A. plant took place, which merged in January 2001 with the corporation Moldes y Exhibidores, S.A. de C.V.

1984 In 1984, the Company ventured into the export market with the distribution of *Marinela* products into the United States.

1986-1990 In 1986, after the crisis faced by Mexico for almost five years, BIMBO acquired Continental de Alimentos, S.A. de C.V., a company that produced and commercialized the products under the brand *Wonder,* which until then was BIMBO's direct competitor in the bread and cakes categories. By 1989, the Group significantly expanded further through additional acquisitions and the establishment of plants in the lines of business of final products and raw materials, material and equipment for internal consumption.

1992-1996 Regarding the transactions at an international level, in 1990 the Company acquired a bread and cake producer plant in Guatemala, which marked the beginning of the Group's coverage in Latin America. In 1992, BIMBO initiated the acquisition of production plants in other countries of the region with the acquisition of Alesa, S.A. and Cena (currently Ideal, S.A.) in Chile. Afterwards, it extended to Venezuela with the acquisition of Industrias Marinela, C.A. and Panificadora Holsum de Venezuela, C.A. in 1993, merged in 1999 under the name of Bimbo Venezuela C.A. At the same time, production plants were installed in Argentina, Colombia, Costa Rica, El Salvador and Peru, as well as distribution companies in Honduras and Nicaragua.

Additionally, the Company significantly expanded in the USA with the establishment and acquisition of several production plants in different states near the border with Mexico. The following companies were acquired: Orbit Finer Foods, Inc., in 1993; Fabila Foods, Inc. and La Fronteriza, Inc., in 1994; C&C Bakery, Inc. and La Tapatía Tortillería, Inc., in 1995; and Pacific Pride Bakeries, with two plants (Suandy Foods Inc. and Proalsa Trading Co.), in 1996.

In 1992, the Company acquired the factory Galletas Lara, which allowed it to enter into the traditional cookie market, with "maría" type cookies and crackers, a category not covered by the *Marinela* brand.

1998 Important levels of investments characterized 1998. In that year the Company acquired Mrs. Baird's baking company, a market leader in the state of Texas, United States, and in Mexico the production facility in La Paz, Baja California began operating. Likewise, BIMBO's expansion reached the European continent with the establishment in Germany of Park Lane Confectionery. Also during that year, in order to focus on its main businesses, BIMBO divested its participation in the business of preparation and distribution of ice creams in Mexico and its stake in the salty snacks business in Chile.

1999 In February 1999, BIMBO carried out a strategic alliance with the company Dayhoff, in the USA, and engaged in the distribution of candies, through an equity interest of 50%. In 2002, BIMBO'S interest increased to 70% and in 2004 it acquired 100% of the shares.

In March 1999, BIMBO associated with Grupo Mac'Ma by acquiring a 51% interest in the companies engaged in pastry manufacturing. In the state of California, USA, it acquired the baking company Four-S.

In 1999, a new bread production plant was built and began operations in the city of Tijuana, Baja California, with the following production lines: white, whole wheat and sweet baked goods, rolls, wheat tortillas and tostadas, among others.

In July 1999, Grupo Bimbo reinforced its presence in Colombia through the acquisition of different assets in the city of Cali. In September, the Company completed an agreement with the McDonald's restaurant chain, through which it became the unique supplier of all buns for the chain in Venezuela, Colombia and Peru. The unique concession of its buns contributed to the consolidation of the Company's position in Latin America. Further, this exclusivity has strengthened the relationship between the companies since 1985, the year when McDonald's entered Mexico.

In October 1999, Grupo Bimbo completed negotiations with Panacea, S.A., located in San José, Costa Rica. These negotiations allowed BIMBO to acquire some of the assets owned by the Costa Rican company and the right to use *Tulipán*, its leading brand in that country.

For an amount of $140.6 million dollars, in December 1999, BIMBO carried out the sale of its six wheat mills and the fresh and processed fruits and vegetables business to a group of investors represented by Mr. Roberto Servitje Achútegui.

In line with the strategy of taking advantage of synergies and operational consolidation, in 1999 Grupo Bimbo initiated the administrative and operational merger of its companies in the USA, consolidating the following: Mrs. Baird's Bakeries Business Trust, in Texas, and Bimbo Bakeries USA, Inc., in California.

2000 In March 2000, Grupo Bimbo, Oracle de Mexico, Sun Microsystems and Cap Gemini Ernst & Young agreed to the development of the computer program BIMBO XXI.

In April 2000, the Company, through Ricolino, inaugurated two plants in the European Union, one in Vienna, Austria, and the other in Ostrava, Czech Republic.

Additionally, in November 2000, Grupo Bimbo acquired Pan Pyc, the second most important baking company of Peru, which consolidated its leadership in that country. In December 2000 it acquired the Guatemalan baking company La Mejor, reinforcing its presence in Guatemala, El Salvador and Honduras.

2001 2001 highlighted the intense activity to consolidate the Group's presence in the regions where it participated and streamline its operations. In March, the Group acquired 100% of the capital stock of Plus Vita, Ltda., one of the largest baking companies in Brazil and producer of packaged bread, sweet baked goods, cakes, buns and toasted bread under brands considered among the most traditional and with the highest prestige in the Brazilian market, such as *Pullman*, *Plus Vita*, *Ana María*, *Muffs* and *Van Mill*, among others. Plus Vita operated three plants, located in Sao Paulo, Rio de Janeiro and Recife.

In October, the Company concluded the sale of its shares in Pastas Cora, S.A. de C.V. and Pastas Cora de la Laguna, S.A. de C.V. to Grupo La Moderna, S.A. de C.V. The companies sold were owned by Grupo Bimbo and Grupo Mac'Ma, S.A. de C.V. Through this transaction, Grupo La Moderna, S.A. de C.V. acquired 100% of the shares of Pastas Cora, S.A. de C.V. and Pastas Cora de la Laguna S.A. de C.V., in exchange of 4,500,000 shares representing 5.8% of the capital stock of Grupo La Moderna, S.A. de C.V., of which 57.4% corresponded to Grupo Bimbo.

In November 2001, the Company acquired certain operating assets from Gruma, S.A. de C.V., related to bread manufacturing and distribution. This acquisition included the fresh and frozen bread businesses in Costa Rica, as well as equipment from the plant that Gruma closed in Escobedo, Nuevo Leon.

2002 As of January 1, 2002 the merger of all the Group's operating companies in Mexico into two big companies, Bimbo, S.A. de C.V. and Barcel, S.A. de C.V., became effective. The first one consolidated all the baking operations, while the second involved the consolidation of the salty snacks, confectionery goods and goat milk caramel "cajeta" categories. The purpose of the merger was to optimize the operations and make its installed capacity and distribution force more effective.

On March 4, 2002, the Company acquired, through its subsidiary in the USA, the baking operations of George Weston Limited in the western region of the US. This transaction, with a total price of $610 million dollars, provided Grupo Bimbo with access to leading brands and products in the United States market, such as the trademark Oroweat®, the cakes of trademark Entenmann's®, English muffins and bagels trademark Thomas'®, as well as Boboli® pizza dough.

In accordance with the agreement's terms, Grupo Bimbo acquired the Oroweat bread brand, five plants in the states of Texas, Colorado, California and Oregon, and an efficient direct distribution system. Additionally, the Company obtained in the same region the rights related to the Entenmann's brand products, as well as the distribution rights of the Thomas'® and Boboli® brands.

This acquisition reflected BIMBO's strategy to build a leading baking business in the USA. With that, the Group's position in core markets, such as the states of California and Texas, became stronger.

On December 11, 2002, BIMBO's General Extraordinary Shareholder's Meeting approved the merger of the Company with its subsidiary Central Impulsora, S.A. de C.V. As a result of the merger, the Company became holder of the Group's main trademarks.

2003 In January 2003, Grupo Bimbo completed a strategic alliance with Wrigley Sales Company ("Wrigley"), to distribute its products. With this agreement, the Company, through its subsidiary Barcel, S.A. de C.V. became the exclusive distributor in Mexico of the Wrigley chewing gum brands.

In June 2003, the Company, together with its partner Grupo Arteva, S. de R.L., carried out the sale of the company Novacel, S.A. de C.V., engaged in the manufacture of flexible packaging, to Pechiney Plastic Packaging, a subsidiary of the Canadian company Alcan, world leader in package manufacturing. Prior to this sale, BIMBO held an interest of 41.8% in the capital stock, while its partner owned the rest. In this transaction, Grupo Bimbo executed a supplier agreement in commercial terms and conditions in accordance with the industry's general practices.

In July 2003, the Company disclosed to the public its intention to participate as a minority partner in a consortium leaded by the Mexican businessman Fernando Chico Pardo. This entity acquired certain ownership and debt rights of Compañía de Alimentos Fargo, S.A., in Argentina, and would undertake its financial and operational restructuring.

2004 On March 18, 2004, Grupo Bimbo announced an agreement to acquire the confectionery companies Joyco de México, S.A. de C.V., Alimentos Duval, S.A. de C.V. and Lolimen, S.A. de C.V., held by a group of Mexican shareholders, and the Spanish company Corporación Agrolimen, S.A. After obtaining all necessary authorizations, the purchase transaction was completed in May 2004.

Grupo Bimbo invested $290 million pesos, of which approximately $27 million was used for the repayment of existing debt. With this cash investment, Grupo Bimbo acquired two production plants and rights to leading brands and products in the Mexican confectionary industry, such as Duvalín®, Bocadín® and Lunetas®. These companies had, in aggregate, annual sales of approximately $500 million pesos.

2005 On June 9, 2005, Grupo Bimbo announced the acquisition of certain assets and trademarks owned by Empresas Chocolates La Corona, S.A. de C.V. and its subsidiaries ("La Corona"), in a transaction valued at $471 million pesos, whose purchase price was paid with Company's own funds. La Corona® has presence in the Mexican candies market, mainly in the chocolate segment. After the regulatory approval, this transaction was completed on July 29, 2005.

On July 20, 2005, the Company announced the acquisition, through a cash transaction valued at $1,350 million pesos, of Controladora y Administradora de Pastelerías, S.A. de C.V., which produces and sells fine pastry products under the brand "El Globo"®. With this acquisition, Grupo Bimbo ventured into retail sales of fine pastries for the first time. The transaction was completed on September 23, 2005 following the corresponding regulatory approvals.

On September 30, 2005, the Company executed a distribution agreement with Arcor, S.A.I.C. ("Arcor"), of Argentina. With this agreement, BIMBO, through its subsidiary Barcel, S.A. de C.V., became the exclusive distributor in Mexico of "Bon o Bon" candy. This product was incorporated into the Company's existing candies portfolio as a line renowned for its high quality. The parties to the distribution agreement also agreed to make investments to build a plant to produce Arcor and Barcel candies in Mexico.

On January 30, 2006, the Company returned to the baking market in Uruguay with the acquisition of the Uruguayan companies Walter M. Doldán y Cía. S.A. and Los Sorchantes S.A., positioning itself as the market leader. This transaction was valued at $7 million dollars, of which $5.5 million was used for the purchase of 100% of the shares and the remainder for the payment of financial liabilities.

2006 On March 24, 2006, Grupo Bimbo initiated operations in Asia with the agreement to acquire Beijing Panrico Food Processing Center, subsidiary of the Spanish company Panrico, S.A., located in China, in a transaction valued at 9.2 million euros for 98% of the shares, additionally assuming a net indebtedness of 1.3 million euros. With this transaction, the Company acquired a company that had 800 associates, a production plant and a distribution network with an extended portfolio of baking products, designed and developed for the local market, which have allowed it to achieve an important presence and recognition in the cities of Beijing and Tianjin.

On June 19, 2006, Grupo Bimbo announced an agreement to acquire certain assets and trademarks of the "El Molino" ® pastries, in a transaction valued at $42 million pesos, paid with Company's own funds. El Molino is one of the oldest and most traditional bakeries in Mexico, in the fiscal year ended as of December 2005, its sales totaled $45 million pesos.

This transaction, in addition to the acquisition of "El Globo" pastries, carried out in July 2005, was intended to strengthen the presence of Grupo Bimbo in the retail sales of high end pastry products.

2007 On July 31, 2007, Grupo Bimbo carried out the purchase of 100% of the shares of Maestro Cubano Florentino Sande S.A. for the sum of $93 million pesos. The company is located in Uruguay, and owns industrial premises engaged in the production and commercialization of cookies, *grissines* and breadcrumbs.

On October 2, 2007, the Company announced the acquisition of Temis for the sum of $17 million pesos. With this acquisition, BIMBO entered the Paraguay market.

On November 5, 2007, Grupo Bimbo announced that, as included in a judicial request dated November 2, 2007, filed by the investment group The Yucaipa Companies, LLC ("Yucaipa") before the Bankruptcy Court in the West District of Missouri, in Kansas City (the "Court"), Yucaipa, together with BBU and The International Brotherhood of Teamsters (the "Teamsters"), intended to file a collective proposal for the reorganization of Interstate Bakeries Corporation ("IBC").

IBC is one of the largest bakeries and fresh bread and sweet baked goods distributor companies of the United States. Among its main trademarks are Wonder®, Merita®, Home Pride®, Baker's Inn®, Hostess®, Drake's®, and Dolly Madison®. IBC operated more than 40 plants, 650 distribution centers, 6,400 routes and employs approximately 25,000 associates.

On November 29, 2007, Grupo Bimbo disclosed to the public that on November 28, Compañía de Alimentos Fargo, S.A., an Argentine company in which Grupo Bimbo holds an indirect 30% equity interest, executed an agreement for its reorganization with its main creditors, which represented the majority of the verified indebtedness, the investment funds *Rainbow Global High Yield*, *The* Argo Capital Investors Fund SPC, Argo Global Special Situations Fund Segregated Portfolio and The Argo Fund Limited.

The agreement included the payment of 33.81% of the unsecured indebtedness. Likewise, the holders committed to collaborate in order for Fargo to complete its reorganization (*Concurso Preventivo*) underway since June 2002, as well as to forgo any legal actions against it.

2008 On January 2, 2008, BIMBO announced the acquisition of Laura, a company located in Brazil, for a sum of $202 million pesos. As such, BIMBO entered into the *panettone* category and enlarged the cookies portfolio through the wafers line.

On February 21, 2008, BIMBO announced the acquisition of Firenze, also in Brazil, for a sum of $185 million pesos. Firenze's intergration taking advantage of the strength in the *light*

segment and to continue its development through the increase of the physical distribution of Firenze® and Plus Vita® trademarks.

On April 1, 2008, the Company announced the acquisition of Plucky, a company located in Uruguay, for a sum of $123 million pesos. The company produces and commercializes confectionery goods products. With this acquisition, Bimbo ventured into this segment in Latin America for the first time.

On May 7, 2008, Grupo Bimbo announced that it reached an agreement to acquire 75% of the shares of the Brazilian baking company Nutrella Alimentos, S.A. ("Nutrella"). This acquisition allowed Grupo Bimbo to position itself as the leader of industrialized bread in Brazil, increasing its geographic scale and presence.

Nutrella is a company founded in 1972 that produces and commercializes packaged bread, buns and cakes, through two production units in the states of Sao Paulo and Rio Grande do Sul. With the trademarks "Nutrella", "Nhamy" and "Nutrellinhas", among others, it is positioned as the leader in Brazil's South Region. In 2007, Nutrella, with more than 1,600 associates, registered sales of R$150 million and EBITDA of R$21 million.

This investment responded to Grupo Bimbo's strategy of consolidating its operations in the countries where it participates and gave it a stronger position to continue developing a profitable business in Brazil, by complementing its operation at that time. Likewise, it provided access to one of the regions with the greatest economic activity in the country, with more than 25 million inhabitants.

2009 On January 21, 2009, Grupo Bimbo announced the acquisition of the baking business in the United States of WFI, owned by Dunedin Holdings S.à r.l., a subsidiary of George Weston Limited (TSX: WN), located in Toronto, as well as the acquisition of the related financial assets, having obtained the relevant regulatory approvals and permits. These transactions were appraised at $2,380 and $125 million dollars, respectively. The aggregate payment of $2,505 million dollars was made through a financing of $2,300 million dollars, as well as with the Company's own funds. The consolidated operation in the United States, known as BBU, became one of the largest baking companies in the country, with a leading position in the bread, buns, sweet baked goods and cakes categories. The portfolio includes premium trademarks such as Arnold®, Bimbo®, Boboli®, Brownberry®, Entenmann's®, Francisco®, Freihofer's®, Marinela®, Mrs. Baird's ®, Oroweat®, Stroehmann®, Thomas'® and Tia Rosa®. The new operation employed more than 15,000 associates, operated 35 plants and distributed its products through more than 7,000 routes. Grupo Bimbo's consolidated results started reflecting the integration of WFI transactions as of January 21, 2009.

On November 18, 2009, the assets related to the production, distribution and sale of corn products under the trademark Sanissimo® were acquired.

2010 On November 9, 2010, Grupo Bimbo announced that it reached an agreement to acquire the North American Fresh Baking business of Sara Lee.

On December 6, 2010, Dulces Vero, a leading producer, distributor and trader in Mexico of lollipops, hard candy and marshmallows, most of them covered with spicy powder, was acquired.

Vero, founded in 1952, produces a wide variety of candy and jams, including hard candy lollipops, jellies and marshmallows, among others. The company has broad experience and its own technology for the production of hard candies and products made based on chile. Vero had 1,500 associates and in 2009 it generated sales of approximately $1,100 million pesos, as well as EBITDA of $220 million pesos.

The acquisition of these assets strengthened Grupo Bimbo's position in the Mexican confectionery market through its subsidiary Barcel, in addition to supporting the Company's strategy to reach all socio-demographic segments. Together with the sales and costs synergies, Vero's strength in the wholesale channel, combined with Barcel's broad retail distribution network, will provide a sound platform for continuous growth. Likewise, Vero products supplement Barcel's portfolio in the Hispanic market of the United States and represent an opportunity to increase the Company's presence in that country.

2011 On September 19, 2011, the Group acquired Fargo, the largest bread and baked goods producer and distributor in Argentina, exercising a call option for Fargo's remaining 70% interest. Fargo's acquisition included Fargo®, Lactal® and All Natural® brands.

On November 6, 2011, Grupo Bimbo acquired the fresh baking business of Sara Lee, one of the largest food processing and distribution companies at a worldwide level. Earthgrains was Sara Lee's fresh baking business in the USA, and the business value was $749 million dollars.

Derived from the transaction, the Group acquired the exclusive and perpetual license, without copyrights of the Sara Lee brand, for its use in certain fresh baking products in America, Asia, Africa and some European countries, and other renowned brands, such as Sunbeam®, Colonial®, Heiners®, Grandma Sycamore´s Home-Maid Bread®, Rainbo® and Earthgrains® and it operated 41 production plants and approximately 4,700 distribution routes, and employs approximately 13,200 associates.

On December 5, 2011, the Group acquired Bimbo Iberia, Sara Lee's fresh baking business in Spain and Portugal, for 115 million Euros.

The acquisition of Bimbo Iberia helped position the Group as the leading branded bread company in the Iberian Peninsula and boosted its international growth strategy through an established and sound baked-goods business. This acquisition included the brands Bimbo®, Silueta®, Ortiz®, Martínez® and Eagle®, among others, in Spain and Portugal, which have broad name recognition and market leadership in the bread, pastries and snack categories in these countries. It had 7 production plants, around 800 distribution routes and approximately 2,000 associates.

2012 During 2012 Grupo Bimbo obtained approval from the Department of Justice of the United States ("DOJ") to complete part of the divestitures required by the DOJ under the acquisition of the Sara Lee Fresh Baking by BBU in November 2011. Transactions include: i) license over Earthgrains® and Healthy Choice® brands in Omaha, Nebraska, in favor of Pan-O-Gold Baking Company in St. Cloud, Minnesota; ii) license over Holsum® and Milano® brands in Harrisburg and Scranton, Pa., in favor of Schmidt Baking Company of Baltimore, Maryland; iii) license over the Sara Lee® and Earthgrains® brands for bread, buns and rolls categories in the state of California, in favor of Flowers Foods, Inc; iv) license over Earthgrains® brand in Oklahoma city, Oklahoma, in favor of Flowers Foods, Inc; and (v) the license of Earthgrains® and Mrs Bairds® brands in Kansas City to Tortilla King.

On October 30, 2012, Grupo Bimbo opened "Piedra Larga", wind farm which generates a portion of the electricity consumed by Grupo Bimbo in Mexico. With installed capacity of 90 megawatts, that allows to supply the electricity consumption of the facilities (production plants and other operation centers) of the Company. Grupo Bimbo focused its attention on wind energy to meet its permanent commitment to the environment and the welfare of future generations.

On March 22, 2013 Bimbo announced the inauguration of Barcel's West plant, a 100% sustainable plant, built in the State of Jalisco, for the manufacture and distribution of snacks and confectionery in 4 different production lines.

2013

On April 5, 2013, Grupo Bimbo completed the acquisition of the brand "Beefsteak"® for $31.9 million US dollars as part of the bankruptcy proceedings of "Hostess Brands". Beefsteak® is the rye bread brand with the highest sales volume in the United States, with strong presence in parts of Midwest and Mid-Atlantic United States, which represented an important opportunity for national expansion to BBU. The transaction was completed with Company's own resources.

During 2013, Grupo Bimbo announced at the General Shareholders' Meeting the resignation of Roberto Servitje as Chairman of the Board of Directors of the Company effective as of July 1, 2013. Daniel Servitje, Chief Executive Officer, was appointed to succeed him from that date.

In October 2013, Grupo Bimbo signed an agreement with Visa Inc. of the Alliance with Blue Label Telecoms Limited and Nadhari, S.A. de C.V., in order to enable their traditional customer channel in Mexico to accept electronic payments. This agreement allowed small businesses that serve a large segment of the population in terms of the Company's sales volume nationwide, to accept electronic payments with Visa cards and other cards, and therefore, to increase sales of the Company's products in the stores. Specifically, using Blue Label and Red Qiubo Mexico, which operates a platform based on POS terminals, over 75,000 businesses in order to offer their customers products and services such as airtime cell phone sale and payment of various services.

2014

On May 23, 2014, the Group concluded the acquisition of Canada Bread, one of the leading companies in the production and distribution of bread products in Canada.

With the integration of Canada Bread´s business, the Group expanded its geographical presence in North America and Europe, reaching a new customer base in Canada and the United Kingdom, growing its product portfolio to include a new line of frozen bread as a new business line.

This acquisition is one of the most important in Grupo Bimbo´s history and a further step in its growing strategy in order to consolidate its position as the largest and leading baking company in the world and one of the most important food companies, reducing its dependence of its results in a single market. Moreover, the acquisition strengthened the geographical position of the Group, and helped to maintain solid margins, diversify cash flows and take advantage of the opportunities in the frozen bread industry. The acquisition also included the business of Canada Bread in the United Kingdom, where it is leader in the bagels category.

On June 24, 2014, the Company concluded the offer in the international markets of: (i) bonds with a maturity date in 2024, for an amount of 800 million US dollars paying an interest rate of 3.875%, and (ii) bonds with a maturity date in 2044 for an amount of 500 million US dollars, paying an interest rate of 4.875%. The Group used the resources obtained from these issuances for the refinancing of existing debt and other general corporate purposes.

Grupo Bimbo acquired Supan, the leading baking company of Ecuador. This transaction represented the debut of the Group in the Ecuadorian market, in line with its strategy to further strengthen its geographic coverage in the Americas.

2015

At the beginning of 2015, Grupo Bimbo completed the acquisition of Saputo Bakery Inc, the leading muffin company in Canada and strengthened the position of Canada Bread in the country with the Vachon®, Jos Louis®, Ah Caramel®, Passion Flakie®, Hostess® and May West® brands, among others.

Bimbo Iberia inaugurated its new factory in Guadalajara, Spain, with production capacity of 15,000 pieces per hour, thus becoming the most important industrial project in the country. In December, Grupo Bimbo celebrated its 70th anniversary.

2016 On May 2016, the Company established a sponsored American Depositary Receipts Level 1 ("ADR") program in the United States of America under the ticker symbol "BIMBOY".

On July 21, 2016, Grupo Bimbo acquired Panrico, one of the leading companies in the baking industry in Spain and Portugal, excluding branded packaged bread.

On September 14, 2016, the Company made a successful Notes issuance in the Mexican market for a total amount of Ps. 8,000 million pesos, with a 10-year term and a fixed annual interest rate of 7.56%.

2017 At the end of 2017, Grupo Bimbo acquired East Balt Bakeries for an amount of USD$650 million, free of cash and debt. East Balt was founded in 1955, world leader in the high-speed manufacture of bread products and serves mainly to the quick service restaurant industry (QSR). East Balt had 21 plants located in 11 countries in America, Europe, Asia and Africa, as well as 2,200 associates. East Balt has long-term business relationships with the main customers in the fast food restaurant industry in the world (including McDonald's, Wendy's, KFC, Burger King, Pizza Hut, YumChina, Subway and Nando's, among others). East Balt maintains a broad portfolio of high-quality baked goods, including fresh and frozen buns and muffins, bagels, cookies, tortillas and other artisanal products.

On May 25, 2017, Grupo Bimbo entered into a strategic alliance by means of which it acquired 65% of the capital stock of Ready Roti India Private Limited, or Ready Roti. Founded in 1993 and with annual sales of approximately USD$48 million in 2016, Ready Roti is the leading baking company in New Delhi and its metropolitan area.

During the first quarter of 2017, Grupo Bimbo closed the acquisition of Adghal in Morocco, a company with estimated annual sales of approximately USD$11 million in 2016. Adghal sold baking products in three production plants and had more than 200 associates. With this acquisition, Grupo Bimbo managed to expand to the African continent.

Moreover, during the first quarter of 2017, Grupo Bimbo closed the acquisition of Stonemill Bakehouse, a company in Canada that had estimated annual sales of approximately CAD$18 million in 2016. Stonemill had a production facility in Toronto, Canada and is known for its slow-working artisanal processes. Stonemill has an excellent brand position and recognition for the use of organic ingredients. This acquisition boosted the Company's growth in the Canadian market.

On October 6, 2017, Grupo Bimbo successfully carried out an issuance of stock certificates in the Mexican market for a total amount of $10,000 million pesos, with a term of 10 years and a fixed annual interest rate of 8.18%.

On November 10, 2017, Grupo Bimbo successfully carried out a bond issuance in the international markets for a total amount of $650,000,000 million dollars, maturing in 2047 and with a fixed annual interest rate of 4.70%.

2018 On 12 February 2018, a binding agreement was executed for the acquisition of Mankattan Group, a key player in the banking industry in China. Mankattan produces sliced bread, cakes, buns and yudane (Japanese style sandwich bread), among other baked goods for distribution in different channels such as traditional, modern and QSR. This acquisition strenghtened the Group's competitive profile, it expanded and consolidated even more its presence in Asia.

Grupo Bimbo issued $500,000,000 million in Subordinated Perpetual Notes at a rate of 5.95%. The Company used the proceeds from this offering for the refinancing of existing indebtedness, and the financing of the Mankattan acquisition and capital expenditures among

other general corporate purposes. This was a new instrument for Grupo Bimbo, making it the first hybrid bond issued by a Mexican consumer company.

In addition, the Group concluded the acquisition of Alimentos Nutra Bien, a Chilean company in sweet baked goods that produces, commercializes and distributes brownies, cakes, cookies and other products in one plant. This acquisition complemented the portfolio of products through its major brands and expanded the reach of distribution increasing penetration, especially in the traditional channel.

On December 7, 2018, Grupo Bimbo together with other private companies entered into an agreement with the federal government to collaborate in the development of Mexico´s labour force opening its doors to 2,000 "Youth Building the Future" (*Jóvenes Construyendo el Futuro*) in 2019, so that they could received training and work experience in the company´s strategic areas.

Finally, the Company became the first company in Mexico to produce Clean Energy Certificates for Distributed Generation. This initiative was achieved thanks to the collaboration of the public and private sectors. It will contribute to achieve Mexico's clean energy goal of using 50% clean energy by 2050. In addition, it will help qualified users and companies in the new Mexican wholesale market that are required to purchase at least 5% of their energy from clean sources in 2018.

2019 On August 2, 2019, the acquisition of Mr. Bagels, a plant of fresh and frozen bagels in the United Kingdom, was completed.

On September 3, 2019, Grupo Bimbo issued US$600,000,000 aggregate principal amount of 4.00% notes, due 2049. The Company used the proceeds from this offering to redeem a portion of its outstanding 4.875% Notes due in June 2020. The transaction was rated Baa2/BBB/BBB by Moody's, S&P and Fitch.

On November 1, 2019, Barcel S.A. de C.V. spin off the confectionery business, arising as a result Productos Ricolino S.A.P.I de C.V.

2020 On January 2, 2020, the Company, through its subsidiary BBU, acquired the frozen bagels business of the Lender's de Conagra Brands brand.

On February 13, 2020, the Company, through its subsidiary Bimbo QSR, signed joint venture with Food Town, the exclusive supplier of buns and franchisee of McDonald's in Kazakhstan. This strategic partnership, in which Grupo Bimbo holds a 51% stake, strengthens Bimbo QSR's manufacturing footprint, and enables greater alignment and support for QSR customers in Central Asia. In addition, with this operation Grupo Bimbo expanded its global presence to 33 countries.

On March 25, 2020, Grupo Bimbo disposed of US$720 million of its committed revolving credit facility, which has a total value of US$2 billion. The resources were used to refinance the bond maturing in June 2020 with a value of US$200 million and the remainder was used to increase the liquidity of the Company, prioritizing flexibility and financial strength as a precautionary measure against the uncertain environment derived from COVID -19. Thanks to the solid generation of cash flow, the revolving line was fully paid at the end of the year.

On May 13, 2020, through one of its subsidiaries, the Company acquired 35% of the shares of Ready Roti India Private Limited or Ready Roti, thus complementing the acquisition made in May 2017 and thus obtaining 100% of the representative shares of the capital of the company.

On June 30, 2020, the Company completed the acquisition of the Paterna plant from Cerealto Siro Foods in Valencia, Spain. This plant produces packaged bread and buns for Mercadona, under the brand Hacendado. The acquisition strengthened Grupo Bimbo's profile in the country, complementing its customer reach to better serve more consumers.

On October 19, 2020, Grupo Bimbo announced the cancellation of 169,441,413 shares in accordance with the resolution of the Extraordinary General Shareholders' Meeting. These shares were acquired as part of the share buyback program and represented about 4% of the total shares outstanding.

Grupo Bimbo acquired the majority stake in its strategic alliance, Blue Label Mexico now known as BimboNet Servicios. This business provides a wide range of services to small merchants in Mexico, such as electronic airtime sales, payment of services, payments with credit, debit and grocery vouchers and cash withdrawal transactions. Grupo Bimbo's commercial brand is Qiubo and with this transaction the Company seeks to promote growth and productivity in the traditional channel using technology.

IRI named Grupo Bimbo the fastest growing consumer company in the United States in 2020.

2021 During the year, Grupo Bimbo reached a record level in terms of capital investments after having invested more than one billion dollars, of which 45% were allocated to growth and expansion projects and the rest to business continuity and improvement. profitability throughout the value chain.

In addition, the Group completed six acquisitions during the year. In chronological order, the Company acquired Modern Foods, a leading player in South India, which manufactures and distributes baked goods at its seven bakeries.

The Group also completed the acquisition of Emmy's Organics in the United States, the leader in ultra-premium organic cookies and a relevant player in the gluten-free cookie category. This acquisition represented Grupo Bimbo's entry into the rapidly growing healthy sweet baked goods and cookies market.

Also, in June, the Group acquired Cerealto Siro Foods in Medina del Campo, Spain. This state-of-the-art plant manufactures sweet baked goods for Mercadona and other customers and allows the Company to enter the private label sweet baked goods market in Spain.

In addition, the Company acquired Popcornopolis in the United States, one of the fastest growing popcorn brands in the retail channel. This acquisition marks Grupo Bimbo's entry into the attractive popcorn category in the United States, which is an excellent platform for innovation.

The Group also acquired Aryzta do Brasil, a relevant player in the QSR baking industry in the country, specializing in hamburger buns and breadsticks/baguettes, with a growing business in the segment of sweet and salty baked goods.

Finally, in October the Company acquired Kitty Industries, the second largest producer in the baking industry in North India. Kitty Industries produces white, whole grain, grain-based and fruit bread, among other products in a strategically located bakery.

In terms of sustainability, in September the Company debuted in sustainable financing with the renewal of its committed revolving credit facility for an aggregate amount of $1,750 million US dollars, through a loan linked to two areas of sustainability: energy and water. Moreover, Grupo Bimbo announced its commitment to achieve Net Zero Carbon Emissions by 2050. With this, Grupo Bimbo became the first Mexican food company to commit to the "Business

Ambition for 1.5°C" and join the United Nation's Campaign "Race to Zero" , with targets established and validated by Science Based Targets.

On May 12, 2021, Grupo Bimbo, through its subsidiary BBU, issued $600,000,000 US dollars in senior notes in the international markets maturing in 2051 according to Rule 144 and Regulation S of the U.S. Securities Act.

2022 On November 1st, 2022, Grupo Bimbo completed the sale of its confectionery business, "Ricolino", to Mondelēz International, Inc. for a total of $25,797 billion Mexican pesos (US $1.367 billion). This decision reflects Grupo Bimbo's strategic focus on grain-based foods, specifically in the categories of baking and snacks.

In addition, the Group acquired St. Pierre, a leading baking player in premium brioche category in the United States and the United Kingdom.

By the end of 2022, Grupo Bimbo reached a record level of capital investments, having invested more than US $1.4 billion, of which 36% were allocated to growth and expansion projects, and the rest to business continuity and improving profitability throughout the value chain.

Finally, due to the conflict between Russia and Ukraine, and in line with the Group's values, sales of the Bimbo brand in Russia, as well as all new capital investments and advertising in the country, have been suspended since March 14, 2022.

2023 During the year, the Company made changes to its leadership team. These changes are consistent with its succession plan and long-term vision. Rafael Pamias, Deputy General Director of Grupo Bimbo, was appointed Chief Operating Officer of the Group. He will also serve as Director of Sustainability and Global Marketing, reporting directly to Daniel Servitje. Following Fred Penny's retirement, Tony Gavin, Deputy General Director of BBU, became President of BBU. As President of BBU, Tony will report to Mark Bendix, Deputy General Director of Grupo Bimbo, whose responsibility will be expanded to include BBU, in addition to Bimbo Canada and Bimbo QSR.

Grupo Bimbo reached a record level of capital investments, having invested $2 billion USD, of which 79% were allocated to value chain activities, including high-profitability projects, expansion/growth, and business continuity in manufacturing, logistics, and sustainability.

Grupo Bimbo completed six acquisitions. In chronological order, the Company acquired: (i) Vel Pitar, a leader in the Romanian baking industry, expanding its presence to 34 countries. (ii) Natural Bakery in Winnipeg, Canada, which specializes in a wide variety of rye breads. (iii) Twin City Bagel Inc. in the United States of America, a high-quality bagel co-manufacturer. (iv) Mile Hi Bakery in Colorado, United States of America, a manufacturer of buns and English muffins for the QSR channel. (v) the majority stake in its QSR operations in Switzerland, now holding 60% of the business, and (vi) Amaritta Food, a Spanish company specializing in gluten-free bread research and development.

During the first half of the year, the three credit rating agencies, Moody's, Fitch, and S&P, increased their global credit ratings. Moody's from BBB to Baa1, and S&P and Fitch from BBB to BBB+.

Grupo Bimbo renewed its committed revolving credit facility linked to sustainability, extending its size from US$1.75 billion to US$1.931 billion. It also successfully placed sustainability-linked bonds in the Mexican market for a total of $15 billion pesos and finally issued US$1 billion in International Notes through BBU.

In terms of ESG, Grupo Bimbo was included for the first time in the Bloomberg Gender Equality Index 2023 and was recognized by the Carbon Disclosure Project (CDP) with an "A" rating for its actions to mitigate the effects of climate change.

The table below is a list of the acquisitions carried out by the Company in the last 3 years:

Date	Company	Country
2023		
November 30	Amaritta	Spain
September 8	Mile Hi Bakery, Inc	USA
September 1	Fortisa AG	Switzerland
July 10	Twin City Bagel Inc.	USA
April 14	Natural Bakery	Canada
January 9	Vel Pitar	Romania
2022		
September 22	St. Pierre	USA and United Kingdom
2021		
October 26	Kitty Industries	India
October 13	Aryzta do Brazil	Brazil
September 17	Popcornopolis	USA
June 1	Medina del Campo	Spain
May 11	Emmy's Organics	USA
February 17	Modern Foods	India

iii) Recent Events

Grupo Bimbo appointed Daniel Servitje as Executive Chairman and Rafael Pamias as CEO of the Company, effective May 1, 2024.

For the second consecutive year, the Carbon Disclosure Project recognized the Group for its efforts to combat climate change, achieving an "A" rating in the ranking, which highlights companies with the best environmental strategies in the world.

In early 2024, Grupo Bimbo successfully completed four acquisitions:

- Trei Brutari, a producer of bread and cookies in Romania, and three franchises.
- Moulin d'Or, a market leader in packaged sweet bread in Tunisia, expanding Grupo Bimbo's presence to 35 countries.
- Minority stake in UNO, a leader in packaged bread in Turkey.
- Finally, La Zarcereña, the leader in sweet bread and a participant in the cookie and snack industry in Costa Rica.

Grupo Bimbo reported the passing of Mr. Mauricio Jorba Servitje, Member of the Board of Directors.

Grupo Bimbo signed the United Nations Principles for the Empowerment of Women globally.

On January 4, 2024, Grupo Bimbo announced the successful reopening of the 2029 Notes for US$450 million with a coupon of 6.05% and placed US$800 million of 2036 Notes with a coupon of 5.375% through BBU.

On April 17, 2023, Grupo Bimbo exercised the option to redeem, on the first repurchase date, all of the subordinated perpetual notes issued on April 17, 2018, in the international markets for $500,000,000 U.S. dollars, pursuant to Rule 144A and Regulation S of the USA.

On March 13, 2024, the Company entered into a credit line with HSBC Mexico, S.A., Institución de Banca Múltiple, Grupo Financiero. The total amount is US$125 million with maturity on March 15, 2029. This credit line has an applicable interest rate of SOFR plus 1.20%. The line has been fully drawn since March 13, 2024.

b) BUSINESS DESCRIPTION

Grupo Bimbo is the leading and largest baking company in the world and a relevant player in snacks. At the end of this report, the Group has 217 bakeries and other plants, along with over 1,500 strategically located sales centers across 34 countries in the Americas, Europe, Asia and Africa. Its main product lines include sliced bread, buns & rolls, pastries, cakes, cookies, toast, English muffins, bagels, tortillas and flatbread, and salty snacks, among others. Grupo Bimbo produces over 9,000 products and has one of the largest distribution networks in the world, more than 57,000 routes and more than 149,000 associates. Its shares are listed on the Mexican Stock Exchange (BMV) under the ticker symbol BIMBO and on the United States OTC market through a Level 1 ADR program, under the ticker symbol BMBOY.

i. Main Activity

1.1 Strategy of the Group during 2023

Grupo Bimbo's operating approach is guided by the philosophy of building a sustainable, highly productive, and deeply humane company to nourish a better world. The Group always aims to maximize the value of the business, with a consumer-centric approach and the goal of delivering delicious and nutritious baked goods and snacks in the hands of all.

To achieve its goals, the Group is continuously focusing on the following key strategies:

- ***Beloved Brands with Purpose*:** Grupo Bimbo continuously strives for sustainable growth through a long-term plan towards developing and managing enduring, transparent, and iconic brands for people, communities, and the environment, while maintaining closeness with its consumers and customers. The Company believes its brands are a key element of its strategy in a rapidly changing environment and aims to continue offering delicious and nutritious products, innovating in the market, and gaining consumer preference. Leveraging its global presence combined with a deep understanding of local markets, the Group aims to develop a robust portfolio of brands, products, and categories that best meet consumer needs. It expects that the use of technological platforms will redefine communication with consumers and customers, allowing it to capitalize on their feedback. The assertive use of this feedback and other social listening tools enables the Company to monitor consumer sentiment, strengthen emotional connections to its products, anticipate consumer reactions, and develop new trends. Additionally, through investment in its brands, it will achieve greater diversification of its product portfolio, covering various consumption occasions and increasing market share and household penetration. Grupo Bimbo will continue to invest and focus efforts globally to ensure its brands remain a benchmark for high-quality food products.

- ***Universal Presence with Superior Execution*.** The Group plans to continue expanding its global reach through appropriate distribution models for each market, as well as an omnichannel strategy that strengthens local execution to ensure the delivery of suitable products with maximum quality and freshness at the point of sale. In a win-win relationship, the Company expects to continue capturing opportunities in different channels to become the preferred distributor of its customers, leveraging its global experience, replicating best practices, and strengthening its marketing capabilities to increase efficiency, effectiveness, and market penetration in current and new markets. To anticipate its consumers' purchasing decisions, Grupo Bimbo leverages the installed capacity of its value chain and invests in new technologies such as automation, data analytics, artificial intelligence, and machine learning to achieve scalable efficiencies and superior execution at the point of sale. The information obtained from sales points and distribution channels allows the Group to customize its product portfolio and promotions to meet the diverse needs of its consumers and customers. Additionally, it enables adjusting the commercial strategy and responding more accurately to consumer preferences, offering the right products for each point of sale at the precise moment and with maximum freshness and quality. In 2023, it made significant progress exceeding 70% in the global implementation of Oracle, the cloud-based ERP, expecting to strengthen its agility

and efficiencies to react faster to operational and customer needs. For example, cloud-based transportation management systems provide better insights to its supply chain teams, streamlining individual shipments, reducing costs, and emissions, which is a key component of its sustainability strategy.

- ***Path towards our Purpose of Nourishing a Better World:*** The Group's sustainability strategy focuses on the following three pillars and eight lines of action with clear and solid commitments:

    - For You: contributing to better nutrition through planet-friendly diets with simpler and healthier recipes. The main lines of action focus on (i) improving the nutritional profile of its products, (ii) promoting superior plant-based diets, and (iii) strengthening its brands through information that helps people make better decisions about their diet. All Company products are developed following the highest standards of quality and food safety.
    - For Life: through two lines of action, (i) supporting its communities and (ii) caring for people, the Group seeks to strengthen ties and partnerships with its associates and the communities it serves, committing to becoming a better place to work every day, ensuring equal opportunities and fair treatment through its Golden Rule: respect, justice, trust, and affection.
    - For Nature: maintaining the Group's commitment to sustainability from design, with continuous development of processes throughout its value chain aimed at preventing harm to the planet and restoring natural ecosystems. The focus includes a plan divided into three lines of action: (i) Zero Waste, (ii) Net Zero Carbon Emissions, and (iii) Regenerative Agriculture.

  In line with this strategy, in 2021, the Company announced its commitment to Zero Carbon Emissions by 2050, becoming the first Mexican food sector company to commit to the 1.5°C Business Ambition and join the United Nations' Race to Zero Campaign with targets established and validated by the Science Based Targets Initiative, or SBTi.

  Technology is also at the center of the Group's sustainability strategy. To achieve its objectives, Microsoft Cloud for Sustainability is being implemented, which is expected to enable the collection, tracking, and analysis of strategic metrics for better decision-making.

- ***Fast-Paced Innovation in products.*** The Company aims to drive innovation in the food industry and shape the future of baking. One of Grupo Bimbo's main strategies is to become a consumer-centric organization, focusing on the analysis and knowledgeregarding global mega-trends that impact the food industry, as well as consolidating a robust ecosystem with internal and external stakeholders whose capabilities allow them to create conditions that foster innovation. Grupo Bimbo has made efforts and investments to strengthen the superiority of its products, working to deploy innovation not only in products but also in processes, technology, and business models. The Group has strategically located innovation centers to conduct research, application, and replication of various technologies, as well as consumer experimentation laboratories, akin to "kitchens," which blend science with the art of baking and snack preparation while conducting studies to better understand consumer preferences. Through Bimbo Ventures, its business unit focused on seeking technological solutions in innovative ecosystems worldwide, the Company works and invests in promising startups that provide disruptive solutions for new products, ingredients, synthetic biology, packaging, digital marketing, eCommerce, business models, data science, digitalization, and operational optimization. This commitment aims to exceed consumer expectations, increase brand awareness, and frequency of consumption. The Group has also embraced new technologies and is leveraging the Internet of Things to achieve greater commercial and operational efficiencies across the value chain. Furthermore, it aims to continue leveraging its portfolio of leading brands as a platform to launch innovative, relevant, and value-added products and to develop new product lines, formats, and categories. For example, in 2023, five brands were exported from their country of origin to other regions and/or countries, such as the case of the Cero Cero® brand, created in Mexico and exported to Latin America and other countries, contributing to the portfolio of healthy bread. The

Group's commitment to the well-being of its consumers is a key factor in its innovation efforts, reflected in the continuous improvement of the nutritional profile of products, simplifying recipes, offering "clean labels," providing maximum nutritional quality, as well as improving packaging (reducing the amount of materials used and using biodegradable packaging or conducting post-consumption circular economy exercises).

- ***Efficient End-to-End Value Chain****.* In Grupo Bimbo, a culture of improvement, efficiency, effectiveness, and value creation throughout the value chain is fundamental to ensure an operational policy focused on promoting productivity, profitability, and long-term value. Similarly, an optimal cost structure is a key element to maximize resources and reduce the environmental footprint, creating a solid, sustainable, and resilient business model that allows the Group to strengthen its financial leadership and positive social impact. Grupo Bimbo strives to implement robust strategies to develop and distribute nutritious and delicious products while reducing waste generation, emissions, and environmental impact, enhancing and simplifying its production, procurement processes, and distribution network. All of this is aimed at operating its value chain in an agile, efficient, and flexible manner. The Group invests in its associates, equipment, and cutting-edge technological infrastructure to remain a highly productive company. Likewise, it operates under the highest quality and safety standards while integrating sustainability objectives throughout the business. In 2023, capital investment projects were executed for a total amount that reached a historical maximum in Grupo Bimbo's history, totaling USD $2.037 billion, of which 79% was allocated to value chain activities, including high-profitability projects, expansion/growth, and business continuity in manufacturing, logistics, and sustainability; the remaining investment was directed towards optimizing the distribution network and accelerating digital transformation. As part of this strategy of asset complementation, renewal, and transformation, new production centers were inaugurated in various geographies such as the United States of America, Mexico, and El Salvador in 2023.

- ***Commitment to our People.*** Grupo Bimbo is a company that strives to be a deeply humane company and, since the beginning of its operations, its associates' wellbeing and safety have been and will continue to be the top priority. The Group's more than 149,000 associates everyday contribute to the sustainability and competitiveness of the business, as well as to the quality of each product, and are of high importance to the company's continued growth and success. The engagement of its associates and their commitment to the Group's culture is paramount to the organization. Its associates play a key role in understanding markets and the needs and preferences of consumers to anticipate changes and effectively respond to new trends. The Group is committed to improving the skills of its associates at all levels and providing them with opportunities to achieve their maximum potential. As a result of this commitment, approximately 3.8 million hours of training were provided in 2023. Additionally, Grupo Bimbo invests in its associates through the *Grupo Bimbo University*, an internal digital platform for training and development systems, which covers a wide variety of leadership and technical skills courses. The personnel management model is designed to convey the Group's passion for serving consumers, distributors, shareholders, and communities, inspiring pride and belonging to the organization. It is believed that these efforts have yielded results, as evidenced by having an experienced, capable, and loyal team. For Grupo Bimbo, the safety and physical and mental well-being of its associates are a priority, which is why it constantly promotes initiatives aimed at fostering a culture of self-care. To achieve this, it has implemented a Safety and Well-being Model globally across all its workplaces, with objectives including: (i) consolidating a culture of safety and well-being, (ii) reversing the accident trend, (iii) achieving zero accidents, and (iv) self-managing a healthy lifestyle. This model was recently updated to make safety management more efficient and strengthen its structure, which includes Committees, Subcommittees, and Commissions made up of associates from all levels and areas. Among their objectives, these Committees analyze risks for timely detection and mitigation, monitor behaviors to identify and correct unsafe practices, and, in the event of accidents, incidents, or fire incidents, take actions to prevent their recurrence. Regarding health care, well-being, and work-life balance, Grupo Bimbo manages a model that seeks to promote health and control physical and psychosocial risks in the workplace by promoting five pillars: Occupational Health, Proper Nutrition, Physical Activity, Work-Life Balance, and Work-Life Balance, all through its Well-being Model. Through these

actions, Grupo Bimbo has implemented guidelines and standards to preserve safety and promote healthy habits among its associates in order to improve their well-being and quality of life. Among the highlights in 2023 are: a 9% reduction in the Total Recordable Incident Rate (TRIR) compared to 2022 and significant investments in fire prevention systems and installation of technologies that enable timely detection of potential fire sources

- ***Constant Growth, While Boosting Profitability.*** The Group seeks to maximize its key strategies to continue growing organically and/or through strategic acquisitions. In particular, the company continues to expand its existing brand and product portfolio, solid asset base and geographic footprint to increase the markets in which it operates. The Group believes that India is a market with high potential for continuous growth in the long term and plans to continue expanding through the offer of high quality products elaborated with innovative techniques. Grupo Bimbo seeks to extend its geographic reach while maintaining a strategic balance between developed markets and high-growth markets. Grupo Bimbo intends to enhance diversification and increase penetration across distribution channels to reach a broader consumer base. Through its division Bimbo QSR ("Quick Service Restaurants"), the Group expects to take advantage of a high growth and profitability industry. Its committed to deliver products for every lifestyle and preference, pursuing "stomach share" at every consumption occasion, in more homes and markets every day. In addition, it is planning to leverage on its business platform and experience in the snacks category to target on-the-go consumption. In the face of its recent growth, the company plans to challenge itself every day to improve its products, its operating efficiency, profitability and cash flow generation.

- ***Solid Financial Management and Policies.*** The Company's financial governance ensures effective and responsible management of financial resources, mitigates risks, and provides flexibility to meet its short- and long-term objectives, demonstrating its commitment to a strong investment grade. Grupo Bimbo's financial policy encompasses the following strategies: (i) commitment to maintaining a solid balance reflected in its robust and resilient capital structure, (ii) financial flexibility and significant liquidity, supported by its committed revolving credit faciltiy of USD$1.93 billion, (iii) efficient working capital management, reflected in its continuous efforts to improve working capital and value creation initiatives, (iv) focus on reinvestment, prioritizing long-term growth and profitability, and (v) conservative risk management policies aligned with its corporate strategy, leveraged by the efforts of its risk management teams to hedge raw materials, currency, and interest rate risks. Additionally, the Group periodically evaluates its financial governance to enable continuous improvement and alignment with changing financial environments and regulatory requirements to further expand its portfolio of brands and products, as well as its robust asset base to increase its geographical footprint, market share, and penetration.

1.2 Strengths of the Group during 2023

Grupo Bimbo has built a leadership position through a deep understanding of the baking industry, focusing on creating memorable experiences for its consumers with every bite; developing enduring brands; establishing efficient operations and investments in its production and distribution platform; as well as making strategic acquisitions. All of this under a culture that's fully human sustainable, of innovation, and of replication of best practices. The Group believes that the following strengths distinguish it from its competitors and will enable it to expand and consolidate its leadership position, successfully achieving its strategy for sustained and profitable long-term growth:

- ***Leading Player in the Global Baking Industry and a Relevant Participant in Snacks.*** According to the last report of Euromonitor (2022), Grupo Bimbo is a global consumer food company, the leader in the baking industry and a relevant player in the snacks industry, in terms of sales. The quality and breadth of its products allows the Group to offer its consumers a wide range of attractive alternatives for every consumption occasion. The Group believes that its geographic diversification with a balanced presence in emeging and developed markets, its solid asset base, its experience and knowledge in consumer preferences, its commitment to innovate and enhance the nutritional profile of its products, its operating efficiency and its capacity to generate cash flow, provide the Group with significant advantage over its competitors. In addition, the scale and strength of the

production platform and distribution network, along with the Group's reinvestment and long-term view business model, allow them to respond quickly and effectively to the diverse and changing needs of the markets it serves in a cost effective manner.

- ***Differentiated Portfolio with Highly Recognized Brands.*** The Group's brands are a key element for its leadership positioning and differentiation. After 78 years in the baking industry, Grupo Bimbo has succeeded in creating and managing both global and regional brands, such as Bimbo®, Oroweat®, Thomas®, Barcel®, Marinela®, and Entenmann's®, to identify a diversified portfolio of top-quality, healthy, nutritious, and indulgent products. Several of its brands are leaders in the markets and categories in which they participate. According to IRI data from 2023, Thomas'® is the number one brand in the English muffins and bagels categories in the United States of America. In Canada, Dempster's® is the top-selling brand in packaged bread, according to Nielsen data. In Mexico, the iconic brand Bimbo® leads the bread category, while Marinela® leads the snack cake market. Additionally, in Spain, Donuts® holds top positions in the doughnut subcategory according to Nielsen. In the eleventh edition of the "Brand Footprint" study from 2023 published by Kantar Worldpanel, the Bimbo® brand appears as the brand with the highest penetration in Mexican households in the food sector. Additionally, the Bimbo® brand ranked first as the most chosen brand in the food category in Mexico, third in Latin America, and sixteenth globally. The Group utilizes its portfolio of leading brands as a platform for launching innovative products, while leveraging its scale and global reach. For example, the Artesano® brand was developed in Colombia and is currently present in 20 countries, being the number one brand in the packaged bread category in the United States of America since 2018, according to IRI (2023). The Group's brands seek to meet the needs of consumers according to their different consumption moments, creating a greater presence in consumers' daily lives. It has a strong portfolio of brands; each of its brands is targeted at a specific consumer segment and backed by a strategic marketing plan..

- ***Extensive Direct-Distribution Network, Bakeries and State-of-the Art Production Facilities***. Grupo Bimbo has an extensive world-class direct-distribution network along with strategically located highly automated production plants. Its global reach combined with strong local presence enables the Group to guarantee maximum quality and freshness of its products. The distribution network has one of the largest fleets in the Americas, which is being upgraded with internally developed alternative fuel vehicles and electric vehicles to cover its more than 57,000 distribution routes worldwide. The Group believes it maintains an efficient and sophisticated logistics operation. Its agile distribution and manufacturing network allow it the flexibility to reconfigure to increase its presence in growing channels, leveraging its scale and learning capabilities. The nature of the products requires local management of the industry, hence the need for a highly efficient operation. Its distribution network allows it to deliver its products to points of sale to ensure freshness and quality, meeting the needs of each type of customer, from supermarkets to family businesses and the fast-food channel. The fleet travels an average equivalent of 107 trips around the world daily to deliver fresh products to its customers. Additionally, Grupo Bimbo has sustainable state-of-the-art bakeries and other plants that enable efficient operations, waste and emissions reduction, and optimization of energy and water use. The solid and reliable production platform includes 217 bakeries and plants around the world, allowing the Group to produce over 31 million equivalent units daily. Its extensive distribution channels and efficient and productive assets ensure product availability anytime and anywhere it operates. To respond quickly and effectively to consumer demand and preferences, Grupo Bimbo utilizes agile and flexible cutting-edge technology that allows it to adjust production of its products according to different price categories and formats, as well as adjust its routes and delivery frequency in a short span of time and at a low cost. The Group is constantly investing in improving the distribution network and production plants to continue supporting its growth, profitability, and market penetration.

- ***Strategic Diversification of Geographies, Channels and Caterogies, with Balanced Presence in Established and Developing Markets.*** The Group believes that it has a diversified and balanced portfolio of products for each distribution channel, which allows them to reach a broad consumer base and gives access to broader consumption ocassions. The Group's disciplined approach to acquisitions and organic growth is centered on a balanced expansion of its geographic footprint

across developed and emerging markets (which represented 58% and 42% of net sales for the year ended December 21, 2022, respectively), strengthening its presence in its different distribution channels, adapting its strategy and product portfolio to the regions where it operates, achieving economies of scale. The diversification of its revenue stream reflects its international character and reduces dependence on any single region and currency. In the last ten years, the Group has increased its exposure to international markets primarily through acquisitions. In 2011, more than 60% of its profits derived from its operations in Mexico, compared to 46% during 2022. The Group believes that its selective geographic footprint, its global scale, its consistent marketing efforts and its category and channel diversification, positions the Group ahead of its competitors to take advantage of the highly fragmented baking industry, the development of new markets such as Asia and the growth potential of alternative distribution channels such as the QSR and digital channels. Its presence in developed and emerging markets, allows the Group to tackle the diversity of growth opportunities and the pace of change in the categories in which it participates. The installed capacity of Grupo Bimbo allows access several channels, including traditional, modern, wholesale, fast food, among others, and share innovative products, processes and technologies across different regions and channels.

- ***Product Development and Innovative Processes.*** Grupo Bimbo offers consumers a variety of categories, prices, flavors, and presentations to cover different consumption occasions. Grupo Bimbo has gained deep insights into its consumers and markets as a result of its experience and research, investment in technology, and digital transformation, as well as feedback from its sales force. The quality of its market intelligence allows it to identify and create new trends and provide the right products for each point of sale at the right time. The Group is constantly developing new avenues of knowledge and innovation to add value to its customers and consumers in its key markets through its Connection Center platform and its digital platform TConecta, which continues to expand in the traditional Mexican channel. Through GB Connected, its "Internet of Things" platform, they have connected 166 of their 217 bakeries and other plants, providing real-time data to accelerate decision-making. Additionally, in line with its sustainability strategy "Para Ti," the Company reformulates its products to improve their nutritional value by reducing certain components (added sugars, high fructose corn syrup, artificial colorings and flavorings, saturated fats, trans fats, sodium, among others) and including nutrients (such as fiber, whole grains, and protein). By the end of 2023, 98% of Grupo Bimbo's daily consumption portfolio is free of artificial flavorings and colorings, and 95% of its daily consumption portfolio is classified as "healthy" according to international standards of the Healthy Star Rating System. Similarly, the Group works on simpler and more natural recipes through a clean labeling strategy, with ingredients that can be easily read, while seeking to be the preferred choice of consumers.

  The Group also invests in the automation of its production facilities and artificial intelligence, from its supply chain to its distribution network and consumer feedback. Through innovation centers and strategic partnerships with institutions, research centers, doctors, and experts, as well as authorities in food and health, it aims to continue offering value-added, differentiated, and relevant products to maintain and grow its leadership in the baking and snack industries. In its ongoing effort to promote the development of its business and sustainability objectives, the Group continues to generate strategic alliances through Bimbo Ventures by investing in promising startups that offer disruptive solutions to develop new products and innovate in technology and ingredients, among others.

- ***Efficient Production Capabilities and Low-Cost Business Model.*** Grupo Bimbo believes that its ability to operate efficiently and cost-effectively is a strength that will enable it to continue growing. Its commitment to efficient operations increases its ability to provide consumers with the highest quality products at the lowest possible cost. Grupo Bimbo dynamically manages its value chain to achieve cost reduction. Initiatives aimed at making Grupo Bimbo a low-cost producer include achieving savings through waste reduction, technological innovations (such as digitization, artificial intelligence, and automation), and generating economies of scale in the production and distribution of its products. In line with its global procurement initiative, the most competitive raw material suppliers are selected based on various factors, including price competitiveness, delivery time, response time, quality, innovation, and sustainability. The Group uses cutting-edge technology to

increase efficiency and optimize the use of energy and water in bakeries, plants, and sales centers. Additionally, it frequently reviews the location of its production plants and sales centers based on demographic aspects, supply chain and distribution efficiencies, and the needs and trends of each market. For example, in the USA, the integration and restructuring efforts implemented after the acquisitions of Weston® and Sara Lee® helped transform the Group into one of the largest consumer product providers operating at a high level with fewer resources than the entities acquired. The synergistic acquisition completed in Iberia achieved a similar result. To improve the Group's competitive position and incentivize its efficiency, it had a record level of $34.754 million (US$2.0 billion) in capital investments in 2023 and opened 3 bakeries and plants without considering acquisitions, closed 4, and reclassified 1 bakery compared to 2022.

- ***Leadership of the Management Team that Trusts, Empowers and Inspires Associates.*** The Group is led by a deep bench of capable, tenured, agile and flexible senior management who live and demonstrate the culture that has distinguish Grupo Bimbo throughout the evolution of its business. Grupo Bimbo’s management team has implemented innovative ideas and best practices in production and distribution, and has carried out over 60 acquisitions during the past fifteen years which have resulted in significant synergies and growth, both for people and the business. The focus on operating nimbly and sustainably way towards value creation, has allowed the Company it to grow organically and through acquisitions generating profitability and cash flow in uncertain and dinamic envoriments. The senior management team is supported by more than 149,000 associates that contribute every day with their commitment and talent. Associates are at the core of the organization and are a crucial element for the business, that allows the Group to maintain its brand-customer relationship, which distinguishes them from its competitors as a sustainable, highly productive and deeply humane company.

- ***Solid financial position resulting from healthy financial policies and management.*** The Company's financial policy encompasses a long-term vision and reinvestment initiatives aimed at expansion, growth, profitability, and cash flow generation while maintaining its objectives of low-cost production. The Group has demonstrated strong financial discipline, maintaining prudent ratios and adhering to strict financial governance policies. The Group maintains a healthy balance sheet and a solid and resilient capital structure, which is reflected in the recently upgraded ratings to BBB+ from Standard & Poor's and Fitch Ratings, and Baa1 from Moody's, allowing it to become the highest-rated player among its peers in the global market. Its balanced capital structure reflects a well-diversified financing profile, reducing reliance on a single financial market. Overall, the Company's strong financial policies have provided a solid foundation for long-term success in the highly competitive baking and snacks industries.

- ***Commitment to Sustainability and Distinctive Corporate Culture.*** The Group’s unwavering commitment to actions that benefit its associates, communities and environment, as well as its culture of passion, dedication and customer service, constitute its way of doing business. In 2021, the Group launched a sustainability strategy called "Nourishing a Better World," which evolved from isolated actions to mitigate the impact of its operations to sustainable lines of action from design, also contributing to the United Nations Sustainable Development Goals and integrating a double materiality approach. The Company remains focused on efforts towards the goals established in its sustainability strategy. During 2023, it achieved that 98% of its daily consumption portfolio is free of artificial flavors and colors, used the Health Star Rating System methodology to evaluate the entire portfolio to provide greater transparency in nutritional quality, and installed over 130,000 solar panels and more than 150 photovoltaic roofs. By the end of the year, it operates with 100% renewable electricity in 27 countries. The Carbon Disclosure Project has rated the Company with the highest score in actions to mitigate the effects of climate change, and it was included for the first time in Bloomberg's Gender Equality Index. The Group believes that its commitment to sustainability provides its consumers, customers, and suppliers with additional reasons to trust its brands while offering career plans that allow its associates to develop their full potential in line with the growth and profitability of the business.

1.3 Business Units

	Net sales for the periods ended December 31		
Region	**2023**	**2022**	**2021**
North America	192,534	205,674	175,369
Mexico	145,387	130,401	109,089
Latin America	36,647	38,411	31,109
EAA	40,545	37,536	34,195
Consolidated eliminations	(15,234)	(13,316)	(10,970)
Consolidated	**399,879**	**398,706**	**338,792**

Region	**Production Plants**
North America	84
Mexico	36
Latin America	35
EAA	62

United States

In the United States, the Group conducts its operations through BBU, Barcel USA and Bimbo QSR with 59 bakeries, 2 plants and 4 bakeries, respectively.

BBU

As of January 2024, BBU was recognized to be the main supplier of baked goods in the United States, according to Circana. The Group established its leading position through several major acquisitions, such as Sara Lee (2011) and Weston Foods US Inc. (2009), followed by significant integration and restructuring work across the entire supply chain.

BBU has the most extensive geographic presence within the baking industry in the United States, where the Group has renowned brands in every market segment of the industry, with a portfolio that serves a variety of price points and consumption occasions, from breakfast to dinner and special ocassions. According to Circana holds a leading position in the categories where it participates, from basic baked products to more premium products, pastries, cakes, english muffins, and bagels. Currently, BBU operates 61 bakeries and plants across the United States and has a nationwide distribution network. BBU maintains strong relationships with large retailers and small convenience stores across the United States, which enhances its ability to market its products, reaching 50 states with a presence of 83% in American households, according to Circana.

BBU has a brand portfolio comprised of leading national brands, such as Thomas'® English muffins and bagels, Sara Lee® for sliced bread, Ball Park's® for buns, Entenmann's® for snack cakes, premium brands such as Arnold®, Brownberry® and Oroweat®; and regional brands, such as Mrs. Baird's®, Freihofer's®, Stroehmann® and Heiners®. BBU also produces and distributes some of Grupo Bimbo's Mexican brands in the United States, such as Bimbo® and Marinela®. In addition to selling under its own brands, BBU participates in several categories in the private label segment, targeted to a strategic group of customers.

Grupo Bimbo also produces, distributes and commercializes frozen bread, and buns in 3 bakeries in the United States. Grupo Bimbo sells these products under the brands Wholesome Harvest®, California Goldminer Sourdough®, Grace Baking® and Cheesecake Factory at Home®.

BBU's extensive distribution network has allowed the business to significantly expand its market share in the United States. The Group's main distribution channels are Self-service chains, convenience stores, and customers in the QSR sector.

BBU is headquartered in Horsham, Pennsylvania.

Barcel USA

Barcel USA is the United States division of Grupo Bimbo in the savory snacks sector, which includes potato chips, peanuts, popcorn, and other savory corn-based snacks.

Barcel USA ranks as the fifth highest-selling manufacturer in the snack category in the United States, according to Circana. Currently, Barcel USA locally produces and imports savory snacks from plants located in Mexico. Additionally, product distribution is mainly managed through a direct distribution model, along with a significant and growing direct sales business to customers through cross-docking.

Barcel USA's headquarters are located in Coppell, Texas.

Bimbo Canada

On May 23, 2014, the Group completed the acquisition of Canada Bread, one of Canada's largest baking companies, which represented the Group's entrance to the Canadian market. With the addition of this business, Bimbo expanded its geographic presence in North America, reaching a consumer base in Canada and expanding its product portfolio by including frozen bread as a new line of business for the Company. Canada Bread is now known as Bimbo Canada.

Since then, Bimbo Canada has grown, both organically and through acquisitions. On February 2, 2015, Vachon Bakery Inc., Canada's leading producer of snack cakes, was acquired. On March 29, 2015, two bakeries were acquired from one of the Company's major customers, introducing artisanal capabilities into the Canadian network. Finally, on March 2, 2017, Stonemill Bakehouse was acquired, further expanding the artisan capabilities of the company and introducing slow crafted organic products.

Bimbo Canada´s current core business is the manufacturing and sales of baking products, including fresh bread, buns and rolls, bagels, English muffins, tortillas and pastries. According to Nielsen data, Bimbo Canada holds leading brands in two of the most important categories in the market: packaged bread and pastries withbrands that include Dempsters®, Villaggio®, POM®, Bon Matin®, Vachon®, and Hostess®. In addition to selling branded products, the company also participates in the private label segment. It maintains close relationships with several supermarket chains and other major retailers in Canada, enhancing its ability to market products.

There are currently 19 bakeries in Canada. Distribution is carried out through a large direct distribution network, operated mainly by independent distributors.

The headquarters are located in Etobicoke, Ontario, Canada.

Mexico

In México, Grupo Bimbo operates trough Bimbo and Barcel with 36 bakeries and plants across the country, with a nationwide owned distribution network. Its distribution reaches a large number of mom & pops, large wholesellers, large retailers, hypermarkets, price clubs, convenience stores, and other insitutional customers with whom it maintains strong relationships.

Bimbo

Grupo Bimbo's subsidiary, started operations in Mexico in 1945. Bimbo produces, distributes and commercializes bread, sweet baked goods, buns, cakes, pastries, cookies, crackers, cereal bars, packaged wheat tortillas, and *tostadas*, among others. Bimbo has a strong presence in Mexico where some of its products are considered staples, such as bread. Its products are commercialized under the Bimbo®, Oroweat®, Marinela®, Tía Rosa®, Wonder®, Milpa Real®, Lara®, Del Hogar®, Gabi®, Saníssimo®, Lonchibón® and Suandy® brands, among others. Additionally, Bimbo produces, distributes and commercializes artisanal and high-end pastry under the brands El Globo®, La Balance® and El Molino®, through direct points of sale.

According to internal research, the Group´s brands have high consumer recognition in the Mexican market and are supported by one of the country's most extensive distribution network. This has allowed the Company to become a solid player in the packaged bread market in the country, with continued gains in market share as consumer preferences evolve and introduces innovative products.

Despite the fact that the baking industry continues to be very competitive and fragmented in Mexico, according to Nielsen, Bimbo based on its market share, is positioned as the manufacturer with the highest sales in packaged bread and pastries category, and is the second highest selling manufacturer in the cookies category.

Moreover, according to Nielsen, Bimbo is the manufacturer with the highest sales in the cereal bars category through the Branfrut® and Multigrano® brands. Also in the flour tortilla category, Bimbo, under the brand Tortillinas Tía Rosa®, has the highest sales in Mexico. Similarly, in the toasted segment, Milpa Real® and Saníssimo® are the first and third brands with the highest sales, respectively.

Bimbo's headquarters are located in Mexico City.

Barcel

The subsidiarie of the Group, Barcel produce, distribute and commercialize salty snacks, including fried chips, peanuts, popcorn, other corn-based salty snacks, cracklings, among others. Among Barcel main brands are, Chips®, Hot Nuts®, Runners® and Big Mix®. In addition, its secondary brands such as Papas Barcel®, Golden Nuts®, and Popcornopolis® contribute significantly to its growth.

Barcel is the second manufacturer with highest sales in the snack category in Mexico according to Nielsen. Coming from strong organic growth, specially in the traditional channel in Mexico and through acquisitions, Barcel has consolidated its position as a key player in the salty snacks market offering innovative and well-differentiated products. Barcel have increased its presence in other countries solidly, reaching 33 countries. Although this is achieved by exporting mainly from Mexico, there are plants closer to consumers in other countries.

Barcel headquarters are located in Mexico City.

Latin America

The Group has been present in Latin America since 1995. Through a series of acquisitions and organic growth, as well as the implementation of innovative ideas and best practices in production and distribution, Grupo Bimbo has become the market leader across the region. The Group operates in 15 Central and South American countries, including Argentina, Brazil, Chile, Colombia, Costa Rica, Ecuador, El Salvador, Guatemala, Honduras, Nicaragua, Panama, Paraguay, Peru, Uruguay and Venezuela.

The Group operates in Venezuela and Argentina, economies that according with IFRS qualify as hyperinflationary. Even though for financial purposes the Group no longer consolidates its subsidiaries in

Venezuela, the Group classifies Venezuela's subsidiaries equity investments as equity and alternative financial instruments at a fair value, since it intends to keep these investments in the foreseeable future.

The Group has 35 bakeries and plants with an extensive distribution network designed to each of the markets in the countries in which it participates. Moreover, the Group adapts its business model, distribution systems, brands, marketing plans, flavors and other characteristics of the products to local preferences to achieve a higher level of execution of the points of sale, maintaining the quality standards of the Group. Its main products in the region include packaged bread, sweet baked goods, tortillas, pita bread, cookies, and snacks, all of which are sold under the brands Bimbo®, Pullman®, Artesano®, Plus Vita®, Nutrella®, Saníssimo®, Vital®, Fargo®, Pan Todos®, Ana Maria®, Ideal®, Nutra Bien! ®, Crocantissimo® and Supan® among others. The innovation for these brands arises from the processes of deep consumer and market understanding gathering insights and indentidying their needs. Through investments in technology and feedback from the sales force, it has been possible to analyze key consumer informationand their priorities.

In recent years, the Company has steadily increased its market penetration in the traditional channel while strengthening its relationships with retailers and wholesellers across Latin America, which favors its ability to commercialize its products. The constant progress of the Group in Latin America has translated into a significant improvement in EBITDA, which has multiplied by more than four times since 2018, demonstrating that it is a region that constantly drives volume and profitability.

The Group´s Latin American operations have its headquarters in Bogotá, Colombia, Santiago de Chile, Chile and Sao Paulo, Brazil.

EAA

The Group has been a leader in the baking industry in Spain and Portugal since 2011, and, since 2014, in the United Kingdom. The Group operates 62 bakeries in Europe, Asia and Africa and an extensive distribution network mainly served by independent distributors, reaching supermarket chains and other institutional customers. It also serves the QSR industry in certain countries in Europe, Asia, and Africa.

The operations in Europe, Asia and Africa have its headquarters in Barcelona, Spain.

Europe

The Group has presence in Spain, Portugal, the United Kingdom, France, Italy, Switzerland, Turkey, Russia, Romania and Ukraine after its acquisitions of Sara Lee, Panrico, East Balt Bakeries, St. Pierre and Vel Pitar in 2011, 2016, 2017, 2022 and 2023 respectively.

According to Nielsen, Grupo Bimbo is the leading player in the packaged bread industry in Spain and Portugal. It operates 12 bakeries in Spain and 2 in Portugal and an extensive distribution network to secure that its products are delivered on time to its customers.

Panrico, a company acquired in 2016 excluding the bread category, was founded in 1962 and currently is one of the strategic players in the baking industry in Spain and Portugal that participates in the sweet baked goods and buns categories. The acquisition of Panrico allowed Grupo Bimbo to include well-positioned brands to its portfolio, such as Donuts®, Qé!®, Bollycao®, La Bella Easo® and Donettes®, among others. This transaction also strengthened the Group's profile in Spain and Portugal through synergies, and complemented its distribution network and production facilities, becoming the leader in the branded sweet baked goods category.

In the United Kingdom the Company participates in the fresh and frozen baking business and commercializes its products under the New York Bakery Co.® brand, leading manufacturer company of bagels, according to IRI.

In January 2023, the Company acquired Vel Pitar®, a leader in the Romanian baking industry in terms of sales. This acquisition allowed the Group to include well-positioned brands in its portfolio, such as Vel Pitar®, French Toast®, Grâu Întreg®, and Chef Gourmand®.

Additionally, in Europe, the Group also maintains a strong position in sales of buns and other products to major fast-food customers through the Bimbo QSR business in France, Russia, Switzerland, Italy, Turkey, and Ukraine, such as McDonald's, KFC, Burger King, among others.

Asia

Most of the operations in Asia are located in China and India. The Group has been operating in China since 2006 through its subsidiary Bimbo China, producing and distributing sliced bread, pastries, and cookies, among others, mainly under the brands Bimbo® and Mankattan®. Additionally, it operates through its subsidiary Bimbo QSR, producing buns for various QSR clients. According to the International Monetary Fund (2023), China and India are the second and first most populous countries, and the second and fifth largest economies in terms of GDP.

The Group's operations in Asia have grown through acquisitions. On June 29, 2018, the Group completed the acquisition of Mankattan. As a result of this acquisition, the Group produces and distributes packaged bread, pastries, buns, and yudane (a Japanese-style sandwich bread), and new products have been developed, including sweet bean-filled buns, spicy meat-filled bread, and Western-style products, to meet the growing demand for international products in the Asian daily diet. These products are distributed through both traditional and modern channels. Mankattan has a presence in the markets of Beijing, Shanghai, Sichuan, and Guangdong, along with the surrounding areas. This acquisition complemented the existing operations in China in terms of product portfolio and distribution channels. It also represented an opportunity to create significant synergies, especially in northern China, by optimizing the supply chain to better serve consumers. In China, the Group is positioned among the top five players in the baked goods industry and the bread segment, with a market share of 0.9% and 3.0%, respectively, according to Euromonitor as of 2022. The headquarters of Bimbo China are located in Beijing, China.

In India, the Group entered the market in 2017 through a strategic alliance with Ready Roti, one of the leading bakery companies in New Delhi and its surroundings, which produces packaged bread, pizza dough, and savory and sweet baked products, with leading brands like Harvest Gold® and Harvest Selects®. More recently, the Group acquired two other companies: Modern® and Kitty®. With these acquisitions, the Group expanded its geographical footprint and product diversification and increased its presence in emerging markets, in line with the strategy of becoming one of the largest food companies in the world. The India offices are located in New Delhi.

Africa

In 2017 the Group entered into the Moroccan market through the acquisition of Adghal Group. The company produces and distributes baked goods in one bakery. This acquisition provided Grupo Bimbo with an entry point to a new continent through an established baked goods business that will benefit from the Group’s global expertise. The headquarters are located in Casablanca, Marruecos.

In Morocco and South Africa, the Group also has a presence in the QSR industry, which is described in the Bimbo QSR section below.

Bimbo QSR

The Group increased its geographic presence, diversifying its distribution channels and expanding its capabilities in the QSR industry with the acquisition of East Balt Bakeries in 2017, now Bimbo QSR. This division is a profitable business, that has boosted the global expansion strategy in what the Group believes is a fast-growing market, a result of the long-term and stable relationships with its customers.

Bimbo QSR is one of the world leading supplier in the industry, with a presence in 90% of the global QSR market, according to GlobalData information (2022). The Group's global product portfolio and capabilities include unique bun shapes, textures and formats, as well as sweet baked goods. Proudly, the Group supplies restaurant chains around the world with high-quality products from its 29 own high-speed line bakeries located in 12 countries and 1 bakery in Morocco operating under an joint venture. Bimbo QSR provides tailormade solutions to meet customers' unique needs, while meeting applicable food safety and regulatory compliance standards. From classic round buns to unique artisan formats, the Group has the operational expertise to create the custom sandwich carrier that is perfect for any menu.

Bimbo QSR has a presence in Brazil, the United States, China, South Korea, France, Italy, Switzerland, Russia, Ukraine, Turkey, Morocco*, South Africa, and Kazakhstan.

The financial results of Bimbo QSR are integrated in the results of of the applicable geographic business segment.

Bimbo QSR headquarters are located in Ohio, United States.

**The operations of the business and Morocco are through a joint venture.*

1.4 Products

During more than 78 years Grupo Bimbo has developed a diversified portfolio of over 9,000 products under its renowned brands to cover every meal, consumption occasion and segment. The Group's business has always focused on producing and distributing a large portfolio of products tailored to the local markets, such as sliced bread, buns & rolls, pastries, cakes, cookies, toasted bread, English muffins, bagels, tortillas & flatbreads, salty snacks and other products enjoyed by consumers every day around the world.

a. Innovation in the nutritional improvement of products

As one of the largest food companies in the world in terms of sales, Grupo Bimbo has always focused on offering delicious and nutritious products to its consumers. The Group's success is based on constantly adapting to consumer needs and preferences. Grupo Bimbo has the experience and knowledge of the preferences and consumption patterns in the regions where it operates. The commitment to innovate and improve the quality of its products, provides it with a significant advantage over its competitors.

The Group has a solid track record in creating innovative products, reflecting a deep understanding of consumer preferences through research programs and market testing. Additionally, as a result of investments in research and technology, Grupo Bimbo has enhanced the nutritional value of existing products, frequently introducing new and nutritious options for the benefit of its consumers. In 2023, in addition to improving and transforming all its product recipes in the daily consumption portfolio, the Group had outstanding launches that meet nutritional standards and promote positive nutrition, such as Bimbo Bread without Flour in Mexico, Nutrella Whole Wheat Bread in its new format in Brazil, Bimbo 50/50 in Spain, and Good Zero Bread in India.

Grupo Bimbo maintains its commitment to continuously work in actions that foster the adoption of healthy lifestyles through the improvement of its products, promotion of adequate diets and frequent practice of physical activity, in order to become a local and global benchmark regarding health and well-being initiatives. As the leading baking company in the world in term of sales, the Group works to harness all the factors that have a positive impact on the well-being of its consumers and associates. Improvement of nutritional profiles of the Group's product portfolio, innovations in technology, processes and ingredients, aligned with the Health and Wellness strategy, continues to be one of the most relevant action lines of the Company.

Grupo Bimbo strives to find the proper balance between nutrition and taste in its products. Therefore, since 2008, the Group became a member of International Food and Beverage Alliance to implement the Global Strategy of the World Health Organization on Diet, Physical Activity and Health, with five fundamental commitments:

- Develop products with a high standard in nutritional value;
- Promote better diets by incorporating accesible and affordable options for the consumers;
- Adopt responsible marketing for children under the age of 12;
- Provide nutritional information to consumers through clear, transparent and user-friendly labeling;
- Promote physical activity and healthy lifestyles; and
- Make alliances with health organizations and research institutions.

In addition, the Group has developed internal Nutritional Guidelines that are leveraged on four lines of action to achieve its nutritional ambitions in the short, medium and long term, offering better products and promoting the construction of better diets:

1. Clean labeling. Offer simpler and more natural recipes.
2. Positive nutrition. Offer an optimal nutritional balance between nutrients to reduce and encourage in the diet.
3. Fortification. Offer fortified, accessible and affordable options for vulnerable populations.
4. Smart portions. Offer portion control options to provide special moments without guilt.

Under these new guidelines in the portfolio, Grupo Bimbo defined stricter commitments to increase the nutritional quality of the product portfolio, such as achieving positive nutrition standards in daily consumption products by 2025 and in occasional consumption products by 2030.

To promote the competitiveness of its products, Grupo Bimbo has formed strategic alliances with universities and research centers to develop new technologies for product development programs. Collaborating with institutions, medical professionals, experts, as well as food and health regulatory authorities, is also crucial for continuously improving the nutritional profile of products. Grupo Bimbo maintains strategic partnerships with research centers such as the International Maize and Wheat Improvement Center (CIMMYT) and renowned institutes like the Whole Grains Council, the Consumer Goods Forum, and the International Food and Beverage Alliance (IFBA). Additionally, its Health and Wellness action platforms remain aligned with those defined by the World Health Organization (WHO) to adopt internationally recognized strategies and best practices. Grupo Bimbo participates in the Access to Nutrition Index (ATNI), which evaluates the strategies of the world's leading food and beverage producers concerning their commitments, practices, and performance related to nutrition. It has developed innovative products with unique nutritional characteristics such as low levels of cholesterol, fat, salt, and sugar to meet the needs of different populations.

Finally, Grupo Bimbo has laboratories and facilities engaged in the production of prototypes and the testing and validation of new ingredients, as well as conducting functionality and evaluation studies for new products. Newly developed products are approved by Committees and evaluated through market testing.

b. Innovation through Bimbo Ventures

In response to the significant challenges of today, Grupo Bimbo created Bimbo Ventures in 2016, the Group's Venture Capital arm, which provides us with a window into the future. The Group seeks technological solutions in the world's innovation ecosystems, identifying collaboration and investment opportunities in promising start-ups that drive new technologies and disruptive solutions across our value chain, including areas such as products, brands, food-tech, smart supply chain, and commercial-tech. These solutions aim to drive business development, profitability expansion, and the achievement of the Group's sustainability goals. We also strengthen the Group's portfolio of mergers and acquisitions. Bimbo Ventures invests directly and through Capital Funds, where it holds Limited Company positions, currently holding a portfolio of 49 minority investments in companies with innovative solutions and eight investments in capital funds worldwide. In 2023, the Group added 10 new food-tech/technology companies to the Bimbo Ventures investment portfolio, working with these companies on synergy projects for innovation and improvement of internal products and processes.

In addition to Venture Capital and Venture Client activities, Bimbo Ventures also has Open Innovation initiatives. In 2017, through Bimbo Ventures, the Group launched its annual Eleva acceleration program, which focuses on transforming the food sector by investing in promising startups that bring disruptive technology. This program, in which startups from regions such as the United States, Latin America, Europe, and Israel participate in pitches, and around 48 startups have had hundreds of sessions with entrepreneurs and the Group's teams over the past five years. The latest version of this initiative was the second edition of our OpenDoor program held in 2023 (concluding in 2024), where the Group selected 8 product startups to become familiar with internal areas, visit plants, and receive customized coaching in areas such as new market expansion, operations, and quality, among others. Getting to know the Group in-depth allows them to propose collaboration ideas that add value to both the Group and the involved startups.

Bimbo Ventures operates actively in the Americas, Europe, and Israel. With the recent opening of the EMEA hub in late 2022 based in Spain and responsible for Europe and Israel, the Group has achieved the goal of generating visibility in the innovation offered by these geographical areas. The Group has tested technology from various startups in the region, invested in future technologies, and collaborated with different actors in the ecosystem towards a more sustainable and fruitful future. Bimbo Ventures is recognized by startups, capital funds, and other actors in the entrepreneurial ecosystem for its reliability in maintaining long-term commitments and its ability to provide a powerful insight into the marketability of solutions and products for which the Group has unique expertise.

c. Seasonality

In most categories, the Company’s products show seasonal behavior, with greater levels of consumption during holidays, rainy seasons, and seasons characterized by low temperatures. In order to stabilize the demand for its products, the Group has developed several promotions and advertising campaigns, as well as new product launches during times of lower consumption in its different operations, which are not coincident given the geographic footprint.

1.5 Production Processes

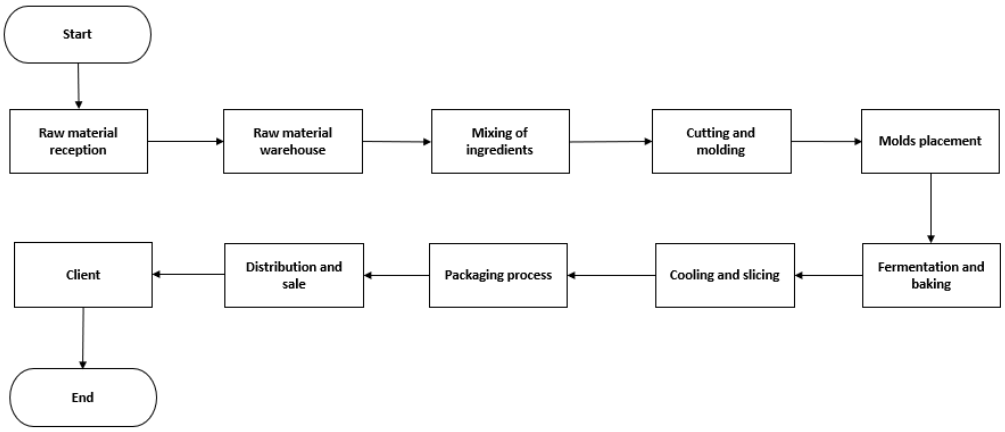
a. Production Processes

The Group makes ongoing investments to implement state-of-the-art technology and equipment in order to increase efficiency, reduce waste and optimize the environmental footprint with strategies to reduce the consumption of water, electricity, thermal energy and, in general, the carbon footprint in its facilities. The Group has been adopting and implementing modern automated manufacturing processes for each of its lines of business and maintain strict operation and control systems, resulting in efficiencies throughout its production processes within a competitive cost structure. The Group manages its production processes in order to promote the quality of its products at the lowest cost. This focus on cost control, sustainability and transparency allows to generate value to its customers and increase its profitability. The Group’s production processes have slight variations among products, but generally includes the mixing of ingredients, baking, slicing, packaging and distribution of the products. Some of the Group’s bakeries and plants may be programmed to produce a variety of products also contributing to operating efficiencies.

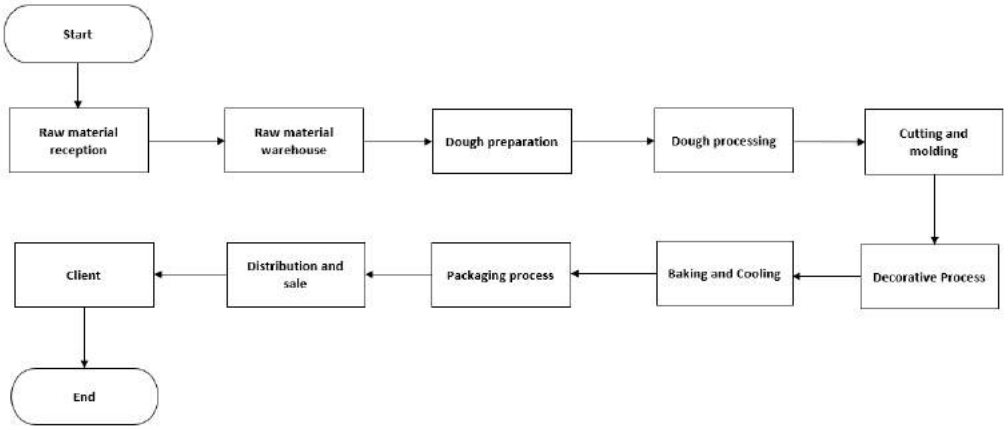
As part of the Group’s strategy to respond to the changing needs of the market, it has implemented and continuously updates innovative systems to increase the capacity, quality, and production potential of its facilities. Grupo Bimbo aims to locate its bakeries, production plants and sales centers optimally in their markets with relation to warehousing centers and populations location. The Group’s production processes constantly evolve, as they share global best practices from recently acquired companies and from its existing operations. To that end, the Group constantly redesigns its facilities and incorporates new technology (either developed by the Group or acquired from third parties), significantly optimizing capacity and reducing production costs as a result of process redesign in bakeries and plants, automation and better productivity.

The diagrams below show the Group’s primary production processes for packaged bread, sweet baked goods and snacks:

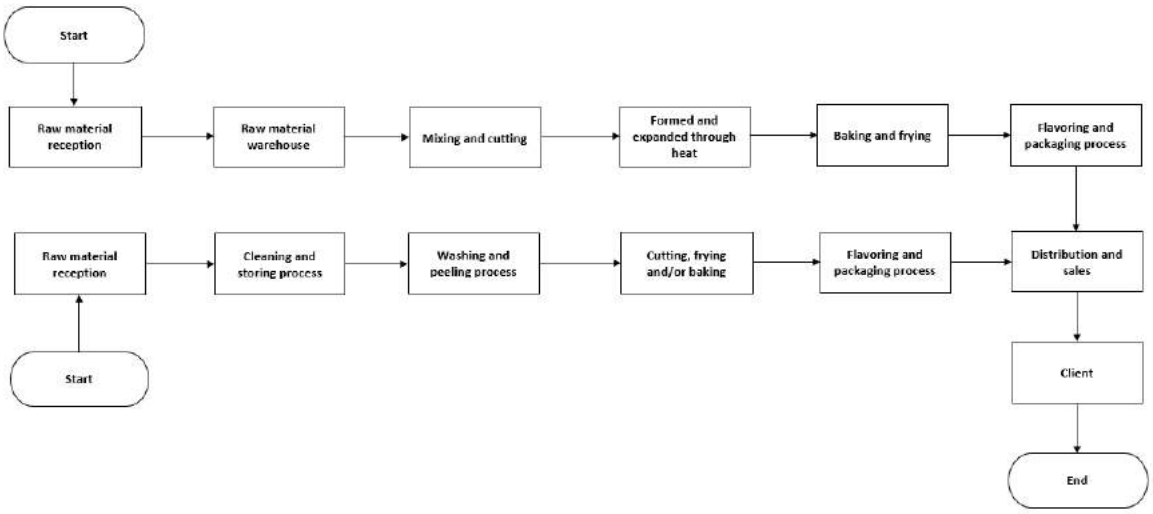
PACKAGED BREAD



SWEET BAKED GOODS



SALTY SNACKS



b. Environmental Strategy

In Grupo Bimbo, environmental management is defined within the sustainability strategy in two fundamental aspects, with the aim to nourish a better world: through initiatives for nature and its foundations where compliance with minimum environmental standards that the Company must have.

The strategy for nature is divided into three lines of action:

ZERO WASTE ✚ **NET ZERO CARBON EMISSIONS** ✚ **REGENERATIVE AGRICULTURE**

The Group is committed to objectives against nature degradation to achieve net zero carbon emissions, promote regenerative agriculture practices and reduce waste and its impact. During 2023, the Group reinforced their commitments established in their sustainability strategy "Nourishing a better world", through actions such as innovation in its packaging with recyclable, biodegradable and compostable technologies; the reduction of emissions and its water footprint.

In addition to some of the objectives previously set for 2025, the Group has renewed its commitment by adding the following objectives:

- Ensure that 100% of its packaging supports a circular economy by 2030.
- Achieve net zero carbon emissions by 2050.
- Ensure that 100% of key ingredients are sourced from land farmed using regenerative agriculture practices, by 2050:

During 2023, Grupo Bimbo received the following recognitions for the performance in Sustainability topics:

- In Turkey, EMEA obteined the Human Value Award.
- In the United States, BBU was recognized wit the EPA Green Power Leadership and Energy Star Challenge award.

1. Zero Waste

Grupo Bimbo is committed to achieving this strategy throughout its value chain through three initiatives: sustainable packaging, reduction of food waste and water footprint.

i. Sustainable packaging

Packaging is essential for the Company to ensure that its products maintain the quality and safety needed to reach its consumers in the best conditions, as well as to avoid food waste throughout the value chain. Therefore, in its sustainability strategy, the Company has set a goal for 2025 that 100% of its packaging will be recyclable, biodegradable or compostable.

The Group plans to achieve the established goal by promoting different projects and initiatives in three lines of action:

Packaging design

The goal is to reduce unnecessary materials in the design, and incorporate simple, easy-to-recycle materials. During the past year, an approximate reduction of 272 tons of plastic was achieved.

Recycling in the production processes

Grupo Bimbo promotes reduction and recycling actions throughout the value chain. By 2023, 93% of its global packaging is recyclable and 67 bakeries and plants have zero waste to landfill.

By 2030, the Company's goal is to guarantee that 100% of its packaging supports a circular economy, promoting recycling projects in order to minimize the amount of virgin material in its packaging. During 2023, in the United States, Arnolds bread packaging with 30% recycled material was launched; similarly, in Spain, these packaging materials were used for White bread and Whole Wheat bread.

Post-consumer recycling

In Grupo Bimbo, alliances are essential for the development of strategies that allow the Group to add value to materials and make their recycling attractive, which is why participation in post-consumer programs is encouraged in its operations. Throughout 2023, in partnership with ECOCE, 25,719 tons of flexible packaging were collected for co-processing at Cemex Regenera and Geocycle. Additionally, through the alliance with Walmart in Reciclamanía Evoluciona, over 239 tons of post-consumer waste were recycled, including 2.4 tons of polypropylene and 4.7 tons of polyethylene, the materials from our packaging. During 2023, a total of 525,847 kilograms of wrappers were collected directly from Bimbo and Barcel plants, which were used as raw material to produce pellets. These pellets are used in the manufacturing of bins, pallets, and sustainable corner pieces that are part of Grupo Bimbo's value chain. Additionally, a total of 245,060 pallets, both exported and domestic, and 1,225,083 bins were acquired by December 2023.

ii. Food waste reduction

One of the Company's strategic projects throughout its value chain is the reduction of food waste through comprehensive solutions, as well as reinforcing sustainable solutions. Grupo Bimbo has a goal for 2030 to reduce 50% of the food waste generated in its operations.

Currently, the 5 pillars of the "War on Waste" (WOW) initiative are integral parts of the daily operations of the Group's organizations and plants, inherently incorporated into their management.

As a result of integrating WOW into the daily actions of the Group, a list of mandatory practices was launched by consolidating individual experiences into a shared compendium with all organizations. This list of practices prioritizes waste prevention and recovery to improve indicators.

During 2023, Grupo Bimbo carried out donation exercises to food banks in the United States and Latin America. Likewise, the Group avoided the diversion to landfill of 99.3% of the food waste generated by sending it to destinations approved by different international protocols for animal consumption and/or compost.

iii. Water footprint reduction

Cleaning processes represent the primary water consumption in their workplaces, which is why the Group has standardized processes to reduce their environmental impact, achieving no increase in water consumption per ton produced in 2023, considering the new operations resulting from acquisitions. The Company aims to reduce water consumption by 20% per ton produced by 2030, based on the year 2019.

To achieve optimal results in terms of water footprint reduction, the Group has established three lines of action:

Optimize cleaning processes and use of technologies

To optimize water consumption, the Company promotes the responsible use of water by implementing initiatives aimed at cleaning processes such as the use of dry steam machines and polishing systems for treatment systems.

Treatment and water reuse

Grupo Bimbo has had a constant improvement in the treatment and reuse of water over the years, which, in some of its operations, is used for different purposes such as irrigation of green areas, sanitary services and cleaning of its vehicles. Globally, in 2023 the Group reuses 96% of total treated water. The Group also continues to work on the modernization of its treatment plants to make the operation more efficient and improve its quality.

Use of alternative sources

The goal is to use alternative sources such as rainwater harvesting systems.

2. Net Zero Carbon Emissions

In 2021, Grupo Bimbo committed to achieving net zero carbon emissions by 2050 based on the Science Based Target Initiative (SBT) methodology. To achieve the objective, the Group has focused on 16 lines of action:

Zero Carbon Emission Mobility

Grupo Bimbo aims to mitigate emissions from its fleet by converting its fossil fuel units to new technologies such as electric vehicles powered by clean energy or zero carbon emission alternative fuels, alongside energy efficiency measures.

The strategy involves the efficient use of fuels and energy to reduce fossil fuel consumption. By the end of 2023, the Group added more than 2,690 electric vehicles globally, maintaining its position as the company with the largest electric fleet in Latin America.

Elimination of Fossil Fuels

With the firm objective of reducing the use of fossil fuels in Grupo Bimbo's value chain, the company continued to explore new technologies for transitioning production equipment such as ovens, fryers, boilers, and backup generators to zero carbon emission equipment. Additionally, a pilot project was implemented to convert gas-fired ovens to electric resistance and burners with alternative sources such as hydrogen, with industry-leading prototypes in the baking industry.

Transitioning to Natural or Less Polluting Refrigerants

Grupo Bimbo aims to use refrigerants with the lowest global warming potential, primarily natural refrigerants. In 2022, the first system with Natural Refrigerants was launched in Latin America at a fresh bakery, and during 2023, the performance, safety, and efficiency of this solution were validated and replicated in other bakeries. Through synergies with local contractors, systems were implemented in Mexico, Costa Rica, Peru, Colombia, and Argentina, demonstrating that this solution is effective across different latitudes in Latin America. By the end of the year, 63% of the refrigerants were already natural. Grupo Bimbo continues to work on the migration of refrigerants with high environmental impact, seeking the best technical and economic alternative in compliance with international environmental laws and agreements.

Innovation and New Technologies

Grupo Bimbo continues to search for new technologies that efficiently and affordably help achieve its zero emissions goal.

Energy Efficiency and Sustainable Buildings

The main function of this initiative is to keep our facilities connected to an intelligent system to monitor sites at all times and optimize resource usage. Grupo Bimbo continues with the deployment of the GB Connected Sustainability Energy initiative, the global solution for automatically collecting and digitizing information on electricity, gas, and water general levels of consumption and critical processes at Grupo Bimbo's production, distribution, and sales centers through IIoT (Industrial Internet of Things) connectivity in real-time. The goal is to have visibility, analysis, and operational performance indicators to make decisions that improve the utilization of these resources.

In 2023, the implementation of 264 Sales Centers and Distribution Centers of Bimbo Mexico was completed, along with 22 plants at a general level of Bimbo Mexico, and the platform migration of the 5 plants that Barcel + Atitalaquia already had at level three (critical equipment). Additionally, Grupo Bimbo continues to work on energy efficiency actions through its ten mandatory practices, which operate within the 16 strategies.

Use of renewable energies

In 2018, Grupo Bimbo signed the RE100 commitment, with which, by 2025, all its operations must be 100% supplied with renewable electricity. By the end of 2023, Grupo Bimbo was operating with 92% renewable electricity in 27 countries, representing a 90% reduction in Scope 2 carbon emissions compared to 2019.

Some of the advancements the Company has made include:

- Guatemala, Russia, Morocco, Kazakhstan, China, and South Korea became 100% renewable countries.
- The wind farm in Canada began operations, making the operation 50% renewable.

Energy Storage Systems and Maintenance

To optimize its production, mitigate blackouts, and generate savings in product withdrawal, Grupo Bimbo is installing lithium-ion battery storage systems as backup power sources, allowing bakeries to continue their operations without interruption. Through these efforts, by the end of 2023, the Group had implemented 13 storage systems in Mexico, Panama, Costa Rica, and the United States.

Electrical Installations

The Group aims to implement parameters that contribute to maintaining facilities in good condition and in compliance with the energy regulations of each country. This ensures not only the continuity of operations but also prioritizes the safety of associates by guaranteeing modern and reliable installations worldwide.

Low Carbon Supply

Grupo Bimbo understands that its supply chain is key to reducing the carbon footprint of its entire operations. Therefore, Grupo Bimbo works closely with its key suppliers, incentivizing them to disclose their performance. For the fourth consecutive year, Grupo Bimbo engaged over 300 suppliers in the Carbon Disclosure Project's (CDP) Climate Change program in the Supply Chain. The information disclosure from suppliers in the categories of indirect materials and packaging helps strengthen Grupo Bimbo's sustainability strategy throughout the supply chain and promotes the involvement of Tier 2 suppliers in environmentally friendly actions. Grupo Bimbo was recognized with an "A" rating by the Carbon Disclosure Project (CDP) for its global actions to mitigate the effects of climate change.

Regenerative Agriculture and Zero Deforestation

As part of Grupo Bimbo's journey toward net-zero carbon emissions by 2050, its Regenerative Agriculture initiative is a fundamental part of reducing emissions from its farm-sourced ingredients through practices that improve soil health and aim to reduce and capture carbon. The main objective of this initiative is for 100% of its key ingredients to come from lands cultivated with regenerative agriculture practices by 2050, contributing to a 28% reduction in Scope 3 carbon emissions by 2030. Grupo Bimbo seeks to continue promoting regenerative agriculture systems that enhance soil health, biodiversity, and ecosystem health through region-specific practices to minimize soil degradation, improve the water cycle, and reduce its carbon footprint.

Additionally, Grupo Bimbo aims to train farmers and suppliers to protect nature and promote a resilient food system. By 2030, they intend to cultivate 200,000 hectares of wheat using regenerative agriculture practices, aiming to ensure that by 2050, 100% of their key ingredients are produced using these practices.

Grupo Bimbo continues to drive regenerative agriculture practices to reduce emissions from its ingredients sourced from the field. In 2023, over 170,000 hectares were registered in regenerative agriculture programs.

Zero Waste

Grupo Bimbo expects its Zero Waste initiative to similarly contribute to the reduction of indirect emissions they produce, promoting a circular economy and waste reduction across its value chain.

Associates Towards Carbon Neutrality

With an eye toward adopting cleaner forms of transportation for their associates, Grupo Bimbo is providing hybrid and/or electric alternatives, in addition to installing a network of electric chargers at corporate offices to further promote such technologies.

Zero-Carbon Third-Party Logistics

Grupo Bimbo aims to mitigate emissions from its outsourced fleets through workshops and discussions with suppliers to propose migration to new technologies, such as electric vehicles powered by clean energy or alternative fuels with zero carbon emissions.

Customer Carbon Footprint

Grupo Bimbo continues to support its customers in reducing emissions in their value chains with decisive actions and has been recognized as outstanding partners by various companies.

Investments

Grupo Bimbo continues to develop an internal strategy to direct investments toward projects or funds that are completely free of carbon emissions.

Forest Improvement

5 million pesos were authorized for the development of 4 forest improvement pilots that Grupo Bimbo will be carrying out in Mexico in 2024.

3. Regenerative Agriculture

Grupo Bimbo is committed to promoting regenerative agriculture systems that improve soil health, biodiversity, and ecosystem health through specific regional practices to minimize soil degradation, improve the water cycle, and reduce its carbon footprint.

Grupo Bimbo continues to promote regenerative agriculture practices to reduce emissions from its ingredients sourced from the field. In 2023, over 170,000 hectares were enrolled in regenerative agriculture programs.

c. Inventory

Raw Materials

The quality and continuous supply of the Group's raw materials are critical factors in its production process. The Group has adopted rigorous supply policies under whch it requires its suppliers to adhere to detailed specifications for raw materials and to provide quality control certificates for their products. The Group also conducts laboratory testing on raw materials supplied by third parties and consistently inspects the suppliers' production plants and facilities.

The Group has developed an integrated and efficient supply chain of raw materials and packaging, and works continuously to improve its efficiency, creating long-standing relationships relationships with suppliers who adhere to the Group's high-quality standards. Grupo Bimbo seeks to maintain low supply costs without sacrificing the quality of raw materials. Cost savings are achieved through waste reductions, economies of scale in procurement, production and distribution, among other initiatives focused on becoming a low-cost producer.

Wheat flour is the main raw material and the Group reviews its relationship with its main wheat suppliers on an ongoing basis. Wheat is generally traded in U.S. dollars and is subject to price fluctuations depending upon factors such as weather, crop production and worldwide supply and demand, among others. The Group continuously enters into hedging agreements to manage its exposure to price fluctuations and ensure the timely supply of its main raw materials. See "Risk Factors - Risks related to Business, Industry and Supply - Increases in prices and shortages of raw materials, fuels and utilities could cause costs to increase".

Other important raw materials for the Group's lines of business are sugar, edible oils, fats and eggs, as well as the plastics used to package its products.

The Group has minority interests in some of its major suppliers of eggs and sugar. In addition to these raw materials, the Group also buys plastic packaging from a number of suppliers. The Group is not dependent on any exclusive supplier in any market in which it operates.

The Group's raw materials are managed using the first-in, first-out method to preserve the freshness of its products. Due to the nature of the Group's products, its inventories of raw materials, mainly perishable products, have a high turnover rate. Grupo Bimbo receives most of its supplies on a continuous basis, in some cases, with daily deliveries.

The Group's corporate offices lead the negotiations of its main raw materials with the suppliers, while its inventories are managed directly by each plant and storage facility. Local plants and storage facilities also manage and directly place orders for raw materials that may be obtained locally.

Finished Products

Grupo Bimbo has strategically located bakeries and plants, distribution centers and sales centers, which allows it to consolidate its operations in each region and to efficiently distribute its products. In addition, Grupo Bimbo has successfully implemented an interconnected system that allows it to synchronize its production capabilities with consumer demands based on information retrieved several times a day from its sales force, resulting in optimal levels of customer order management and thus, very low inventories of its finished products.

Due to the nature of some of its products and the commitment to freshness, inventory has a high turnover rate. Its inventories of dried products, such as toasted bread and breadcrumbs, cookies, salty snacks, have a lower turnover rate.

d. Quality and Food Safety System

In Grupo Bimbo, product quality and safety are part of the foundations of the business sustainability strategy. The Group operates through a Global Quality and Safety System aligned with the most rigorous international standards in the food industry. This system includes in its fundamental processes the monitoring and compliance with regulations, internal policies, and other applicable health policies for processes and products in all countries where the Company's brands are produced and sold.

In order to validate the implementation and compliance of the Global Quality and Safety System in operations, the Group has a certification process by independent organizations and agencies with a recognized international reputation. As of 2023, 182 of its plants have a food safety standard recognized by the GFSI (Global Food Safety Initiative), whose mission is to provide continuous improvement in management systems to guaranty the safety delivery of food for consumers around the world.

1.6) Prices

The Group's pricing strategy is closely related to the general market conditions and the cost of its inputs and operations. The Group seeks to maintain a low-cost production to offer its customers the most competitive prices, guaranteeing the best quality. Its comprehensive pricing strategy also considers competition, product sensitivity and potential, market research and other factors to determine the price of the products.

1.7) Responsible Marketing

Grupo Bimbo seeks to generate a positive and lasting impact on the lives of its consumers and clients through marketing strategies prioritizing responsible communication across all its brands.

In 2023, the Group initiated a collaboration with the International Chamber of Commerce (ICC), a voluntary membership organization that sets important guidelines in marketing and advertising worldwide. This affiliation aligns the Group with the ICC Advertising and Marketing Communications Code and its self-regulations, enabling them to develop, enhance, and maintain consumer trust in business communities where self-regulation takes place.

The company is aware of its responsibility to promote healthy eating habits and ensure the food safety and health of its consumers. Achieving a positive impact on their lives requires not only maintaining successful responsible marketing activities from the past but actively improving them to reflect the best industry practices.

The Group continues to implement marketing actions targeting children, ensuring compliance with regulations regarding communication directed at children under 13 years old. In this regard, they have designed new initiatives prohibiting the presence, across their various communication channels, of individuals with influence over children under 13 years old, such as celebrities, influencers, well-known figures on social media, among others, as well as those targeting child audiences.

The Group remains committed to its philosophy of building a sustainable, highly productive, and fully humane company. In line with this commitment, all marketing actions must adhere to its Global Policy on Communication and Advertising for children and the general public, as well as the document "This Is How We Do Marketing," which establishes guidelines for responsible marketing and communication at Grupo Bimbo, available to the public on its website: https://www.grupobimbo.com/es/nosotros/politica

It is important to note that these guidelines apply to all organizations within Grupo Bimbo in the countries where it operates, and it is the responsibility of all marketing teams to implement and respect them. Additionally, these documents are updated annually to remain current in light of potential changes in industry standards.

1.8) Technology and Information Systems

a. Technology and information systems

During 2023, Grupo Bimbo made significant progress in the global implementation of its key information systems, such as ERP, commercial and customer relationship systems, as well as in data analysis, supply chain support and improvement of its operations through Internet of Things (IoT) solutions, achieving a progress of more than 90% in the new ERP and more than 95% in its commercial systems. These solutions and data operate from the cloud, which provides Grupo Bimbo with constant updating capacity, infrastructure flexibility and operational security and protection against cyber-attacks.

During the year, the use of Artificial Intelligence (AI) solutions began to expand in different areas of the business, mainly through Generative Artificial Intelligence, driven by the important business relationship between Microsoft and Grupo Bimbo. These solutions include AI assistance applications to improve productivity in different leadership and administrative positions. Although its use is still incipient and largely experimental, we can begin to observe the transformation that different business tasks will have after its growing and frequent application.

IoT technology has continued to advance, expanding its influence beyond manufacturing processes to include matters such as quality management, sustainability, security for people and properties, as well as asset maintenance and vehicle fleet management. In addition, process automation has continued to grow in scope through the self-development program, freeing business areas from the need to resort to technology equipment for the development of their most common and basic solutions.

Finally, customer relationship capabilities through the Connection Center grew in geographic coverage to reach more than 85% of the markets, and in attention and understanding capabilities, also driven by AI, which allowed Grupo Bimbo a more timely and deeper analysis for business decisions.

ii) Distribution Channels

Grupo Bimbo uses direct distribution channels to deliver its product in the different points of sale.The Group believes that this has been key to its success. For example, it has developed one of the largest fleets in America with more than 57,000 distribution routes around the world.

With an average life of 12 years, the Group believes to have one of the largest fleets in the world. The following table shows the composition of this fleet, to December 31, 2023

Delivery	Transportation	Towing	Others	Third parties	Total
38,309	1,589	6,425	7,624	13,662	67,609

The Group has more than 1,500 sales centers, each one depends on the operations of one or several production plants. Every day the products are distributed from the bakeries and plants, agencies and warehouses, which may produce more than one brand.

The Group's sales force distributes its products to its customers from its distribution centers according with predetermined itineraries. Currently, all routes can both deliver products and pick-up returned products from consumers on each visit. Products may be returned by the Group's customers if they were not sold and are replaced by fresh products with no cost to the customers. The products that are picked up are no longer considered fresh although they could be consumed, because the Group picks them up a few days prior to their expiration date.

Returned products are sent to sales centers that sell "yesterday's bread," where the product is offered from two to four days at a lower price (these sales centers may be owned and operated by the Company or third parties). The product is also sold in bulk to be used as cattle feed.

Each product is displayed for sale in accordance with its shelf life, which varies from seven days, in the case of bread, or several months, in the case of cookies and snacks.

Based on the production and sale levels, visits to each customer may be daily, every three days, two times a week or weekly. The Group classifies its customers according to their purchase volume, type of distribution channel and by individual characteristics. The Group's customers include hypermarkets, supermarkets, price clubs, family-owned businesses, foodservice, including institutional customers, fast food chains and schools, vending machines operators and traditional customers (such as grocery stores). The Group has the ability to tailor an approach and response to its customers' diverse and changing needs, including with respect to frequency of delivery, in a cost-effective manner.

The Group directly operates all of the routes in Mexico and most of the routes in Latin America. Over half of the routes in the United States and most of the routes in Canada and Europe are operated by independent operators. The Company generally enters into long-term contracts with these independent operators under which they agree to exclusively sell its products. Terms of these contracts also specify which territories will independent operators cover and the compensation, which is based on sales performance. The Group has strict control over brand management, marketing strategies and pricing, and a right to buy contracts from each of the independent operators under certain limited circumstances. The Group adapts its distribution model to every country in which it operates. For example, it believes the use of independent operators in certain markets reduces distribution costs and increases flexibility to efficiently add points of sale, while maintaining the quality of the services.

3) Patents, Trademarks, Licenses and Other Contracts

3.1. Trademarks

Grupo Bimbo's most important brands, slogans and logos are protected by trademarks in the countries in which the Group operates and in many other countries. The Company produces and/or commercializes over 9,000 products,sold under its more than 100 renowned brands, including, Bimbo®, Oroweat®, Thomas®, Barcel®, Marinela®, Entenmann's®, Sara Lee®, Tia Rosa®, Artesano®, Dempster's®, Ball Park®, Villaggio®, Mrs. Baird's®, Donuts®, Wonder®, Mankattan®, Vachon®, Pullman®, Ideal®, POM®, Lara®, Arnold®, Brownberry®, New York Bakery Co. ®, Milpa Real®, Supan®, Fargo®, Monarca®, Ana Maria®, Los Sorchantes®, and Harvest Gold®, among others.

To 2023, the Company has approximately 4,700 brand files and registries in Mexico and more than 20,565 abroad. The Group has brands registries in Africa, North America and South America, Asia, Europe and Middle East. However, the trademark for Bimbo is held by others in Chile, Puerto Rico and certain European

countries. The trademark for Marinela® is held by third parties in El Salvador and Honduras. Therefore, the Company's products in those countries are sold under the brands Ideal® and Marinela®, respectively, notwithstanding that the Company's designs and packages are used in those countries. In addition, the Company also operates registered websites targeting consumers in each of the geographies in which it operates.

3.2. Patents, Copyrights and Litigation

Patents

The protection of the inventions through patents is of paramount importance to the Company. It operates largely with technology developed by its Research and Development team, which regularly requests patent protection of such developments, both in Mexico and abroad.

To 2023, the Group had approximately 134 patents (including industrial designs and utility models) in Mexico and 175 abroad, mainly in the United States, Canada, Argentina, Chile, China, Colombia, Costa Rica, El Salvador, Guatemala, India, Peru, Venezuela and the European Union.

Copyrights

The major characters, publications, computer systems, logos and package designs used by the Group in its products are protected by copyrights in the markets where it operates and in other countries.

Litigation

Currently, the Group is part of various legal procedures and investigations arising in the normal course of its business that are routine in nature and incidental to the operations of its business. Litigation and investigations may include class actions involving consumers, shareholders, associates, disabled people, tax inquiries and claims related to commercial, labor, economic competition, intellectual property, civil, commercial, debt or environmental matters. Grupo Bimbo will continue to be subject to legal procedures and investigations. See "Risk Factors - Risks related to Business, Industry and Supply - The Group's operations are subject to general litigation risks".

In 2017, Canadian antitrust authorities initiated an investigation into alleged collusion among several participants in the baking industry, including Canada Bread, a company that Grupo Bimbo acquired in 2014. The investigation focused on possible price fixing that occurred in the period since 2001.

In 2017 Canada's Competition Bureau started an investigation over allegations related to an industry collusion among several entities participating in the bread supply chain, including Canada Bread (which was acquired by the Group in 2014), associated with a price fixing conduct that occurred from 2001. On June 21, 2023, Grupo Bimbo announced that Canada Bread had settled the ongoing investigation, which involved the payment of a fine of USD$38 million (CAD$50 million). This fine was paid in full on July 20, 2023. In addition, the Group received notifications of two class actions filed by consumers and/or consumer associations as a result of the investigation and the alleged practices related to price fixing. . The Group cannot assure that the outcome of this investigation or the class actions will not have an adverse effect on its business, financial situation, results of operation or prospects.

3.3. Contracts

Grupo Bimbo executes and maintains several contracts within the ordinary course of its business, such as leases, bailments, supply agreements, raw materials and machinery purchase agreements, manufacturing agreements, distribution and commercialization agreements, sponsorship, license and all service agreements necessary for its operations, which may be short, medium or long term agreements, depending on the needs and strategies.

4. Main Customers

Grupo Bimbo has a strong relationship with its customers and strive to understand and meet their specific needs. The Group has a diverse customer base among and within the countries it operates, ranging from large retailers to small convenience stores (this type of customer is more relevant in emerging markets), as well as institutional customers (such as quick service restaurants, schools, vending machines, among others) and e-commerce platforms, such as Amazon®, Freshdirect®, Peadpod®, ShopRite®, among others.

The chart below includes the main customers per region:

Region	Type of Customer	Relevant Customers
North America		
United States	Supermarket chains, price clubs, foodservice chains, institutional customers and small convenience stores.	Wal-Mart, Kroger, Albertsons, Ahold-Delhaize, Sam's Club and Costco.
Canada	Retailers, foodservice chains and other large institutional customers.	Sobeys, Wal-Mart, Metro Inc., Loblaw and Costco.
Mexico	Large retail stores, supermarkets, warehouses, price clubs, convenience stores and government-owned supermarkets	Wal-Mart, Hiper Soriana, Chedraui and Costco. The Group also serves large fast food chains such as McDonald's.
Latin America	Small convenience stores, supermarket chains and hypermarkets.	Wal-Mart, Cencosud and INC S.A. The Group also serves large food chains and other institutional customers, such as McDonald's and Burger King.
Europe, Asia, Africa		
Europe	Supermarkets, hypermarkets and foodservice chains	Tesco, Grupo Carrefour, LIDL, DIA, EROSKY and Sainsburys. The Group also serves large food chains and other institutional customers, such as McDonald's and Burger King.
Asia	Retailers and foodservice chains	McDonald's, Wendy's, Burger King and KFC.
Africa	Retailers and foodservice chains	Burger King, Wendy's, KFC and McDonald's.

The Group's largest customer, Wal-Mart, considering all of its chains, represents approximately 18% of total sales for the year ended December 31, 2023. No other customer represented, individually, more than 10% of total sales for such period.

5) Applicable Law and Tax Status

The development of the Group's business is regulated by laws, rules, regulations and generally applicable provisions issued by governmental authorities, as the federal, state and municipal authorities. Laws and regulations relating to environmental protection, health, marketing and intellectual property are particularly important for the results of the Company.

In Mexico, the principal laws applicable to Grupo Bimbo are laws related to trade, taxes, intellectual property, corporate governance, securities and environmental protection, such as the Commerce Code (*Código de*

Comercio), the General Law of Business Entities (*Ley General de Sociedades Mercantiles*), the Securities Market Law (*Ley del Mercado de Valores*), the General Ecologic Equilibrium and Environmental Protection Law (*Ley General del Equilibrio Ecológico y Protección al Ambiente*), the Income Tax Law (*Ley del Impuesto sobre la Renta*), the Value Added Tax Law (*Ley del Impuesto sobre el Valor Agregado*), the Production and Services Tax Law (*Ley del Impuesto sobre Producción y Servicios*), the Intellectual Property Law (*Ley de la Propiedad Industrial*), the Mexican Securities Market Law (*Ley del Mercado de Valores*), the National Waters Law (*Ley de Aguas Nacionales*) and the General Law on Waste Prevention and Comprehensive Management (*Ley General para la Prevención y Gestión Integral de los Residuos*). In addition, Grupo Bimbo is governed in particular by the provisions included in its by-laws.

The Group is subject to the General Health Law (*Ley General de Salud*), the Federal Consumer Protection Law (*Ley Federal de Protección al Consumidor*), the Metrology and Standardization Federal Law (*Ley Federal sobre Metrología y Normalización*), the Federal Labor Law (*Ley Federal del Trabajo*), the Federal Duties Law (*Ley Federal de Derechos*), the Customs Law (*Ley Aduanera*), the Federal Law for Administrative Procedures (*Ley Federal del Procedimiento Administrativo*), the Federal Law for the Protection of Personal Data in Possession of Private Sector People (*Ley Federal de Protección de Datos Personales en Posesión de los Particulares*), the Federal Antitrust Law (*Ley Federal de Competencia Económica*), the General Law of Administrative Responsibilities (*Ley General de Responsabilidades Administrativas*), the Federal Law for the Prevention and Identification of Operations with Resources of Illicit Origin (*Ley Federal para la Prevención e Identificación de Operaciones con Recursos de Procedencia Ilícita*), and the Social Security Law (*Ley del Seguro Social*), as well as to several of its regulations.

Additionally, the Group is also required to comply with several regulations and Mexican Official Standards, (known in Spanish as “NOMs”), related to labeling and packaging, sanitary specifications, nutritional specifications, hygiene standards for food processing, beverages or dietary supplements, foods based on grains, edible seeds, flour, semolina or its mixtures, test methods, information for collectibles promotions or promotions through raffles and contests, and net contents, among others.

In environmental matters, the Group must obtain or establish, with respect to its bakeries and plants, operating licenses, prepare statements as a company generating hazardous waste, register the Company as a company generating hazardous and non-hazardous waste, as well as management plans for the latter. It also must have environmental licenses, wastewater discharge permits and waste separation permits, concession agreements for the use and exploitation of national waters, among others. In the event of opening new bakeries, facilities or expanding existing ones, the Group must obtain environmental impact assessments and risk analysis, construction licenses and licenses for land use.

In the other countries in which Grupo Bimbo operates, the equivalent laws and regulations are applied. As a result of the dynamism of the laws, the Company schedules periodic revisions to its plants and operations to keep pace with the regulatory changes. In addition, the Group is subject to internal requirements and policies that represent standards above the minimum required by the applicable laws.

Amendments to, or enactment of, environmental laws, including laws related to climate change, could require Grupo Bimbo to make significant investments to comply with such laws, which could affect its operating results.

Failure to comply with its obligations under applicable laws and regulations could result in the imposition of administrative sanctions or other penalties to the Company.

Tax Status

Grupo Bimbo is a multinational company that complies with its tax obligations in a timely manner and in strict compliance with the applicable tax laws and regulations in Mexico and in the different countries in which it operates.

In Mexico, the Group is subject to Income Tax, with a tax rate of 30% in 2023, and according to the Income Tax Law of 2014, this will continue for subsequent years. Regarding profits taxes in other countries, the

Group's subsidiaries established abroad calculate the profits tax or its equivalent based on the individual results of each subsidiary and in accordance with the specific regimes of each country. Particularly, in the United States of America, the Company is authorized to file a consolidated profits tax return; operations in Spain have been authorized to file a consolidated profits tax return since 2013, and operations in France have been authorized to file a consolidated profits tax return since 2019.

Except for the subsidiaries mentioned above, each of the subsidiaries are required to determine and pay its taxes under the individual legal entities regime. The corresponding annual returns are filed in accordance with the legal terms of each country; additionally, companies must perform provisional payments during each fiscal year.

6) Human Resources

Since its incorporation the Group has a people policy aimed at aligning the Company's interests with those of its associates; the outcome has been an excellent labor relationship. The Company has been looking to extend this philosophy to the companies that has acquired.

The Company places great importance on the selection of associates, performs ongoing evaluations, and provides continuous guidance and training to its associates. The company works to address the concerns of its associates and to promote personal and professional development.

The following table shows the number of associates in the Group during the past three years:

	As of December 31,		
	2023	**2022**	**2021**
Unionized associates	87,960	83,500	82,070
Non-unionized associates	61,184	56,139	55,000
Total	**149,144**	**139,639**	**137,070**

The People area has developed a policy which promotes a positive relationship with all associates. Most of the Group's operations have collective labor agreements, which are negotiated in accordance with the applicable legal and labor provisions in each of the countries where the Group operates.

Since its foundation, the Group has worked to promote and preserve a healthy labor environment with a day-to-day commitment with the safety and health of its associates and customers and a preventive approach to well-being. For this reason, the Company in every country in which it operates has a transparent and respectful relationship policy with the legitimate representatives of the associates' interests, whether syndicates, unions, cooperatives or any other collective form of association of its associates. Due to the above, it has been acknowledged in several occasions as an exemplary company from the Mexican Employees Confederation (*Confederación de Trabajadores de Mexico*) and by labor authorities in Mexico.

Grupo Bimbo currently has labour relationships with several unions including with the International Brotherhood of Teamsters and Bakery, Confectionery, Tobacco and Grain Millers International Union in United States; the *Sindicato Nacional de Trabajadores Harineros, Panificadores de Alimentos, del Transporte, Similares y Conexos de la República Mexicana, Sindicato Nacional Alimenticio y del Comercio, Similares y Conexos de la República Mexicana*; and in Canada, with the International Brotherhood of Teamsters, CSN (Conféderation des Syndicats Nationaux), UFCW (United Food and Commercial Workers International Union), Unifor and IUOE (International Union of Operating Engineers) and BCTGM (Bakery, Confectionery, Tobacco Workers and Gran Millers).

The Group strives to live its philosophy as a sustainable, highly productive and deeply humane Company placing great emphasis on its relationship with its associates, remaining committed to developing and supporting socially responsible and environmentally sustainable initiatives. The Group has the perspective that worker satisfaction and an active attitude towards social responsibility are essential factors for the development of a strong corporate culture and for maintaining consumer loyalty.

7) Environmental and Social Performance Indicators

"The company with the best corporate reputation in Mexico" for the 7th consecutive year according to Merco, and for the 8th consecutive year, Daniel Servitje was chosen as the leader with the best reputation in the country.	90% reduction in Scope 2 emissions vs. 2019 due to the use of renewable energy, alternative fuels and efficiencies in logistics and distribution.	As of 2023, the Group has +6,000 alternative fuel vehicles globally, of which +2,600 are electric.	96% water reuse from treated sources.	Grupo Bimbo announces its 2025 and 2027 targets for reducing scope 3 emissions (12.5% and 17.5%, respectively), with a verified baseline of 2019.
More than 170,000 hectares cultivated with regenerative agriculture (+13% compared to the 2023 target).	Total Recordable Incident Rate (TRIR) of 1.79, a significant improvement over the 1.96 obtained in 2022.	Grupo Bimbo is recognized with an "A" rating by the Carbon Disclosure Project (CDP) for its global actions to mitigate the effects of climate change.	22% of its daily bread, pastry, and breakfast portfolio are made with simple and natural recipes.	95% of the products for daily consumption fully complied with the maximum levels of nutrients delimited in a diet.
35% of Grupo Bimbo's sales come from foods with >3.5 stars according to the Health Star Rating System.	At a global level, 93% of the packaging materials are recyclable.	100% traceability in strategic and high-risk ingredients.	95% of the inputs used for our products have a certification under the GFSI scheme.	+4 million training hours for associates.
24 countries participate in Grupo Bimbo's volunteer program.	More than 400 thousand people benefited from the Good Neighbor Program implemented in 28 countries.	613 donations made in 2023, of which 304 were in-kind and 309 were monetary. This represents a total of $328.8 million pesos and support for 384 civil associations.	More than 330,000 people participated in the Bimbo Global Race, where +2.8 million slices of bread were donated to food banks.	Social Investment represented 0.5% of the Majority Net Profit in 2023.

8) Market Information

8.1 Global Perspective of the Baking and Snack Industry

The Group participates in the grain-based food industry, specifically in the baking and snack industry. Grupo Bimbo is the undisputed global leader in the baking industry and one of the top ten players in the snack industry. Both industries are highly fragmented, presenting significant room for further growth.

The baking and snack industries in which the Group operates are large, resilient, and growing, with an estimated market size of USD$440 billion and USD$326 billion, respectively, with historical sales CAGR

between 2017-2022 of 3.2% and 4.2%, respectively, and expected sales CAGR between 2022-2027 of 5.3% and 5.5%, respectively. There are several global trends and tailwinds in both the baking and snack industries that align with the Group's strategy, which will help drive growth in the coming years. Also, the Group's presence in mature markets provides stability and visibility, while its presence in developing markets enables it to achieve superior growth.

8.2 Overview of the Baking Industry

Bread is a key staple and generally affordable product in various regions worldwide. According to Euromonitor, the baked goods industry had a value of US$440 billion in 2022. The main categories in the sector are (i) bread, (ii) cakes, and (iii) dessert mixes - other smaller categories include (iv) frozen baked products, (v) pastries, and (vi) pies and tarts. The Group operates in the bread, cakes, and pastries segments within this definition, while also participating in other categories not included, such as cookies, among others.

Artisanal and private label bakedproducts are highly relevant to the baking industry. According to Euromonitor, artisanal and private label baked products accounted for 55.8% and 8.1%, respectively, of the total global market in 2022 (measured as a percentage of Retail Sales Price, or RSP). In contrast, the largest branded baked goods player globally, Grupo Bimbo, accounted for only 3.4% of the total market, being 2.4 times larger than the second-largest player.

According to Euromonitor, the baking industry recorded a CAGR of 3.2% over the last five years (2017 to 2022) and is anticipated to accelerate at a projected annualized rate of 5.3% from 2022 to 2027, mainly driven by growth in emerging markets. In 2023 alone, the industry is expected to grow 6.8%, driven by the bread and cakes categories.

The following table shows the breakdown of the global baking industry by region and category.

Baking Industry by Region

	Market Size ('22A, US$bn)	Contribution by Region ('22A, %)	Growth (CAGR) '17A-'22A	Growth (CAGR) '22A-27E
Western Europe	$111.8	25.4%	1.0%	3.9%
North America	$90.6	20.6%	5.1%	3.4%
Asia Pacific	$88.7	20.2%	3.6%	5.5%
Latin America	$71.6	16.3%	2.4%	7.4%
Middle East and Africa	$39.5	9.0%	5.8%	9.1%
Eastern Europe	$31.6	7.2%	4.3%	4.1%
Australasia[1]	$6.3	1.4%	1.7%	4.9%
Global	**$440.0**	**100.0%**	**3.2%**	**5.3%**

Source: Euromonitor International Limited, Staple Foods 2023 edition, Retail Sales Price (RSP) in US dollars, fixed exchange rate 2022 constant terms, including sales tax.

Global Baked Goods by Category

	Market Size ('22A, US$bn)	Contribution by Region ('22A, %)	Growth (CAGR) '17A-'22A	Growth (CAGR) '22A-27E
Bread	$241.0	54.8%	3.1%	5.5%

[1] Includes Australia and New Zealand.

Cakes	$94.9	21.6%	3.3%	5.3%
Pastries	$84.6	19.2%	3.5%	4.8%
Others	$19.5	4.4%	2.3%	4.6%
Dessert mixes	*$6.6*	*1.5%*	*1.1%*	*4.9%*
Frozen baked goods	*$5.6*	*1.3%*	*2.8%*	*4.8%*
Dessert Pies & Tarts	*$7.3*	*1.7%*	*3.1%*	*4.2%*
Global	**$440.0**	**100.0%**	**3.2%**	**5.3%**

Source: Euromonitor International Limited, Staple Foods edition 2023, Retail Sales Price (RSP) in US dollars, fixed exchange rate 2022 constant terms, including sales tax.

The growth of baked goods in emerging markets, particularly in the Middle East, Africa, and Latin America, is expected to be primarily driven by population growth and higher per capita bread consumption resulting from increased urbanization and rising disposable incomes.

Furthermore, shifting consumer preferences globally towards healthier diets and more sustainable products are also driving the demand for branded baked goods, which typically offer a wider range of such products compared to artisanal and private label offerings.

The Group believes that increasing consumer awareness of nutritional and sustainability matters presents an opportunity for continued growth in both emerging and mature markets through the launching of innovative, fortified, specialty, and gluten-free products.

Main Players

The industry remains highly competitive and fragmented, with the top 10 players accounting for only 8.4% of the total baking industry, and no single player controlling more than 4.0%. Due to the short-shelf life nature of baking products, only a few experienced operators have been able to expand their distribution reach and scale. For the same reason, in most markets, the largest competitors for branded baked goods manufacturers are small family-owned local bakeries offering artisanal products, or retailers' private label. According to Euromonitor (2022), there were over 320,000 establishments operating in the industry worldwide, the majority of which are small local bakeries.

While the industry's low barriers to entry have historically kept concentration low, there are three major global players in the baking industry. However, Grupo Bimbo is the only one true, global baked goods player, as the other two primarily focus on their domestic markets. The table below shows the estimated market share of the major global players in the baking industry according to Euromonitor:

Participant	Estimated market share
Grupo Bimbo, S.A.B. de C.V.	3.4%
Yamazaki Baking Co., Ltd	1.4%
Flowers Foods, Inc.	0.7%

Source: Euromonitor International Limited, Staple Foods edition 2023, Retail Sales Price (RSP) in US dollars, fixed exchange rate 2022 constant terms, including sales tax.

The two main competitive factors in the industry are price and perceived product quality. Although price is important, value is the underlying game-changer, as the perceived quality of a particular product or brand determines the price consumers are willing to pay. One of the most relevant areas of focus for major companies in the sector is to develop and reinforce brand recognition, product differentiation, and the ability to deliver high-quality products that appeal to the needs and tastes of the consumer base. Additionally, to manage prices, companies in the baking industry leverage their scale and know-how to efficiently source raw materials, primarily wheat and sugar, at competitive prices, and focus on maximizing production efficiency. In emerging markets, distribution through traditional channels is also especially important and a decisive factor for a company's success.

Sales Channels and Distribution Network

The industry's sales channels are categorized into four major categories: traditional, or Mom & Pops (including Food/Drink/Tobacco Specialists and Small Local Grocers), modern (Convenience Retail, Supermarkets, Hypermarkets, Discounters, Warehouse Clubs), foodservice and others (such as vending machines, direct selling, eCommerce). Distribution of baked goods varies greatly by region. In general, distribution in emerging markets is still dominated by Mom & Pops or local/artisanal bakeries, while modern trade has a higher relevance in developed markets.

Modern trade accounts for most of the industry's global sales, representing 50.9% of total sales. In developed markets such as North America, it represents an estimated 75.4% of total sales. Emerging markets, such as Latin America and Middle East and Africa, rely more on traditional channels such as small local grocers and food/drink/tobacco specialists, representing an estimated 69.2% and 62.5%, respectively, of total sales.

The sale of products can be carried out either via third-party distributors or via DSD (direct store delivery) distribution. A key competitive advantage of baked good players is robust DSD distribution capabilities, as they provide visibility and control of products from production to the point of sale. Given the short shelf-life of bakery products, the challenges associated with the transportation of products, and customers' expectations to restock shelves several times a day, industry participants who have limited DSD capabilities are only able to focus on local markets. However, recent advances in technology and packaging have increased the durability of baking products and therefore the possibility to be delivered over longer distances.

The Baking Industry by Country/Region

North America

According to Euromonitor, North America accounted for 20.6% of global baking industry revenue in 2022. It is considered a mature market with established brands. Future growth is expected to be driven by product and packaging innovation, production of healthier and more sustainable baked goods, and the development of strong brands.

Key market trends include premiumization, continued relevance of health and wellness, products with clean labeling, as well as products that consumers perceive as environmentally friendly (i.e., recyclable packaging).

The Group operates in the United States baking market through BBU, being the largest player of bread in the United States with an estimated market share of 17.6% in 2022 according to Euromonitor. The Group's major competitors in the baking industry in the United States include Flowers Foods®, Hostess®, McKee Foods®, and private labels.

According to Euromonitor, the Group is one of the leading participants in the Canadian fresh baking market and is the leading baking company in the eastern Canadian provinces of Quebec and Ontario.

Mexico

According to Euromonitor, it is expected that the baking industry in Mexico will grow at a CAGR of 6.6% from 2022 to 2027. In terms of products, tortillas and packaged bread remain staple products in the country and are expected to continue in that way.

Grupo Bimbo is the largest player of baked goods in Mexico, with an estimated market share of 15.2% as of 2022, according to Euromonitor. The Group's most relevant competitors are artisanal bakeries, small family-owned bakeries, and supermarket bakeries (private-label), in addition to regional packaged bread producers such as Dulcipán, El Panqué and Pan Filler®, among others. Also, according to Euromonitor, in

Mexico, the Group is also the largest producer of cakes in terms of sales under the Marinela®, Bimbo®, and Suandy® brands.

In the cookie category, Grupo Bimbo has brands like Marinela®, Lara®, Gabi®, Bimbo®, Tía Rosa®, and Suandy®. According to Nielsen data, Bimbo is the second largest cookie manufacturer in terms of sales. Its main competitors in the category include global market participants.

The Group also participates in the packaged tortilla market (flour and corn) with its Tía Rosa®, Milpa Real® and Del Hogar® brands, which compete mainly with products from Gruma (Misión and Maseca). According to Nielsen data, Tortillinas Tía Rosa® is the brand with the highest sales in the flour tortilla category in Mexico. Additionally, after the group of small manufacturers, Milpa Real® and Saníssmo® are the second and third best-selling toasts brands, respectively.

Latin America

Latin America is the fourth largest segment in terms of industry revenue, representing approximately 16.3%, according to Euromonitor (2022).

The main competition comes from the significant number of artisanal bakeries, small family-owned bakeries and supermarket bakeries. Grupo Bimbo leads the packaged bread market in every Latin American country in which it operates, in the sliced bread and pastries categories, with strong local brands such as Pullman®, Plus Vita®, Nutrella®, Fargo®and Lactal®, as well as regional brands such as Bimbo®. It also has a solid presence in the categories of cakes with brands such as Ana Maria®.

Europe, Asia and Africa

Europe, Asia, and Africa together represented 63.1% of the global baked goods market according to Euromonitor (2022), with Western Europe being the largest global market for baking products, accounting for more than 25% of total sales. It is considered a mature and stable market with a high level of penetration of packaged bread. The presence of private labels and artisanal bakeries is significant in the region, accounting for 76.5% of the total market. Furthermore, it is expected that Eastern Europe will drive further growth in the coming years.

Similar to the global scenario, the industry remains highly fragmented on the continent, with over 75,000 establishments competing in the European bread and baking products industry, according to Euromonitor (2022). The vast majority of these players are small artisanal bakeries, contributing to the fragmentation. This is partly due to the longstanding tradition in many European countries of purchasing freshly baked bread daily.

In Europe, the Company primarily operates through Bimbo Iberia (Spain and Portugal), Bimbo UK, and Romania. The Company is a market leader in the branded packaged bread market in Spain and Portugal, with a share in the bread and sweet baked goods categories under brands such as Bimbo®, Donuts®, Silueta®, Ortiz®, and Martínez®.

In the United Kingdom, Grupo Bimbo is the leading producer in the bagel market with the New York Bakery Co® brand. Major competitors in this market include Weight Watchers®, Kings Mill®, and other private label players. Additionally, the Company holds a leadership position in the viennoiserie category in the UK.

In January 2023, the Group acquired Vel Pitar®, a leading player in the baking industry in Romania in terms of sales. This acquisition allowed the Group to include well-positioned brands in its portfolio, such as Vel Pitar®, French Toast®, Grâu Întreg®, and Chef Gourmand®.

According to Euromonitor, the Asia Pacific region accounted for 20.2% of the global baking industry revenue in 2022. As Western cuisine becomes increasingly adopted in the region, bread has been increasingly adopted by consumers as a complement to rice, which is their main staple food. It is expected that in Central

Asia, where bread-related products like naan and roti are essential in daily meals, growth will continue as demand for Western-style baked goods increases.

According to the World Bank, China is the world's second-largest consumer market. In China's case, industry growth has been driven by sustained economic prosperity, increasing urbanization, more women in the workforce, and the growing influence of Western cultures and diets.

The Group has been a pioneer in developing the packaged bread market in China in the categories of packaged baked goods, cake,s and tortillas s by adapting its products to local preferences, such as bread filled with sweet beans, green tea and spicy meat. The Company participates in the Chinese market mainly through the Bimbo® and Mankattan® brands.

In India, the Company is also a baking leader in New Delhi and its surroundings. Currently, brands in the region include Harvest Gold®, Ready Roti®, and Modern Foods®, among others.

Regarding Africa, the Group manufactures and distributes snack cakes in Morocco under the Belle® brand.

The Global Foodservice and QSR Industries

The Company provides baked goods to fast-food chains and independent foodservice outlets, including the largest fast-food chains like McDonald's Corp, Yum! Brands, and Restaurant Brands International. The Group has established long-standing relationships with the QSR (Quick Service Restaurant) market, of which it is the primary global supplier of baked goods. According to Euromonitor (2022), the industry is estimated to rebound over the next five years following the COVID-19 pandemic, with a CAGR of 7.1% to reach US$3,864.8 billion by 2027.

North America represents the largest and most mature market for global QSR operators. The Group operates throughout the United States and Canada, with burgers representing the leading product category in the United States with a 39.7% market value share, followed by baked products with 15.8%, pizza with 11.7%, chicken with 11.8%, and Latin American food with 8.8%, according to Euromonitor data for 2022.

Asia is the second largest QSR market, and growth is expected to be primarily driven by China, India, and Central Asian nations. Key drivers include population growth, increased disposable income expected to drive out-of-home spending, and the growing influence of Western-style food.

The Group considers itself well-positioned to capture potential growth in the foodservice and QSR industries worldwide through its Bimbo QSR organization, with established operations in Brazil, the United States, China, South Korea, France, Italy, Switzerland, Russia, Ukraine, Turkey, Morocco, South Africa, and Kazakhstan.

*The business operations in Morocco are conducted through a strategic alliance.

Global QSR

	Markes Size ('22A, US$bn)	Contribution By Region ('22A, %)	Growth (CAGR) '17A-'22A	Growth (CAGR) '22A-'27E
Western Europe	$131.6	14.8%	1.6%	5.9%
North America	$367.6	41.4%	5.0%	5.6%
Asia Pacific	$257.0	29.0%	0.4%	8.0%
Latin America	$55.3	6.2%	(2.0%)	8.3%
Middle East & Africa	$36.2	4.1%	1.5%	10.4%
Eastern Europe	$21.9	2.5%	4.5%	8.7%

Australasia[2]	$17.2	1.9%	(1.5%)	5.2%
Global	**$886.8**	**100.0%**	**2.3%**	**6.8%**

Source: Euromonitor International Limited, Staple Foods 2023 edition, Retail Sales Price, including sales tax, US$, fixed exchange rate 2022 constant terms.

The Snacks Industry

Snacks represent a large and growing segment of the broader packaged food market. According to Euromonitor, the global snack industry was worth US$608.2 billion in 2022 and comprises a wide variety of products, generally divided into four different categories: (i) savory snacks, (ii) sweet biscuits, snack bars, and fruit snacks, or sweet snacks, (iii) confectionery, and (iv) ice cream. Savory snacks and sweet biscuits, snack bars, and fruit snacks accounted for 35.3% and 18.3% of total global snack sales in 2022, respectively.

According to Euromonitor, the savory and sweet snacks industry, combined, recorded a CAGR of 4.2% over the last five years (2017-2022), and is projected to accelerate to a projected annualized growth rate of 5.5% from 2022 to 2027, mainly driven by growth in emerging markets. In 2023 alone, the industry is expected to grow by 5.8%, driven by savory snacks and confectionery.

Savory and sweet snacks (sweet biscuits, fruit snacks, and snack bars category) are expected to continue gaining market share in the global snack industry as smaller portion and frequent consumption meals increase in popularity, reaching 53.8% by 2027. Meal substitution is a key driver for savoury snacks expansion–consumer demand for convenience coupled with recent toughening macroeconomic conditions is fueling growth in the category as savoury snacks become an affordable meal substitute.

For that same reason, consumers are increasingly demanding functional, natural/clean label, and locally flavored snacks, without losing indulgence factors. Another key driverr is the growing consumption of snacks in smaller packages, reflecting a return to impulse purchases and the creation of "distracted" snacking occasions (snacking while streaming content or gaming) as people transition to hybrid lifestyles after the pandemic.

The Group believes that there is still a perception that snacks are meant to be more between-meals than for actual meal replacements, but busy, on-the-go lifestyles often impose the need for quick meals, and many opt for fast food options that may have high calorie content and few health benefits. It also believes that there is an opportunity to gain market share in the market for nutritious, portable, and easy-to-eat meal alternatives.

Relevant Markets

The Group participates in the snack industry in North America, Latin America and Europe.

Based on information provided by Euromonitor, Grupo Bimbo is the second-largest player in the snack industry in Mexico with an estimated market share of 18.4%, the fifth-largest player with an estimated market share of 5.0% in Latin America, and a significant player in North America.

9) Corporate Structure

Grupo Bimbo is a holding company that, as of December 31, 2023 was a direct or indirect owner of shares in its six primary operational subsidiaries. The table shown below lists the most important companies, their main activity and the equity holding percentage held by Grupo Bimbo in each one of them.

[2] Includes Australia and New Zealand

Subsidiaries	Main Activity	Shareholding%
Bimbo, S.A. de C.V.	Baking	97%
Barcel, S.A. de C.V.	Snacks	98%
Canada Bread Company, Ltd.	Baking	100%
Bimbo Bakeries USA, Inc.	Baking	100%
Bimbo do Brasil, Ltda.	Baking	100%
Bakery Iberian Investments, S.L.U.	Baking	100%

10) Main Assets Description

10.1 Facilities

a. Production Plants

As of December 31, 2023, Grupo Bimbo operates 217 bakeries and plants worldwide distributed as follows:

- 65 in the USA; in Arizona, California, North Carolina, South Carolina, Colorado, Connecticut, Florida, Georgia, Indiana, Iowa, Illinois, Kansas, Kentucky, Maryland, Michigan, Minnesota, Mississippi, Nebraska, New Mexico, New York, Oklahoma, Oregon, Ohio, Pennsylvania, Texas, Utah, Virginia, Washington, West Virginia and Wisconsin.

- 36 in Mexico; in Baja California, Mexico City, Chihuahua, Durango, Estado de México, Guanajuato, Hidalgo, Jalisco, Nuevo León, Puebla, San Luis Potosí, Sinaloa, Sonora, Tabasco, Veracruz, Guadalajara and Yucatán.

- 35 in Latin America; in Argentina, Brazil, Chile, Colombia, Costa Rica, Ecuador, El Salvador, Guatemala, Honduras, Panama, Paraguay, Peru, Uruguay and Venezuela.

- 19 in Canada; in Alberta, British Columbia, Manitoba, New Brunswick, Newfoundland, Nova Scotia, Ontario, Québec and Winnipeg;

- 35 in Europe, in Spain, Portugal, the United Kingdom, Italy, France, Ukraine, Turkey Rusia, Rumania and Switzerland.

- 24 in Asia, in China, India, Kazakhstan and South Korea.

- 3 in Africa, South Africa and Morocco ;

These plants produce sliced bread, buns & rolls, cakes, pastries, cookies, toast, english muffins, bagels, tortillas and flatbread and snacks, among others. The Group owns approximately 85% of the production plants it operates and leases the remainder from third parties.

The Group maintains a comprehensive insurance program for all the production plants in order to transfer all risks through specific provisioning.

The distribution of the Company's main bakeries and plants per region are shown below.

MEXICO

	Number of bakeries and plants
Bimbo S.A.	28
Barcel S.A.	7

Moldes y Exhibidores, S.A. de C.V.	1
TOTAL	**36**

NORTH AMERICA

	Number of bakeries and plants
Bimbo Bakeries USA	59
Organización Barcel	2
Bimbo Canada	19
Bimbo QSR	4
TOTAL	**84**

LATIN AMERICA

South	Number of bakeries and plants
Argentina	4
Brazil	10
Peru	2
Paraguay	1
Uruguay	1
Chile	3
TOTAL	**21**

Central	Number of bakeries and plants
Guatemala	1
El Salvador	1
Honduras	1
Costa Rica	1
Panama	1
Colombia	6
Venezuela	1
Ecuador	2
TOTAL	**14**

EUROPE

	Number of bakeries and plants
Spain	12
Portugal	2
France	3
Italy	2
Ukraine	1
United Kingdom	2
Turkey	1
Switzerland	1
Russia	1
Romania	10
TOTAL	**35**

ASIA

	Number of bakeries and plants
China	10
India	12
South Korea	1
Kazakhstan	1
TOTAL	**24**

AFRICA

	Number of bakeries and plants
South Africa	2
Morocco	1
TOTAL	**3**

The following table shows the time percentage of the fabrication that is productive in all the Company's operations as of December 31, 2023:

Organization and type of product	
Bimbo, S.A. de C.V. Bread, buns & rolls, doughnuts, cakes, toasts, cookies, pastries, waffer cookies, tortillas	85%
Bimbo Bakeries USA Bread, buns & rolls, doughnuts, pastries, pies, tortillas, *tostadas*, muffins and cakes	72%
Latin South Organization Bread, buns & rolls, doughnuts, cakes, toasts, pastries, cookies, Swiss rolls, puff pastry and tortillas	85%
Latin Centro Organization Bread, buns & rolls, doughnuts, toasts, cookies, pastries and tortillas	83%

Barcel, S.A. de C.V. Snacks	78%
Bimbo Iberia Bread, buns, doughnuts, flatbread, toasts and cereal bars	83%
Bimbo Canada Bread, cakes, rolls, tortillas, muffins and cereal bars	77%
Bimbo India Bread, buns & rolls	88%
Bimbo Brazil Bread, buns & rolls, doughnuts, cakes, toasts, pastries, cookies, Swiss rolls, puff pastry and tortillas	78%
Bimbo United Kingdom Bagels, croissants	67%
Bimbo China Bread, pastries, cakes, tortillas and cookies.	86%
Bimbo QSR Buns, bread, muffins, cakes and flour tortillas.	82%
Bimbo Marruecos Bread	67%
Bimbo Rumania Bread, pastries and snacks	22%

The percentages were obtained using OEE (Overall Equipment Effectiveness), an indicator that measures manufacturing productivity. For example, in Bimbo S.A. de C.V. until 2023, 85% of the manufacturing time in the production lines was productive.

b. Agencies

As an important part of its distribution process, the Company has more than 1,600 sales centers, each one supplied by one or more production plants. These centers may be exclusive for some of its brands or may handle several brands making use of the same infrastructure.

10.2) Asset Management

In order to secure the continuity of the Group's operations, an asset management system has been implemented supported by a preventive, predictive and collaborative maintenance strategic programs for the management of all the Company's assets, including machinery productive, diverse equipment, facilities along the supply chain and vehicular fleet. The objective is that all the Group's facilities and equipment show optimum operating, appearance and reliability conditions, and that while they comply with government rules and regulations, they also maintain a climate of well-being and safety for the associates and the communities in which Grupo Bimbo operates.

The Asset Management Model continually assesses the impact of predictive maintenance on business sustentability, emission of tons of CO2 equivalent, continuity, reliability and profitability, by recruiting,

developing and retaining the best talent in diverse sectors. All of this, in search of industry leadership, through the inclusion of modern diagnostic technologies and monitoring of component conditions, artificial intelligence and virtual/aumented reality, both of the productive machinery as of diverse equipment and the vehicular fleet.

In this regard, the Company allocated in 2023, approximately 2% of the net sales to the asset management described aboved. Moreover, during the last year, 9% of its sales have been allocated in investments to support the growth, equipment modernization and productivity of its lines.

10.3) Guarantees on Assets

On the date of this Annual Report, the Company has only created liens on its assets as ordinary course of business. None are material.

10.4) Insurance

In addition to traditional insurances that cover assets against fire and natural phenomena, Grupo Bimbo has solutions that respond for cybersecurity against intrusions that may alter the operation of the Group, as well as its Board of Directors or any other position of command that is exposed to obligations and responsibilities in the performance of its position, with respect to errors and omissions derived from the daily functions of such position.

Thus, its facilties as well as third parties liabilities are covered by specific insurance policies regarding the risks the Group copes with.

In the case of the vehicular fleet for distribution, Grupo Bimbo's policy is not to rely on conventional insurance for its own damages; it has created a "self-insurance" program, based both on available cash flows and its strict maintenance policy, as well as its strong discipline for driving its vehicles, which results in a low frequency of vehicular incidents which costs are more economical than the payment of a traditional insurance policy, while the Group complies with the local regulations by having coverage for third party liability in every region.

The Group remains focused on identification, measure and management risk processes that challenge the buisness continuity.

11) Judicial, Administrative or Arbitration Processes

Currently, Grupo Bimbo is involved in several legal proceedings, which are considered part of the ordinary course of business and incidental to its operations. Except as described in this Annual Report, Grupo Bimbo has no judicial, governmental or arbitration proceedings against it (including proceedings pending or that may be reported) of which it has knowledge for twelve months prior to the date of this Annual Report, that may have or have had in the recent past, a material adverse effect on its financial position or its operation results. Moreover, at the date of this Annual Report, the Company does not fall within the circumstances established in Articles 9 and 10 of the Bankruptcy Act (*Ley de Concursos Mercantiles*) and has not been declared or may be declared in bankruptcy.

In 2017 Canada's Competition Bureau started an investigation over allegations related to an industry collusion among several bread suppliers, (including Canada Bread, which the Group acquired in 2014), regarding price-fixing that occurred between 2001 to 2017. On June 21, 2023, the Group announced that Canada Bread resolved the investigation, including the payment of a fine of USD$38 million (CAD$50 million), which was paid in full on July 20, 2023. In addition, the Group was notified of two class actions (resulting from the consolidation of 12 previously filed claims) by groups of consumers and/or consumer associations against all the parties allegedly involved in Canada's Competition Bureau investigation. The Group cannot assure that the outcome of this investigation or the class actions will not have an adverse effect on its business, financial situation, operating results, and prospects.

12) Shares Representing the Capital Stock

As of the date of this Annual Report, the theoretical value of Bimbo's share capital totaled $3,946,000,000.00 (three billion nine hundred forty-six million pesos 00/100 M.N.), represented by 4,392,091,440 outstanding Series "A" common nominative shares, with no par value, fully subscribed and paid, all of them representing the minimum fixed portion without right of withdrawal of the capital stock. See Note 20 to the Audited Financial Statements.

Grupo Bimbo was incorporated on June 15, 1966 with a minimum fixed capital stock of $50,000,000.00 pesos (today $50,000.00 pesos), represented by 50,000 shares, with a nominal value of $1,000.00 pesos each one.

Since its incorporation, Grupo Bimbo has had several modifications to its capital stock structure. As of 1998, the modifications are as follows:

In accordance with the corporate bylaws, the capital stock is variable. The capital stock shall be represented with Series "A" common nominative without nominal value expression shares. Additionally, the Company may issue non-voting and/or limited-voting, nominative, without nominal value expression shares, which shall be denominated with the series name determined by the Meeting that approves the issuance thereof. In no case shall the non-voting and/or limited voting shares represent more than twenty-five percent (25%) of the total capital stock placed among the investing public or of the total shares placed therein. However, the National Banking and Securities Commission (known in Spanish as "CNBV") or, otherwise, the competent authority, may extend the above-mentioned limit up to an additional twenty-five percent (25%), only if this last percentage is represented by non-voting shares, with the limitation of other corporate rights, or by restricted voting shares, which shall be convertible into common shares within a term not exceeding five (5) years, computed as of their placement (See Section "4. GOVERNANCE— d) Corporate Bylaws and Other Agreements").

On July 30, 1998, Bimbo made a capital increase, in the fixed portion, through the issuance of 60,000,000 (sixty million) common, nominative, Serie "A", with no par value shares and, derived from it and from the exchange of shares, the fixed capital remained in the amount of $2,299,288,054.00 (two thousand two hundred and ninety-nine million eighty-eight thousand fifty-four pesos 00/100 M.N.).

On May 7, 2002, Bimbo approved a total modification of the company's bylaws and a capital reduction for a total amount of $397,555,574 (three hundred ninety seven million five hundred fifty five thousand five hundred seventy four pesos 00/100 M.N.) and the cancellation of 245,800,000 (two hundred forty five million eight hundred thousand) common, Serie "A", nominative treasury shares.

On April 15, 2011, Bimbo carried out a split of the shares representing its capital stock, making outstanding Issuance 2011-I, through which the Company's capital stock was not modified and remained represented by 4,703,200,000 (four thousand million seven hundred three million two hundred thousand) shares.

By means of the General Ordinary Shareholders' Meeting held on October 19, 2020, the shareholders approved the cancellation of 169,441,413 series "A" shares deposited in the Company's treasury, resulting in a reduction of the capital stock and treasury shares by $153.

By means of the General Ordinary Shareholders' Meeting held on April 30, 2021, the shareholders approved the cancellation of 17,428,926 series "A" shares deposited in the Company's treasury, resulting in a reduction of the capital stock and treasury shares of $15.

By means of the Annual Ordinary and Extraordinary General Shareholders' Meeting held on April 27, 2022, the shareholders approved the cancellation of 41,260,670 series "A" shares deposited in the treasury, resulting in a reduction of capital stock and treasury shares of $38.

At the Ordinary General Shareholders' Meeting held on April 26, 2023, the cancellation of 41,401,350 "A" series shares deposited in the treasury was approved, resulting in a reduction of share capital and treasury shares by $37.

At the Ordinary General Shareholders' Meeting held on April 30, 2024, the cancellation of 45,091,794 Series "A" shares held in treasury was approved, resulting in a reduction of share capital and treasury shares by $38.

13) Dividends

The information set forth herein below refers to the Company's outstanding shares as of the date of this Annual Report see Section "2. THE COMPANY – b) Business Description – xii) Shares Representing the Capital Stock").

The declaration, amount and payment of dividends to the holders of BIMBO's Series "A" shares is proposed by the Board of Directors and approved by the General Shareholders' Meeting.

During 2023, dividends were paid on a basis of $0.78 (00/78 M.N.) per share representative of the capital stock.

Historically, the Company has paid dividends resulting from profits generated during each period. The Company's management considers that this situation will continue in the future; however, it cannot assure that this will happen.

An additional income tax of 10% is applicable to dividends paid when they are distributed to individuals and foreign residents. The Income Tax is paid via a withholding of such tax, resulting in a final payment by the shareholder. In the case of foreigners, treaties to avoid double taxation may apply. This tax will apply for the distribution of profits generated since 2014.

Retained earnings include the statutory legal reserve. Mexican General Corporate Law requires that at least 5% of net income of the year be transferred to the legal reserve until the reserve equals 20% of capital stock at par value (historical Mexican pesos). The legal reserve may be capitalized but may not be distributed unless the entity is dissolved. The legal reserve must be replenished if it is reduced for any reason. As of December 31, 2023, 2022 and 2021, the legal reserve, in historical Mexican pesos, was of an amount of $500,000,000.00 (Five hundred million pesos 00/10 M.N.).

The distribution of net worth, except for the updated amounts of corporate capital stock contributed and of the retained taxable profits, shall cause the income tax on dividends to be discharged by the Company at the rate in effect upon the distribution. Taxes paid for such distribution may be credited against the income tax of the fiscal year in which the tax on dividends is paid and in the two immediately subsequent fiscal years, against the fiscal year tax and the provisional tax payments thereof.

The balances of the net worth tax accounts as of December 31 were:

	2023	**2022**	**2021**
Restated contributed capital account (CUCA)	**$35,182**	$33,924	$ 31,760
Net taxed profits account (CUFIN)	**122,333**	110,344	87,424

Dividends on shares that are held through Indeval shall be distributed by Bimbo as well as through Indeval. Dividends on shares represented by certificates or physical certificates shall be paid upon presentation of the relevant coupon. In case provisional certificates exist at the time when the dividend is decreed, and if such provisional certificates have no coupons attached, the dividend shall be paid against the relevant receipt.

3) FINANCIAL INFORMATION

a) SELECTED FINANCIAL INFORMATION

	2023	2022	2021
Net sales	399,879	398,706	338,792
Operating profit	35,455	53,696	32,580
Adjusted EBITDA	54,942	53,446	47,372
Net Majority Income	15,477	46,910	15,916
Basic earnings per ordinary share	3.50	10.54	3.55
Dividend per share	0.78	0.65	1.00
Total assets	348,102	347,764	337,640
short-term portion of long-term debt	12,932	6,435	10,625
Long-term debt	97,003	77,619	82,230
Total equity	111,628	127,602	101,606

Note: amounts in millions of Pesos.

b) FINANCIAL INFORMATION PER BUSINESS, GEOGRAPHIC ZONE AND EXPORT SALES

Grupo Bimbo, through its main subsidiaries, is mainly engaged in the production, distribution and commercialization of bread, buns & rolls, pastries, cakes, cookies, toasted bread, English muffins, bagels, tortillas & flatbreads and salty snacks, among others. The Company manufactures more than 9,000 products. The sale of that products constitutes Grupo Bimbo's only line of business. The division between baking products and salty snacks referred to in this Annual Report is an organizational division, the only purpose of which is to achieve administrative efficiencies and which derive from historical reasons. In some cases, such division is shown exclusively in order to differentiate the market for such products.

The following table shows certain financial information of Grupo Bimbo per geographic zone for the three preceding fiscal years:

For the years ended December 31:			
	2023	2022	2021
Net Sales			
Mexico	145,387	130,401	109,089
North America	192,534	205,674	175,369
Latin America	36,647	38,411	31,109
EAA	40,545	37,536	34,195
Consolidated eliminations	(15,234)	(13,316)	(10,970)
Operating Income			
Mexico	21,882	18,824	16,731
North America	11,175	33,263	15,171
Latin America	1,294	1,087	78
EAA	326	(486)	292
Consolidated eliminations	778	1,008	308
Adjusted EBITDA			
Mexico	27,484	23,320	20,771
North America	20,217	22,611	21,452
Latin America	3,531	3,433	1,926

EAA	2,932	2,626	2,704
Consolidated eliminations	778	1,456	519
Total Assets			
Mexico	96,617	89,070	78,386
North America	175,929	191,504	202,347
Latin America	32,882	31,557	30,121
EAA	49,988	49,033	45,860
Consolidated eliminations	(7,314)	(13,400)	(19,074)

c) REPORT ON SIGNIFICANT DEBT

The Company's relevant financing facilities are described below.

As of the date of this Annual Report, the Group is up to date in the payment of principal and interest of all its relevant loans.

The Company has complied with all the negative and affirmative covenants, including several financial ratios established in credit facilities entered into and executed by the Company and its subsidiaries.

1. International Bonds (Senior Notes) and Local Notes (*Certificados Bursátiles*)

a. International Senior Notes:

1. On June 27, 2014 the Company issued bonds under Rule 144 A and Regulation S of the SEC for (i) USD 800 million, maturing in 2024 and (ii) USD 500 million maturing in 2044. Such bonds pay a fixed interest rate of 3.875% and 4.875%, respectively payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity, as well as for general corporate matters. During 2022, the company repurchase 2.5 million US dollars of this Senior Notes.
   On November 3, 2023, Grupo Bimbo conducted a cash repurchase of the senior notes issued by Grupo Bimbo maturing in 2024, for an amount of $391,638,000 dollars.

2. On November 10, 2017 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD 650 million, maturing on November 10, 2047. Such bond pays a fixed interest rate of 4.70% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity.

3. On September 6, 2019 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD 600 million, maturing on September 6, 2049. Such bond pays a fixed interest rate of 4.000% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity.

4. On May 17, 2021 the Company, through its subsidiary Bimbo Bakeries USA, issued a bond in the international markets for a value of $600,000,000 dollars maturing on 2051 in accordance with Rule 144A and the Regulation S of the SEC. Such financing pays a fixed rate of 4.00% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debts, extending the average maturity. Given the collateral structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issuances.

5. On November 2, 2023, Grupo Bimbo, through its subsidiary BBU, issued (i) senior notes in the international markets for $550,000,000 US dollars with maturity in 2034, and (ii) senior notes in the international markets for $450,000,000 US dollars with maturity in 2029,

pursuant to Rule 144A and Regulation S of the SEC. This financing bears a fixed interest rate of 6.05% for the issuance maturing in 2029 and 6.40% for the issuance maturing in 2034, both payable semi-annually. The proceeds from these issuances were primarily used for the refinancing of Grupo Bimbo and BBU's debt. The remainder was allocated to general corporate purposes. Given the collateral structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issuances.

b. Local bonds (*Certificados Bursátiles*)

1. Bimbo 16 - Issued on September 14, 2016 for $8,000 million pesos, with maturity on September 2, 2026. Such bond pays a fixed interest rate of 7.56%. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity.

2. Bimbo 17 – Issued on October 6, 2017 for $10,000,000,000 pesos with maturity on September 24, 2027. Such bond pays a fixed interest rate 8.18%. The resources from this issuance were destined for the refinancing of the Company's debt, thus extending its average life and partially paying for the acquisition of Bimbo QSR.

3. Bimbo 23L - Issued on June 2, 2023, for $12,000,000,000 pesos, maturing on May 20, 2033, with a fixed interest rate of 9.24%. The bond is linked to sustainability and focused on reducing scope 3 carbon emissions. The resources from this issuance were aimed at paying the perpetual subordinated bond and bank debt, in order to continue strengthening the Company's financial flexibility.

4. Bimbo 23-2L - Issued on June 2, 2023, for $3,000,000,000 pesos, maturing on July 24, 2026, with a variable interest rate of TIIE 28 days plus 0.10%. The bond is linked to sustainability and focused on reducing scope 3 carbon emissions. The resources from this issuance were aimed at paying the perpetual subordinated bond and bank debt, in order to continue strengthening the Company's financial flexibility.

All the notes are guaranteed by the Company's main subsidiaries.

2. Committed Revolving Credit Facility (Syndicated)

On March 15, 2023, the Company renewed and modified some of the terms and conditions of a committed, syndicated, and multi-currency line, which is linked to sustainability.

According to the new terms and conditions, the financial institutions committed to this line are BBVA Bancomer S.A., Bank of America N.A., Citibank N.A., Coöperatieve Rabobank U.A., New York HSBC México S.A., ING Bank N.V., JP Morgan Chase Bank N.A., Mizuho Bank, Ltd, Morgan Stanley Bank, N.A., MUFG Bank, Ltd., and Banco Santander S.A. The total amount of the committed amount is up to $1.931 billion US dollars, divided into two tranches with USD $875 million due on September 14, 2026 (Tranche A) and USD $1.056 billion due on March 15, 2028 (Tranche B). Drawdowns under Tranche A of this line have an applicable interest rate of SOFR plus 0.95% for US dollar drawdowns, CDOR plus 0.95% for Canadian dollar drawdowns, TIIE plus 0.725% for Mexican peso drawdowns, and EURIBOR plus 0.95% for euro drawdowns. Drawdowns under Tranche B of this line have an applicable interest rate of SOFR plus 1.10% for US dollar drawdowns, CDOR plus 1.10% for Canadian dollar drawdowns, TIIE plus 0.80% for Mexican peso drawdowns, and EURIBOR plus 1.10% for euro drawdowns. This line is linked to sustainability and marks the Company's debut in sustainable financing. Therefore, the annual interest rate may change, upwards or downwards, based on the company's performance in predefined metrics of renewable energy and reuse of treated water.

This transaction highlights Grupo Bimbo's commitment to the preservation and improvement of the environment, including focus on two areas which are part of the Company's sustainability journey: energy and water. This renewal provides ample flexibility and liquidity to the Company and reaffirms the many years of strong relationship between Grupo Bimbo and its bank syndicate.

During 2023 and 2022, drawdowns and prepayments were made for $17,231 and $13,085 millions, respectively. As of December 31, 2023, there is no balance drawn on this facility.

Starting from July 1, 2022, a reduction in applicable rates was obtained as a result of achieving the sustainable goals corresponding to this line for 2021. Considering this reduction, disbursements made under the Tranch A this line of credit have an applicable interest rate of SOFR plus 0.90% for disbursements in US dollars, CDOR plus 0.90% for disbursements in Canadian dollars, TIIE plus 0.675% for disbursements in Mexican pesos, and EURIBOR plus 0.90% for disbursements in euros.
Similarly, drawdowns under Tranche B of this credit line have an applicable interest rate of SOFR plus 1.05% for US dollar drawdowns, CDOR plus 1.05% for Canadian dollar drawdowns, TIIE plus 0.75% for Mexican peso drawdowns, and EURIBOR plus 1.05% for euro drawdowns.

3. Long-Term Loans

On April 13, 2023, the Company entered into a committed revolving credit line with BBVA México S.A., Institución de Banca Múltiple, Grupo Financiero BBVA México, which is linked to sustainability. The total committed amount is up to $5.00 billion pesos, maturing on April 13, 2028. From July 1, 2023, there was a reduction in the applicable rate as a result of achieving the sustainable goals corresponding to this line for 2022. Considering this reduction, drawdowns under this credit line have an applicable interest rate of TIIE plus 0.85%. As of December 31, 2023, the line is fully drawn.

On August 9, 2023, the Company entered into an amortizable credit line with Bank of America N.A., which is linked to sustainability. The total amount is USD$125 million with a maturity of USD$12.5 million on August 11, 2026, another USD$12.5 million on August 11, 2027, and another for USD$100 million on August 11, 2028. This credit line has an applicable interest rate of SOFR plus 1.25%. The line has been fully drawn since August 11, 2023.

On October 4, 2023, the Company entered into a credit line with Banco Nacional de México, S.A., Integrante del Grupo Financiero Banamex, which is linked to sustainability. The total amount is USD$100 million with a maturity on April 4, 2027. This credit line has an applicable interest rate of SOFR plus 1.00%. The line has been fully drawn since October 5, 2023.

4. Other Loans

Certain subsidiaries have entered into direct loans to meet mainly their working capital needs. The maturity dates for such loans range from 2024 to 2033, which generate interest at various rates.

Summary of Affirmative and Negative Covenants and Acceleration Causes

The aforementioned credit facilities or bank loans, international bonds and local bonds (*Certificados Bursátiles*) of the Company provide affirmative and negative covenants, as well as events of default. The main covenants, and events of default to which the Company is subject are the following, with the understanding that this summary is indicative and does not include definitions, nor the scope or exceptions to these covenants and events of default:

Affirmative Covenants	**Negative Covenants**	**Events of Default**
Provide periodic financial information and information on material events	Do not modify its main business activity	Non-payment of interest or principal
Preserve its legal standing and incorporation and the necessary permits to perform its operations	Do not merge, liquidate or sell its “material assets”	Disclose false or inaccurate relevant information

Use the proceeds for the agreed purpose	Do not allow its "key subsidiaries" to have restriction for payment of dividends or equity to its lenders.	Failure to comply with any affirmative or negative covenants of the credit facilities
In the case of the Domestic Notes (Certificados Bursátiles), maintain registration with the RNV	Do not create "liens" except for any "permitted liens" .	Failure to pay the principal or interest on a debt of more than the amount established in each of the documents, as applicable, or if any "material debt" is accelerated and requires the Company to pay an amount greater than $150 million US dollars.
Comply with tax and labor obligations	In the case of some credit facilities, to maintain ratios of interest coverage and leverage within certain levels	If the Company or any of its "material subsidiaries" is declared insolvent or in bankruptcy
Maintain a *pari passu* payment priority amongst the corporate creditors		If a judgment is passed against the Company, requiring the payment of an amount greater than U.S.$150 million, and such amount is not secured during a grace period.
		If the Company fails to pay any social security or housing fees (IMSS, INFONAVIT or SAR)
		If assets or important assets" of Grupo Bimbo are expropriated.
		If the Company rejects the validity of the Local Bonds (Certificados Bursátiles)
		If there is a "change of control"

d) MANAGEMENT'S DISCUSSION AND ANALYSIS OF THE COMPANY'S FINANCIAL CONDITION AND RESULTS OF OPERATION

The following discussion and analysis should be read together with the Audited Financial Statements, including the notes thereto. Unless otherwise stated, all amounts herein are expressed in million Mexican Pesos and were prepared according to IFRS. Consolidated figures include the effects of inter-region eliminations.

The following analysis contains forward-looking statements that involve risks and uncertainties. The actual results may differ materially from the comments in the forward-looking statements as a result of various factors, including, but not limited to, those set forth in "Risk Factors" and the matters set forth in this annual report.

The audited consolidated financial statements are expressed in Mexican pesos. The financial information that concerns us as of the end of year (December 31, 2023) is included in this annual report and is presented in US dollars solely for the convenience of the reader.

Factors that affect the results of operations and financial condition of the Group

The main factors that affect the results are:

Prices of raw materials. The Group uses a variety of basic products in the preparation of its products, which include wheat flour, edible oils and fats, sugar, eggs as well as plastics to package its products. As a result, its consolidated operating results are affected by changes in the prices of these basic products, among others.

Sales volume. The consolidated sales volume is impacted by general economic conditions, product prices, new product launches and the extent and effectiveness of its advertising and promotion.

Cost of advertising and promotion. The Group supports its brands and products as well as new product launches through extensive advertising and promotions adapted to its brands and targeted to consumers in the specific markets in which it operates. In general, the Group increases advertising and promotional spending during periods where the Group experiences pressure on sales volume.

Prices of products. Prices for its products are impacted by the cost of raw materials and distribution as well as the Special Excise Tax (IEPS by Spanish acronym), tax imposed in Mexico on its products in Mexico and the price sensitivity of consumers in the various food categories and markets in which it operates.

Distribution efficiencies. The Group constantly review its distribution processes to reduce costs and increase efficiency across its organization. For example, the Company implemented initiatives that have improved its sales execution and leveraged its distribution, including customizing sales execution by customer type.

Exchange rates. The consolidated financial statements are expressed in Mexican pesos. The Group generates revenue mainly in Mexican pesos and US dollars and, to a lesser extent, in other local currencies in the countries where it operates. As a result, differences in the currency exchange rate can impact its financial statements, particularly with respect to the results of operations in United States and Canada.

Factors affecting the comparability of recent results of operations and financial conditions

Acquisitions

The following table shows major acquisitions that the Company completed in the past three years:

Date	Company	Country
2023		
November 30	Amaritta	Spain
September 8	Mile Hi Bakery, Inc	United States
September 1	Fortisa AG	Switzerland
July 10	Twin City Bagel, Inc.	United States
April 14	Natural Bakery	Canada
January 9	Vel Pitar	Romania
2022		
22 de septiembre	St. Pierre	United Statesand United Kingdom
2021		
October 26	Kitty Industries	India

October 13	Aryzta do Brazil	Brazil
September 17	Popcornopolis	United States
June 1	Medina del Campo	Spain
May 11	Emmy´s Organics	United States
February 17	Modern Foods	India

Critical accounting judgements and key sources of estimation uncertainty

In the process of applying the Company's accounting policies, which are described in Note 3, management is required to make judgments, estimates and assumptions about the carrying amount of assets and liabilities. The estimates and associated assumptions are based on historical experience and other factors that are considered relevant. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on a regular basis. The effects of changes in accounting estimates are recognized in the period of the change and future periods if the change affects both current and subsequent periods.

Critical judgment in applying accounting policies

Consolidation of structured entities. As described in more detail in Note 7, BBU has entered into agreements with third party contractors ("Independent Business Partners") in which it holds no direct or indirect interest but that qualify as structured entities (SE). The Company has concluded that some of these structured entities meet the requirements to be consolidated in accordance with IFRS 10 Consolidated Financial Statements.

Key sources of estimation uncertainty

Useful lives, residual values and depreciation and amortization methods of long-lived assets. As described in Note 3, the Company annually reviews the estimated useful lives, residual values and depreciation and amortization methods of long-lived assets, including property, plant and equipment and intangible assets. Additionally, for intangible assets, the Company determines whether their useful lives are finite or indefinite. Effective January 1, 2021, the Company determined that the estimated useful life of its product displays is 2 to 5 years; this change had an effect on the consolidated financial statements during the adoption period. Also, effective January 1, 2020, the Group determined that the estimated useful life of trays used to transfer products from production facilities to distribution facilities is three years and, historically, the Group measured such useful life at one year; such change did not have a significant impact on the consolidated financial statements.

Incremental borrowing rate. The Group uses its incremental borrowing rate, or IBR, to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment at contract inception date. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates.

Impairment of goodwill and indefinite useful life intangible assets. Determining whether goodwill and the indefinite useful life intangible assets have suffered impaired involves calculating the recoverable value of the cash-generating unit to which goodwill has been allocated. Recoverable amount is the higher of fair value less costs of disposal and value in use. The calculation of the value-in-use requires the Group to

determine the expected future cash flows from the cash-generating units, using an appropriate discount rate to calculate the present value.

Fair value measurements. Derivative financial instruments are recognized in the statement of financial position at fair value at the reporting date. In addition, the fair value of certain financial instruments, mainly with respect to long-term debt, is disclosed in the accompanying notes, though there is no risk of adjustment to the related carrying amount (see Note 17 of the Group's audited consolidated financial statements). The Group has acquired businesses for which the Group is required to determine the fair value of the consideration paid, the identifiable assets acquired and liabilities assumed and, if applicable, the non-controlling interest at the date of the acquisition, as described in Note 1 of its audited consolidated financial statements.

The fair values described above are estimated using valuation techniques that may include inputs that are not based on observable market data. The main assumptions used by management are described in the related notes. The Group considers that the valuation techniques and assumptions selected are appropriate for the determination of the fair values.

Employee benefits. The cost of defined benefit plans and MEPP (various of these plans considered as defined benefits) is determined using actuarial valuations that involve assumptions related to discount rates, future salary increases, employee turnover rates and mortality rates, among others. Due to the long-term nature of these plans, the assumptions used for such estimates are subject to change.

Recoverability of deferred income tax. To determine whether a deferred income tax asset related to tax losses carryforwards is impaired, the Group prepares tax projections to determine its recoverability.

Insurance and other liabilities. Insurance risks exist in the United States with respect to the liability for general damages to other parties, car insurance and employee benefits that are self-insured by the Group with coverage subject to specific limits agreed in an insurance program. Provisions for claims are recorded on a claim-incurred basis. Insurable risk liabilities are determined using historical data. The net liabilities as of December 31, 2023, 2022 and 2021 amounted to $3,631, $4,741 and $5,546 million respectively.

1) Results of Operations

Comparative analysis of the fiscal years ended on December 31, 2023, and 2022.

Net Sales

Net Sales reached record levels at $399.879 billion, a 0.3% increase, attributed to a favorable price mix in all regions, which was more than offset by the FX rate effect. Excluding the FX effect, Net Sales increased by 10.7%.

Net sales	2023	2022	% Change	% Change Excluding the FX effect
North America	192,534	205,674	(6.4)	6.7
Mexico	145,387	130,401	11.5	11.5
EAA	40,545	37,536	8.0	23.5
Latin America	36,647	38,411	(4.6)	16.9
Elimitations of Consolidations	(15,234)	(13,316)	14.4	-
Consolidated	**399,879**	**398,706**	**0.3**	**10.7**

North America: Net Sales in North America, excluding the FX effect and Week 53 in 2022, increased by 8.1%, driven by a favorable price mix.

Mexico: Net Sales increased by 11.5%, attributable to a favorable price mix. All categories and channels grew, most notably the cookies, tortillas, and pastries categories, as well as the convenience and retail channels, which recorded double-digit growth rates.

Europe, Africa, and Asia (EAA): Excluding the FX effect, Net Sales grew by 23.5%, reflecting the implementation of pricing strategy and the acquisition of Vel Pitar in Romania. This was partially offset by weak results in the China branded business.

Latin America: Excluding the FX effect, Net Sales increased by 16.9%, mainly due to a favorable price mix and solid results in Brazil and the *Latin Centro* division.

Gross Profit

Gross Profit increased by 0.1%, while the margin contracted by 10 basis points to 51.4%, due to higher raw material costs throughout most of 2023.

	Gross Profit		
Region	**2023**	**2022**	**% Difference**
North America	100,552	108,232	(7.1)
Mexico	78,355	70,232	11.6
EAA	13,397	11,995	11.7
Latin America	15,815	16,358	(3.3)
Consolidated eliminations	(2,608)	(1,436)	81.6
Consolidated	205,511	**205,381**	0.1

Operating Income

Operating Income decreased by 34%, and the margin contracted by 460 basis points, primarily due to the non-cash benefit of USD $963 million from the adjustment to the MEPPs liability recorded in 2022. Excluding the effect of the MEPPs, Operating Income increased by 2.7%, and the margin expanded by 20 basis points, attributed to sales performance and efficiencies in the distribution network.

	Operating Income		
Region	**2023**	**2022**	**% Difference**
North America	11,175	33,263	(66.4)
Mexico	21,882	18,824	16.2
EAA	326	(486)	NA
Latin America	1,294	1,087	19.0
Consolidated eliminations	778	1,008	(22.8)
Consolidated	**35,455**	**53,696**	**(34.0)**

Comprehensive Financial Result

The Comprehensive Financing Result totaled $10.447 billion, compared to $8.270 billion in 2022. The increase is attributed to higher interest expenses and the appreciation of the Mexican peso.

Taxes

In 2023, taxes recorded a 60% decrease, totaling $8.379 billion, while the effective tax rate was 33.1%, compared to 30.1% in 2022.

Net Majority Income

The Majority Net Income for 2023 decreased by 67%, and the margin contracted by 790 basis points, due to the MEPPs benefit recorded in 2022 and the sale of Ricolino. Excluding these effects, Majority Net Income decreased by 0.9%, and the margin contracted by 10 basis points.

Earnings per Share totaled $3.50, compared to $10.54 in 2022.

Adjusted Earnings before Interest, Taxes, Depreciation and Amortization and other non-monetary charges (Adjusted EBITDA)

Adjusted EBITDA	2023	2022	% change
North America	20,217	22,611	(10.6)
Mexico	27,484	23,320	17.8
EAA	2,932	2,626	11.7
Latin America	3,531	3,433	2.9
Consolidated eliminations	778	1,456	(46.6)
Consolidated	**54,942**	**53,446**	**2.8**

Despite the negative impact of the FX rate, Adjusted EBITDA for 2023 reached a record level of $54.942 billion, an increase of 2.8%, and the margin expanded by 30 basis points, mainly due to the strong sales performance and productivity savings throughout the value chain.

Financial Structure

As of December 31, 2023, Total Debt amounted to $109.935 billion, compared to $84.054 billion as of December 31, 2022. The increase was primarily due to accounting reclassification for the payment of USD Subordinated Perpetual Notes, as well as capital investments and strategic investments during the year.

The average maturity of the debt was 12.1 years, with an average cost of 7.12%. Long-Term Debt represented 88% of the total; 54% of the debt was denominated in Mexican pesos, 38% in US dollars, 5% in euros, and 3% in Canadian dollars. The Net Debt to Adjusted EBITDA ratio, excluding the effect of IFRS 16, was 2.1 times, compared to 1.5 times as of December 31, 2022.

The Company invested $ 3.586 billion in the repurchase of 41.58 million of its own shares.

Comparative analysis of fiscal years ended on December 31, 2021 and 2020 no reformulated

Net Sales

Net Sales reached record levels at $398.706 million, a 17.7% increase, attributed to strong volume performance and a favorable price mix in all regions, partially offset by the FX effect. Excluding the FXrate effect, Net Sales increased by 20.6%.

Net sales	2021	2020	% Change
North America	205,674	175,369	17.3
Mexico	130,401	109,089	19.5
Latin America	38,411	31,109	23.5
EAA	37,536	34,195	9.8

Consolidated eliminations	(13,316)	(10,970)	21.4
Consolidated	**398,706**	**338,792**	**17.7**

North America: Net Sales in North America increased by 17.3% in terms of pesos; in terms of US dollars, they grew by 18.4%, primarily reflecting the successful implementation of the pricing strategy across all categories and channels. Net Sales were also boosted by an additional week of sales compared to the previous year. Snacks, Premium and Mainstream bread, and sweet bread categories achieved outstanding results, with continued market share gains in multiple categories.

Mexico: Net Sales increased by 19.5%, attributable to a favorable product mix and price increases. All channels recorded double-digit growth, most notably convenience, retail, and traditional channels, as well as the snacks, sweet baked goods, pastries, cookies, and bread categories.

Latin America: Net Sales increased by 23.5% in terms of pesos; excluding the FX effect, Net Sales increased by 36.4%, primarily due to a favorable price mix and strong volume performance. Nearly all countries recorded double-digit growth in local currency, highlighting Brazil, Colombia, Argentina, and Chile. To a lesser extent, Sales growth was also boosted by the inorganic contribution from the acquisition of Aryzta do Brasil.

EAA: Net Sales grew by 9.8% in terms of pesos; excluding the FX effect, Net Sales increased by 21.3%, reflecting the implementation of the pricing strategy and the strong volume performance in most countries in the region, as well as the acquisition of St. Pierre. This was partially offset by the ongoing challenging environment in China due to Covid.

Gross Profit

Gross Profit increased 13.4% while the margin contracted 200 basis points to 51.5%, due to higher raw material costs.

Gross Profit

	Year ended on December 31, (in millions of pesos)		
Region	**2022**	**2021**	**% Change**
North America	108,232	96,660	12.0
Mexico	70,232	60,097	16.9
Latin America	16,358	13,728	19.2
EAA	11,995	11,815	1.5
Consolidated eliminations	(1,436)	(1,211)	18.6
Consolidated	**205,381**	**181,089**	**13.4**

Operating Income

Operating Income grew 34.3% and margin expanded 210 basis points, primarily as a reflection of productivity savings across the value chain coming from past restructuring investments, distribution efficiencies and cost-cutting projects, as well as a non-cash benefit of US $108 million from the adjustment of the MEPPs liability to reflect current interest rates levels. This was partially offset by the abovementioned higher cost of sales..

Operating Income

Region	Year ended on December 31, (in millions of pesos) 2022	2021	% Change
North America	33,263	15,171	>100
Mexico	18,824	16,731	12.5
Latin America	1,087	78	>100
EAA	(486)	292	NA
Consolidated eliminations	1,008	308	>100
Consolidated	**53,696**	**32,580**	**64.8**

Comprehensive Financial Result

The Comprehensive Financing Result totaled $8.270 billion, compared to $7.973 billion in 2021. The increase is attributed to higher exchange losses and increased interest expenses.

Taxes

In 2022, taxes recorded an increase of 133.1%, totaling $20.909 billion, while the effective tax rate was 30.1%, compared to 34.0% in 2021.

Net Majority Income

The Majority Net Income for 2022 increased by 194.7%, and the margin expanded by 710 basis points, attributable to solid operational and sales performance, the divestment of Ricolino, the positive effect of the MEPPs, and a lower effective income tax rate, which totaled 30.1%. Excluding these effects, Majority Net Income increased by 21.4%, and the margin expanded by 20 basis points.

Earnings per share totalled $10.54, compared to $3.55 in 2021.

Adjusted Earnings before Interest, Taxes, Depreciation and Amortization and Other Non-cash Charges
(Adjusted EBITDA)

Adjusted EBITDA	2021	2020	% Change
North America	22,611	21,452	5.4
Mexico	23,320	20,771	12.3
Latin America	3,433	1,926	78.3
Europe	2,626	2,704	(2.9)
Consolidated eliminations	1,456	519	>100
Consolidated	**53,446**	**47,372**	**12.8**

Adjusted EBITDA for 2021, which considers the effect of the implementation of IFRS 16 for both periods, reached a record level of $49,178 million, an increase of 8.8%, and the margin expanded 40 basis points primarily attributable to the strong sales and operating performance across the Company.

Financial Structure

As of December 31, 2022, Total Debt amounted to $84.054 billion, compared to $92.855 billion as of December 31, 2021. The decrease was mainly due to debt repayment using the proceeds from the sale of Ricolino and the impact of the exchange rate.

The average maturity of the debt was 14.1 years, with an average cost of 6.0%. Long-Term Debt represented 92% of the total; 45% of the debt was denominated in US dollars, 41% in Mexican pesos, 8% in euros, and 6% in Canadian dollars.

The Net Debt to Adjusted EBITDA ratio, excluding the effect of IFRS 16, was 1.5 times, compared to 2.0 times as of December 31, 2021.

The Company invested $2.568 billion in the repurchase of 41.4 million of its own shares.

2) Financial position, liquidity and capital resources

a. Internal and external liquidity sources

BIMBO has internal and external sources of traditional liquidity available, which have been already used in the past. The Company's liquidity is based on its own operations and historically, it has had sufficient levels of its own capital. In the past the Group has had access to bank financings and to the domestic and international capital and debt markets.

Likewise, BIMBO has obtained various credit lines from several financial institutions. Notwithstanding the foregoing, the Company cannot assure that it will have access to the sources of capital mentioned above. BIMBO has not had any cyclical credit requirements and generally, financing needs are associated with growth operations and not with working capital.

b. Debt level

The table contained in "Selected Financial Information" contains information on the Company's debt at the end of the last three fiscal years. See Section "3. FINANCIAL INFORMATION - Selected Financial Information". There is no cyclicality in the Company's financing requirements.

Significant Indebtedness

International Bonds (Senior Notes)

1. On June 27, 2014 the Company issued bonds under Rule 144 A and Regulation S of the SEC for (i) USD 800 million, maturing in 2024 and (ii) USD 500 million maturing in 2044. Such bonds pay a fixed interest rate of 3.875% and 4.875%, respectively payable on a semi-annual basis. The proceeds from issuance were used to refinance the Company's debt, extending the average maturity.

   On November 3, 2023, Grupo Bimbo conducted a cash repurchase of the senior notes issued by Grupo Bimbo maturing in 2024, for an amount of USD $391,638,000.

2. On November 10, 2017 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD 650 million, maturing on November 10, 2047. Such bond pays a fixed interest rate of 4.70% payable on a semi-annual basis. The proceeds from issuance were used to refinance the Company's debt, extending the average maturity.

3. On September 6, 2019 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD 600 million, maturing on September 6, 2049. Such bond pays a fixed interest rate of 4.000% payable on a semi-annual basis. The proceeds from issuance were used to refinance the Company's debt, extending the average maturity.
4. On May 17, 2021 the Company, through its subsidiary Bimbo Bakeries USA, issued a bond (senior notes) in the international markets for a value of $600,000,000 dollars maturing on 2051 in accordance

with Rule 144A and the Regulation S of the SEC. Such financing pays a fixed rate of 4.00% payable on a semi-annual basis. The proceeds from issuance were used to refinance the Company´s debts, extending the average maturity. Given the collateral structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issuances.

5. On November 2, 2023, Grupo Bimbo, through its subsidiary BBU, conducted an issuance of (i) senior notes in the international markets for $550,000,000 US dollars with a maturity of 2034, and (ii) senior notes in the international markets for $450,000,000 US dollars with a maturity of 2029, pursuant to Rule 144A and Regulation S of the SEC. This financing carries a fixed interest rate of 6.05% for the 2029 maturity issuance and 6.40% for the 2034 maturity issuance, both payable semi-annually. The proceeds from these issuances were primarily used for the refinancing of Grupo Bimbo and BBU's debt. The remainder was allocated to general corporate purposes. Given the collateral structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issuances.

Local bonds (Certificados Bursátiles)

1. Bimbo 16 - Issued on September 14, 2016 for $8,000 million pesos, with maturity on September 2, 2026. Such bond pays a fixed interest rate of 7.56%. The proceeds from this issuance were used to refinance the Company’s debt, extending the average maturity.

2. Bimbo 17 - Issued on October 6, 2017, for $10.000 billion Mexican pesos with a maturity date of September 24, 2027, at a fixed interest rate of 8.18%. The proceeds from this issuance were used for the refinancing of the Company's debt, thus extending its average life, and for the partial payment of the acquisition of Bimbo QSR.

3. Bimbo 23L - Issued on June 2, 2023, for $12,000,000,000 Mexican pesos with a maturity date of May 20, 2033, at a fixed interest rate of 9.24%. The bond is linked to sustainability and focused on reducing scope 3 carbon emissions. The proceeds from this issuance were used for the payment of the perpetual subordinate bond and bank debt, aiming to continue strengthening the Company's financial flexibility.

   Bimbo 23-2L - Issued on June 2, 2023, for $3,000,000,000 Mexican pesos with a maturity date of July 24, 2026, at a variable interest rate of TIIE 28 days plus 0.10%. The bond is linked to sustainability and focused on reducing scope 3 carbon emissions. The proceeds from this issuance were used for the payment of the perpetual subordinate bond and bank debt, aiming to continue strengthening the Company's financial flexibility.

All the notes are guaranteed by the Company’s main subsidiaries.

Committed Revolving Credit Facility (Syndicated)

On March 15, 2023, the Company renewed and amended the terms and conditions of the committed, syndicated, and multi-currency line, which is linked to sustainability.

According to the new terms and conditions, the financial institutions committed to this line are BBVA Bancomer S.A., Bank of America N.A., Citibank N.A., Coöperatieve Rabobank U.A., New York HSBC México S.A., ING Bank N.V., JP Morgan Chase Bank N.A., Mizuho Bank, Ltd, Morgan Stanley Bank, N.A., MUFG Bank, Ltd, and Banco Santander S.A. The total amount of the committed amount is up to $1.931 billion US dollars, divided into two tranches with maturity of $875 million dollars on September 14, 2026 (Tranche A) and $1.056 billion dollars on March 15, 2028 (Tranche B). Disbursements made under Tranche A of this line have an applicable interest rate of SOFR plus 0.95% for US dollar disbursements, CDOR plus 0.95% for Canadian dollar disbursements, TIIE plus 0.725% for Mexican peso disbursements, and EURIBOR plus 0.95% for Euro disbursements. Disbursements made under Tranche B of this line have an applicable interest rate of SOFR plus 1.10% for US dollar disbursements, CDOR plus 1.10% for Canadian dollar disbursements, TIIE plus 0.80% for Mexican peso disbursements, and EURIBOR plus 1.10% for Euro disbursements. This line is linked to sustainability and marks the Company's debut in sustainable financing.

Therefore, the annual interest rate may change, upwards or downwards, based on the company's performance in pre-established metrics of renewable energy and treated water reuse.

This transaction highlights Grupo Bimbo's commitment to the preservation and improvement of the environment, including focus on two areas, which are part of the Company's sustainability journey: energy and water. This renewal provides ample flexibility and liquidity to the Company and reaffirms the many years of strong relationship between Grupo Bimbo and its bank syndicate.

During 2023 and 2022, drawdowns and prepayments were made for $17,231 and $13,085 Billon, respectively. As of December 31, 2023, there is no balance drawn on this facility.

Starting from July 1, 2022, a reduction in applicable rates was obtained as a result of achieving the sustainable goals corresponding to this line for 2021. Considering this reduction, disbursements made under the Tranch A this line of credit have an applicable interest rate of SOFR plus 0.90% for disbursements in US dollars, CDOR plus 0.90% for disbursements in Canadian dollars, TIIE plus 0.675% for disbursements in Mexican pesos, and EURIBOR plus 0.90% for the dispositions in euros. Similarly, disbursements made under Tranche B of this credit line have an applicable interest rate of SOFR plus 1.05% for US dollar disbursements, CDOR plus 1.05% for Canadian dollar disbursements, TIIE plus 0.75% for Mexican peso disbursements, and EURIBOR plus 1.05% for Euro disbursements for disbursements in euros.

See Section "3. FINANCIAL INFORMATION – c) Report on Significant Debt".

Bilateral Committed Credit Lines

On April 13, 2023, the Company entered into a committed revolving credit line with BBVA México S.A., Institución de Banca Múltiple, Grupo Financiero BBVA México, which is linked to sustainability. The total committed amount is up to 5.000 billion Mexican pesos with a maturity date of April 13, 2028. Starting from July 1, 2023, a reduction in the applicable interest rate was obtained as a result of achieving the sustainable goals corresponding to this line for 2022. Considering this reduction, disbursements made under this credit line have an applicable interest rate of TIIE plus 0.85%. As of December 31, 2023, the line is fully drawn.

On August 9, 2023, the Company entered into an amortizing credit line with Bank of America N.A., which is linked to sustainability. The total amount is $125 million with a maturity of $12.5 million on August 11, 2026, another $12.5 million on August 11, 2027, and $100 million on August 11, 2028. This credit line has an applicable interest rate of SOFR plus 1.25%. The line has been fully drawn since August 11, 2023.

On October 4, 2023, the Company entered into a credit line with Banco Nacional de México, S.A., Integrante del Grupo Financiero Banamex, which is linked to sustainability. The total amount is $100 million with a maturity date of April 4, 2027. This credit line has an applicable interest rate of SOFR plus 1.00%. The line has been fully drawn since October 5, 2023.

Other Loans

Certain subsidiaries have entered into direct loans to meet mainly their working capital needs, and with maturities that range from 2024 to 2033, which generate interest at various rates.

Events of Default

For a description of the events of default contained in the material financings of the Company, see "See Section "3. FINANCIAL INFORMATION – c) Report on Significant Debt".

Liquidity

Liquidity represents the ability of the Group to generate sufficient cash flows from operating activities to meet its obligations as well as its ability to obtain appropriate financing. Therefore, liquidity cannot be considered separately from the capital resources that consist primarily of current and potentially available

funds for use in achieving its objectives. Currently, the Group's liquidity needs arise primarily from working capital requirements, debt payments, capital expenditures and dividends. In order to satisfy its liquidity and capital requirements, the Group primarily relies on its own capital, including cash generated from operations, and committed credit facilities.

The Group believes that its cash from operations, its existing credit facilities and its long-term financing will provide sufficient liquidity to meet its working capital needs, capital expenditures, debt payments and future dividends.

Commitments

Grupo Bimbo, S.A.B. de C.V. and some of its subsidiaries have issued letters of credit to guarantee certain ordinary obligations and contingent risks related to the labor obligations of some of its subsidiaries. As of December 31, 2023, 2022 and 2021, the value of such letters of credit is $3,822, $4,515 and $5,020, million USD, respectively.

c. Treasury Policies

The Company maintains treasury policies consistent with its financial obligations and operating requirements and maintains its financial resources invested in highly liquid, non-speculative and low-risk instruments. Grupo Bimbo's treasury maintains several currencies, especially currencies of countries in which the Company operates.

d. Material committed capital expenditures

As of the date of this Annual Report, the Company had no material committed capital expenditures.

e. Changes in the Balance Sheet

Below is information on the cash flows generated by the operations, investing and financing activities during 2023, 2022 and 2022. The table contained in the Section "3. FINANCIAL INFORMATION - a) Selected Financial Information" includes certain financial ratios that show changes in the financial status of the Company during these years.

Cash Flows from Operating Activities

For fiscal year ended December 31, 2023 and 2022

For the year ended December 31, 2023, the net cash flow from operating activities decreased by $(8.319) billion to $31.411 billion compared to the increase of $38.851 billion in 2022. This decrease is primarily due to a decrease in pre-tax profit from continuing operations by $(20.554) billion, a decrease in the liability of MEPPs by $(19.010) million, and an increase in long-term assets and liabilities by $3.084 billion. Additionally, there was a decrease in working capital by $(5.688) billion and an increase in income tax payments by $(2.007) billion.

For fiscal year ended December 31, 2022 and 2021

For the year ended in December 31, 2022, the net cash flow from operations decreased by $6,925 million to $38,851 million compared to the increase of $1,899 million in 2021. This decrease is mainly due to an increase in profit before income tax on continuing operations by $21,024 million and by a decrease of the plans multi-employer pension plans liabilities of $(16,763) and an decrease in in other long-term assets and liabilities of $(1,822) million, an increase in the working capital for $8,741 million and a increase in the payment of income taxes of $(4,246) millions.

Net Cash Flow from Investing Activities

For fiscal year ended December 31, 2023 and 2022

For the year ended December 31, 2023, the net cash used in investing activities increased by $(33.318) billion to $(42.440) billion compared to $(9.122) billion in 2022. This increase is primarily due to a decrease in proceeds from the sale of discontinued operations by $(25.797) billion, acquisitions of businesses which increased by $(28) million, higher investment in fixed assets which increased by $(6.085) billion, an increase in capital contributions to associated companies by $(434) million, and a decrease in dividends received from associates and third parties by $(868) million.

For fiscal year ended December 31, 2022 and 2021

For the year ended December 31, 2022, net cash used in investing activities decreased by $23,337 million to $(9,122) million compared to $(32,459) million in 2021, mainly as a result of proceeds from the sale of discontinued operations of $25,797 million, a decrease in business acquisitions of $4,117 million, a higher investment in fixed assets that increased by $7,998 million, a decrease in equity capital increases in associated companies of $407 million, and an increase in dividends received from associates and discontinued operations of $895 million.

Net Cash Flow from Financing Activities

For the year ended December 31, 2023 and 2022

For the year ended December 31, 2023, net cash used in financing activities increased by $31.596 billion to $5.904 billion compared to $(25.692) billion of net cash used in financing activities for the year ended December 31, 2022, primarily as a result of maturing bank debt of $(54.305) billion, an increase in bank debt of $84.968 billion and an increase of $(1.018) billion compared to 2022, for payments to acquire or redeem the entity's shares, an increase of $17 million in net payments for the settlement of derivative financial instruments, a decrease in lease payments of $107 and a decrease in dividend payments of $2.336 billion compared to 2022.

For the year ended December 31,2022 and 2021

For the year ended December 31, 2022, net cash used in financing activities increased by $11,576 million to $(25,692) million compared to $(14,116) million of net cash used in financing activities for the year ended December 31, 2021, mainly as a result of the maturity of bank debt for $(22,007) million, an increase in bank debt of $12,746 million, and a increase of $(667) million compared to 2021 for payments to aquire or redeem the entity´s shares. Also due to an increase of $612 million in profits from the settlement of derivative financial instruments, an increase in lease payments of $(1,013) and an increase in the payment of dividends of $(1,249) million compared to 2021.

Borrowings from Banks and Other Financial Institutions

The total consolidated debt increased from $84 million pesos as of December 31, 2022, to $110 million pesos as of December 31, 2023. The increase was explained by the accounting impact of refinancing perpetual subordinated notes, investments in capital, and strategic investments during the year.

Revolving Credit Facility

On March 15, 2023, the Company renewed and modified certain terms and conditions of a committed, syndicated, and multi-currency revolving credit facility, which is linked to sustainability.

According to the new terms and conditions, the financial institutions committed to this line include BBVA Bancomer S.A., Bank of America N.A., Citibank N.A., Coöperatieve Rabobank U.A., New York HSBC México S.A., ING Bank N.V., JP Morgan Chase Bank N.A., Mizuho Bank, Ltd, Morgan Stanley Bank, N.A., MUFG Bank, Ltd, and Banco Santander S.A. The total amount of the committed amount is up to $1.931

billion US dollars, divided into two tranches with a maturity of $875 million US dollars on September 14, 2026 (Tranche A) and $1.056 billion US dollars on March 15, 2028 (Tranche B). Drawings made under Tranche A of this line have an applicable interest rate of SOFR plus 0.95% for US dollar drawings, CDOR plus 0.95% for Canadian dollar drawings, TIIE plus 0.725% for Mexican peso drawings, and EURIBOR plus 0.95% for euro drawings. Drawings made under Tranche B of this line have an applicable interest rate of SOFR plus 1.10% for US dollar drawings, CDOR plus 1.10% for Canadian dollar drawings, TIIE plus 0.80% for Mexican peso drawings, and EURIBOR plus 1.10% for euro drawings.

This line is linked to sustainability and marks the Company's debut in sustainable financing. Therefore, the annual interest rate may change, up or down, based on the Company's performance in predefined metrics for renewable energy and reused treated water. This transaction highlights Grupo Bimbo's growing interest in preserving and improving the environment, including a focus on two areas, energy, and water, which are part of the Company's sustainability journey. This renewal provides ample flexibility and liquidity to the Company and reaffirms the years of solid relationship between the Group and its banking syndicate.

During 2023 and 2022, the drawings and prepayments were for $17.231 billion and $13.085 billion, respectively. As of December 31, 2023, there is no balance drawn on this line of credit.

As of July 1, 2022, there was a reduction in applicable rates as a result of achieving sustainability goals for this line in 2021. Considering this reduction, drawings made under Tranche A of this line of credit have an applicable interest rate of SOFR plus 0.90% for US dollar drawings, CDOR plus 0.90% for Canadian dollar drawings, TIIE plus 0.675% for Mexican peso drawings, and EURIBOR plus 0.90% for euro drawings. Similarly, drawings made under Tranche B of this line of credit have an applicable interest rate of SOFR plus 1.05% for US dollar drawings, CDOR plus 1.05% for Canadian dollar drawings, TIIE plus 0.75% for Mexican peso drawings, and EURIBOR plus 1.05% for euro drawings.

International Bonds

On November 2, 2023, Grupo Bimbo, through its subsidiary BBU, issued (i) senior notes in the international markets for USD$550,000,000 with a maturity of 2034 and a fixed rate of 6.40%, and (ii) senior notes in the international markets for USD$450,000,000 with a maturity of 2029 and a rate of 6.05%, pursuant to Rule 144A and Regulation S of the SEC.

On May 17, 2021, the Group, through its subsidiary BBU, issued senior notes for USD$600,000,000 with a maturity in 2051 pursuant to Rule 144A and Regulation S of the SEC.

On September 6, 2019, the Group issued senior notes for USD$600,000,000 with a maturity in 2049 pursuant to Rule 144A and Regulation S of the SEC.

On November 10, 2017, the Group issued senior notes for USD$650,000,000 with a maturity in 2047 pursuant to Rule 144A and Regulation S of the SEC.

On June 27, 2014, the Group issued (i) senior notes for USD$800 millions dollars with a maturity in 2024 and a fixed rate of 3.875%, and (ii) an issuance of International Bonds for USD$500 million US dollars with a maturity in 2044 and a fixed rate of 4.875%, both for the purpose of refinancing existing debt and other general corporate purposes. On November 3, 2023, Grupo Bimbo conducted a cash repurchase of the senior notes issued by Grupo Bimbo with maturity in 2024, in the amount of USD$391,638,000 dollars.

Local bonds (Certificados Bursátiles)

Furthermore, Grupo Bimbo has issued, and they remain active in the Mexican capital markets, the following Stock Certificates. All Stock Certificates were issued under programs authorized by the CNBV:

- Stock Certificates issued on September 14, 2016, for $8,000,000,000 pesos with maturity on September 2, 2026, with a fixed interest rate of 7.56%. The proceeds from this issuance were destined for debt refinancing, thus extending its average life.

- Stock Certificates issued on October 6, 2017, for $10,000,000,000 pesos with maturity on September 24, 2027, with a fixed interest rate of 8.18%. The proceeds from this issuance were used for the early payment of stock certificates identified with the ticker symbol "BIMBO 12", partial payment of a revolving credit line contracted by Canada Bread, and partial payment of the acquisition of Bimbo QSR.

- Stock Certificates issued on June 2, 2023, for $12,000,000,000 pesos with maturity on May 20, 2033, with a fixed interest rate of 9.24%. The proceeds from this issuance were used for debt refinancing. The remainder was allocated to general corporate purposes.

- Stock Certificates issued on June 2, 2023, for $3,000,000,000 pesos with maturity on July 24, 2026, with a variable interest rate of TIIE plus 0.10%. The proceeds from this issuance were used for debt refinancing. The remainder was allocated to general corporate purposes.

The following table shows the outstanding financial indebtedness as of the dates indicated below:

	2023[(1)]	**2023**	**2022**	**2021**
	(million dollars)	**(million pesos)**		
4.00% International Bond due 2051……..	585	9,887	11,332	12,350
4.000% International Bond due 2049……	560	9,461	10,842	12,245
4.700% International Bond due 2047.....	650	10,981	12,585	13,379
4.875% International Bond due 2044.....	498	8,405	9,632	10,292
6.40% International Bond due 2034.....	550	9,291	_	_
6.05% International Bond due 2029.....	450	7,602	_	_
3.875% International Bond due 2024….....	408	6,899	15,489	16,467
4.50% International Bond due 2022.....	__	__	__	4,072
[(1)] 9.24% Local Bond due 2033.....	710	12,000	_	_
[(1)] Local Bond to TIIE + 0.10% due 2026.....	178	3,000	_	_
[(1)] 7.56% Local Bond due 2026.....	456	7,706	7,706	7,706
[(1)] 8.18% Local Bond due 2027.....	570	9,633	9,633	9,633
Short-term unsecured loans for working capital…….	177	2,983	__	__
Committed Revolving Credit Facility (Multicurrency)…….	__	__	__	__
BBVA Committed Revolving Credit Line…….……..	296	5,000		
Bank of America N.A Loan…….……..	125	2,112		
Banco Nacional de México Loan……	100	1,689		
Other bank loans [(1) (2)].....	245	4,141	7,522	7,483
Short-term portion of long-term debt.....	(766)	(12,932)	(6,435)	(10,625)
Less debt issuance costs [(1)]	(51)	(855)	(687)	(772)
Long term debt.....	5,743	**97,003**	**77,619**	**82,230**

(1) For ease of calculation, converted to dollars at a closing exchange rate of $16.89 pesos per dollar, this being the exchange rate published by the Bank of Mexico on December 29, 2023, in the Official Gazette of the Federation..
(2) Some subsidiaries of the Group have secured direct loans primarily to meet their working capital needs, with maturities ranging from 2024 to 2033, which incur interest at various rates.

The aforementioned bank loans, international bonds and local bonds (*Certificados Bursátiles*) of the Company contain affirmative and negative covenants, as well as early termination causes. To date, all these covenants have been complied with.

Continuously, Grupo Bimbo evaluates various financing alternatives, which in the future could include, among others, additional issuances of securities in the Mexican and international markets, additional lines of credit, and leases.

Contractual Obligations

Grupo Bimbo, S.A.B de C.V., together with some of the subsidiaries, has guaranteed through letters of credit certain ordinary obligations, as well as some contingent risks associated with labor obligations of some subsidiaries. The value of such letters of credit as of December 31, 2023, 2022 and 2021 is $3,822, $4,515 and $5,020 million US dollars, respectively.

Since September 2019, the Company acts as guarantor in a voluntary North American payment program between providers and Bank of America, where they discount their accounts recievables. As of December 31, 2023, 2022 and 2021, balances of $1,826, $2,813 and $2,237 are maintained presented to the prospect in accounts payable to suppliers.

The Company has established a trust that allows suppliers of its subsidiaries in Mexico to obtain financing through a factoring program executed by Nacional Financiera, SNC, as of December 31, 2023, 2022 and 2021, the amount of the liability amounts to $2,355, $3,233 and $1,734, respectively.

Additionally, the Group has a factoring agreement with Banco Santander Mexico, S.A., for the discounting of invoices from its subsidiaries' suppliers in Mexico, with a liability in favor of said financial institution of $18 and $552 as of December 31,2023 and 2022, respectively.

The Company has entered into energy self-supply contracts that commit it to acquire certain amounts of renewable energy at an agreed price that is updated by inflation. Even though the contracts have the characteristics of a derivative financial instrument, they qualify for the exception of accounting for them as such, since they are for self-consumption, they are recorded in the consolidated financial statements as energy consumption is incurred. For example, on April 13, 2022, the Company entered into an energy self-supply contract in Ecuador that commits it to acquire certain amounts of renewable energy for a period of 10 years, starting on June 1, 2022. The main characteristics of these contracts are shown below:

Country	Signature Date	Start date	Period	Energy Commitments 2023
Mexico	02/12/2008	01/11/2012	18 years	314.22 MXP
Argentina	05/09/2019	01/01/2020	Argentina	1.33 USD
Chile	22/02/2020	01/04/2021	Chile	1.17 USD
Panama	22/12/2020	01/07/2021	Panama	0.32 USD
Colombia	22/12/2021	01/01/2022	Colombia	1.86 USD
Brazil	03/12/2021	01/01/2022	Brazil	2.39 USD
Ecuador	13/04/2022	01/06/2022	Ecuador	0.54 USD
Guatemala	30/03/2023	01/04/2023	Guatemala	0.50 USD
Peru	30/06/2023	01/07/2023	Peru	0.27 USD

Furthermore, on March 30, 2018, the Company signed through BBU, a 12-year virtual wind energy supply contract in the United States, which will be recognized as a financial asset measured at fair value with changes in results net of the effects of the associated deferred income and that will be accrued during the term of the contract.

As of December 31, 2023, 2022, and 2021, the net financial asset/(liability) of $852, $789, and $336, respectively, is presented in other long-term liabilities/assets. During 2023, 2022, and 2021, $59, $67, and $68, respectively, were recognized in comprehensive financing costs for the amortization of the liability, and $(140), $(587), and $(512), respectively, for changes in the fair value of the asset/(liability).

On February 1, 2021, the Company, through Canada Bread, signed virtual wind and solar power supply contracts in Canada for a term of 15 years, which will be recognized as a financial asset measured at fair value with changes in net income from the associated deferred income effects and will be recognized during the term of the contract. The start dates of operations are November 1, 2023, and January 1, 2025.

Other long-term commitments as of December 31, 2023, include the obligations resulting from financial instruments, accounts payable and debt amortization as follows:

	<1 year	**>1 year < 3 years**	**>3 year < 5 years**	**>5 years**	**Total**
Debt and interests	$ 19,205	$ 24,088	$ 28,807	$ 109,136	$ 181,236
Lease liabilities	5,751	8,771	5,389	14,138	34,049
Derivative financial instruments	3,562	969	1,170	11,895	17,596
Accounts payable to suppliers and related parties	43,175	-	-	-	43,175
Total	**$ 71,693**	**$ 33,828**	**$ 35,266**	**$ 135,168**	**$ 276,056**

Quantitative and Qualitative Disclosure about Market Risk

During the ordinary course of its operations, the Group is exposed to risks inherent with variables related to financing as well as variations in the prices of some of its raw materials that are traded in international markets. The Group has established an orderly risk management process that relies on internal bodies that assess the nature and extent of those risks. Main financial risks to which the Group is exposed are: interest rate risk, foreign currency risk, price risk, liquidity risk, credit risk and equity risk.

The corporate treasury is responsible for managing the risks associated with interest rate, foreign currency, liquidity and the credit risk that results from the ordinary course of business. Meanwhile, the purchases department is responsible for risk management of fluctuations in commodity prices and reviews the consistency of the open positions in the derivatives markets with the corporate risk strategy of the Group. Both departments report their activities to the Risk Management Department.

As a result of the dynamism of the variables to which the Group is exposed, hedging strategies are evaluated and monitored on an ongoing basis. Additionally, such strategies are reported to the relevant governing body within the organization. The primary purpose of hedging strategies is to achieve a neutral and balanced position in relation to the exposure created by certain financial variables.

The table below shows the integration of the financial derivatives portfolio for the periods indicated:

	As of December 31,		
	2023	**2022**	**2021**

		(in millons of pesos)	
Assets			
Short-Term			
Raw Material Forwards	56	---	92
Foreign Exchange Forwards	33	---	---
Commodity Futures	4	25	953
Commodity and Energy Swaps	26	13	248
Total Short-Term Derivative Assets	**119**	**38**	**1,293**
Long-Term Derivative Assets	**468**	**2,005**	**1,962**
Liabilities			
Short-Term			
Foreign Exchange Forwards	78	10	169
Commodity Forwards	660	512	---
Commodity Futures	312	234	---
Cross currency swap	901	---	---
Commodity and Energy Swaps	213	702	---
Total Short-Term Derivative Liabilities	**2,164**	**1,458**	**169**
Long-Term Derivative Liabilities (Swaps)	**1,888**	**590**	**67**
Equity:			
Fair Value of Financial Instruments Designated as Cash Flow Hedges, Net of Accrued Interest	(292)	(1,100)	767
Closed Contracts for Unused Futures	(222)	(352)	(6)
Deferred Tax, Net	**127**	**401**	**(184)**
Total Other Comprehensive Income	**(387)**	**(1,051)**	**577**

For further information on the risk management policies, the derivative financial instruments and a sensitivity analysis on interest rates and currencies, see note 17 to the audited consolidated financial statements.

Off-Balance Sheet Arrangements

The Group does not currently have transactions involving off-balance sheet arrangements.

f. Unregistered transactions

As of December 31, 2023, 2022 and 2021 there were no material transactions resulting in cash flows.

3) Internal Control

The Company has an Audit & Corporate Practices Committee that performs audit activities, as well as other corporate practices activities set in the LMV, its bylaws and those determined by the Company's Board of Directors. The Audit & Corporate Practices Committee is comprised by at least three independent members appointed by the Shareholders' Meeting. The chairman of the committee is appointed by the General Shareholders' Meeting.

e) ESTIMATIONS, PROVISIONS AND CRITICAL ACCOUTING RESERVES

The Audited Financial Statements that form part of this Annual Report comply with IFRS. Their preparation requires that the Company's management make estimates and assumptions to assess some of the financial statement entries and to carry out disclosures required therein. However, actual results may differ from such estimates. The Company's management believes that such estimates and assumptions were appropriate considering the circumstances under which they were made.

The notes to the Audited Financial Statements contain a description of the most significant accounting policies of the Company, including the following:

1) *Compliance statement*

The consolidated financial statements of the Company have been prepared in compliance with the International Financial Reporting Standards (IFRS) as issued by the IASB.

2) *Basis of preparation*

The Mexican peso is the Company's functional currency for transactions in Mexico and the presentaion currency of its consolidated financial statements.

The accompanying consolidated financial statements have been prepared on a historical cost basis, except for certain assets and liabilities (mainly derivative financial instrumes), and other capital instruments which are measured at fair value at the end of the reporting period, and the non-monetary assets of the Company's subsidiaries in hiperinflacionary economies, which are restated by inflation, as explained below in this accounting policies.

a) Historical cost

Historical cost is generally based on the fair value of the consideration paid for goods and services, at the time they are received.

b) Fair value

Fair value is the price to sell an asset or transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the Company takes into account the characteristics of the asset or liability being measured that market participants would take into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined on such a basis, except for measurements that have some similarities to fair value but are not fair value, such as net realizable value in NIC 2 or value-in-use in NIC 36.

In addition, for financial reporting purpose, fair value measurements are classified into level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its totality, which are described as follows:

- Level 1: Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2: Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

- Level 3: Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

Basis of presentation

Classification between current and non-current (short and long term)

The Company presents assets and liabilities in the consolidated statement of financial position as current and non-current when:

- It is expected to be realized, sold or consumed in the normal course of its operations;
- Held primarily for commercial purposes;
- Expected to be performed within the next twelve months after the reporting period; or
- Is cash or a cash equivalent subject to being restricted for exchange or settlement of a liability, at least within the next twelve months after the reporting period.

All other assets are classified as non-current.

A liability is classified as short-term when:

- It is expected to be liquidated in the normal course of its operations;
- Held primarily for commercial purposes;
- Is outstanding and will be settled within twelve months after the reporting period; or
- There is no unconditional right to defer settlement of the liability for at least twelve months after the reporting period.

The terms of a liability that may, optionally by the counterparty, result in a settlement through the issuance of an equity instrument do not affect its classification.

All other liabilities are classified as long-term.

Deferr Deferred tax assets and liabilities are classified as non-current assets and liabilities.

3) Basis of consolidation of financial statements

As of December 2023, 2022 and 2021, the consolidated financial statements incorporate the financial statements of the Company, its subsidiaries, and other entities in accordance with IFRS 10.

Subsidiary	% of equity interest	Country	Segment	Primary Activity
Bimbo, S. A. de C. V.	97	Mexico	Mexico	Baking
Barcel, S. A. de C. V.	98	Mexico	Mexico	Snacks
Productos Ricolino, S.A.P.I. de C.V.(1)	0	Mexico	Mexico	Confectionery
Bimbo Bakeries, Inc.	100	U.S.	North America	Baking
Canada Bread Corporation, LLC	100	Canada	North America	Baking
Bimbo do Brasil, Ltda.	100	Brazil	Latin America	Baking

Bakery Iberian Investments, S.L.U.	100	Spain and Portugal	EAA	Baking

(1) On November 1, 2022, the confectionery business was sold, in 2022 and 2021, there was a 98% ownership stake.

Subsidiaries are consolidated from the date on which control is transferred to the Company and are no longer consolidated from the date that control is lost. Gains and losses of subsidiaries acquired during the year are recognized in the consolidated statement of profit or loss and statement of comprehensive income from the acquisition date and/or loss of control.

Non-controlling interest represents the portion of profit or loss and net assets that are not owned by the Company and represents the minority interest that is recognized separately in the consolidated financial statements.

The political and economic situation in Venezuela has significantly limited the capacity of the Company's subsidiaries in Venezuela to maintain their production process under normal conditions. Because of the above, and since Grupo Bimbo will continue its operations in Venezuela, as of June 1, 2017, the Company changed the method under which it recognized the financial position and performance of its operations in Venezuela; therefore, at the date of these financial statements, the Company measures its investment in Venezuela at fair value.

The Company elected to classify irrevocably its equity investments in affiliates in Venezuela under this category as it intends to hold these investments for the foreseeable future. As of December 31, 2023, 2022 and 2021, the Company recognized an impairment loss of $236, $32 and $112 in other comprehensive income.

The net income for the period and each component of other comprehensive income are attributed to both the controlling and non-controlling interests, even if this results in a deficit in the latter.

The balances and transactions between the consolidated entities have been eliminated in preparing the consolidated financial statements.

4) Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the fair values of the assets transferred by the entity, the liabilities incurred by the Company to the former owners of the acquiree and the equity interests issued by the Company in exchange for control of the acquiree. Costs related to the acquisition are generally recognized in profit or loss as incurred.

At the acquisition date, all identifiable assets acquired and liabilities assumed in a business combination are measured at fair value, except for:

- Deferred tax assets or liabilities and assets or liabilities related to employee benefits are recognized and measured in accordance with IAS 12 I*ncome Taxes* and IAS 19 *Employee Benefits*, respectively;

- Liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the Entity entered into to replace share-based payment arrangements of the acquiree that are measured in accordance with IFRS 2 *Share-based Payment* at the acquisition date (as of December 31, 2023, 2022 and 2021, the acquired companies do not have share-based payments);

- Assets (or group of assets) that are classified as held for sale and measured in accordance with

IFRS 5 Non-current Assets Held for Sale and Discontinued Operations that are measuredin accordance with this standard.

Goodwill is measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If, after reassessment, the fair value of the net assets acquired and liabilities assumed at the acquisition date is in excess of the aggregate consideration transferred, the amount recognized for non-controlling interests in the acquiree and any previous interest held over the acquiree is recognized in profit or loss as a bargain purchase gain.

Non-controlling interest may be initially measured either at fair value or at the proportionate share of the acquiree's identifiable net assets. The election is made on a transaction-by-transaction basis.

When the consideration transferred by the Company in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at fair value at the acquisition date and is included as part of the consideration transferred. Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively and the corresponding adjustments are charged against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period', which cannot exceed one year following the acquisition date, on facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on the classification of the contingent consideration. Contingent considerations classified as equity are not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Contingent considerations classified as assets or liabilities are remeasured at subsequent reporting dates in accordance with IFRS 9 or IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, as appropriate, and the corresponding gain or loss is recognized in profit or loss.

When a business combination is achieved in stages, any previous interest held over the acquiree is remeasured at fair value at the acquisition date and the resulting gain or loss, if any, is recognized in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognized in other comprehensive income are reclassified to profit or loss when such treatment is appropriate if that interest is disposed.

If the initial accounting treatment for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Company reports provisional amounts for the items for which the accounting is incomplete. Such provisional amounts are adjusted during the measurement period (see above) or additional assets or liabilities are recognized to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognized at that date.

5) Discontinued Operations

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as gain or loss after tax from discontinued operations in the income statement. Additional disclosures are provided in Note 24. All other notes to the financial statements include amounts for continuing operations unless otherwise stated.

6) Foreign currency transactions

Exchange differences on monetary items are recognized in profit or loss, except in the following:

- Exchange differences on foreign currency borrowings relating to assets under construction for future

productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings
- Exchange differences on transactions entered into in order to hedge certain foreign currency risks (see Note 17), and
- Exchange differences on monetary assets or liabilities related to foreign operations with no planned settlement and for which payment cannot be made (thus forming part of the net investment in the foreign operation) are initially recognized in other comprehensive income and are reclassified from equity to profit or loss as reimbursements of monetary items.

Translation to reporting currency

For the process of consolidation, the assets and liabilities of foreign operations are translated into Mexican pesos using theexchange rate prevailing at the reporting date. Income and expense items are translated at the average exchange rates for the period, unless the exchange rates fluctuate significantly during that period, in which case the exchange rates at the dates of the transactions are used. The operations in hyperinflationary economies are translated using the exchange rate prevailing at the reporting date. The exchange differences arising on translation for consolidation are recognized in other comprehensive income and accumulated in equity attributed to non-controlling interests as appropriate.

All accumulated differences in stockholders' equity from a foreign operation in the case of its sale are reclassified to profits or loss, that is, the sale of the Company's entire participation in a foreign operation, or a disposition that involves a loss of control in the subsidiary that includes a foreign operation, loss of joint arrangement or an associate that includes a partial foreign operation in which the retained interest becomes a financial instrument.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the exchange of the reporting date. Exchange differences resulting from the translation are recognized in other comprehensive income.

The average exchange rates and closing exchange rates between the Mexican peso and the functional currencies of the countries of the main subsidiaries, are as follows:

	Average Exchange Rate			**Closing Exchange Rate**		
	2023	2022	2021	**2023**	2022	2021
US	**17.7620**	20.1250	20.2818	**16.8935**	19.3615	20.5835
Canada	**13.1629**	15.4634	16.1111	**12.7508**	14.2931	16.1782
Spain	**19.2096**	21.2057	23.3129	**18.6673**	20.6510	21.4648
Brazil	**3.5530**	3.8960	3.6885	**3.4895**	3.7107	3.7629
Argentina	**0.0602**	0.1542	0.2004	**0.0209**	0.1093	0.2133

7) Financial assets

All recognized financial assets are subsequently measured in their entirety, either at amortized cost or fair value, according to the classification of financial assets.

Financial Asset Classification

Financial instruments that met the following conditions are measured subsequently at fair value through other comprehensive income:

- The financial asset is held within a business model with the objective of both holding to collect contractual cash flows and selling
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

The remaining financial assets are subsequently measured at fair value through profit or loss.

Notwithstanding the foregoing, the Company may elect irrevocably at initial recognition to classify an equity investment as a financial instrument with subsequent changes in fair value in other comprehensive income unless the equity investment is held for trading or if it is contingent consideration recognized by an acquirer in a business combination.

Equity investments at fair value through other comprehensive income are initially measured at cost, plus transaction costs, and are subsequently measured at fair value and the gains and losses from the fair value changes are recognized in OCI. At derecognition, cumulative gains and losses are not reclassified to profit or loss, and instead are recorded in retained earnings.

Derecognition of financial assets

A financial asset (or when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- The rights to receive cash flows from the financial asset have expired; or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the full amount of the cash flows without material delay to a third party under a transfer agreement and either a) the Company has transferred substantially all the risks and rewards of the asset or b) the Company has not transferred or retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

a) Accounts receivable

Trade accounts receivable and other accounts receivable that are non-derivative financial assets with fixed or determinable payments that are not traded on an active market, are classified as accounts receivable and are measured at amortized cost using the effective interest rate (EIR) method, less any impairment losses.

Interest income is recognized by applying the effective interest rate, except for short-term receivables when the interest is immaterial.

b) Impairment of financial assets

Financial assets other than financial assets at fair value through profit and loss are tested for impairment at the end of each reporting period.

The Company recognizes a provision for expected credit losses (ECLs) on trade receivables. The Company uses a provision matrix to calculate ECLs for trade receivables. The provision matrix is initially based on the Company's historical credit loss experience and is subsequently adjusted for factors that are specific to the debtors, general economic conditions and an assessment of the current direction and forecast of future conditions at the reporting date, including the time value of money, when applicable.

The Company considers a financial asset in default when contractual payments are 90 days past due. In addition, the impairment assessment also takes into account the non-payment status of customers, when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before considering any credit enhancements held by the entity. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Regarding trade receivables, the carrying amount is reduced using an allowance account. Trade receivables that are considered uncollectible are charged to the allowance account. Subsequent recovery of previously recognized impairment losses is reversed by adjusting the allowance account. The amount of the changes in the allowance account is recognized in profit or loss of the year.

8) Inventories and cost of sales

Inventories are valued at the lower of either their cost or net realizable value.

The costs incurred to bring each product to its current location and condition are accounted for according to the following criteria:

- Raw materials, containers, packaging material and spare parts: at acquisition cost, which includes the cost of the merchandise plus import costs, minus discounts, using the average cost method.
- Finished goods and orders in process: standard cost equivalent to the cost of direct materials and labor and a proportion of manufacturing overheads based on the normal operating capacity.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale

9) Property, plant and equipment

Property, plant and equipment is recognized at cost, net of accumulated depreciation and accumulated impairment losses, if any. Fixed assets acquired before December 31, 2007 were restated for inflation through that date based on the National Consumer Price Index, which became the estimated cost of such assets as of January 1, 2011 upon the Company's adoption of IFRS.

The cost includes those costs directly attributable to bringing the asset to the location and condition necessary for it to operate as intended by management.

The costs of expansion, remodeling or improvements that enhance the capacity or extend the useful life of the asset are also capitalized. Repair and maintenance costs are expensed as incurred. The carrying amount of the replaced asset, if any, is derecognized when replaced, and the effect is recognized in profit and loss.

Freehold land is not depreciated. Depreciation of property, plant and equipment is calculated on the assets' carrying amounts on a straight-line basis over the following range useful lives of the assets, as follows:

	Years
Buildings:	
Infrastructure	**15 – 30**
Foundations	**35 – 50**
Roofs	**10 – 30**
Fixed facilities and accessories	**10 – 20**
Manufacturing equipment	**3 – 25**
Vehicles	**8 – 16**
Furniture and equipment	**2 – 18**
Computer equipment	**4**
Leasehold improvements	**The lower of either the related lease term or the useful life of the asset**

The Company allocates the amount initially recognized in respect of an item of buildings and manufacturing equipment to its various significant parts (components) and depreciates each of these components separately.

The carrying amount of an asset is reduced to its recoverable value if the carrying amount exceeds its recoverable value.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected from its use. Any gain or loss arising from derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in results.

Leasehold improvement and adaptations to buildings and establishments in which the Company is the lessee are recognized at historic cost less the respective depreciation.

10) Right of use assets

Right of use assets are initially measured at the present value of lease payments, less any lease incentives received and initial direct costs. Right of use assets are subsequently measured at cost net of accumulated depreciation, impairment losses and adjustments for any remeasurement of lease liabilities in accordance with IFRS 16. The Company has decided to present leases as finance or capital leases as disclosed in Note 9.

Right of use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the underlying assets. If ownership of the underlying asset transfers to the lessee or the cost of the right of use asset reflects the exercise of a purchase option, depreciation is calculated over the useful life of the underlying asset.

Lease payments for low-value assets (less than USD 5,000) and short-term leases (less than 12 months) are recognized directly in profit or loss.

11) Intangible assets

Intangible assets are primarily comprised of trademarks and customer relationships resulting from the acquisition of businesses. Intangible assets are measured on initial recognition at cost. Intangible assets acquired through a business combination are recognized at fair value at the acquisition date, separately from goodwill. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses. Internally generated intangibles, excluding development costs, are not capitalized and the related expenditure is reflected in profit or loss in the period in which the expenditure is incurred.

The useful lives of intangible assets are considered as either finite or indefinite, based on the contractual terms established at acquisition. Trademarks are considered to have indefinite useful lives when ownership is acquired, otherwise are amortized.

Intangible assets with finite live are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed and adjusted at least at the end of each reporting period. The amortization expense on intangible assets with finite lives is recognized in the statement of profit or loss under general expenses.

Intangible assets with indefinite useful lives are not amortized but are tested for impairment at least annually. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

12) Impairment of tangible and intangible assets, other than goodwill

Annually, the Company assesses whether there is any indicator that its tangible and intangible assets, including the right-of-use asset, may be impaired. If such indicator exists, the Company estimates the asset's recoverable amount. If it is not possible to estimate the recoverable amount of the individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to the cash-generating units, or otherwise they are allocated to the Company's smallest group of cash-

generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives or not yet available for use, are tested for impairment on an annual basis, or more often if there is any indicator that the intangible asset may be impaired.

The recoverable amount is the higher of the asset's fair value less costs of disposal and its value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to each asset.

If the recoverable amount of an asset (or cash-generating unit) is less than its carrying amount, such amount is reduced to its recoverable amount. Impairment losses are recognized immediately in the Company's results.

On an annual basis, when there are signs that the value of an asset has significantly increased as a result of changes in the legal, economic, technologic or market environment or increases in the interest rates affecting the discount rate used to calculate the value in use of the asset in prior years, the Company evaluates the new recoverable amount of the asset in order to determine the amount of accumulated impairment to be reversed.

Further, when an impairment loss subsequently reverses, the carrying amount of the asset or cash-generating unit is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined if no impairment loss had been recognized in prior years. The reversal of an impairment loss is recognized immediately in the income statement.

13) Goodwill

Goodwill arising from business combinations is recognized at the cost determined on the acquisition date of the business, as described in the business acquisitions policy note above, net of any accumulated impairment losses (see Note 12).

Goodwill is allocated to each cash-generating unit (or group of cash-generating units) that is expected to benefit from the synergies achieved from the combination.

The cash-generating units to which goodwill has been allocated are tested for impairment on an annual basis, or more frequently if there are any indicators of impairment. If the recoverable amount of a cash-generating unit is lower than its carrying amount, the impairment losses recognized in respect of the cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to reduce the carrying amount of the other assets in the unit on a pro rata basis. Impairment in goodwill is recognized directly in profit or loss. Any loss from impairment in the value of goodwill cannot be reversed in future years.

When the relevant cash-generating unit is disposed of, the amount of goodwill is included in the calculation of gains or losses at the time of the disposal.

14) Financial liabilities

Financial liabilities are initially recognized at fair value, net of transaction costs, except for financial liabilities designated at fair value through profit or loss, which are initially recognized at fair value. Subsequent measurement depends on the category in which the financial liability is classified.

Financial liabilities are classified as either financial liabilities at fair value through profit or loss (FVTPL) or other financial liabilities. Note 17 describes the category of each financial liability of the Company.

The subsequent measurement depends on the category of the financial liability. Debt is subsequently measured using the effective interest method. Gains and losses are recognized in the consolidated statement of income when the liabilities are amortized. The amortized cost is calculated by considering any discount or premium on contracting and commissions or costs that are an integral part of the effective interest method. Amortization of the effective interest method is included in the comprehensive cost of financing. The subsequent measurement of derivatives is described in Note 3o.

Derecognition of financial liabilities

A financial liability is derecognized when the obligation is settled, cancelled or expires. When a pre-existing financial liability is replaced by another from the same beneficiary with substantially different terms, or the terms of a liability are substantially modified, such exchange or modifications are treated as a de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of income.

Offsetting of financial instruments

Financial assets and liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and liabilities simultaneously.

15) Hedging activities and derivatives

Derivatives are initially recognized at fair value on the date on which a derivative contract is entered and are subsequently remeasured at fair value. Presentation of the related gain or loss from changes in fair value of the derivative financial instrument depends on whether they are designated as hedging instruments, and if so, the nature of the hedging relationship. The Company only holds derivative financial instruments classified as cash flow hedges and hedges of net investment in foreign operations.

At the inception of a hedge relationship, the Company formally documents the hedge relationship between the hedging instrument and the hedged items, including the risk management objective and strategy for undertaking the hedge. Periodically, the Company documents whether the derivative financial instrument is highly effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk.

Sources of ineffectiveness can arise from:

- Differences in timing of the cash flows of the hedged item and the hedging instruments.
- Different indices (and different curves respectively) linked to risks of the hedged items and hedging instruments.
- Credit risk of counterparties that impact differently the movements in the fair value of the hedging instruments and hedged items.
- Changes in the forecasted amounts of cash flows of hedged items and hedging instruments.

Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. Derivatives are not offset in the consolidated financial statements unless there is an enforceable legal right to offset the recognized amounts and there is an intention to settle. Derivatives are accounted for as non-current assets or liabilities if the remaining maturity of the instrument is more than 12 months and the instrument is not expected to be realized or settled in 12 months. All other derivatives are accounted for as short term assets or short termliabilities.

a) Cash flow hedges

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognized in OCI under valuation effects of cash flow hedges. The gain or loss relating to the ineffective portion is immediately recognized in profit or loss. Amounts previously recognized in other

comprehensive income and accumulated in equity are reclassified to profit or loss as a reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

Any loss or gain recognized in other comprehensive income and accumulated in equity remains in equity and is recognized in the Company's results when the forecasted transaction is completed and its effects are finally recognized in the income statement.

Hedge accounting is discontinued when the Company revokes the hedging relationship, when the hedging instrument expires or is sold, terminated, or exercised, or when it no longer qualifies for hedge accounting. To continue the hedging strategy, the Company may extend the hedging period of the hedged item by contracting new derivative instruments that respect the main characteristics of the derivative and the original hedging strategy without altering the Company's risk management objective.

b) Hedges of net investment in foreign operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain or loss on the hedging instrument relating to the effective portion of the hedge is recognized in other comprehensive income and accumulated under the heading of net economic hedge effects. The gain or loss relating to the ineffective portion is immediately recognized in profit or loss under Foreign exchange gain/(loss), net. Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss on the disposal of the foreign operation in the event it occurs.

16) Lease Liabilities

Lease liabilities are initially measured at the present value of outstanding fixed and variable lease payments, discounted at the incremental borrowing rate of each country where the Company operates. The amount of lease liabilities is increased for the accretion of interest and reduced for the lease payments made and increased or reduced based on remeasurements to reflect the new measurements or amendments made to the lease agreements.

The estimated incremental borrowing rate is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right of use asset in a similar economic environment. The Company calculates the incremental borrowing rate using observable inputs, market interest rates and its credit score.

Lease liabilities are recognized in the consolidated statement of financial position as short-term when the term of the lease is less than 12 months and long-term when it is more than 12 months.

17) Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

The amount recognized as a provision, at the end of the reporting period, is the best estimate of the expenditure required to settle the present obligation at the balance sheet date, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured based on the estimated cash flows required to settle the present obligation, its carrying amount represents the present value of these cash flows when the effect of the time value of money is material.

All contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. At the end of subsequent reporting periods, such contingent liabilities are measured at the higher of the amount that would be recognized in accordance with IAS 37 and the amount initially recognized, less cumulative amortization recognized in accordance with IFRS 15.

a. Uncertainty over tax treatments

The Company constantly evaluates the tax treatments of all its consolidated entities and identifies those with uncertainty as to their acceptance by the tax authorities. Considering the current circumstances of the reviews in process, as well as the tax treatments used by the companies, the Company calculates this uncertainty based on the conditions of each tax jurisdiction and the approach that best estimates the uncertainty, using the most likely amount method or the expected value method, as applicable, and recognizes the effects determined in profit or loss.

The Company determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

18) Income tax

The expense for income taxes represents the sum of income taxes payable and deferred income taxes and is recognized in the results of the period, except when they relate to items recognized outside the results, either in other comprehensive income or directly in equity. When arising from the initial recognition of a business combination, the tax effect is included within the recognition of the business combination.

1. Deferred income tax

Deferred income taxes are recognized on all temporary differences between financial reporting and tax values of assets and liabilities based on tax rates that have been enacted at the reporting date and where applicable, they include unused tax losses and certain tax credits. Deferred tax assets or liabilities are recognized for all temporary differences, with certain exceptions. The Company recognizes a deferred tax asset for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which the deductible temporary difference can be utilized.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

i) those that arise from the initial recognition of an asset or liability in a transaction that is not a business combination and do not affect neither the accounting profit or loss or taxable income;
ii) those associated with investments in subsidiaries and associates to the extent it is probable that the temporary differences will not reverse in the foreseeable future; and
iii) those that arises from the initial recognition of goodwill. Deferred tax assets are recognized to the extent that it is probable that taxable income will be available against which the deductible temporary differences can be apply.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that taxable profits will be available against which the deductible temporary difference can be utilized.

The Company offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realize the assets and settle the liabilities simultaneously.

19) Employee benefits

a. Pensions and seniority premiums

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity or a fund and will have no legal or constructive obligation to pay further contributions. The obligation is recognized as an expense when the associates have rendered the service entitling them

to the contributions.

A defined benefit plan is a post-employment plan for which the Company has the obligation to provide the agreed benefits to current and former associates. The cost of providing benefits under a defined benefit plan that includes pensions and seniority premiums is determined using the projected unit credit method, with actuarial valuations being carried out at the end of each annual reporting period. Remeasurements, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), are immediately recognized in the statement of financial position with a corresponding debit or credit to retained earnings through other comprehensive income in the period in which they occur. Remeasurements are not reclassified to profit or loss in subsequent periods. Past service costs are recognized in profit or loss at the date of the plan amendment. Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

The retirement obligations recognized in the statement of financial position include actuarial gains and losses in the defined benefit plans of the Company. The present value of the defined benefit obligation is determined based on the discounted value of estimated cash flows, using interest rates tied to government bonds denominated in the same currency in which the benefits are to be paid and whose terms are similar to those of the obligation.

b. Statutory employee profit sharing (PTU)

In Mexico and Brazil, the Company is required to recognize a provision for employee profit sharing when obtained and has a present legal or constructive obligation as a result of a past event and the amount can be reliably estimated. Statutory employee profit sharing is recognized in profit or loss as incurred.

c. Short-term employee benefits

The Company recognizes a liability for benefits corresponding to employees regarding wages and salaries, annual leave, short-term bonuses, and sick leave in the period in which the related services are received.

d. Termination benefits

A liability is recognized for termination benefits when the Company cannot withdraw its offer to provide termination benefits and/or when it recognizes the related restructuring costs.

e. Long term bonus

The Company grants a long term cash bonus to certain executives, which is calculated based on performance metrics. The bonus is paid 30 months following the date on which it was granted, and it is recognized in profits in the year in which it is accrued, which is when the employee is entitled to this right.

f. Multi-employer pension plans (MEPPs)

The Company classifies multi-employer plans in which it participates as defined contribution plans or defined benefit plans in order to determine the accounting for such plans. If a MEPP is classified as a defined benefit plan, the Company accounts for its share in the defined benefit obligation, plan assets and costs associated with the plan in the same manner as for any other defined benefit plan. When sufficient information is not available to use defined benefit accounting for a MEPP, the Company accounts for such plan as a defined contribution plan recognizing in profit or loss the amount of the paid contributions

Exit payments or withdrawal from a multi-employer plan are recognized and measured in accordance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets.*

20) Revenue recognition

Revenue primarily comes from contracts with customers for the sale of products and is recognized when control of the goods is transferred to the customer, given the performance obligation satisfaction in that moment, at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods. When determining the transaction price, the Company considers the effects of variable considerations (i.e. rights of return and rebates). Payments made to customers for commercial services are recognized as distribution and selling expenses.

Rights of exchange of products

Certain contracts provide a customer with a right to exchange the products within a specified period. The Company uses the expected value method to estimate the products that will not be returned because this method best predicts the amount of variable consideration to which the Company will be entitled. For goods that are expected to be returned, instead of revenue, the Company recognizes an estimated refund liability.

Rebates to customers

The Company provides retrospective rebates to certain customers when the conditions established in the contracts are met. Rebates are offset against amounts payable by the customer. To estimate the variable consideration for the expected future rebates, the Company applies the most likely amount method for contracts with a single volume threshold and the expected value method for contracts with more than one volume threshold.

4) GOVERNANCE

a) EXTERNAL AUDITORS

The external auditor selection is entrusted to the Audit & Corporate Practices Committee, which recommends its hiring to the Board of Directors. The Board of Directors is the body that approves the hiring of the external audit firm and, if applicable, the additional or ancillary services to the external audit.

The Audit & Corporate Practices Committee conducts a tender for external audit services every 5 years, regardless of considering the possibility of doing so within a shorter period. The Committee selects from among the firms whose background, reputation, partners, international coverage, methodology and technology meet the expectations and needs of the Board of Directors, the Committee and the Company's Management.

In some cases, given the results of an evaluation of the services of the appointed firm, the Audit & Corporate Practices Committee may consider it necessary to change the partner of the relevant firm, for which it requests a slate of three candidates and chooses the one who will be in charge of auditing the Company's Financial Statements, in which case the relevant bidding process will not be carried out.

Since 2018, Mancera, S.C. (member of Ernst & Young Global Limited), has been in charge of auditing the Company's consolidated financial statements.

In the different reviews and reports which have been periodically made to the Group's Financial Statements, this audit firm has not issued an opinion with observations, notes or a negative opinion, nor has refrained from issuing an opinion in connection thereto.

During 2023, Mancera, S.C. rendered to Grupo Bimbo and its subsidiaries services other than audit, consisting among others a diagnosis of compliance with global policies, advisory regarding possible adquisitions and other tax advises.

b) TRANSACTIONS WITH RELATED PARTIES AND CONFLICTS OF INTERESTS

In the ordinary course of business, Grupo Bimbo enters into commercial transactions with some of its affiliates, including in connection with the supply of raw materials, office supplies and uniforms for its associates.

These transactions are approved by the Board of Directors of the Company, except for transactions that (i) are not material, or (ii) are entered into in the ordinary course of business and on an arm's length basis. The transactions with related parties are reviewed by the Audit & Corporate Practices Committee prior to their approval or confirmation by the Board of Directors except for cases in which waivers represent less than 5% of Grupo Bimbo consolidated assets.

Grupo Bimbo shall continue to carry out transactions with its associate and affiliate companies in the future. Transactions with related companies are entered into on an arm's length basis; therefore, the Group considers that the terms are not less favorable than those which may be obtained in a comparable transaction with an unrelated company (see Note 15 of the Audited Financial Statements).

From January 1, 2023 and up to April 30, 2024, Grupo Bimbo has not engaged in any relevant transactions with related parties, other than the commercial operations described above.

1) Transactions with related parties performed in the Group's ordinary course of business were the following ones:

	2023	2022	2021
Purchases of:			
Raw materials:			
Beta San Miguel, S.A. de C.V. (1)	**$2,847**	$2,335	$2,584
Other associates	**7**	3	7
Frexport, S.A. de C.V. (2)	**1,069**	959	871
Other related parties(2)	**76**	80	61
Finished goods:			
Fábrica de Galletas La Moderna, S.A. de C.V. (1)	**$1,418**	$1,203	$1,083
Mundo Dulce, S.A. de C.V. (1)	**13**	5	914
Pan-Glo de México, S. de R.L. de C.V. (1)	**364**	273	200
Other associates	**4**	3	2
Stationary, uniforms and other:			
Efform, S.A. de C.V. (1)	**$397**	$379	$365
Uniformes y Equipo Industrial, S.A. de C.V. (1)	**293**	191	202
Sociedad Industrial de Equipos y Servicios, S.A. de C.V (1)	**454**	362	234
Other associates	**36**	23	29
Automotriz Coacalco-Vallejo, S.A.P.I de C.V. (2)	**57**	40	33
Autotab, S.A. de C.V. (2)	**407**	7	3
Proarce, S.A. de C.V. (2)	**159**	176	169
Other related parties (2)	**196**	125	88
Financial services:			
Fin Común Servicios Financieros, S.A. de C.V. (1)	**$1,811**	$1,367	$1,094

(1) Associated company
(2) Related party

Balances receivable of payment due from related parties consist of unsecured accounts and are collectible in cash. No guarantees have been given or received with related parties.

2) Accounts payable to related parties are:

	2023	**2022**	**2021**
Beta San Miguel, S.A. de C.V. (1)	**$631**	**$577**	$801
Frexport, S.A. de C.V. (2)	**183**	**206**	119
Fábrica de Galletas La Moderna, S.A. de C.V. (1)	**298**	**164**	144
Mundo Dulce, S.A. de C.V. (1)	**2**	**-**	107
Efform, S.A. de C.V. (1)	**86**	**96**	83
Uniformes y Equipo Industrial, S.A. de C.V. (1)	**23**	**35**	80
Sociedad Industrial de Equipos y Servicios, S.A. de C.V. (1)	**33**	**45**	58
Pan-Glo de México, S. de R. L. de C.V. (1)	**75**	**47**	34
Proarce, S.A. de C.V. (2)	**20**	**18**	33
Makymat, S.A. de C.V. (2)	**9**	**36**	26

Automotriz Coacalco-Vallejo, S.A.P.I de C.V. (2)	**6**	**-**	8
Others(2)	**45**	**16**	34
Total	**$1,412**	**$1,240**	$1,527

(1) Associated company

(2) Related party

c) MAIN OFFICERS AND SHAREHOLDERS

1) Board of Directors

In accordance with the corporate bylaws, the Company's management is entrusted to a Board of Directors and a Chief Executive Officer who performs the duties established by the Securities Market Law (*Ley del Mercado de Valores*) ("LMV"). The members of the Board of Directors are elected, as a general rule, by the shareholders of the Company at the Annual Ordinary General Shareholders' Meeting, except when the Board of Directors appoints temporary directors without the intervention of a shareholders' meeting in the event of a resignation of a director or the lack of a designated alternate director. The Board of Directors shall be comprised by a minimum of five (5) and a maximum of twenty-one (21) directors, of which at least twenty-five percent (25%) shall be independent.

Each shareholder or group of shareholders holding at least ten percent (10%) or more of the capital stock is entitled to designate or revoke one (1) director of the Board of Directors. The Board of Directors meets once every quarter but at minimum once a year. The bylaws of Grupo Bimbo provide that the shareholders may elect an alternate director for each director. The alternate directors for the independent directors shall also have the independent character.

On February 16, 2022, by means of the board meeting, an internal policy was approved which determines that the independent members of the Board of Directors have a term limit of up to 12 years to perform their duties as members of the Board, which will be implemented gradually, with the commitment to be in compliance by 2025. Moreover, since 2022 the members of the Board of Directors were consulted to develop a Competency Matrix divided into seven categories: (i) general information, (ii) participation in other Boards of Directors, (iii) management experience, (iv) experience or knowledge in different sectors, (v) international experience, (vi) functional skills, and (vii) experience in ESG issues. The most recent results can be found in Grupo Bimbo's Board Members Competency Matrix section.

Independent directors shall be those people who are not impeded to perform their duties free from conflicts of interest and that satisfy the requirements set forth in the Securites Market Law to be considered as such, the provisions derived from that law, and in the laws and regulations, stock exchanges or markets in the jurisdictions where the Group's securities are traded, as the case may be.

The Board of Directors appointed and ratified during the Annual Extraordinary and Ordinary General Shareholders' Meeting held on April 30, 2024 is comprised of eighteen (18) directors, who will remain in their positions until the people appointed to substitute them take possession; they may be reelected and will receive the remuneration determined by the Ordinary General Shareholders´ Meeting. The following table includes the name of the members of the Board of Directors and the period during which they have served as directors:

Board Members	Position	Seniority (years) (1)	Gender*
Daniel Javier Servitje Montull	Executive Chair	29	Male
Edmundo Miguel Vallejo Venegas	Director (I)	12	Male

Guillermo Lerdo de Tejada Servitje	Director	0	Male
Jaime Antonio El Koury	Director (I)	7	Male
Jaime Chico Pardo	Director	10	Male
Javier de Pedro Espínola	Director	13	Male
Jordi Mariscal Servitje	Director	0	Male
José Ignacio Pérez Lizaur	Director (I)	13	Male
José Roberto Quiroz Mata	Director	0	Male
Juana Francisca de Chantal Llano Cadavid	Director (I)	0	Female
Lorenzo Sendra Creixell	Director	0	Male
Luis Jorba Servitje	Director	17	Male
María del Pilar Mariscal Servitje	Director	2	Female
María Eugenia Casa Pérez	Director	0	Female
María Luisa Jorda Castro	Director (I)	8	Female
Mireya Jorba Aliacar	Director	0	Female
Raúl Ignacio Obregón Servitje	Director	0	Male
Rogelio Miguel Rebolledo Rojas	Director (I)	6	Male
Luis Miguel Briola Clement(2)	Secretary	19	Male
Norma Isaura Castañeda Méndez(2)	Alternate Secretary	5	Female

(1) Table updated as of April 2023
(2) Secretary and alternate secretary of Grupo Bimbo are not members of the Board of Directors.
(I): Independent member of the Board of Directors. 39% of the members are independent.
* 28% of the members of the Board of Directors are women and 72% are men.

Daniel Javier Servitje Montull

Mr. Daniel Servitje Montull is member of the Board of Directors of Starbucks Corporation., Instituto Mexicano para la Competitividad, A.C., The Global Consumer Goods Forum, The Latin America Conservation Council (The Nature Conservancy) and Aura Solar.

Edmundo Miguel Vallejo Venegas

Mr. Vallejo Venegas is business professor, board member, speaker, author, social developer and former Chairman and CEO of GE Latin America.

Guillermo Lerdo de Tejada Servitje

Mr. Guillermo Lerdo de Tejada Servitje is Managing Partner of a specialized firm in wealth management and investments. He has extensive professional experience in the government sector, having held various executive and legislative responsibilities in Mexico***.***

Jaime Antonio El Koury

Mr. Jaime A. El Koury is Legal Director of the Financial Oversight and Management Board for Puerto Rico, an official body created by the Congress of the United States of America. He holds the position of Alternate Director on the Board of Directors of Fomento Económico Mexicano, S.A.B. de C.V. and is a member of the

Corporate Practices Committee of said company. Additionally, Mr. El Koury serves as Alternate Director and member of the Corporate Practices Committee on the Board of Directors of Coca Cola FEMSA, S.A.B. de C.V. He was previously a partner at Cleary Gottlieb Steen & Hamilton LLP.

Jaime Chico Pardo

Mr. Chico is member of the Advisory Board of BDT Capital & MSD Partners. He previously served on the Boards of Honeywell Intl., AT&T and American Mutual Funds.

Mr. Chico has also been a member of the Board of the University of Chicago Booth since 2012. Previously, he served as chairman of the board of Telmex and Ideal.

Javier de Pedro Espínola

Mr. De Pedro Espínola has been for the past 30 years member and shareholder of various private companies in industries such as manufacturing and sale of school supplies, mattresses, cushioning materials and real estate. He also sits on the boards of various charitable institutions including the Fundación José T. Mata, A.C.

Jordi Mariscal Servitje

Mr. Jordi Mariscal Servitje is the founder of the film production company La Casa de Cine. Additionally, he has worked as a Director and Producer of films and documentaries.

José Ignacio Pérez Lizaur

Mr. Pérez Lizaur was until 2016 a member of the Board of Newell Brands in the USA (member of the Audit and Compensation Committees) and the Central American Bottling Corporation (CBC) in Central America and the Caribbean (Chairman of the Audit Committee). He was also member of the Board of Walmex.

Currently, he dedicates part of his time to various forms of participation in nonprofit organizations.

José Roberto Quiroz Mata

Mr. José Roberto Quiroz Mata has over 10 years of experience in brand development, marketing, and managing social media accounts. Currently, he serves as the Director of Property Management at Vander Getaways.

Juana Francisca de Chantal Llano Cadavid

Mrs. Llano Cadavid is the Chairwoman of the Board of Directors of Grupo Argos. Additionally, she has a long-standing career at Suramericana, where she has held various positions, and since 2020 she has served as President.

Lorenzo Sendra Creixell

Mr. Lorenzo Sendra held various positions within Grupo Bimbo for over 17 years working both in the United States and South America. He is currently the President for more than 8 years of Accesorios DESA, a company that sells accessories and parts for motorcycles, as well as Motoacces and Fussen, businesses that sell motorcycles of the Suzuki and BMW brands.

Luis Jorba Servitje

Mr. Jorba Servitje is Chief Executive Officer of Frialsa Frigoríficos, leaders in logistics services company in Latin America, with presence in Mexico and Peru.

Mr. Jorba Servitje cousin of Daniel Javier Servitje Montull.

María del Pilar Mariscal Servitje

Ms. Mariscal Servitje has a long career in the business sector and non-profit organizations. She currently holds the position of General Director of the Fundación León XIII, IAP.

María Egenia Casar Pérez.

Mrs. Maria Eugenia Casar is a member of the Boards of Directors of Ethan Allen (serving on the Audit Committee) and Save the Children Mexico (serving on the Governance and Talent Committee). She also served on the Advisory Board of Sigma Alimentos.

Mrs. Casar worked for over 10 years at the United Nations (UN), holding various positions related to the organization's budget and finances. These include Chief Financial Officer of the United Nations, Representative of the Secretary-General for Investments of the United Nations Pension Fund, Deputy Secretary-General of the United Nations Development Programme, and Deputy Executive Director of the World Food Programme, based in Rome.

In Mexico, Mrs. Casar has served as the Executive Director of the Mexican Agency for International Development Cooperation (AMEXCID), Treasurer of the Federation, Chief Financial Officer of the National Savings Bank and Financial Services (BANSEFI), and in other positions within the Ministry of Finance and Public Credit and the National Banking and Securities Commission (CNBV).

She holds a Bachelor's degree in Public Accounting and a Master's degree in Business Administration, both from ITAM, where she also taught and served as Director of the Academic Division of Administration and Accounting. Mrs. Casar is the author of several publications related to development financing.

Maria Luisa Jorda Castro

Mrs. Jorda Castro is a member of the Board of Directors of Merlin Properties, serving as Chairwoman of the Nomination and Remuneration Committee and as a Member of the Audit Committee. She is also a member of the Board of Grupo BANKINTER (Financial Entity), serving as Chairwoman of the Risk and Compliance Committee, as well as a Member of the Audit Committee, the Executive Committee, and the Sustainability and Nomination Committee (previously serving as Chairwoman of the Audit Committee). Additionally, she is the Chairwoman of the Technical Advisory Committee of the Institute of Internal Auditors of Spain and a professor in the Board Program at ESADE Business School.

She has been a member of the Board and a member of the Audit and Control Committee of Tubos Reunidos, S.A., a member of the Board of the European Bank of Finance (Unicaja Group), serving as Chairwoman of its Audit Committee, and she was a member of the Board of Jazztel and Chairwoman of the Audit Committee. Mrs. Jorda Castro has also served as a Director of Orange España, a member of its Audit Committee, and a member of the Governing Board and the Audit Committee of the Institute of Directors and Managers (ICA).

Ms. Jorda Castro has held several executive positions in more than her 30-year career path, in various Management Committee´s, Investment and Audit Committees, among which the following stand out: CFO of Grupo Deoleo, Internal Audit Director and Compliance Director of Metrovacesa, CFO at the Corporación Empresarial ONCE, as well as others in the Real Estate and Food sectors.

Mireya Jorba Aliacar

Ms. Mireya Jorba Aliacar has worked in the Strategic Planning Department of Grupo Financiero Interacciones, as well as in the Global Treasury Directorate of Grupo Bimbo. She holds a Bachelor's degree

in Business Administration and Economics from Southern Methodist University and has a Diploma in Corporate Finance from ITAM.

Raúl Ignacio Obregón Servitje

Mr. Raúl Ignacio Obregón Servitje has served as the Global Director of Information and Transformation since April 2017. He joined Grupo Bimbo in 2002 and has held various positions since then, including General Director of Bimbo Latín Sur, Corporate Sales Director, Director of Key Accounts for Bimbo México, General Manager of Bimbo Perú, and has also worked at Bimbo Bakeries USA. Prior to joining Bimbo, Mr. Obregón Servitje worked at Citibank México. He holds a degree in Industrial Engineering from Universidad Iberoamericana, an MBA from Boston University, and has completed specialized courses at Harvard Business School.

Rogelio Miguel Rebolledo Rojas

Mr. Rebolledo Rojas holds a degree in Chemical Engineering from UNAM and an MBA from the University of Iowa. Previously, he served on the Boards of Pepsi Bottling Group, Kellogg, Clorox, Best Buy, and Applebee's in the United States, and Alfa and Jose Cuervo Internacional in Mexico. Over 30 years, he held various key positions at PepsiCo, primarily in the international food division, where he was responsible for its expansion in Latin America, Asia, and Australia, eventually becoming the CEO of Frito Lay International. Upon retiring from Frito Lay International in 2000, he served as CEO and President of PBG in Mexico until 2004.

Luis Miguel Briola Clément

Mr. Briola Clément joined Grupo Bimbo in 2004 and serves as the General Counsel and Compliance Officer, and Secretary of the Board of Directors at Grupo Bimbo since April 2005.

Mr. Briola holds a law degree from the Escuela Libre de Derecho in 1994, a Diploma in Finance from Universidad Iberoamericana in Mexico City in1995, and an LL.M. degree from Columbia University in New York City in 1997.

Before becoming an officer of Grupo Bimbo, he practiced law as a partner of Briola & Asociados, S.C. and as an associate of White & Case, S.C. in México City and as foreign associate of Cleary, Gottlieb, Steen & Hamilton, LLP. in New York City.

Norma Isaura Castañeda Méndez

Mrs. Castaneda Méndez joined Grupo Bimbo in 2007, she is the Global Intellectual Property Manager and the alternative Secretary of the Board at Grupo Bimbo.

Mrs. Castaneda holds a Law degree and a specialization certificate in Administrative Law from Universidad Panamericana and a Master of Laws from Duke University School of Law.

Before joining Grupo Bimbo, she practiced law at Von Wobeser y Sierra, S.C. and as foreign associate at Cleary, Gottlieb, Steen & Hamilton, LLP and Skadden, Arps, Slate, Meagher & Flom LLP in New York City.

In the ordinary course of business, the Company has executed transactions with some of the companies, in which the members of its Board of Directors work or in which its key officers worked. Such transactions have been carried out on an arms-length basis and the Company considers that none of them is relevant.

Competency Matrix of Grupo Bimbo's Board Members

GRUPO BIMBO BOARD MEMBERS COMPETENCY MATRIX

General Information			Daniel Servitje	Edmundo Vallejo	Guillermo Lerdo de Tejada	Jaime El Koury	Jaime Chico	Javier De Pedro	Jordi Mariscal	José I. Pérez	José R. Quiroz	Juana de Chantal	Lorenzo Sendra	Luis Jorba	M. Pilar Mariscal	M. Eugenia Casar	M. Luisa Jorda	Mireya Jorba	Raúl Obregón	Rogelio Rebolledo
Gender	Men **72%**	Women **28%**	M	M	M	M	M	M	M	M	M	W	M	M	W	W	W	W	M	M
Nationality	🇲🇽 **83%**	Other **17%**	🇲🇽	🇲🇽	🇲🇽	🇺🇸	🇲🇽	🇲🇽	🇲🇽	🇲🇽	🇲🇽	🇨🇴	🇲🇽	🇲🇽	🇲🇽	🇲🇽	🇪🇸	🇲🇽	🇲🇽	🇲🇽
Independence	Yes **39%**	No **61%**	No	Yes	No	Yes	No	No	No	Yes	No	Yes	No	No	No	Yes	Yes	No	No	Yes
Age	58 years on average		65	66	39	70	74	60	52	72	35	44	50	65	54	64	60	43	51	79
Years on the Board	7 years on average		30	12	0	7	10	13	0	13	0	0	0	17	2	0	8	0	0	6

COMPETENCY MATRIX	BOARD MEMBERS							COLLECTIVE EXPERIENCE
GRUPO BIMBO'S COMMITTEES (P: PRESIDENT)								
Audit and Corporate Practices	Edmundo Vallejo (P)	Jaime El Koury	Juana de Chantal	M. Eugenia Casar	M. Luisa Jorda			28%
Evaluation, Compensation, and Nominations	Edmundo Vallejo	Javier de Pedro	José I. Pérez	Luis Jorba (P)	M. Luisa Jorda			28%
Finance and Planning	Andrés Obregón Rogelio Rebolledo (P)	Daniel Servitje	Jaime Chico	Javier de Pedro	José I. Pérez	Luis Jorba	M. Pilar Mariscal	44%
OTHER BOARDS								
Experience in other boards of publicly listed companies	Daniel Servitje Rogelio Rebolledo	Jaime El Koury	Jaime Chico	José I. Pérez	Juana de Chantal	M. Eugenia Casar	M. Luisa Jorda	83%
Currently sitting in another board of a publicly listed company	Daniel Servitje	Jaime El Koury	Juana de Chantal	M. Eugenia Casar	M. Luisa Jorda			72%
MANAGEMENT EXPERIENCE								
C-suite Business Management in a global company / Corporate	Daniel Servitje M. Luisa Jorda	Edmundo Vallejo Raúl Obregón	Jaime Chico Rogelio Rebolledo	José I. Pérez	Juana de Chantal	Luis Jorba	M. Eugenia Casar	56%
C-suite Business Management in a venture	Javier de Pedro	José I. Pérez	José R. Quiroz	Lorenzo Sendra				22%
Managing director in a global company / Corporate	Javier de Pedro	José I. Pérez	Lorenzo Sendra	M. Eugenia Casar	M. Luisa Jorda	Raúl Obregón		33%
Managing Director in a venture	Javier de Pedro	Jordi Mariscal	José R. Quiroz	Lorenzo Sendra	M. Pilar Mariscal			28%
Senior positions in Government and Public Affairs	Guillermo Lerdo	Jaime El Koury	M. Eugenia Casar					17%

COMPETENCY MATRIX	BOARD MEMBERS							COLLECTIVE EXPERIENCE
INDUSTRY EXPERIENCE OR KNOWLEDGE								
Food and Beverages	Daniel Servitje Raúl Obregón	Javier de Pedro Rogelio Rebolledo	José R. Quiroz	Lorenzo Sendra	Luis Jorba	M. Eugenia Casar	M. Luisa Jorda	50%
Technology/Digital	Jaime Chico	José R. Quiroz	M. Luisa Jorda	Raúl Obregón				22%
Banking and Finance	Jaime Chico	Javier de Pedro	Juana de Chantal	M. Eugenia Casar	M. Luisa Jorda	Raúl Obregón		33%
Energy	Jaime Chico							6%
Retail	Javier de Pedro	José I. Pérez	José R. Quiroz	M. Eugenia Casar	M. Luisa Jorda			28%
Agroindustrial	Luis Jorba	M. Luisa Jorda						11%
Others	Edmundo Vallejo M. Luisa Jorda	Guillermo Lerdo	Javier de Pedro	Jordi Mariscal	Juana de Chantal	M. Pilar Mariscal	M. Eugenia Casar	44%
INTERNATIONAL EXPERIENCE								
North America	Daniel Servitje Lorenzo Sendra	Edmundo Vallejo M. Eugenia Casar	Jaime El Koury M. Luisa Jorda	Jaime Chico Raúl Obregón	Javier de Pedro Rogelio Rebolledo	José I. Pérez	José R. Quiroz	67%
Central / South America	Daniel Servitje M. Pilar Mariscal	Edmundo Vallejo M. Eugenia Casar	Jaime El Koury M. Luisa Jorda	Jaime Chico Raúl Obregón	José I. Pérez Rogelio Rebolledo	Juana de Chantal	Lorenzo Sendra	67%
Europe	Daniel Servitje	Jaime Chico	Jordi Mariscal	M. Luisa Jorda	Rogelio Rebolledo			28%
Asia	Daniel Servitje	José I. Pérez	M. Eugenia Casar	M. Luisa Jorda				22%
TECHNICAL SKILLS OR EXPERIENCE								
Finance	Jaime el Koury	Jaime Chico	Javier de Pedro	José R. Quiroz	M. Eugenia Casar	M. Luisa Jorda	Mireya Jorba	39%
Legal (legal / fiscal)	Guillermo Lerdo	Jaime El Koury	M. Luisa Jorda					17%
Strategic Planning	Daniel Servitje Luis Jorba	Guillermo Lerdo M. Eugenia Casar	Jaime Chico M. Luisa Jorda	Javier de Pedro Mireya Jorba	José R. Quiroz Raúl Obregón	Juana de Chantal Rogelio Rebolledo	Lorenzo Sendra	72%
Brand Development / Marketing and Sales	Daniel Servitje Rogelio Rebolledo	Edmundo Vallejo	Javier de Pedro	José I. Pérez	José R. Quiroz	Juana de Chantal	Lorenzo Sendra	44%

COMPETENCY MATRIX	BOARD MEMBERS							COLLECTIVE EXPERIENCE
TECHNICAL SKILLS OR EXPERIENCE								
Information Technologies and Cybersecurity	M. Luisa Jorda	Raúl Obregón						11%
Audit, Risk Management and/or Internal Control	Javier de Pedro	Juana de Chantal	M. Eugenia Casar	M. Luisa Jorda				22%
Human Resources and/or Compensation	Javier de Pedro	José I. Pérez	José R. Quiroz	Luis Jorba	M. Eugenia Casar	M. Luisa Jorda		33%
Industrial, Operations, Logistics, and/or Manufacturing	Jaime Chico	Javier de Pedro	José I. Pérez	José R. Quiroz	Luis Jorba	Raúl Obregón	Rogelio Rebolledo	39%
Operaciones Corporativas (Fusiones y Adquisiciones)	Guillermo Lerdo	Jaime El Koury	Jaime Chico	Javier de Pedro	José R. Quiroz	Luis Jorba	M. Luisa Jorda	39%
Others	Edmundo Vallejo	Jordi Mariscal						11%
CORPORATE GOVERNANCE								
Development of Strategies, Plans, and Policies	Daniel Servitje Juana de Chantal	Edmundo Vallejo Lorenzo Sendra	Guillermo Lerdo Luis Jorba	Jaime El Koury M. Luisa Jorda	Jaime Chico Raúl Obregón	Javier de Pedro Rogelio Rebolledo	José I. Pérez	72%
Development of Codes of Ethics and Standards of Coduct	Guillermo Lerdo	Jaime El Koury	Javier de Pedro	José I. Pérez	José R. Quiroz	M. Luisa Jorda	Raúl Obregón	39%
Supervision of Senior Management in the fulfillment of their duties	Daniel Servitje Lorenzo Sendra	Edmundo Vallejo M. Luisa Jorda	Jaime El Koury Rogelio Rebolledo	Jaime Chico	Javier de Pedro	José I. Pérez	José R. Quiroz	56%
Experience in Organizational Culture and Talent topics	Daniel Servitje	Edmundo Vallejo	Jaime el Koury	José I. Pérez	José R. Quiroz	M. Eugenia Casar		33%
Experience in the Control and Management of Corporate Governance Risks	Guillermo Lerdo	Jaime el Koury	Jaime Chico	Javier de Pedro	José I. Pérez	M. Luisa Jorda	Rogelio Rebolledo	39%
Monitoring and Periodic Review of Results	Daniel Servitje M. Eugenia Casar	Jaime el Koury M. Luisa Jorda	Javier de Pedro Rogelio Rebolledo	José I. Pérez	José R. Quiroz	Lorenzo Sendra	Luis Jorba	56%
Experience in Companies that are Traded, Regulated, and with Corporate Governance	Daniel Servitje	Jaime el Koury	Jaime Chico	Javier de Pedro	José I. Pérez	Juana de Chantal	M. Luisa Jorda	39%

COMPETENCY MATRIX	BOARD MEMBERS							COLLECTIVE EXPERIENCE
CORPORATE COMPLIANCE								
Anticorruption	Jaime El Koury	M. Luisa Jorda	Rogelio Rebolledo					17%
Money Laundering	Javier de Pedro	M. Luisa Jorda						11%
Data Protection	Jaime Chico	Javier de Pedro	M. Luisa Jorda					17%
Regulatory Compliance	Guillermo Lerdo Rogelio Rebolledo	Jaime El Koury	Jaime Chico	Javier de Pedro	M. Eugenia Casar	M. Luisa Jorda	Raúl Obregón	46%
ENVIRONMENTAL / SUSTAINABLE								
Climate Change	Daniel Servitje	Jordi Mariscal	José R. Quiroz	Juana de Chantal	M. Luisa Jorda	Raúl Obregón		33%
Renewable Energy	Daniel Servitje	Jaime Chico	Jordi Mariscal	Luis Jorba				22%
Agricultural/Food Security	Daniel Servitje	José I. Pérez	Luis Jorba	Raúl Obregón	Rogelio Rebolledo			28%
Circular Economy, Waste Reduction, Sustainable Packaging	Jordi Mariscal	José I. Pérez						11%
Water Consumption Reduction	Jordi Mariscal	Luis Jorba						11%
Biodiversity	Daniel Servitje	Jordi Mariscal						11%
Sustainable Sourcing of Raw Materials	Javier de Pedro	José I. Pérez	Rogelio Rebolledo					17%
International Standards (eg. GRI, environmental)	M. Eugenia Casar	M. Luisa Jorda	Rogelio Rebolledo					17%
Nutritional Standards and Policies	Jaime Chico	Rogelio Rebolledo						11%
SOCIAL								
Human Rights and Labor Standards	Guillermo Lerdo	Javier de Pedro	Luis Jorba					17%
Diversity, Equity, and Belonging	Jaime Chico M. Luisa Jorda	Javier de Pedro Raúl Obregón	José I. Pérez Rogelio Rebolledo	José R. Quiroz	Juana de Chantal	M. Pilar Mariscal	M. Eugenia Casar	56%
Social Impact or Volunteering Projects	Edmundo Vallejo	Guillermo Lerdo	Jaime Chico	José I. Pérez	Juana de Chantal	M. Eugenia Casar		33%
Occupational Safety and Well-being	Daniel Servitje	Javier de Pedro	José R. Quiroz	M. Luisa Jorda	Rogelio Rebolledo			28%
Talent Management	Daniel Servitje M. Luisa Jorda	Edmundo Vallejo Raúl Obregón	Javier de Pedro Rogelio Rebolledo	José I. Pérez	José R. Quiroz	Juana de Chantal	Luis Jorba	56%
Compensation	Daniel Servitje	Javier de Pedro	José I. Pérez	Luis Jorba	M. Luisa Jorda	Rogelio Rebolledo		33%

1.1) Board of Directors' Powers

The Board of Directors establishes guidelines and general strategies to conduct the business and supervises its fulfillment accordingly.

The Board of Directors is the Company's legal representative, and has the broadest powers for the administration of the Company's businesses, with general power of attorney for lawsuits and collections, administrate properties and to exercise acts of ownership, without any limitation, in order to appoint and remove the chief executive officer, executives, managers, officers and attorneys-in-fact, and to determine their attributions, working conditions, compensations and guaranties and, in particular, to grant powers and faculties to managers, officers, lawyers and any other people in charge of the Company's labor relationship, to formulate internal work regulations, to call Shareholder Meetings and to execute their resolutions, appoint and remove external auditors and, in general, to carry out all acts and operations that correspond to them according to the laws and in accordance with the provisions of the by-laws.

The Company's Board of Directors also has the power to approve any transfer of the Company's shares, when such transfer represents more than 3% of the voting shares in one or more transactions.

Similarly, the Board of Directors of the Company has the authority to increase the company's share capital and determine the terms of share subscription, including the exclusion of the preemptive subscription right regarding share issuances subject to delegation.

Likewise, for the performance of its duties, the Board of Directors shall be aided by an Audit & Corporate Practices Committee, a Evaluation, Compensation and Nominations Committee and a Finance & Planning Committee, whose duties and integration are described herein below. See Section “4. GOVERNANCE – c) Administration and Shareholders”.

1.2) Board of Directors’ Resolutions

Each director is entitled to one vote at any meeting of the Board of Directors. Meetings of the Board of Directors are legally convened when at least the majority of the members are present. Resolutions at Board of Directors' meetings are valid when approved by the majority of directors present at the meeting. The Chairman of the Board of Directors has a deciding vote in the event of a draw. The resolutions taken outside a meeting of the Board of Directors, by unanimous vote, will be for all legal purposes as valid as if they had been adopted at the meeting of the Board of Directors, provided that they are confirmed in writing.

Pursuant to the Mexican Securities Market Law, any director who has a conflict of interest to vote in any transaction must disclose such fact to the Chairman and the Secretary of the Board of Directors and should abstain from voting on such transaction. Any director who violates this provision will be liable to the Company for any resulting damages or losses.

In addition, directors must keep confidential all acts, facts or events that have not been disclosed to the public generally, and must keep confidential any discussions held at each meeting.

1.3) Committees of the Board of Directors

The Board of Directors in order to perform its duties has the support of the following committees, which assist the Board of Directors in the administration of the Company.

2) Audit and Corporate Practices Committee

In accordance with the Mexican Securities Market Law and the Bylaws, the Company has an Audit & Corporate Practices Committee, comprised of at least three members who must all be independent, including its chairman. The chairman of the Audit and Corporate Practices Committee shall be appointed and/or removed from his position, exclusively, by the General Ordinary Shareholders´ Meeting and shall not be able to be the chairman of the Board of Directors. This Committee performs the audit activities, as well as those corporate practices activities established by the Securities Market Law, the Bylaws, and as determined by the Board of Directors.

On February 15, 2024, during the Board of Directors meeting, the resignation of Mr. Arturo Manuel Fernández Pérez as a member of the Committee was accepted, and the appointment of Ms. María Eugenia Casar Pérez as a member of the Audit and Corporate Practices Committee was approved. Additionally, Mr. Edmundo Miguel Vallejo Venegas, was ratified serving as the President of the Committee, and Mr. Jaime Antonio El Koury, Ms. María Luisa Jorda Castro, and Ms. Juana Francisca de Chantal Llano Cadavid were ratified as members of the Audit and Corporate Practices Committee. All members of the Audit and Corporate Practices Committee are independent in accordance with the LMV.

The main duties of the Audit & Corporate Practices Committee include to (i) supervise and assess the external auditors, as well as all the reports issued by them (including their opinion with respect to the financial statements), (ii) review and supervise the preparation of the financial statements for their approval by the Board of Directors, (iii) inform the Board of Directors of the status of the internal controls and procedures and the internal audit function of the Company, including irregularities that, where appropriate, it detects, (iv) supervise and draft opinions required under the Mexican Securities Market Law with respect to transactions with related parties and transactions representing 20% or more of the consolidated assets,

(v) draft the opinions and request the directors and independent experts to prepare the reports required under the Mexican Securities Market Law, (vi) research and to inform the Board of Directors of any significant finding out of the ordinary course of business, (vii) review and analyze recommendations for improvements by the Shareholders, members of the Board of Directos, executive officers or third parties and take the corresponding actions to perform such recommendations, (viii) call for shareholders' meetings, (ix) supervise the performance of the instructions issued by the Board of Directors and shareholders to the chief executive officer, (x) supervise the mechanisms and internal controls performance that allow the controlled companies operations to comply with the applicable laws, (xi) such other responsibilities provided for in the Bylaws and the Mexican Securities Market Law.

The Audit and Corporate Practices Committee may meet at any time. The meetings of this committee are regarded as legally convened when the majority of its members are present and its resolutions will be valid when approved by a majority of the present members at the meeting. The Chairman of the Audit and Corporate Practices Committee has a deciding vote in the event of a draw.

Based on the professional profiles of the members of the Audit & Corporate Practices Committee, the Company considers that such members may be deemed financial experts.

The Chairman of the Audit & Corporate Practices Committee must prepare an annual report on the activities corresponding to the committee and submit it for the approval of the Board of Directors.

3) Evaluation, Compensation and Nominations Committee

The Evaluation and Results Committee, which is comprised of members of the Board of Directors who are appointed by the Board of Directors or the Shareholders´ Meeting.

On February 15, 2024, the members of the Committee were ratified, who are Mr. Luis Jorba Servitje, serving as the President of the Committee, José Ignacio Pérez Lizaur, Edmundo Miguel Vallejo Venegas, Javier de Pedro Espínola, and Ms. María Luisa Jorda Castro, appointed by the Board of Directors, as members of the Evaluation, Compensation, and Nominations Committee.

The Evaluation, Compensation and Nominations Committee is in charge of (i) analyzing and approving the general compensation structure for the executive officers and associates, and the general compensation policies, which include policies for increasing, decreasing and changing in general and individual compensation, except for the compensation of the Chief Executive Officer and other senior executive officers which is determined by the Board of Directors with the opinion of the Audit & Corporate Practices Committee, (ii) evaluating the results of operations of the Company and their impact on the compensation of the executive officers and associates, (iii) analyzing and revising the salary levels applicable to the executive officers and associates, including annual compensation plans and promotions and criteria for pension plans, (iv) requesting the opinion of an independent expert, if necessary, to appropriately comply with its duties, (v) requesting the executive officers and associates to prepare and provide the committee with the reports required to comply with its duties, (vi) acting as a consultation body for the Board of Directors in all aspects related to the associates, and (vii) coordinating all the activities related to other committees, as the case may be, and more recently, by means of the board meeting held on February 16, 2022, its functions were expanded to (viii) to define and update the criteria and guidelines to be met by candidates for the Board of Directors, (ix) to identify and evaluate candidates for new members of the Board of Directors; and (ix) to identify and evaluate candidates for new members of the Board of Directors; and, to present to the Board of Directors the nominees for the election of new directors each year at the Shareholders' Meeting.

The Committee also works as advisory and evaluation body for the possible candidates for the Board of Directors, proposed by the shareholders or directors.

Based on the professional profiles of the members of the Evaluation, Compensation and Nominations Committee, the Company considers that several of its members may be deemed financial experts.

4) Finance and Planning Committee

The Finance and Planning Committee is comprised of members of the Board of Directors, who are appointed by the Board of Directors or by the Shareholders' Meeting.

The Finance & Planning Committee is in charge of analyzing and presenting for the approval of the Board of Directors, the long-term strategies, and the investment and risk management policies.

The Finance & Planning Committee has the following powers: (a) to analyze and submit to the Board of Directors' approval, the evaluation of the long-term and budget strategies, as well as the Company's main investment and finance policies; (b) by the Board of Directors' express delegation, it may approve: (i) transactions which imply the acquisition or conveyance of properties with a value equal to, or lower than, three percent of the Company's consolidated assets; (ii) the granting of guaranties or the assumption of liabilities in an amount equal to, or less than, three percent of the Company's consolidated assets; (iii) investments in debt securities or in banking instruments, exceeding three percent of the Company's consolidated assets; provided, however, that these are made in conformity with the policies approved to that effect by the Board; c) to propose and, as the case may be, evaluate and periodically review policies for the performance of the Company's and its subsidiaries' treasury; d) request an opinion from independent experts in the cases it deems necessary, for the appropriate performance of its duties; e) to request from the Company's or its subsidiaries´ relevant executive officers and other associates, reports regarding the preparation of the financial information and of any other kind deemed necessary for the performance of its duties; f) to act as a consultation body for the Board of Directors in everything pertaining to the above mentioned duties, including financial matters, as well as in connection with the review and recommendation of investment projects and/or diversification of the Company and its subsidiaries, observing their congruence and profitability. Likewise, it shall coordinate activities related to the Company's other committees, when so required.

On February 15, 2024, during the Board of Directors meeting, the members of the Finance and Planning Committee were ratified. These members are Mr. Rogelio Miguel Rebolledo Rojas, who serves as the President of the Committee, Andrés Obregón Servitje, Jaime Chico Pardo, Javier de Pedro Espínola, Luis Jorba Servitje, José Ignacio Pérez Lizaur, María del Pilar Mariscal Servitje, and Daniel Javier Servitje Montull.

Based on the professional profiles of the members of the Finance & Planning Committee, the Company considers that several of its members may be deemed financial experts.

a. Self-assessment of the Board of Directors and other management bodies

Starting in 2017, Directors and their Committees implemented a self-assessment regarding Board and Committee performance as collegiate bodies in order to maintain Bimbo at the forefront of best corporate governance practices on a global level, as well as in the search for improvements and value creation for the Company, which will have an impact on the business results.

The benefits of the Board and Committees' self-assessment:

1. Transparency and continuous improvement regarding the tasks of the Directors and Committees.
2. Improve the Board's knowledge and understanding regarding the perspective that stakeholders have in the strategy and governance of the company.
3. Identify Governance processes in order to strengthen the experience of the Board, communications and meetings.
4. Strengthen the alignment between Grupo Bimbo's mission and vision, facilitating the prioritization of certain matters.

The matters in which the self-assessment focuses are: structure, composition, agenda development, responsibilities, tasks and duties, effectiveness (if such information has added value), communication, relationship with management, the long-term shareholders, reporting and follow up.

The self-assessment will take place annually in March starting in 2017, and may be updated as a result of global trends and results of previous self-assessments.

b. Code of Ethics and Compliance

Grupo Bimbo relies on self-regulated measures that govern its business practices. Its Code of Ethics covers general aspects such as policies for its interaction with society, government and competitors, as well as its associates, suppliers, consumers, customers, board members, partners and shareholders.

In 2013, the Group created an Ethics & Regulatory Compliance Committee, a collegiate body in charge of monitoring the compliance of Global Integrity Policy, This committee is comprised of the Chief Financial Officer, Global Audit VP, Global HR & Corporate Affairs VP, Global Transformation VP, General Counsel & Compliance VP and the Global Controller, who are in charge of implementing, monitoring, and enforcing the compliance program at Grupo Bimbo.

During 2014 the Board of Directors approved the Global Integrity Policy of Grupo Bimbo, updated for the last time on January 2021, which are binding to all board members, executives, associates, third party intermediaries and third parties of the Group, who are instructed in the same periodicity and who are monitored regarding their compliance; this includes guidelines based on best practices and international standards on integrity and anti-corruption laws to ensure that individuals and entities acting on behalf of the Group do so with integrity and in compliance with the law; likewise it establishes a Code of Conduct for Suppliers is designed to ensure that parties who have business with Grupo Bimbo act with integrity and comply with the policies and the applicable laws.

The Ethics Compliance Committee is responsible for promoting the beliefes included in the Code of Ethics and its Global Integrity Policy, receive the accounting and strengthening compliance with the regulatory framework of the countries in which Grupo Bimbo operates, and to decide any disciplinary situation related to the lack of integrity. The Global Compliance Department is in charge of (i) developing and recommending policies and guidelines for the appropriate compliance with applicable law, (ii) reviewing and recommending improvements to the internal controls and procedures, (iii) checking internal audit programs and legal compliance enformcement programs, (iv) instructing and performing internal and external research, and (v) analyze anonymous complaints made by associates and third parties.

Additionally, the Global Compliance Department monitors anonymous claims made to the internal hotline by associates or third parties, which is accessed by e-mail: comenta@grupobimbo.com.

The main compliance issues that are overseen by the Ethics Committee are: anti-corruption, restricted party transactions, money laundering, economic competition and data protection.

Grupo Bimbo has a Economic Competition Policy, which will strengthen internal practices and procedures in order to ensure a fair and competitive market. It also has policies applicable to transactions with related parties, a policy for the use of assets owned by the Group and a conflict of interest policy.

In 2015, the Board of Directors also approved the guidelines, policies and control mechanisms for the trading of securities made by the directors, officers and associates of Grupo Bimbo that have privileged and confidential information according to LMV.

c. Key Executive Officers

The following table shows the names of the Group's key executive officers as of the date of this Annual Report, their current position and their seniority in the Company. The CEO of the Group is appointed by the Board of Directors and maintains its position at the discretion of said board.

Name	Position	Age	Years with the Group*	Gender**

Rafael Pamias Romero**	Chief Executive Officer	60	6	Male
Diego Gaxiola Cuevas	Chief Global Financial Officer	52	6	Male
Juan Muldoon Barrena	Chief People Officer	64	13	Male
Raúl Ignacio Obregón Servitje	Executive Vice President	51	23	Male
Fernando Lerdo de Tejada Servitje	Executive Vice President	43	15	Male
Mark Bendix	Executive Vice President	62	11	Male
José Manuel González Guzmán	President of Bimbo Mexico	58	32	Male
Tony Gavin	President of Bimbo Bakeries USA	64	41	Male
Alejandro Rodríguez Bas	President of Barcel Global	57	2	Male
Jorge Guillermo Zárate Lupercio	Chief Supply Chain Officer	58	37	Male

*As of April 30, 2024
**Effective organizational structurefrom May 1, 2024
***100% of the key officers of the Company are men.

Rafael Pamias Romero

Rafael Pamias Romero holds a Bachelor's and Master's degree in Business Administration from ESADE in Barcelona. He also holds a Master's degree in International Management from the Thunderbird School of Global Management in Arizona.

With over 35 years of experience in corporate strategy and marketing, Rafael has worked for multinational companies such as Henkel, Danone, and Grupo Bimbo.

From 2002 to 2007, Rafael served as General Manager of Aguas, first in Mexico and later in Spain. He then held the position of Vice President for the Europe, Africa, and Middle East region for Aguas from 2007 to 2009, Vice President for the LATAM region for Aguas from 2009 to 2011, and Vice President for Dairy Products from 2011 to 2017.

He currently serves as Chief Executive Officer of Grupo Bimbo, and previously served as Chief Operating Officer (COO) and Chief Sustainability Officer (CSO), where he oversaw several regions, including Bimbo Mexico, North America, Latin America, EMEA and Asia. In addition, he held key roles as Global Food Safety and Quality Leader and Global Marketing Leader.

Diego Gaxiola Cuevas

Mr. Gaxiola Cuevas has served as Chief Financial Officer of Grupo Bimbo since August 2017. Mr. Gaxiola Cuevas has more than 20 years of experience in similar positions, including, most recently, having served as Chief Financial Officer of Alsea, a leading operator of quick service restaurants, coffee shops, and casual dining establishments in Latin America and Spain. Before Alsea, Mr. Gaxiola Cuevas worked for Grupo Desc. S.A.B. de C.V. in corporate finance and in Grupo Televisa, S.A.B. de C.V. he had various positions in finance. Mr. Gaxiola Cuevas holds a master’s degree in finance from Universidad Anahuac and a bachelor’s degree in business administration from Newport University and Universidad Iberoamericana.

Juan Muldoon Barrena

Mr. Juan Muldoon Barrena has been the Global Director of People at Grupo Bimbo since 2019. Mr. Muldoon holds a Bachelor's degree in Business Administration from Universidad Iberoamericana, a diploma in

Finance from Southern Methodist University, and a diploma in Senior Management from Universidad Adolfo Ibáñez in Santiago, Chile.

His professional experience includes various roles at Grupo Bimbo in the areas of marketing, exports, and general management in Chile, Central America, and the United States. He served as the talent director at BBU since 2011 and was the Global Talent Director from 2015 to 2019, during which he designed and implemented tools for attracting, developing, and managing human talent.

Raúl Ignacio Obregón Servitje

Mr. Raúl Ignacio Obregón Servitje currently holds the position of Deputy CEO for the Europe, Asia, and Africa regions at Grupo Bimbo, as well as the role of Global Director of Information and Transformation. He joined Grupo Bimbo in 2002 and has since held various positions within the company, including General Director of Bimbo Latin South, Corporate Sales Director, Director of Key Accounts for Bimbo Mexico, General Manager of Bimbo Peru, and has also worked at Bimbo Bakeries USA. Prior to joining Bimbo, Mr. Obregón Servitje worked at Citibank Mexico. He holds a degree in Industrial Engineering from Universidad Iberoamericana, an MBA from Boston University, and has completed specialized courses at Harvard Business School. Currently, he is a member of the Customer Advisory Board of NTT Data North America.

Fernando Lerdo De Tejada Servitje

Mr. Lerdo de Tejada Servitje serves as Executive Vice President of Grupo Bimbo for the Latin America region and the business unit El Globo. He has more than 15 years of experience in the food, retail, and consumer goods industries. Mr. Lerdo de Tejada Servitje has held senior management responsibilities in Grupo Bimbio in the United States, South America, and Europe, as CEO of Bimbo Iberia in Grupo Bimbo and, most recently, CEO of Ricolino, Grupo Bimbo's confectionery business. He has an MBA from Harvard Business School and a BA from Universidad Iberoamericana.

Mark Bendix

Mr. Mark Bendix serves as Deputy General Manager of Grupo Bimbo for the North America region and the Bimbo QSR business. Previously, Mr. Bendix was General Manager of Bimbo QSR, formerly East Balt Bakeries; after a successful financial turnaround at East Balt, Mr. Bendix led the sale of the company to Grupo Bimbo. He has extensive leadership experience in the baking industry gained over the years in various executive positions at The Bama Companies, General Mills, The Pillsbury Company, and Quaker Oats.

Mr. Bendix holds a BA from Stonehill College, Massachusetts, where he graduated Magna Cum Laude. He was recently awarded France's highest civil medal. Mr. Bendix was recognized for his significant economic and civil development in France over the past decade with the Medal of Merit of the National Order Chevalier dans from President Emmanuel Macron.

Jose Manuel Gonzalez Guzman

Mr. Gonzalez Guzman holds the position of CEO of Bimbo Mexico. He joined Grupo Bimbo in 1996 and has since had an extensive professional career holding various managerial positions in Sales and Marketing in multiple business units of Grupo Bimbo. Most recently, he was CEO of Bimbo Iberia and later Sales Director of Bimbo Mexico. He holds a Master's degree in Business Administration from IPADE and a Bachelor's degree in Administration and Finance from Universidad Panamericana, as well as various studies in Marketing.

Tony Gavin

Mr. Tony Gavin is the president of Bimbo Bakeries USA. His career encompasses extensive experience in Marketing and brand positioning in the baking industry, advancing through various positions and increasing his responsibilities over the years. In 2003, he became General Manager of Bimbo Bakeries USA and Vice

President in 2014, with commercial responsibilities including Sales Operations, Customers, RGM, and Marketing. Mr. Gavin holds an MBA in Finance and Economics from Fairleigh Dickinson University and a Bachelor's degree in Business Administration.

Alejandro Rodriguez Bas

Mr. Rodriguez Bas serves as Global Director of Barcel and was recently CEO of Barcel USA at Grupo Bimbo and previously CEO of Acosta Sales and Marketing. He was EVP of New Business and Market Development at C&S Wholesale Grocers and also held managerial positions at Grupo Lala. He has extensive professional experience in the salty snacks industry, having been CEO for the Australia and New Zealand region at PepsiCo, President of Central America and the Caribbean, and in various capacities at PepsiCo Foods Mexico. He holds an MBA from Harvard Business School and a degree in Electromechanical and Industrial Engineering from Universidad Panamericana.

Jorge Guillermo Zarate Lupercio

Mr. Zarate is currently Global Director of Operations, Logistics, and Engineering at Grupo Bimbo; since joining the Group in February 1987, he has held various responsibilities such as Plant Superintendent at Bimbo Mexico, Production Manager at Bimbo Northwest, Corporate Operations Manager at Bimbo and Marinela, Corporate Planning Manager, General Manager at Bimbo Argentina, Vice President of Business for Latin America, President of the Asia Organization for Grupo Bimbo based in Beijing, China, and Supply Chain VP for Bimbo Mexico.

He is a Biochemical Engineer from the Monterrey Institute of Technology and Higher Education (ITESM Mexico), attended the Bakery Science and Technology course at the American Institute of Baking International-AIB (USA), attended the Advanced Management Program at the Institute of Higher Business Studies of the Universidad Austral Argentina (IAE), Strategic Marketing course at the Catholic University of Argentina (UCA), and MBA at the School of Business Management of the Argentine University of Enterprises (EDDE), Marketing course at Executive Education Stanford.

Except as disclosed above, there are no potential material conflicts of interest between the duties of key executives and their private interests. Key executives can be contacted at the main corporate offices. See section "1. GENERAL INFORMATION - b) Executive Summary - Company Information".

Except as provided above, there are no potential material conflicts of interest between the duties of key executives and their private interests. Key executives can be contacted at main headquarters of the Company. See section “1. GENERAL INFORMATION - b) Executive Summary - Company Information ”.

d. Compensation

1) Compensation for the directors and members of the Company's Committees is determined by the Annual General Ordinary Assembly. Such compensation, starting from the Annual General Ordinary and Extraordinary Shareholders' Meeting held on April 30, 2024, is as follows: directors receive $155,000.00 MXN (one hundred fifty-five thousand Mexican Pesos 00/100) per session attended in the Mexican Republic and $500,000.00 MXN (five hundred thousand Mexican Pesos 00/100) per session attended abroad. Members of the Audit and Corporate Practices Committee receive $140,000.00 MXN (one hundred forty thousand Mexican Pesos 00/100). Members of the Finance and Planning Committee and members of the Evaluation, Compensation, and Nominations Committee receive $75,000.00 MXN (seventy-five thousand Mexican Pesos 00/100). Company officials who are also directors and/or members of any of the Committees are not entitled to receive any compensation. In 2023, the total amount corresponding to the compensation mentioned in this paragraph amounted to approximately $27,900,000 MXN (twenty-seven million nine hundred thousand Mexican Pesos 00/100).

2) Compensation to the Company's management and other key members of the management for the years ended December 31, 2022, 2021 and 2020, was $796, $596 and $658 million Pesos respectively. Said compensation is determined based on the performance of individuals and market trends and approved by the Board of Directors.

3) Compensation to senior officers is based on the following:

   a) Fixed compensation, based on the hierarchical level and responsibilities of the position they hold.

   b) Variable compensation, based on the result of the individual contribution to the Business Plan, derived from the annual planning, behavior aligned with Grupo Bimbo's beliefs and the associate's functional mastery of the position.

      The Grupo Bimbo Business Plan refers to a document that integrates the business objectives to be achieved during one year, distributed in four dimensions: 1.Profitability; 2.Transformation; 3. Growth; 4. Our People and Reputation. It serves as the basis for creating all the Business Plans of the business units and functional divisions.

      The plans must be executed at every level and in every area of the Company,and should include objectives that are measurable, through concrete indicators and business milestones, including indicators related to ESG (Environmental, Social and Governance), or ESG, for its acronym in English).

   c) Virtual Shares Plan for Directors and Executive Officers, as of 2013, the Virtual Share Plan (known is Spanish as "Plan Acciones Virtuales por VEAB - *Valor Económico Agregado BIMBO*") for executive officers and directive officers is in effect. This plan allocates an annual number of Virtual Shares in accordance with the seniority, salary of the officer and the results obtained by the Business Unit to which it is associated and the average share price of Bimbo in the BMV, in January of the following year. The number of Virtual Shares is paid 30 months after the average share price of Bimbo in the BMV in June through a taxable bonus.

e. Main Shareholders

As of the date of this Annual Report 4,388,575,847 Series "A", ordinary, nominative shares with no par value, representing the capital stock are authorized, and registered in the RNV (National Securities Registry) and have been listed on the BMV (Mexican Stock Exchange) since 1980 under the ticker symbol "BIMBO".

On April 30, 2024, at the Annual and Extraordinary General Ordinary Shareholders' Meeting, the cancellation of 45,091,794 (forty-five million ninety-one thousand seven hundred ninety-four) Series "A" shares held in treasury was approved. Following this cancellation, 0 (zero) shares were recorded in treasury, resulting in the total number of shares in circulation as of April 30, 2023, being 4,388,575,847 (four billion three hundred eighty-eight million five hundred seventy-five thousand eight hundred forty-seven) shares.

The companies mentioned below hold an interest of approximately 70.7% in Grupo Bimbo's capital stock. The following table shows the information regarding the ownership of the main shareholders, in accordance with the Company's Share Registry Book as of April 30, 2024:

Shareholder	Number of Shares of Common Stock	Percentage Ownership of Common Stock
Normaciel, S.A.P.I. de C.V.	1,763,123,500	40.2
Promociones Monser, S. de R.L. de C.V.	550,268,544	12.5

Philae, S.A. de C.V.	232,692,104	5.3
Grupo Valacci, S.A. de C.V.	221,593,708	5.0
Banco Nacional de México, S.A. as trustee	171,869,396	3.9
Marlupag, S.A. de C.V.	161,213,536	3.7
Total	3,100,760,788	70.7

Regarding the above shareholders, Normaciel, S.A. de C.V. holds significant influence.

Moreover, the Company believes that Mr. Daniel Javier Servitje Montull, as Chief Executive Officer and Chairman of the Board of Directors, has significant influence on the management, conduct and execution of the business. Therefore, it could be considered that he has power of command.

To the best knowledge of the Company, no member of the Board of Directors or other key officer of Grupo Bimbo, individually, hold shares representing more than 1% and less than 10% of the outstanding shares of Grupo Bimbo.

f. Description of the labor inclusion policy or program

As of this date, Grupo Bimbo has gender diversity and labour inclusion policies that are aimed to ensure an environment of inclusion, free-harassment and no discrimination in the operations of the Group worldwide. The policies apply to all temporary and permanent associates of Grupo Bimbo, as well as to the interaction with shareholders, customers and suppliers in their relationship with the Company. The Company's Global People Division is in charge of preparing and updating these policies. In general terms, every associate of the Company must (i) reject the discrimination of any person and for any reason, establish and promote an environment of respect, avoiding the use of inappropriate, discriminatory, sexist or disqualifying language, (ii) avoid at all times discrimination in access to employment, working conditions, professional development, training and participation in decision-making processes, (iii) encourage the formation of diverse work teams and assignment of responsibilities equitable and not abuse the authority and use of the hierarchical position, (iv) promote an environment free of isolation, ridicule and jokes that denigrate people, promote harmony and good coexistence, (v) respect cultural differences and of opinion, and (vi) not conduct discriminatory behaviors by personal characteristics protected by law, including by reason of race, gender, religion, sexual identity or orientarion, nationality, age, disability or marital status. Likewise, the associates of Grupo Bimbo must not ignore an act or condition of harassment, abuse, discrimination and another that goes against the policies abovementioned. All associates who witness or are victims of these behaviors should report them to their direct manager, to the people area and/or in an internal hot line of Grupo Bimbo.

d) BYLAWS AND OTHER AGREEMENTS

As of December 30, 2005 the new Securities Market Law was published in the Official Gazette of the Federation (*Diario Oficial de la Federación*), which became effective on June 28, 2006, and in accordance with that BIMBO's Corporate Bylaws were amended by virtue of an Extraordinary Shareholders´ Meeting held on November 14, 2006. In that meeting, among other things, the total amendment to the Corporate Bylaws was approved, and was notarized by public deed No. 30,053 dated November 16, 2006, granted before Ana de Jesús Jiménez Montañez, Public Notary number 146 of Mexico City, and filed in the Public Registry of Commerce of Mexico City under mercantile folio No. 9,506 on December 6, 2006. With the amendment to the Corporate Bylaws, the Company adjusted to the securities laws in effect.

Among the most relevant amendments are the ones regarding the creation of a regime applicable to the *sociedades anónimas bursátiles* (the shares of which are traded in the BMV) to improve their organization and functioning, as well as their responsibilities regime.

The Company is a publicly traded variable capital corporation (*sociedad anónima bursátil de capital variable*) incorporated under Mexican law. On November 14, 2006, at the General Extraordinary Shareholders'

Meeting, the shareholders resolved to amend the bylaws entirely to comply with the provisions of the Mexican Securities Market Law applicable to publicly traded corporations and to adopt the form of a publicly traded stock corporation. Such amendment to the bylaws was notarized by public deed No. 30,053 dated November 16, 2006, granted before Ana de Jesús Jiménez Montañez, Public Notary number 146 of Mexico City, and filed in the Public Registry of Commerce of Mexico City under mercantile folio No. 9,506 on December 6, 2006.

On April 29, 2021, at the Annual Ordinary and Extraordinary General Shareholders' Meeting, its shareholders approved, among other matters, amendments to article two (relating to the corporate purpose) and article six (relating to capital stock) of the Company's bylaws. Within the term stipulated for these purposes, a copy of the public instrument containing the amendments described above will be filed with the CNBV and the BMV, which, in accordance with applicable law, and will be made available to the investing public on the following websites: : www.gob.mx/cnbv, www.bmv.com.mx and www.grupobimbo.com.

The purpose of the Company is:

Promote, incorporate, organize, exploit, acquire and participate in the capital stock or equity of all types of commercial or civil corporations, associations or companies, whether industrial, commercial, service or of any other nature, whether domestic or foreign, as well as to participate in their administration or liquidation.

In order to carry out the corporate purpose mentioned in the preceding paragraph, which are part of the preponderant economic activity, the Company may carry out, by way of example, but not limited to, the activities mentioned below.

I. To acquire, under any legal title, shares, interests, participations or parts of any type of commercial or civil companies, whether as part of their incorporation or through subsequent acquisition, as well as to dispose of and negotiate such shares, interests, participations or parts of companies, including any other debt securities.

II. Obtain, acquire, develop, improve, use, grant and receive licenses or dispose, under any legal title, of all kinds of patents, trademarks, service marks, utility models, industrial designs, industrial secrets, invention certificates, commercial notices and names and any other industrial property rights, as well as copyrights, whether in Mexico or abroad.

III. Obtain all kinds of financing, loans or credits, issue all kinds of securities, including stock certificates, debentures or debt securities, bonds and commercial paper, as well as other debt instruments, with or without the granting of collateral through pledge, mortgage, trust or under any other legal title, as well as acquire and trade with them in domestic and foreign markets, as well as carry out derivative and synthetic transactions.

IV. Grant any type of financing or loan to individuals or commercial or civil corporations, companies and institutions with which the Company has commercial or business relations in which the Company holds shares, whether or not it receives guarantees in rem.

V. To grant all kinds of guarantees, whether real, personal or as guarantors of obligations, debt securities or debt instruments in its own name or in favor of persons, companies, associations and institutions in which the Company has an interest or participation, or with which the Company has business relations, becoming a guarantor, joint and several obligor, surety or guarantor of such persons.

VI. To subscribe, draw, issue, negotiate, accept, endorse and guarantee all kinds of debt instruments and carry out credit operations.

VII. To trade its own shares, securities representing them, debt securities or debt instruments, in domestic or foreign securities markets and to acquire its own shares, pursuant to the terms of the Securities Market Law and the applicable general provisions.

VIII. To hold, obtain, acquire, use, grant or license, dispose of, under any legal title, all kinds of patents, trademarks, service marks, utility models, industrial designs, industrial secrets, certificates of invention, commercial notices and names and any other industrial property rights, as well as copyrights, whether in Mexico or abroad.

IX. In general, to perform all kinds of acts, deeds, agreements, contracts, commercial transactions and to be the holder of any real or personal right, all of the above of any nature permitted by law.

Through the Annual and Extraordinary General Shareholders' Meeting dated April 30, 2024, partial amendments to the Company's bylaws were approved, particularly Articles six, fourteenth, eighteenth, twentieth, twenty-third, thirty-eighth, and forty-first, which refer to share capital, capital increases and preemptive rights, company administration, board obligations and powers, validity of board meetings, publication of assembly notices, and assembly convening, respectively, in accordance with recent amendments to the General Law of Mercantile Companies and the Securities Market Law:

1. Capital Increases and Preemptive Rights.

Each increase in the fixed minimum capital must be decreed by an Extraordinary General Shareholders' Meeting, except for cases arising from the placement of treasury shares. Increases in variable capital must be approved by an Ordinary General Shareholders' Meeting or an Extraordinary General Shareholders' Meeting and must be protocolized in any case, except for increases in the case of the acquisition of treasury shares.

All minutes of meetings that decree a capital increase must be protocolized before a notary public, and those referring to increases in the fixed minimum capital must also be registered in the Public Registry of Commerce of the company's domicile.

When the respective agreements are made, the Shareholders' Meeting or Board of Directors that decrees the increase or any subsequent Shareholders' Meeting or Board of Directors will establish the terms and conditions under which the increase must be carried out.

Once the shares are issued, if agreed upon by the Assembly and/or the Board of Directors, the Board of Directors may offer them to the Shareholders for subscription and payment on the conditions and terms determined by the same Assembly or the Board of Directors. Until they are subscribed, they will be held in the Company's treasury.

The Company may issue unsubscribed shares in accordance with Article nine of these Bylaws and the Securities Market Law and complementary provisions thereof.

When there are restricted voting shares, in all capital increases, a sufficient minimum number of restricted voting shares must be issued to allow shareholders holding restricted voting shares to maintain their same percentage of shareholding in the Company.

In increases in share capital, shareholders of the Company may, in proportion to the number of shares owned by such shareholders in relation to the total number of shares issued and subscribed before the increase within each series, have the preemptive right referred to in Article 132 of the General Law of Mercantile Companies to subscribe shares within their respective series; except for, as provided in these bylaws, Article 91 of the General Law of Mercantile Companies and other applicable provisions of the same law; 53 and 56 of the Securities Market Law, and other applicable provisions of the same law: (i) issuances of shares made in accordance with Article 53 of the Securities Market Law; (ii) treasury shares acquired that are converted into treasury shares and placed among the investing public in accordance with said Securities Market Law; (iii) those resulting from the conversion of obligations or any other debt, equity, or hybrid instruments issued by the Company into shares; (iv) merger of the Company; and (v) cases where the Shareholders' Meeting or the Board of Directors, as the case may be, decreeing the increase, with the

approval and/or ratification of the Board of Directors, subject to the opinion of the committee performing audit functions, and provided that the terms of the capital increase do not benefit a shareholder or group of shareholders in particular, to the detriment of the rest of the shareholders.

The preemptive right set forth in the preceding paragraph may be exercised by shareholders within a period not less than 15 natural days following the publication date in the electronic system established by the Ministry of Economy of the agreement on the capital increase. This preemptive right shall be exercised in accordance with the rules established by the Board of Directors.

The Company may not issue new shares until the previous ones have been fully paid, without prejudice to the provisions applicable to the issuance of unsubscribed shares, and unless the previously issued shares are intended by resolution of the Assembly or Board that approved their issuance, to satisfy any obligations of the Company approved by the Shareholders.

The Board of Directors is empowered to offer to third parties for subscription and payment the shares not subscribed by the Shareholders, from their issuance or after the expiration of the period established for the exercise of the preemptive right, as the case may be, if the Shareholders' Meeting and/or the Board of Directors resolved to grant such right, provided that in cases where the preemptive right applies to the subscription, the price at which the shares are offered to third parties may be lower than that offered to the Company's Shareholders for subscription and payment, if determined by the Board of Directors with the opinion of the audit committee.

In terms of Article 55 Bis of the Securities Market Law, the Ordinary or Extraordinary Shareholders' Meeting, as appropriate, may delegate at any time to the Company's Board of Directors the authority to increase the share capital and to determine the terms of the subscription of shares, including the exclusion of the preemptive subscription right regarding share issuances subject to delegation. In the event that the Board of Directors decrees an increase in the fixed portion of the capital, the bylaws shall be deemed modified to reflect the number and amount of shares issued, and the increase in share capital shall have immediate effect, without prejudice to the Shareholders' Meeting recording the adjustment to the bylaws subsequently.

2. Company Administration.

The administration of the Company shall be under the responsibility of a Board of Directors and a Chief Executive Officer who shall perform the functions established by the Securities Market Law.

The members of the Board of Directors may be shareholders or persons external to the Company. The Board of Directors shall be composed of a minimum of five (5) and a maximum of twenty-one (21) proprietary Directors, of which at least twenty-five percent (25%) must be independent. For each proprietary Director, their respective alternate may be designated, understanding that the alternate Directors of independent Directors must have the same status. Shareholders holding shares with voting rights, including limited or restricted voting rights, who individually or jointly hold ten percent (10%) of the Company's share capital, shall have the right to appoint and revoke a member of the Board of Directors, in accordance with Article forty-seventh of these Bylaws.

Independent Directors shall be understood to be those individuals who are not prevented from performing their duties free from conflicts of interest and who meet the requirements to be considered as such under the Securities Market Law, the provisions issued therefrom, and in the laws and regulations of jurisdictions and stock exchanges or markets where the Company's securities may be listed, as applicable.

Directors and, where applicable, their alternates, shall hold office until the persons appointed to replace them take office; they may be reelected indefinitely and shall receive remuneration determined by the Ordinary General Shareholders' Meeting. It shall be sought that no person who has reached 75 (seventy-five) years of age be appointed or ratified as a member of the Board of Directors, unless the Board of Directors or the Shareholders' Meeting dispenses with this situation.

The Board of Directors may appoint provisional Directors, without the intervention of the Shareholders' Meeting, when any of the assumptions set forth in the preceding paragraph or in Article one hundred fifty-five (155) of the General Law of Mercantile Companies occur. The Shareholders' Meeting may ratify such appointments or appoint substitute Directors at the next Shareholders' Meeting following such event.

Failure to comply with the provisions of this section, for any reason, shall not generate or grant third parties the right to challenge the validity, in relation to legal acts, contracts, agreements, covenants, or any other act entered into by the Company through its Board of Directors or any other intermediary body, delegate, agent, or attorney, nor shall they be considered requirements for the validity or existence of such acts.

At the time the Shareholders' Meeting appoints a person as a Director, it shall be understood that by the mere fact of their appointment, the Company has granted a waiver to such person for the performance of activities that are within the ordinary or usual scope of the Company's business or of the legal entities controlled by it or in which it has a significant influence.

3. Validity of Board Sessions.

For Board of Directors sessions to be valid, the attendance of the majority of its members shall be required. In the event of temporary or permanent vacancies on the Board of Directors, they shall be filled by the alternates, if appointed.

Board of Directors sessions may be held using electronic, optical, or any other technology, in accordance with Article 143 of the General Law of Mercantile Companies.

Resolutions taken outside of Board Sessions, unanimously by its members, shall have the same legal validity for all legal purposes as if they had been adopted in a Board Session, provided that they are confirmed in writing.

4. Publication of Assembly Notices.

Assembly notices must be published in accordance with Article 186 of the General Law of Mercantile Companies, at least fifteen days in advance of the date set for the Assembly.

The notices shall contain the agenda and must be signed by the person or persons making them, understanding that items referred to in Articles one hundred eighty-one and one hundred eighty-two of the General Law of Mercantile Companies shall not be included under the general items.

From the moment the Assembly notices are published, the information and documents related to each of the items on the agenda must be made immediately and freely available to the shareholders, at the Company's offices or, failing that, in the electronic, optical, or any other technology medium specified for this purpose in the notice,.

5. Holding of Assemblies.

Before an Assembly is declared constituted, the person presiding shall appoint one or more scrutineers, who shall certify the number of shares represented and draw up the attendance list, stating the number of shares each shareholder represents.

Once the quorum is established, the presiding person shall declare the Assembly constituted and proceed to address the Agenda.

Shareholders' Assemblies may be held using electronic, optical, or any other technology, in accordance with Article 178 of the General Law of Mercantile Companies.

e) RIGHTS OF SHAREHOLDERS

Holders of Series “A” shares are entitled to one vote in the General Ordinary and Extraordinary Shareholders’ Meetings. With no shares of this kind existing as of this date, the Company may issue, under the Securities Market Law, non-voting and/or limited voting shares. As the case may be, holders of Series “A” shares may not attend the Special Meetings held by the holders of non-voting and/or limited voting shares and neither have they voting rights in the Special Meetings held by the holders of non-voting and/or limited voting shares.

The holders of limited voting shares shall be entitled to attend and vote at a rate of one vote per each share, only and exclusively in the Special Meetings held by the holders of such shares and in the General Extraordinary Shareholders’ Meetings held to discuss any of the following matters: a) transformation of the Company; b) merger with another company or companies, when the Company is the merged party; c) cancellation of the limited voting shares filing in the RNV and in domestic and foreign stock exchanges in which the same are registered, except in quoting systems or other markets not organized as stock exchanges; and d) any other matter provided for in the Securities Market Law.

Holders of limited voting shares may not attend General Ordinary Meetings, except in the events expressly provided for in the Securities Market Law. Neither may they attend the General Extraordinary Shareholders´ Meetings held to discuss matters in which they have no voting rights.

Additionally, shareholders holding limited or restricted voting shares, for each ten percent (10%) of the Company’s capital stock that they individually or collectively hold, shall have the rights conferred in the Corporate Bylaws and the General Commercial Corporations Law.

Shareholders holding non-voting shares shall have the rights granted by the Securities Market Law.

f) SHAREHOLDERS’ MEETINGS AND VOTING RIGHTS

Under the bylaws of the Group, two types of shareholders' meetings may be held: ordinary and extraordinary. Ordinary shareholders' meetings are those called to discuss any issue not reserved for extraordinary shareholders' meetings.

Starting from the Annual and Extraordinary General Shareholders' Meeting of April 30, 2024, shareholder meetings, whether ordinary or extraordinary, may be held through technological means.

An annual ordinary shareholders' meeting must be convened and held at least once a year within the first four months following the end of each fiscal year to discuss the following, pursuant to the bylaws or the Mexican Securities Market Law, (i) the approval of the financial statements for the previous fiscal year, (ii) the annual reports prepared by the Audit & Corporate Practices Committee and the allocation of the profits for the previous year (including, if applicable, the payment of dividends), (iii) the appointment of members of the Board of Directors, (iv) the appointment of the chairman of the Audit & Corporate Practices Committee, (v) the increase or decrease of the variable capital and the issuance or cancellation of the corresponding shares, (vi) the determination of the amount that may be allocated to repurchase the shares, and (vii) the approval of any transaction representing 20% or more of the consolidated assets, during any fiscal year.

Extraordinary shareholders' meetings are those called at any time to consider any of the following matters (i) the extension of the duration or the dissolution of the Company, (ii) any increase or decrease in the fixed capital and the issuance of the corresponding shares, (iii) any public offering of the shares, (iv) any change in the corporate purpose or nationality, (v) any transformation, merger or spin-off involving the Company, (vi) any issuance of preferred stock, (vii) any redemption of the shares with retained net profits, (viii) any amendments to the bylaws, including amendments to change in control provisions, and (ix) any other matters for which applicable Mexican law or the bylaws specifically require a general extraordinary shareholders' meeting (x) the cancellation of the registry of the shares with the RNV.

All of the shareholders of Grupo Bimbo, duly registered in the shareholders’ registry book, will be able to propose topics to be discussed in the Shareholders Meetings. The shareholders must send the proposals

to the secretary of the Board of Directors, who will check them and if applicable, will submit them for the consideration of the Board of Directors in their following meeting, previous to the next ordinary or extraordinary shareholders meeting.

In the next Board of Directors ordinary meeting, the Board will analyze the proposals and will determine the suitability of including them in the agenda for the next ordinary or extraordinary shareholders meeting.

a) In case of approval, such topics would be included in the agenda for the next ordinary or extraordinary shareholders meeting.

b) In case of dismissal, the board would give notice to the respective shareholder.

The contact information of the secretary of the board is: secretaria.gb@grupobimbo.com

Shareholders' meetings may be called at any time by the chairman of the Board of Directors, the chairman of the Audit & Corporate Practices Committee or the secretary and alternate secretary of the Board of Directors. Any shareholder or group of shareholders representing at least 10% of the capital stock of Grupo Bimbo, including shares with limited or non-voting rights, has the right to request publication of a call to a shareholders' meeting. In addition, according to the bylaws, any holder of one share is entitled to request that the Board of Directors or the chairman of the Audit & Corporate Practices Committee to call a general shareholders' meeting in the event that no such general shareholders' meeting has been convened and held within two consecutive fiscal years or if the following matters have not been discussed at the general shareholders' meetings convened and held during such period (i) discuss, approve or modify the report prepared by the Board of Directors, (ii) the appointment of members of the Board of Directors, and (iii) the determination of the compensation for the directors.

Starting from the Annual and Extraordinary General Shareholders' Meeting held on April 30, 2024, the Shareholders' meetings are required to be held in the corporate domicile of Grupo Bimbo, which is Mexico City. Calls for shareholders' meetings must be published in the Electronic System established by the Ministry of Economy at least 15 calendar days prior to the date of the meeting. Each call must set forth the place, date and time of the meeting and agenda for the meeting. Calls must be signed by whoever calls them. From the date on which a call is published until the date of the corresponding meeting, all material information regarding the meeting must be available to shareholders at the corporate headquarters of the Company.

To be admitted to any shareholders' meeting, shareholders must submit their stock certificates or evidence of their shares deposited in the Indeval or any other institution authorized to act as securities depositary in accordance with the Mexican Securities Market Law, with at least 48 hours (computed in terms of business days) prior to the shareholders' meeting. Such stock certificates or evidence of their deposit must be exchanged for a certificate issued by the Company for that purpose, stating the name of the corresponding shareholder and the number of shares held. Such certificates shall serve as admission tickets for the shareholders' meeting. The members of the Board of Directors, the Chief Executive Officer and the external auditor may attend the shareholders' meetings.

Shareholders may be represented at shareholders' meetings through proxies' fact appointed by means of a form prepared by Grupo Bimbo and made available to shareholders through broker-dealers or at the offices of the Company, at least 15 calendar days prior to the shareholders' meeting. Such forms must comply with the requirements of the Mexican Securities Market Law and its ancillary provisions.

Ordinary meetings are regarded as legally convened pursuant to a first call when at least 50% of the common shares representing the capital are present or duly represented. Any number of common shares represented at an ordinary meeting of shareholders convened pursuant to a second or subsequent call constitutes a quorum.

Resolutions at ordinary meetings of shareholders are valid when approved by a majority of the shares present at the meeting.

Extraordinary shareholders' meetings are regarded as legally convened pursuant to a first call when at least 75% of the shares representing the capital are present or duly represented. On a second or subsequent call, extraordinary shareholders' meetings are legally convened when at least 50% of the shares representing the outstanding capital are present or duly represented.

Resolutions at an extraordinary meeting of shareholders are valid when adopted by the holders of shares representing at least 50% of the capital stock.

g) SHAREHOLDERS' MINORITY RIGHTS

Pursuant to the Mexican Securities Market Law, the bylaws include minority right shareholder protections, some of which have already been described above. These minority protections include provisions that allow:

a. Holders of at least 10% of the outstanding voting capital stock have the right to:

- request a call for a shareholders' meeting;
- request that resolutions, with respect to any matter on which they were not sufficiently informed, be postponed; and
- appoint one member of the Board of Directors and one alternate member of the Board of Directors.

b. Shareholders of 20% of the outstanding voting capital stock may oppose judicially to any resolution adopted at a shareholders' meeting and to request a court order to suspend the resolution temporarily, if the request is made within the following 15 days of the adjournment of the meeting where the resolution was made, provided that (i) the challenged resolution violates Mexican law or the bylaws, (ii) the opposing shareholders neither attended the meeting nor voted in favor of the challenged resolution, and (iii) the opposing shareholders deliver a bond to the court to secure payment of any damages that the Company may suffer as a result of suspending the resolution, in the event that the court ultimately rules against the opposing shareholders.

c. Shareholders of 5% or more of the outstanding capital stock may initiate a liability action against some or all of the directors (for the benefit of the Company and not their personal benefit), for violations of their duty of care or duty of loyalty, in an amount equal to the damages or losses caused to the Company. Actions initiated on these grounds have a five-year statute of limitations.

Since 2016, contact information for the shareholders and/or members of the board was included in Grupo Bimbo's webpage.

Email: secretaria.gb@grupobimbo.com
Phone: +52 (55) 5268 6600
Address: Prolongación Paseo de la Reforma 1000, Col. Peña Blanca Santa Fe, Alcaldía. Álvaro Obregón, Ciudad de México, C.P. 01210, México.

5) CAPITAL MARKETS

a) SHAREHOLDING STRUCTURE

As of the date of this Annual Report, shares representing the Company's capital stock are Series "A" common, ordinary, nominative, with no par value shares, which are filed in the RNV. Such shares began quoted in the BMV in February 1980, when the Company carried out its initial public offer. Since February 1, 1999 BIMBO is part of the Price and Quotation Index (*Índice de Precios y Cotizaciones*) of the Mexican Stock Exchange (BMV).

As of the date of this Annual Report, BIMBO share is classified as high trading volume, in accordance with the Trading Activity Index published by the Mexican Stock Exchange (BMV).

b) SHARE PERFORMANCE IN THE STOCK MARKET

The Following tables show the adjusted maximum, minimum and closing prices in nominal pesos, as well as the volume of BIMBO's Series "A" shares in the BMV, during the indicated periods.

Trimestral	Pesos per Series "A" shares			Volume of "A" Series traded
	Maximum	Minimum	Closing	
1T22	67.04	53.20	60.06	162,720,524
2T22	67.09	55.84	65.37	263,011,331
3T22	76.69	65.81	70.97	158,507,900
4T22	87.56	70.07	82.36	123,408,368
1T23	95.77	83.85	90.68	128,110,816
2T23	98.96	90.14	91.65	101,196,513
3T23	92.80	81.95	84.02	157,074,963
4T23	89.13	70.07	85.95	132,104,397

*

Anual	Pesos per Series "A" shares			Volume of "A" Series traded
	Maximum	Minimum	Closing	
2019	43.04	32.83	34.43	635,679,042
2020	45.09	26.95	43.24	768,815,635
2021	63.40	37.10	62.97	689,926,743
2022	87.56	53.20	82.36	707,648,123
2023	98.96	70.07	85.95	518,486,689

Mensual	Pesos per Series "A" shares			Volume of operation of "A" Series traded
	Maximum	Minimum	Closing	
Julio 2023	92.80	86.79	86.81	34,233,005
Agosto 2023	90.87	83.07	83.88	72,456,865
Septiembre 2023	85.95	81.95	84.02	50,385,093
Octubre 2023	82.96	70.07	73.38	49,451,997
Noviembre 2023	87.64	75.71	87.64	51,232,984

Diciembre 2023	89.13	85.95	85.95	31,419,416
Enero 2024	88.62	77.10	78.52	39,610,622
Febrero 2024	81.60	71.30	71.30	41,126,093
Marzo 2024	79.21	70.89	78.47	45,965,869

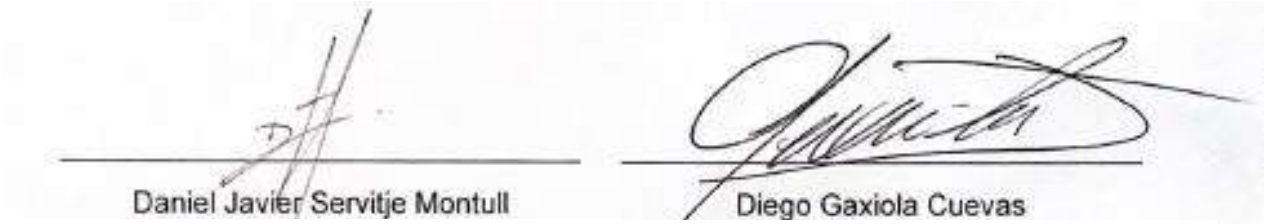
*Volume of Series "A" stock trading obtained from Nasdaq IR Insight®.

c) MARKET MAKER

As of this date and during the fiscal year ended on December 31, 2023, the Company does not have a market maker.

6) RESPONSIBLE PERSONS

The undersigned represent under oath that, within the scope of our respective functions, we prepare the information regarding the Issuer contained in this Annual Report, which, to the best of our knowledge, reasonably reflects its condition. Furthermore, we represent that we are not aware of any relevant information that has been omitted or falsified in this Annual Report or that it contains information that could mislead investors.



Daniel Javier Servitje Montull

Chief Executive Officer and Chairman of the Board of Directors

Diego Gaxiola Cuevas

Chief Financial Officer



Luis Miguel Briola Clément

General Counsel

Auditor Externo

El suscrito, en mi carácter de Socio y apoderado legal de Mancera, S.C. manifiesta bajo protesta de decir verdad, que los estados financieros consolidados que contiene el presente reporte anual de Grupo Bimbo, S.A.B. de C.V. por los ejercicios terminados el 31 de diciembre de 2023, 2022 y 2021 fueron dictaminados con fecha 20 de marzo de 2024, de conformidad con las Normas Internacionales de Auditoría.

Asimismo, el suscrito manifiesta que ha leído el presente reporte anual y basado en su lectura y, dentro del alcance del trabajo de auditoría realizado, no tiene conocimiento de errores relevantes o inconsistencias en la información que se incluye y cuya fuente provenga de los estados financieros consolidados dictaminados señalados en el párrafo anterior, ni de información que haya sido omitida o falseada en este reporte anual o que el mismo contenga información que pudiera inducir a error a los inversionistas.

No obstante, el suscrito no fue contratado, y no realizó procedimientos adicionales con el objeto de expresar su opinión respecto de la demás información contenida en el presente reporte anual que no provenga de los estados financieros consolidados por él dictaminados.

Mancera, S.C.
Integrante de
Ernst & Young Global Limited



_____
C.P.C. Enrique Antonio Garcia Camargo
Socio y Apoderado legal

7) EXHIBITS

The following documents are attached to this Annual Report:

a) Audit Committee's opinion corresponding to the year ended as of December 31, 2023, December 31, 2022 and December 31, 2021.

b) Independent Auditor's Report to the Board of Directors and Shareholders of Grupo Bimbo, S.A.B. de C.V., corresponding to the years ended as of December 31, 2023, 2022 and 2021.

c) Audited Financial Statements as of and for the years ended as of December 31, 2023, 2022 and 2021.

d) Audit Committee's Report corresponding to the years ended as of December 31, 2023, 2022 and 2021.

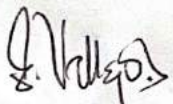
Mexico City, March 20th, 2024

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

In my capacity as chairman of the Audit and Corporate Practices Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V. (the "Company"), and in accordance with point e), section II of Article 42 of the Securities Market Act, I hereby present you the opinion of the Committee regarding the content of the report of the Chief Executive Officer regarding the financial situation and results of the Company for the year ended December 31, 2023.

In the opinion of the Committee, the accounting and information policies and criteria followed by the Company and used to prepare the consolidated financial information are appropriate and sufficient, and consistent with international financial reporting standards. Therefore, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial situation and results of the Company as of December 31, 2023 and for the year ended on that date.

Sincerely,



Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
of Grupo Bimbo, S.A.B. de C.V.

Mexico City, April 4th, 2023

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

In my capacity as chairman of the Audit and Corporate Practices Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V. (the "Company"), and in accordance with point e), section II of Article 42 of the Securities Market Act, I hereby present you the opinion of the Committee regarding the content of the report of the Chief Executive Officer regarding the financial situation and results of the Company for the year ended December 31, 2022.

In the opinion of the Committee, the accounting and information policies and criteria followed by the Company and used to prepare the consolidated financial information are appropriate and sufficient, and consistent with international financial reporting standards. Therefore, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial situation and results of the Company as of December 31, 2022 and for the year ended on that date.

Sincerely,

Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
of Grupo Bimbo, S.A.B. de C.V.

Mexico City, April 04, 2022

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

In my capacity as chairman of the Audit and Corporate Practices Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V. (the "Company"), and in accordance with point e), section II of Article 42 of the Securities Market Act, I hereby present you the opinion of the Committee regarding the content of the report of the Chief Executive Officer regarding the financial situation and results of the Company for the year ended December 31, 2021.

In the opinion of the Committee, the accounting and information policies and criteria followed by the Company and used to prepare the consolidated financial information are appropriate and sufficient, and consistent with international financial reporting standards. Therefore, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial situation and results of the Company as of December 31, 2021 and for the year ended on that date.

Sincerely,



Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
of Grupo Bimbo, S.A.B. de C.V.

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated Financial Statements

December 31, 2023, 2022 and 2021
with Independent Auditor's Report

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated Financial Statements

December 31, 2023, 2022 and 2021

Contents:

Independent Auditor's Report

Audited Consolidated Financial Statements:

- Consolidated statements of financial position
- Consolidated statements of profit or loss
- Consolidated statements of other comprehensive income
- Consolidated statements of changes in equity
- Consolidated statements of cash flows
- Notes to consolidated financial statements

Construyendo un mejor entorno de negocios

Av. Ejército Nacional 843-B
Antara Polanco
11520 Mexico, D.F.

Tel: +55 5283 1300
Fax: +55 5283 1392
ey.com/mx

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Shareholders of

Grupo Bimbo, S.A.B. de C.V. and Subsidiaries

Opinion

We have audited the accompanying consolidated financial statements of Grupo Bimbo, S.A.B. de C.V. and Subsidiaries (the Company), which comprise the consolidated statement of financial position as of 31 December 2023, 2022 and 2021, and the consolidated statements of profit or loss, consolidated statements of other comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for the years then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of Grupo Bimbo, S.A.B. de C.V. and Subsidiaries as of 31 December 2023, 2022 and 2021, and its consolidated results and cash flows for the years then ended in accordance with International Financial Reporting Standards (IFRS).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISA). Our responsibilities under those standards are described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Company in accordance with the *International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants* (IESBA Code) and the ethical requirements that are relevant to our audit of the consolidated financial statements in Mexico in accordance with the *Código de Ética Profesional del Instituto Mexicano de Contadores Públicos* (IMCP Code), and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements as of December 31, 2023. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the "*Auditor's Responsibilities for the Audit of the Consolidated Financial Statements"* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the accompanying consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Assessment of impairment in the value of goodwill and intangible assets with indefinite useful lives

Description of key audit matter

As described in Notes 11 and 12 to the consolidated financial statements, the Company recognized goodwill and intangible assets of Ps. 117,101 million as of December 31, 2023. Impairment exists when the carrying amount of an asset or cash generating unit (CGU) exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. Goodwill and intangible assets with indefinite useful lives are tested for impairment annually at the cash generating unit level.

The analysis of impairment in the value of goodwill and intangible assets with indefinite useful lives was significant to our audit, since the value of such assets is significant with respect to the consolidated financial statements. In addition, the calculation of the recoverable value of the assets requires significant and complex judgements and estimates by management, that are sensitive to the weighted average cost of capital rate, the revenue growth rate and operating margins, which are affected by future economic and market conditions, particularly in emerging economies. In addition, the calculation of the recoverable amount is subject to the risk that the future cash flows used in the calculation may differ from the expected amounts, or the results may be different from the originally estimated values.

How our audit addressed the matter

Among other audit procedures applied, we involved our internal specialists to assist us in the assessment of the key assumptions and methods used by Company management in the impairment testing.

We also assessed the key assumptions used by management in preparing financial projections, primarily with regard to the annual revenue growth rates and projections of costs, along with other key assumptions used to prepare the impairment tests, and we compared them with publicly available information obtained from market participants, current and historical results and relevant industry trends.

We obtained the business plans that the Company used as a basis to determine its future cash flow estimates for the impairment testing of the CGUs within the audit scope.

We assessed the reasonableness of the disclosures included in the Company's consolidated financial statements.

Business combinations

Description of the key audit matter

As described in Note 1 to the consolidated financial statements, in 2023 the Company's allocation of the purchase price among the net assets acquired in business combinations from prior years gave rise to an adjustment to the preliminary distribution of Ps. 174 million.

We consider that the definitive allocation of the purchase price in business combinations is a key audit matter due to the complexity of the key assumptions used in estimating the fair value of the assets acquired, determining the discount rate and measuring the assets identified as part of the transaction. The fair value determination is sensitive to assumptions used by management and financial projections, discount rates and other assumptions used in fair value measurement models.

How our audit addressed the matter

For business combinations carried out in 2023 for which the Company completed the definitive allocation of the purchase price among the net assets acquired, among other procedures, we involved our internal specialists to assist in the assessment of the key assumptions and methodology used by the Company management, primarily in determining the fair value of property, plant and equipment, and intangible assets with definite and indefinite useful lives.

We also assessed the key assumptions used by management, with regard to the annual growth rates and cost projections, along with other key assumptions used in measuring the fair value of intangible assets and we compared them with publicly available information obtained from market participants and relevant industry trends.

We obtained the business plans that the Company used as a basis to determine its future cash flow estimates for the fair value measurement of intangible assets.

We assessed the reasonableness of the disclosures regarding the Company's business combinations in the consolidated financial statements.

Other information included in the Company's 2023 annual report

Management is responsible for the other information. The other information comprises the information included in the annual report filed with the National Banking and Securities Commission (the CNBV by its acronym in spanish) and the annual report submitted to the shareholders, but does not include the consolidated financial statements and our auditor's report thereon. We expect to obtain the other information after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated, and in addition, we are required to issue our statement on the Annual Report required by the Commission. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the accompanying consolidated financial statements in accordance with IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISA will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISA, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner in charge of the audit resulting in this independent auditor's report is the undersigned.

Mancera, S.C.
A Member Practice of
Ernst & Young Global Limited



C.P.C. Enrique Antonio García Camargo

20 March 2024
Mexico City, Mexico

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated statements of financial position

(Amounts in millions of Mexican pesos)

	Notes	December 31 2023	2022	2021
Assets				
Current assets:				
Cash and cash equivalents		$ 6,353	$ 12,313	$ 8,748
Trade receivables and other accounts receivable, net	5	33,269	32,185	27,170
Inventories	6	16,120	16,989	13,710
Prepaid expenses		1,378	928	2,296
Derivative financial instruments	17	119	38	1,293
Guarantee deposits for derivative financial instruments	17	1,519	879	-
Assets held for sale		156	138	194
Total current assets		58,914	63,470	53,411
Property, plant and equipment, net	8	129,156	113,505	103,891
Right-of-use assets, net	9	25,848	28,477	30,754
Investments in associates	10	5,031	4,398	3,891
Derivative financial instruments	17	468	2,005	1,962
Deferred income tax	16	7,313	3,962	7,861
Intangible assets, net	11	55,101	59,062	56,965
Goodwill	12	62,000	68,085	74,565
Other non-current assets, net		4,271	4,800	4,340
Total assets		$ 348,102	$ 347,764	$ 337,640
Liabilities and equity				
Current liabilities:				
Current portion of non-current debt	13	$ 12,932	$ 6,435	$ 10,625
Trade accounts payable		40,409	44,058	35,752
Other accounts payable and accrued liabilities	14	22,072	24,198	24,102
Current lease liabilities	9	5,751	5,930	5,793
Accounts payable to related parties	15	1,412	1,240	1,527
Current income tax	16	665	4,604	708
Statutory employee profit sharing		1,787	1,811	1,692
Derivative financial instruments	17	2,164	1,458	169
Other current liabilities	17	-	-	392
Total current liabilities		87,192	89,734	80,760
Non-current debt	13	97,003	77,619	82,230
Non-current lease liabilities	9	21,064	23,255	25,356
Derivative financial instruments	17	1,888	590	67
Employee benefits	18	7,217	9,382	30,712
Deferred income tax	16	9,224	7,575	7,087
Other non-current liabilities	19	12,886	12,007	9,822
Total liabilities		236,474	220,162	236,034
Equity:				
Capital stock	20	3,946	3,984	4,021
Retained earnings		118,718	111,486	73,384
Other equity financial instrument	20	-	8,098	8,867
Cumulative foreign currency translation effect from foreign operations		(13,832)	1,132	10,297
Remeasurements on defined benefit plans liability		734	1,152	696
Valuation of equity financial instrument		(857)	(690)	(742)
Unrealized (loss) gain on cash flow hedges	17	(387)	(1,051)	577
Controlling interest		108,322	124,111	97,100
Non-controlling interest		3,306	3,491	4,506
Total equity		111,628	127,602	101,606
Total liabilities and equity		$ 348,102	$ 347,764	$ 337,640

The accompanying notes are an integral part of these consolidated financial statements.

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated statements of profit or loss

(Amounts in millions of Mexican pesos, except for basic earnings per ordinary share in Mexican pesos)

		For the years ended December 31		
Continuing operations	Notes	2023	2022	2021
Net sales		$ 399,879	$ 398,706	$ 338,792
Cost of sales	21	194,369	193,325	157,703
Gross profit		205,510	205,381	181,089
General expenses:				
Distribution and selling		139,477	140,455	124,422
Administrative		25,860	26,172	23,147
Integration expenses		288	367	724
Other (income) expenses, net	22	4,430	(15,309)	216
	21	170,055	151,685	148,509
Operating profit		35,455	53,696	32,580
Comprehensive financing cost:				
Interest expense	23	10,006	8,049	7,823
Interest income		(809)	(740)	(363)
Foreign exchange (gain)/loss, net		1,323	995	538
(Gain) on monetary position		(73)	(34)	(25)
		10,447	8,270	7,973
Associates profit sharing	10	316	452	247
Profit before income tax		25,324	45,878	24,854
Income tax	16	8,386	14,381	8,726
Net profit from continuing operations		16,938	31,497	16,128
Discontinued operation:				
Net profit after income tax discontinued operation	24	(16)	16,988	1,254
Consolidated net profit		$ 16,922	$ 48,485	$ 17,382
Controlling interest:				
Continuing operation		$ 15,493	$ 30,324	$ 14,692
Discontinued operation		(16)	16,586	1,224
Controlling interest		$ 15,477	$ 46,910	$ 15,916
Non-controlling interest:				
Continuing operation		$ 1,445	$ 1,173	$ 1,436
Discontinued operation		-	402	30
Non-controlling interest		$ 1,445	$ 1,575	$ 1,466
Basic earnings per ordinary share:				
Continuing operation		$ 3.50	$ 6.81	$ 3.28
Discontinued operation		-	3.73	0.27
		$ 3.50	$ 10.54	$ 3.55
Weighted average number of outstanding shares (in thousands of shares)		4,418,137	4,448,693	4,487,268

The accompanying notes are an integral part of these consolidated financial statements.

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated statements of other comprehensive income

(Amounts in millions of Mexican pesos)

		For the years ended December 31		
	Notes	2023	2022	2021
Consolidated net profit		$ 16,922	$ 48,485	$ 17,382
Other comprehensive income				
Items that will not be reclassified subsequently to profit or loss:				
Valuation of equity financial instrument	3c	(236)	(32)	(112)
Remeasurements on defined benefit plans liability	18	(349)	800	1,543
Income tax	16	164	(207)	(432)
		(421)	561	999
Items that may be reclassified subsequently to profit or loss:				
Effect of net investment hedge		1,100	667	(723)
Foreign operations currency translation effect of the year		(15,635)	(9,862)	2,114
Net change in unrealized (loss) gain on cash flow hedges	17	938	(2,213)	2,988
Income tax	16	(772)	142	(937)
		(14,369)	(11,266)	3,442
Other comprehensive income		(14,790)	(10,705)	4,441
Consolidated comprehensive income		$ 2,132	$ 37,780	$ 21,823
Comprehensive income attributable to controlling interest		$ 592	$ 36,625	$ 20,353
Comprehensive income attributable to non-controlling interest		$ 1,540	$ 1,155	$ 1,470

The accompanying notes are an integral part of these consolidated financial statements.

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated statements of changes in equity

For the years ended December 31, 2023, 2022 and 2021

(Amounts in millions of Mexican pesos)

	Capital stock	Other equity financial instrument	Retained earnings	Accumulated other comprehensive income	Equity attributable to controlling interest	Non-controlling interest	Total equity
Balance as of December 31, 2020	$ 4,061	$ 8,996	$ 64,265	$ 6,391	$ 83,713	$ 4,298	$ 88,011
Other equity instrument dividends	-	-	(621)	-	(621)	-	(621)
Other equity instrument income taxes	-	(129)	187	-	58	-	58
Consolidation effect of structured entities	-	-	-	-	-	(1,099)	(1,099)
Dividends declared	-	-	(4,502)	-	(4,502)	(163)	(4,665)
Repurchase of shares (Note 20)	(40)	-	(1,861)	-	(1,901)	-	(1,901)
Balance before comprehensive income	4,021	8,867	57,468	6,391	76,747	3,036	79,783
Consolidated net profit for the year	-	-	15,916	-	15,916	1,466	17,382
Other comprehensive income	-	-	-	4,437	4,437	4	4,441
Consolidated comprehensive income	-	-	15,916	4,437	20,353	1,470	21,823
Balance as of December 31, 2021	4,021	8,867	73,384	10,828	97,100	4,506	101,606
Other equity instrument dividends	-	-	(649)	-	(649)	-	(649)
Other equity instrument income taxes	-	(424)	195	-	(229)	-	(229)
Consolidation effect of structured entities	-	-	-	-	-	(2,011)	(2,011)
Repurchase equity instrument	-	(345)	(32)	-	(377)	-	(377)
Dividends declared	-	-	(5,791)	-	(5,791)	(94)	(5,885)
Repurchase of shares (Note 20)	(37)	-	(2,531)	-	(2,568)	-	(2,568)
Decrease non-controlling interest by discontinued operation	-	-	-	-	-	(65)	(65)
Balance before comprehensive income	3,984	8,098	64,576	10,828	87,486	2,336	89,822
Consolidated net profit for the year	-	-	46,910	-	46,910	1,575	48,485
Other comprehensive income	-	-	-	(10,285)	(10,285)	(420)	(10,705)
Consolidated comprehensive income	-	-	46,910	(10,285)	36,625	1,155	37,780
Balance as of December 31, 2022	3,984	8,098	111,486	543	124,111	3,491	127,602
Other equity instrument dividends	-	-	(395)	-	(395)	-	(395)
Other equity instrument income taxes	-	544	(564)	-	(20)	-	(20)
Consolidation effect of structured entities	-	-	-	-	-	(1,851)	(1,851)
Repurchase equity instrument	-	(78)	-	-	(78)	-	(78)
Reclass of equity instrument to debt	-	(8,564)	(280)	-	(8,844)	-	(8,844)
Dividends declared	-	-	(3,458)	-	(3,458)	(91)	(3,549)
Repurchase of shares (Note 20)	(38)	-	(3,548)	-	(3,586)	-	(3,586)
Increase non-controlling interest by business acquisitions	-	-	-	-	-	217	217
Balance before comprehensive income	3,946	-	103,241	543	107,730	1,766	109,496
Consolidated net profit for the year	-	-	15,477	-	15,477	1,445	16,922
Other comprehensive income	-	-	-	(14,885)	(14,885)	95	(14,790)
Consolidated comprehensive income	-	-	15,477	(14,885)	592	1,540	2,132
Balance as of December 31, 2023	$ 3,946	$ -	$ 118,718	$ (14,342)	$ 108,322	$ 3,306	$ 111,628

The accompanying notes are an integral part of these consolidated financial statements.

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated statements of cash flows

(Amounts in millions of Mexican pesos)

	Note	For the years ended December 31, 2023	2022	2021
Operating activities				
Profit before income tax from continuing operation		$ 25,324	$ 45,878	$ 24,854
Profit before income tax from discontinued operation	24	(23)	23,516	1,499
Profit before income tax		25,301	$ 69,394	$ 26,353
Adjustments for:				
Depreciation and amortization	8, 9, 11, 22, 24	18,929	18,282	16,375
(Gain)/loss on sale of property, plant and equipment		751	650	(157)
Property, plant and equipment write-off due to casualty		-	-	379
Share of profit of associates	10	(316)	(452)	(247)
Impairment of non-current assets		383	1,046	694
Profit on disposal of discontinued operation	24	-	(22,038)	-
Multi-employer pension plan and other non-current liabilities	22	-	(19,010)	(2,247)
Current year service cost	18	837	1,013	1,128
Interest expense	23	10,006	8,049	7,884
Interest income		(809)	(740)	(373)
Short-term and low-value lease expenses		3,968	2,519	2,183
Changes in assets and liabilities:				
Trade receivables and other accounts receivable		(4,206)	(6,647)	666
Inventories		(1,078)	(4,163)	(2,320)
Prepaid expenses		(625)	1,261	(365)
Trade accounts payable		(851)	9,920	8,286
Other accounts payable and accrued liabilities		390	(3,395)	(1,025)
Accounts payable to related parties		(172)	287	209
Income tax paid		(13,831)	(11,824)	(7,578)
Guarantee deposits for derivative financial instruments		(640)	(1,271)	6
Statutory employee profit sharing payable		(21)	122	675
Employee benefits		(2,637)	(754)	(2,567)
Dividends receivable from discontinued operation	24	-	(879)	-
Short-term and low-value lease expenses		(3,968)	(2,519)	(2,183)
Net cash flows from operating activities		31,411	38,851	45,776
Investing activities				
Purchase of property, plant and equipment	8	(34,754)	(28,669)	(20,671)
Acquisitions of business and non-controlling interests, net of cash received	1	(6,548)	(6,520)	(10,637)
Price charged for sale of the discontinued operation	24	-	25,797	-
Proceeds from sale of property, plant and equipment		152	20	882
Proceeds from insurance claims		-	272	201
Purchase of intangible assets, net of write offs	11	(918)	(798)	(622)
Increase of distribution rights in structured entities	11	(129)	3	(77)
Other assets		(577)	(794)	(1,433)
Dividends received		86	954	59
Interest received		809	740	373
Investments in associates	10	(561)	(127)	(534)
Net cash flows used in investing activities		(42,440)	(9,122)	(32,459)
Financing activities				
Proceeds from loans, net of transaction costs	13	136,638	51,670	38,924
Repayments of loans	13	(109,847)	(55,542)	(33,535)
Interest paid		(7,436)	(6,407)	(6,781)
Other equity instrument dividends paid		(395)	(649)	(621)
Repurchases equity instrument dividends paid		(78)	(344)	-
Dividends paid		(3,549)	(5,885)	(4,636)
Payment of lease liabilities	9	(6,278)	(6,385)	(5,372)
Payment of derivative financial instruments		(1,655)	-	(1,690)
Collection of derivative financial instruments		2,090	418	1,496
Repurchase of shares	20	(3,586)	(2,568)	(1,901)
Net cash flows used in financing activities		5,904	(25,692)	(14,116)
Adjustments to cash flows due to exchange rate fluctuations and inflationary y effects		(835)	(472)	279
Net Increase (decrease) in cash and cash equivalents		(5,960)	3,565	(520)
Cash and cash equivalents at beginning of year		12,313	8,748	9,268
Cash and cash equivalents at end of year		$ 6,353	$ 12,313	$ 8,748

The accompanying notes are an integral part of these consolidated financial statements.

1. Activities and significant events

Activities- Grupo Bimbo, S.A.B. de C.V. and subsidiaries ("Grupo Bimbo" or "the Company") is a Mexican entity, primarily engaged in the production, distribution and sale of bakery products, cookies, tortillas, salty snacks and until November 2022 confectionery.

The Company operates in different geographical areas that represent the reporting segments used by the Company, which are Mexico, North America, Latin America and Europe, Asia and Africa ("EAA").

The Company's corporate offices are located at Prolongación Paseo de la Reforma No. 1000, Colonia Peña Blanca Santa Fe, Álvaro Obregón, Código Postal 01210, Mexico City, Mexico.

During 2023, 2022 and 2021, the net sales of the subsidiaries that are classified in the Mexico segment represented approximately 33%, 29% and 29%, respectively, of the Company's consolidated net sales. During 2023, 2022 and 2021, the net sales of the Company's subsidiaries classified in the North America segment represented approximately 48%, 51% and 52%, respectively, of the Company's consolidated net sales.

Significant events

Acquisitions in 2023

The business acquisitions for 2023, 2022 and 2021, will contribute to the Company's growth and geographic expansion plans, in terms of branded products and QSR (Quick Service Restaurants) businesses. They also represent an opportunity to create significant synergies by optimizing the supply chain to better serve more consumers.

The difference between the consideration transferred and the net of assets acquired and liabilities assumed at fair value will be subject to amortization for tax purposes in accordance with local legislation.

Acquisition of Amaritta Food, S.L.

On November 30, 2023, through one of its subsidiaries, the Company acquired a 100%-stake in Amaritta Food, S.L., a company operating in Spain. The segment that will group this business will be EAA.

Acquisition of Bimbo QSR Colorado, LLC (formerly Mile Hi Bakery, Inc)

On September 8, 2023, through one of its subsidiaries, the Company acquired a 100%-stake in Natural Mile Hi Bakery, Inc. a baking company operating in Colorado, United States. The segment that will group this business will be North America.

Acquisition of Fortisa AG

On September 1, 2023, the Company acquired through one of its subsidiaries a 24.94% stake in Fortisa AG a baking company operating in Switzerland. As a result of this transaction, the Company increased its equity interest to 60% and obtained control over the company as of that date. The segment that will group this business will be EAA.

Acquisition of Twin City

On July 10, 2023, the Company acquired, through one of its subsidiaries, the Twin City operations, which primarily was comprised of manufacturing equipment and inventories. The segment that will group this business will be North America.

Acquisition of Natural Bakery

On April 14, 2023, through one of its subsidiaries, the Company acquired a 100%-stake in Natural Bakery Ltd. a baking company operating in Canada. The segment that will group this business will be North America.

Acquisition of Vel Pitar

On January 9, 2023, through two of its subsidiaries, the Company acquired a 100%-stake in Vel Pitar, S.A., a company operating in Romania, with a diversified portfolio with more than 12 trademarks in the categories of bread and sweet bread. The segment that will group this business will be EAA.

For 2023 acquisitions, the purchase price allocation will be performed in the following months and the valuation of the assets acquired and liabilities assumed (including income taxes), intangible assets and goodwill. At the date of issuance of these consolidated financial statements, the Company is in the process of determining the final purchase price allocation and will recognize the fair value adjustments during the measurement period of up to twelve months following the closing date of this acquisition, however, it already has preliminary fair values.

	Initial Balance	Preliminary PPA Adjustments	Preliminary fair value
Amounts recognized for identifiable assets and liabilities assumed:			
Cash and cash equivalents	$ 367	$ -	$ 367
Accounts receivables	270	-	270
Inventories	171	-	171
Other current assets	44	-	44
Property, plant and equipment	1,853	1,184	3,037
Right of use	276	-	276
Identified intangible assets	2	-	2
Trademarks	-	835	835
Customer relationships	-	1,198	1,198
Goodwill	5,446	(2,668)	2,778
Other non-current assets	2	-	2
Total identifiable assets	$ 8,431	$ 549	$ 8,980
Current debt	$ 51	$ -	$ 51
Trade accounts payable	375	-	375
Other accounts payable and accrued liabilities	193	-	193
Non-current debt	35	-	35
Lease liabilities	276	-	276
Deferred income tax	15	549	565
Other non-current liabilities	2	-	2
Total liabilities assumed	$ 947	$ -	$ 1,496
Non-controlling interest	$ 216	$ -	$ 216
Fair value previous investment	$ 190	$ -	$ 190

Relevant event 2022

Sale of the confectionery business

On November 1, 2022, the Company sold its confectionery business to Mondelez International, Inc. for $25,797, which was collected in cash and included the sale of shares of the subsidiaries engaged in the confectionery business, as well as its trademarks, in line with the Company's strategy of focusing on grain-based foods, specifically in the bakery and snack categories. This transaction was subject to approval from the relevant authorities. The subsidiaries engaged in the confectionery business have been deconsolidated as of the aforementioned date. This transaction is presented in the consolidated financial statements in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations.

On March 21, 2023, the Company signed the final price agreement for the sale of the confectionery business executed on November 1, 2022, with a price adjustment of $20.

Acquisitions in 2022

Acquisition of St. Pierre

On September 22, 2022, through one of its subsidiaries in United Kingdom, the Company acquired a 100%-stake in Sherlock Foods Holdings Limited, company that operates mainly in the United Kingdom and the United States of America. This acquisition will contribute to the Company's growth and geographic expansion plans in those countries. Its main activity is the sale of baked bread under the St. Pierre, Baker Street and Paul Hollywood trademarks.

The process of the final allocation of fair values and recognition of the acquisitions was conclude during the year ended in December 31, 2023 in accordance with International Financial Reporting Standards (IFRS) 3 *Business Combinations*. The following table summarizes the fair values of the assets acquired and liabilities assumed that were recognized resulting of these acquisitions at the spot rate at the date of each transaction:

	Fair value preliminary	Purchase price Adjustments	Fair value final
Amounts recognized for identifiable assets and liabilities assumed:			
Cash and cash equivalents	$ 170	$ -	$ 170
Other current assets	711	-	711
Property, plant and equipment	28	-	28
Identified intangible assets	5,338	674	6,012
Goodwill	3,014	(500)	2,514
Other non-current assets	137	-	137
Total identifiable assets	$ 9,398	$ 174	$ 9,572
Trade accounts payable	428	-	428
Other accounts payable and accrued liabilities	390	-	390
Deferred income tax	1,330	174	1,504
Other non-current liabilities	576	-	576
Total liabilities assumed	$ 2,724	$ 174	$ 2,898

The segment that will group this business will be EAA.

Acquisitions in 2021

Acquisition of Kitty Industries

On October 26, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Kitty Industries Private Limited in India, a company engaged in the production, distribution and sale of white, wholemeal, wheat and fruit bread, among other products.

Acquisition of Aryzta Do Brasil

On October 13, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Arytza Do Brasil Alimentos Ltda., company engaged in the production, distribution and sale of bakery and confectionery products, mainly aimed at the Quick Service Restaurants industry in Brazil.

Acquisition of Popcornopolis

On September 17, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Popcornopolis, LLC, company operating in the United States of America and which main activity is the production, distribution and sale of popcorn under the Popcornopolis brand. This acquisition has been funded using the Company's own resources.

Acquisition of Siro Medina (Dulces del Campo)

On June 1, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Siro Medina, S.A.U. in Spain, a company engaged in the production of confectionery and pastry products. On June 24, 202, the company name was changed to Dulces del Campo, S.A.U.

Business acquisition of Emmy's Organics

On May 11, 2021, through one of its subsidiaries in the United States of America, the Company acquired the organic cookie business of the Emmy's Organics brand.

Acquisition of Modern Foods

On February 17, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Modern Enterprises Privated Limited in India, this company is engaged in the production of bread under the "Modern" brand and has a broad portfolio of white and fruity bread, healthy breads, buns and pavés, cake, sponge cake and Indian bread along with some other products. This acquisition was funded using the Company's own resources.

Accounting effects of the acquisitions

The process of the final allocation of fair values and recognition of the acquisitions of Modern Foods, Emmy's Organics and Dulces del Campo, was conclude during the year ended in December 31, 2021 in accordance with International Financial Reporting Standards (IFRS) 3 *Business Combinations*. The following table summarizes the fair values of the assets acquired and liabilities assumed that were recognized resulting of these acquisitions at the spot rate at the date of each transaction:

	Fair value preliminary	Purchase price Adjustments	Fair value final
Amounts recognized for identifiable assets and liabilities assumed:			
Cash and cash equivalents	$ 103	$ -	$ 103
Others short-term assets	167	-	167
Property, plant and equipment	1,018	514	1,532
Identified intangible assets	141	1,025	1,166
Goodwill	1,577	(1,144)	433
Other assets	107	-	107
Total identifiable assets	$ 3,113	$ 395	$ 3,508
Total liabilities assumed	$ 381	$ 395	$ 776

The goodwill resulting from these acquisitions were allocated to the North America and EAA segments.

Additionally, for the acquisitions of Popcornopolis, Aryzta do Brasil and Kitty Industries, the final allocation of fair values was completed during the year 2022 in accordance with International Financial Reporting Standards (IFRS) 3 *Business Combinations*. The following table summarizes the fair values of the assets acquired and liabilities assumed that were recognized resulting of these acquisitions at the spot rate at the date of each transaction:

	Fair value preliminary	Purchase price Adjustments	Fair value final
Amounts recognized for identifiable assets and liabilities assumed:			
Cash and cash equivalents	$ 70	$ (25)	$ 45
Others short-term assets	868	(1)	867
Property, plant and equipment	1,400	760	2,160
Identified intangible assets	1,240	1,574	2,814
Goodwill	5,287	(1,804)	3,483
Other long-term assets	807	66	873
Total identifiable assets	$ 9,672	$ 570	$ 10,242
Total liabilities assumed	$ 1,594	$ 214	$ 1,808
Transferred consideration	$ 8,078	$ 356	$ 8,434

The goodwill resulting from this acquisition were allocated to the North America, Latin America and EAA segments.

2. Basis of preparation

Adoption of new and revised International Financial Reporting Standards

a) Application of new and revised International Financial Reporting Standards (IFRS) and their interpretations, the adoption of which is mandatory in the current year

In 2023, the Company adopted a series of new and amended IFRS issued by the International Accounting Standards Board (IASB), which are effective for annual periods beginning on or after January 1, 2023:

Amendments to IAS 1: Classification of Liabilities as Current or Non-current

In January 2020, the IASB issued amendments to IAS 1 to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

As of December 31, 2023, these amendments have not had an impact on the Company's consolidated financial statements given that the main liabilities do not have right to defer clauses.

Amendments to IAS 1 Presentation of Financial Statements and Practice Statement IFRS Preparation of Judgments on Materiality - Disclosure of Accounting Policies

The amendments change the requirements of IAS 1 with respect to the disclosure of accounting policies.

The amendments replace all instances of the term "significant accounting policies" with "material disclosures about accounting policies." Information about accounting policies is material if, when considered together with other information in an entity's financial statements, it could reasonably be expected to influence the decisions that primary users of general-purpose financial statements make on the basis of those financial statements.

The supporting paragraphs in IAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Information about accounting policies may be material due to the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is material.

The Board has also developed guides and examples to explain and demonstrate the application of the "four-step materiality process" described in Practice Statement 2.

The Practice Statement 2 amendments do not contain an effective date or transition requirements.

As of December 31, 2023, the Company carried out the analysis and modified the content of the material information on accounting policies disclosure.

Amendments to IAS 8 Definition of Accounting Estimates

In February 2021, the IASB issued amendments to IAS 8, the amendments are intended to introduce a definition of accounting estimates. The amendments clarify the distinction between changes in accounting policies from changes in accounting estimates. Also, clarify how entities use measurement techniques and inputs to develop accounting estimates.

As of December 31, 2023, these modifications had no impact on the consolidated financial statements.

Amendments to IAS 12: Deferred tax related to assets and liabilities arising from an individual transaction

The amendments introduce an additional exception to the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal cumulative and deductible temporary differences.

Depending on the applicable tax legislation, equal cumulative and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination that does not affect accounting profit or tax profit.

The amendments to IAS 12 require an entity to recognize the deferred tax asset and liability related to the recognition of any deferred tax asset subject to the recoverability criteria of IAS 12.

The modifications apply to transactions that occur on or after the beginning of the first comparative period. Additionally, at the beginning of the earliest comparative period, an entity recognizes:

A deferred tax asset (to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be used) and a deferred tax liability for all cumulative and deductible temporary differences associated with:

- Rights-of-use asset and lease liabilities
- Decommissioning, restoration and similar liabilities and the corresponding amounts recognized as part of the cost of the related asset
- The cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings (or other component of stockholders' equity, as applicable) as of that date.

As of December 31, 2023, these modifications had no impact on the consolidated financial statements.

Amendments to IAS 12 International Tax Reform–Pillar Two Model Rules

In May 2023, the IASB issued amendments to IAS 12, aimed at the criteria for the accounting recognition of supplementary income tax arising from tax laws enacted to implement the model rules of Pillar Two published by the Organization for Economic Cooperation and Development ("OECD"). These amendments establish that an entity will not recognize or disclose information on assets and liabilities for deferred taxes related to income taxes of Pillar Two. Additionally, contemplate that the expense (income) for current taxes related to the income taxes of Pillar Two must be disclosed separately.

These modifications are applicable for annual periods beginning on or after January 1, 2023.

As of December 31, 2023, the Company is in the process of analyzing the impacts and application dates of the complementary income tax established in the Pillar Two Model.

b) New and revised IFRS issued but not yet effective

The new and amended standards that are issued but not yet effective and that may be applicable to the Company are as follows:

Amendments to IFRS 16	Lease liability in a sale and leaseback [(1)]
Amendments to IAS 1	Non-current liabilities with covenants [(1)]
Amendments to IAS 7 and IFRS 7	Supplier Finance Arrangements [(1)]
Amendments to IAS 21	Lack of Exchangeability [(2)]
IFRS Sustainability Disclosure Standards	Sustainability disclosure [(1)]

[(1)] Effective for annual periods beginning on or after January 1, 2024.
[(2)] Effective for annual periods beginning on or after January 1, 2025.

Amendments to IFRS 16 Sale-Leaseback Transactions

In September 2022, the IASB issued amendments to IFRS16, in which it clarifies that in a sale-leaseback transaction, the seller-lessee must recognize the right-of-use asset and the lease liability according to the recognition guidelines established. Determining the lease payments revised in such a way that it does not recognize any gain or loss that is related to the right of use retained by the seller-lessee. The application of these requirements does not prevent the seller-lessee from recognizing in the result of the period any gain or loss related to the partial or total termination of a lease.

These modifications are applicable for annual periods beginning on or after January 1, 2024, with early application being permitted.

The Company will evaluate the impacts of this standard in case it has these transactions in the future.

Amendments to IAS 1 Non-current liabilities with covenants

In October 2022, the IASB issued amendments to IAS 1, in which it establishes that an entity could classify liabilities derived from loan agreements as non-current when the entity's right to defer the settlement of those liabilities is subject to that the entity complies with the covenants within the twelve months following the reporting period, when this happens information will be disclosed in the notes to the financial statements to understand the risk of the liabilities that may be payable in the following twelve months to the reporting period.

These amendments are applicable for annual periods beginning on or after January 1, 2024, with early application being permitted.

The Company will apply these modifications when it has liabilities with right to defer.

Amendments to IAS 7 and IFRS 7 Supplier Finance Arrangements

In May 2023, the IASB amended the amendments to IAS 7 and IFRS 7, related to disclosures on supplier finance arrangements, which mainly include:

- Terms and conditions of financing agreements.
- The carrying amounts, and associated line items presented in the statement of financial position, of the financial liabilities that are part of a supplier finance arrangement.
- Range of due dates compared to accounts payable that are not part of financing agreements.

These modifications are applicable for annual periods beginning on or after January 1, 2024.

As of December 31, 2023, the Company is currently in the process of evaluating the impacts on the disclosures to the consolidated financial statements as a consequence of the amendments in this standard.

Amendments to IAS 21 Lack of Exchangeability

In August 2023, the IASB issued modifications to IAS 21, focused on the evaluation of whether an exchange rate exists from one currency to another, and if it is concluded that it does not exist, guidelines are established so that the entity can estimate the same.

These modifications are applicable for annual periods beginning on or after January 1, 2025.

As of December 31, 2023, the Company is analyzing the implications of these modifications, however, no relevant impacts are expected.

IFRS Sustainability Disclosure Standards

In November 2021, the creation of the International Sustainability Standards Board ("ISSB") was announced, with the goal of issuing standards that will result in a comprehensive, high-quality global baseline of focused sustainability disclosures. on the needs of investors and financial markets. In June 2023, the ISSB issued IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information and IFRS S2 Climate-related Disclosures.

These amendments are applicable for annual periods beginning on or after January 1, 2024, with early application being permitted.

As of December 31, 2023, the Company is analyzing the information that has been disclosed to investors in order to align with these new standards.

c) Consolidated statement of profit or loss and other comprehensive Income

The Company presents its profit or loss in two separate statements: i) the consolidated statement of profit or loss, and ii) the consolidated statement of other comprehensive income. The Company's expenses are presented based on their function, which is consistent with the customary practices of the industry to which the Company belongs. The nature of these expenses is described in Note 21. Although not required to do so under IFRS, the Company includes operating profit in the consolidated statement of profit or loss, since this item is an important indicator for evaluating the Company's financial and business performance.

d) Consolidated statements of cash flows

The Company prepares the statement of cash flows using the indirect method. Interest and dividends received are shown as investing activities, while interest and dividends paid are shown as financing activities. As of December 31, 2023, 2022 and 2021 there were no material non-monetary transactions in investment and financing activities.

3. Material information on accounting policies

To comply with the requirements of IAS 1, the Company comprehensively evaluates the following factors to determine whether an accounting policy is material or not, for the purposes of disclosure in the financial statements:

- Refers to a relevant item in the financial statement
- Has had changes in the current period
- Choose between accounting record alternatives established by IFRS.
- It was developed in the absence of a specific IFRS
- If it requires significant judgments or assumptions
- Refers to complex operations

a) Compliance statement

The Company's consolidated financial statements have been prepared in accordance with IFRS, as issued by the IASB.

b) Basis of preparation

The Mexican peso is the Company's functional currency for transactions in Mexico and the presentation currency of its consolidated financial statements.

The accompanying consolidated financial statements have been prepared on a historical cost basis, except for certain assets and liabilities (mainly derivative financial instruments) and other equity instruments, which are measured at fair value at the end of the reporting period, and the non-monetary assets of the Company's subsidiaries in hyperinflationary economies, which are restated for inflation, as explained in the accounting policies below.

i. Historical cost

Historical cost is generally equal to the fair value of the consideration to which the Company is entitled in exchange for the goods and services received.

ii. Fair value

Fair value is the price to sell an asset or transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the Company takes into account the characteristics of the asset or liability that market participants would take into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined on such a basis, except for measurements that have some similarities to fair value but are not fair value, such as net realizable value in IAS 2 or value-in-use in IAS 36.

Additionally, for financial reporting purposes, fair value measurements are categorized into Level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which is described as follows:

- Level 1: quoted (unadjusted) market prices in active markets for identical assets or liabilities that the Company can access at the measurement date.
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly indirectly
- Level 3: unobservable inputs are considered.

Basis of presentation

Current versus non-current (short-term versus long-term) classification

The Company presents assets and liabilities in the consolidated statement of financial position as current when it is:

- Expected to be realized or intended to be sold or consumed in the normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realized within twelve months after the reporting period
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

c) Basis of consolidation

In accordance with IFRS 10, the consolidated financial statements comprise the financial statements of the Company, its subsidiaries and other entities as of December 31, 2023, 2022 and 2021.

The Company's most significant subsidiaries included in the consolidated financial information are as follows:

Subsidiary	% equity interest	Country	Segment	Primary activity
Bimbo, S.A. de C.V.	97	Mexico	Mexico	Baking
Barcel, S.A. de C.V.	98	Mexico	Mexico	Snacks
Productos Ricolino, S.A.P.I. de C.V. (1)	0	Mexico	Mexico	Confectionery
Bimbo Bakeries, Inc.	100	United States	North America	Baking
Canada Bread Corporation, LLC	100	Canada	North America	Baking
Bimbo do Brasil, Ltda.	100	Brazil	Latin America	Baking
Bakery Iberian Investments, S.L.U.	100	Spain and Portugal	EAA	Baking

(1) On November 1, 2022, the confectionery business was sold, for the years 2022 and 2021 there was a participation of 98%.

Subsidiaries are consolidated from the date on which control is transferred to the Company and are no longer consolidated from the date that control is lost. Gains and losses of subsidiaries acquired during the year are recognized in the consolidated statement of profit or loss and statement of comprehensive income from the acquisition date, as applicable.

Non-controlling interest represents the portion of profit or loss and net assets that do not correspond to the Company but to the minority shareholders and is recognized separately in the consolidated financial statements.

The political and economic situation in Venezuela has significantly limited the capacity of the Company's subsidiaries in Venezuela to maintain their production process under normal conditions. Due to the above, and since Grupo Bimbo will continue its operations in Venezuela, as of June 1, 2017, the Company changed the method under which it consolidated the financial position and performance of its operations in Venezuela; therefore, at the date of these financial statements, the Company measures its investment in Venezuela at fair value through other comprehensive income (OCI), in accordance with IFRS 9.

The Company elected to classify irrevocably its equity investments in affiliates in Venezuela under this category as it intends to hold these investments for the foreseeable future. As of December 31, 2023, 2022 and 2021, the Company recognized an impairment loss of $236, $32 and $112, respectively, in other comprehensive income.

Profit or loss and each component of OCI are attributed to the equity holders of the parent of the Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

All intercompany balances and transactions have been eliminated on consolidation.

d) Business combination

Business combinations are accounted for using the acquisition method. The consideration transferred in a business acquisition is measured at fair value, which is calculated as the sum of the fair values of the assets transferred by the Company, the liabilities incurred by the Company to the former owners of the acquiree and the equity interests issued by the Company in exchange for control of the acquiree. Costs related to the acquisition are generally recognized in profit or loss as incurred.

At the acquisition date, all identifiable assets acquired and liabilities assumed in a business combination are measured at fair value, except for:

- Deferred tax assets or liabilities and assets or liabilities related to employee benefits are recognized and measured in accordance with IAS 12 *Income Taxes* and IAS 19 *Employee Benefits*, respectively;

- Liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the Company entered into to replace share-based payment arrangements of the acquiree that are measured in accordance with IFRS 2 *Share-based Payments* at the acquisition date (as of December 31, 2023, 2022 and 2021, the Company does not have share-based payments);

- Assets (or disposal groups) that are classified as held for sale and measured in accordance with IFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*.

Goodwill is measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If, after reassessment, the fair value of the net assets acquired and liabilities assumed at the acquisition date is in excess of the aggregate consideration transferred, the amount recognized for non-controlling interests in the acquiree and any previous interest held over the acquiree is recognized in profit or loss as gain on business combinations.

Non-controlling interests may be initially measured either at fair value or at the proportional share of the acquiree's identifiable net assets. The election is made on a transaction-by-transaction basis.

When the consideration transferred by the Company in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at fair value at the acquisition date and is included as part of the consideration transferred. Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively and the corresponding adjustments are charged against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period' (which cannot exceed one year following the acquisition date) on facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on the classification of the contingent consideration. Contingent considerations classified as equity are not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Contingent considerations classified as assets or liabilities are remeasured at subsequent reporting dates in accordance with IFRS 9 or IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, as appropriate, and the corresponding gain or loss is recognized in profit or loss.

When a business combination is achieved in stages, any previous interest held over the acquiree is remeasured at fair value at the acquisition date and the resulting gain or loss, if any, is recognized in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognized in other comprehensive income are reclassified to profit or loss when such treatment is appropriate if that interest is disposed of.

If the initial accounting treatment for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Company must report provisional amounts for the items for which the accounting is incomplete. Such provisional amounts are adjusted during the measurement period or additional assets or liabilities are recognized to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognized at that date.

e) Discontinued operations

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as after-tax profit or loss from discontinued operations in the income statement. Additional disclosures are provided in Note 24. All other notes to the financial statements include amounts for continuing operations, unless otherwise indicated.

f) Foreign currency transactions

Exchange differences on monetary items are recognized in profit or loss, except in the following cases:

- Exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings;
- Exchange differences on transactions entered into in order to hedge certain foreign currency risks (see Note 17);
- Exchange differences on monetary assets or liabilities related to foreign operations with no planned settlement and for which payment cannot be made (thus forming part of the net investment in the foreign operation) are initially recognized in other comprehensive income and are reclassified from equity to profit or loss as reimbursements of monetary items.

Translation to the Company's presentation currency

On consolidation, the assets and liabilities of foreign operations are translated into Mexican pesos using the prevailing exchange rate at the reporting date. Income and expense items are translated at the average exchange rates for the period, unless the exchange rates fluctuate significantly during that period, in which case the exchange rates at the dates of the transactions are used. The assets and liabilities of operations in hyperinflationary economies are translated using the exchange rate prevailing at the reporting date. The exchange differences arising on translation for consolidation are recognized in other comprehensive income and accumulated in equity and attributed to non-controlling interests as appropriate.

On disposal of a foreign operation (i.e. a disposal of the Company's entire interest in a foreign operation, or a disposal involving loss of control over a subsidiary that includes a foreign operation, or a partial disposal of an interest in a joint arrangement or an associate that includes a foreign operation of which the retained interest becomes a financial asset), the component of OCI relating to that particular foreign operation is reclassified to profit or loss.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the spot rate of exchange at the reporting date. Exchange differences resulting from the translation are recognized in other comprehensive income.

The annual average and closing exchange rates of the Mexican peso and the exchange rates functional currencies of the countries of the main subsidiaries is as follows:

	Average exchange rate			Closing exchange rate		
	2023	2022	2021	2023	2022	2021
USA	17.7620	20.1250	20.2818	16.8935	19.3615	20.5835
Canada	13.1629	15.4634	16.1111	12.7508	14.2931	16.1782
Spain	19.2096	21.2057	23.3129	18.6673	20.6510	21.4648
Brazil	3.5530	3.8960	3.6885	3.4895	3.7107	3.7629
Argentina	0.0602	0.1542	0.2004	0.0209	0.1093	0.2133

g) Financial assets

All recognized financial assets are measured subsequently in their entirety at either amortized cost or fair value, depending on the classification of the financial assets.

Financial asset classification

Financial instruments are measured at fair value through OCI if both of the following conditions are met:

- The financial asset is held within a business model with the objective of both holding to collect contractual cash flows and selling
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

The remaining financial assets are subsequently measured at fair value through profit or loss (FVTPL).

Notwithstanding the above, upon initial recognition, the Company can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they are not held for trading and do not correspond to contingent consideration transferred by an acquirer in a business combination.

Equity investments at fair value through OCI are initially measured at cost, plus transaction costs, and are subsequently measured at fair value and the gains and losses from the fair value changes are recognized in OCI. Upon derecognition, cumulative gains and losses are never recycled to profit or loss, and instead are recorded in retained earnings.

Derecognition of financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognized when:

- The rights to receive cash flows from the financial asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

1. Accounts receivable

Trade accounts receivable and other accounts receivable are non-derivative financial assets with fixed or determinable payments that are not traded on an active market. These instruments are classified as accounts receivable and are measured at amortized cost using the effective interest rate method and are subject to impairment.

Interest income is recognized by applying the effective interest rate, except for short-term receivables when the effect of discounting is immaterial.

2. Impairment in the value of financial assets

The Company assesses at each reporting date whether its non-FVTPL financial assets are impaired.

The Company recognizes a provision for expected credit losses for trade receivables. The Company uses a provision matrix to calculate expected credit losses for trade receivables. The provision matrix is initially based on the Company's historical credit loss experience and is subsequently adjusted for factors that are specific to the debtors, general economic conditions and an assessment of the current direction and forecast of future conditions at the reporting date, including the time value of money, when applicable.

The Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Regarding trade accounts receivables, the carrying amount is reduced through the expected credit losses reserve. When an account receivable is considered uncollectible, it is written off against this estimate. Subsequent recovery of amounts previously eliminated become credits against the estimate. Changes in the book value of the estimates account are recognized in the results of the year.

h) Inventories and cost of sales

Inventories are valued at the lower of cost or net realizable value.

Costs incurred in bringing each product to its present location and condition are accounted for, as follows:

- Raw materials, containers, packaging and spare parts: at cost, which includes the cost of the merchandise plus import costs, minus discounts, using the average cost method.
- Finished goods and orders in process: standard cost equal to the cost of direct materials and direct labor costs, plus a proportion of manufacturing overheads based on the normal operating capacity.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs to sell and the estimated costs necessary to make the sale.

i) Property, plant and equipment

Property, plant and equipment is recognized at its adjusted historical cost, net of accumulated depreciation and accumulated impairment losses, if any. Fixed assets acquired in Mexico before December 31, 2007 were restated for inflation through that date based on the National Consumer Price Index (NCPI), which became the estimated cost of such assets as of January 1, 2011 upon the Company's adoption of IFRS.

The cost includes those costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

The costs of expansion, remodeling or improvements that enhance the capacity and increase the productivity and extend the useful life of the asset are also capitalized. Repair and maintenance costs are expensed as incurred. The carrying amount of the replaced asset, if any, is derecognized when replaced, and the effect is recognized in profit and loss.

Freehold land is not depreciated. Depreciation of property, plant and equipment is calculated on the assets' carrying amounts on a straight-line basis over the estimated useful lives of the assets, as follows:

	No. of years
Buildings:	
Construction	15 – 30
Foundations	35 – 50
Roofs	10 – 30
Fixed facilities and accessories	10 – 20
Production equipment	3 – 25
Transportation equipment	8 – 16
Furniture and equipment	2 – 18
Computing equipment	4
Leasehold improvements	The lower of either the related lease term or the useful life of the asset

The Company allocates the amount initially recognized in respect of an item of buildings and production equipment to its various significant parts (components) and depreciates each of these components separately.

The carrying amount of an asset is adjusted to its recoverable value, when the carrying amount exceeds its estimated value in use.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected from its use. Any gain or loss arising from derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in results.

Leasehold improvement and adaptations to buildings and sites in which the Company is the lessee are recognized at historical cost less the respective amortization.

j) Right-of-use assets

Right-of-use assets are initially measured at the present value of lease payments, less any lease incentives received and initial direct costs. Right-of-use assets are subsequently measured at cost net of accumulated depreciation, impairment losses and adjustments for any remeasurement of lease liabilities in accordance with IFRS 16. The Company decided to present leases as finance or capitalized operating as shown in Note 9.

Right-of-use assets are depreciated over the shorter of the lease term and the estimated useful lives of the assets. If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

Lease payments for low-value assets (less than USD5,000) and short-term leases (less than 12 months) are recognized directly in profit or loss.

k) Intangible assets

Intangible assets are primarily comprised of trademarks and customer relationships resulting from the acquisition of businesses. Intangible assets acquired through a business combination are recognized at fair value at the acquisition date, separately from goodwill. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses. Internally generated intangibles, excluding development costs, are not capitalized and the related expenditure is reflected in profit or loss in the period in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite, based on the contractual terms established at acquisition. Trademarks are considered to have indefinite useful lives when ownership is acquired and otherwise are amortized.

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indicator that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed and adjusted at least at the end of each reporting period. The amortization expense on intangible assets with finite lives is recognized in the statement of profit or loss under general expenses.

Intangible assets with indefinite useful lives are not amortized but are tested for impairment at least annually. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

l) Impairment of tangible and intangible assets, other than goodwill

At the end of each reporting period, the Company assesses whether there is any indicator that its tangible and intangible assets, including right-of-use assets, may be impaired. If any such indication exists, the Company estimates the asset's recoverable amount. If it is not possible to estimate the recoverable amount of the individual asset, the Company determines the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis can be identified, corporate assets are also allocated to the cash-generating unit, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified. Intangible assets with indefinite useful lives or not yet available for use, are tested for impairment on an annual basis (for trademarks with indefinite useful lives the recoverable value assessment is estimated by adding it to the CGU of the corresponding group, given that the trademarks do not generate independent cash flows) or more often if there is any indication that the intangible asset may be impaired.

The recoverable amount is the higher of the asset's fair value less costs to sell and its value-in-use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. Impairment losses are recognized immediately in profit or loss.

Annually, when there are indicators that the carrying amount of the Company's assets with finite useful lives has significantly increased, due to changes in the legal, economic, technological or market environment in which the asset is operated or to changes in interest rates that will affect the discount rate used in prior periods to determine the value in use of the asset, the Company estimates the new recoverable amount of the asset on an annual basis in order to determine the amount of accumulated impairment losses to be reversed.

Where an impairment loss is subsequently reversed, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognized immediately in the statement of profit or loss.

m) Goodwill

Goodwill arising from business combinations is recognized at the cost determined on the acquisition date of the business, as described in the business acquisitions policy note, net of any accumulated impairment losses (see Note 12).

Goodwill is allocated to each cash-generating unit (or group of cash-generating units) that is expected to benefit from the synergies achieved from the combination.

The cash-generating units to which goodwill has been allocated are tested for impairment on an annual basis, or more frequently if there are any indicators of impairment. If the recoverable amount of a cash-generating unit is lower than its carrying amount, the impairment losses recognized in respect of the cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to reduce the carrying amount of the other assets in the unit on a pro rata basis. Impairment in goodwill is recognized directly in profit or loss. Any loss from impairment in the value of goodwill cannot be reversed in future years.

When the relevant cash-generating unit is disposed of, the remaining amount of goodwill is included in the calculation of gains or losses at the time of the disposal.

n) Financial liabilities

Financial liabilities are initially recognized at fair value, net of transaction costs, except for financial liabilities designated at fair value through profit or loss, which are initially recognized at fair value. Subsequent measurement depends on the designation of the financial liability.

Financial liabilities are classified as either financial liabilities at fair value through profit or loss (FVTPL) or other financial liabilities. Note 17 describes the category of each financial liability of the Company.

Subsequent measurement depends on the category of the financial liability. Loans and borrowings are subsequently measured using effective interest method. Gains and losses are recognized in the consolidated statements of profit or loss when the liabilities are amortized. Amortized cost is calculated considering any discount or premium on acquisition and fees or costs that are an integral part of the effective interest method. The effective interest method amortization is included in interest expense caption. For subsequent measurement of derivatives see Note 3o).

Derecognition of financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

o) Derivative financial instruments and hedge accounting

Derivatives are initially recognized at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. The method for recognizing the related gain or loss from changes in fair value of the derivative financial instrument depends on whether they are designated as hedging instruments, and if so, the nature of the hedging relationship. The Company only holds derivative financial instruments classified as cash flow hedges and hedges of net investment in foreign operations.

At the inception of a hedge relationship, the Company formally documents the hedge relationship between the hedging instrument and the hedged items, including the risk management objective and strategy for undertaking the hedge. Periodically, the Company documents whether the derivative financial instrument is highly effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk.

The hedge ineffectiveness can arise from:

- Differences in the timing of the cash flows of the hedged items and the hedging instruments
- Different indexes (and accordingly different curves) linked to the hedged risk of the hedged items and hedging instruments
- The counterparties' credit risk differently impacting the fair value movements of the hedging instruments and hedged items
- Changes to the forecasted amount of cash flows of hedged items and hedging instruments

Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. Derivatives are not offset in the consolidated financial statements unless the Company has both a legally enforceable right and intention to offset. Derivatives are accounted for as non-current assets or liabilities if the remaining maturity of the instrument is more than 12 months and the instrument is not expected to be realized or settled within 12 months. All other derivatives are accounted for as current assets or liabilities.

Cash flow hedges

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognized in OCI under Valuation effects of cash flow hedges. The gain or loss relating to the ineffective portion is immediately recognized in profit or loss. Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss as a reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

Any gain or loss recognized in other comprehensive income and accumulated in equity at that time remains in equity and is recognized in profit or loss when the forecast transaction occurs, and its effects are ultimately recognized in profit or loss.

Hedge accounting is discontinued when the Company revokes the hedging relationship, when the hedging instrument expires or is sold, terminated, or exercised, when the hedge effectiveness requirements are not met or when the Company decides to cancel the hedge designation. To give continuity to the hedging strategy, the Company may extend the hedging terms of the hedged item, by contracting new derivative instruments respecting the main characteristics of the derivative and the original hedging strategy without altering the objective of the administration of Company risk.

Hedges of net investment in foreign operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain or loss on the hedging instrument relating to the effective portion of the hedge is recognized in other comprehensive income and accumulated under the heading of Translation effects of foreign subsidiaries. The gain or loss relating to the ineffective portion is immediately recognized in profit or loss under Foreign Exchange gain/(loss), net. Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss on the disposal of the foreign operation.

p) Lease liabilities

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the incremental borrowing rate (IBR) applicable in the countries where the Company operates. The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made and is adjusted for certain remeasurements or amendments made to the lease contracts.

The estimated IBR is the interest rate that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right of use asset in a similar economic environment. The Company estimates the IBR using observable inputs, such as market interest rates, when available, and its credit rating.

Leases for which the lease term ends within 12 months after the date of initial application irrespective of when the lease term commenced are accounted for as short-term (current) leases in the consolidated statement of financial position; otherwise, they are accounted for as long-term (non-current) leases.

q) Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations and a reliable estimate can be made of the amount of the obligations.

The amount recognized as a provision is the best estimate of the expenditure required to settle the present obligation at the balance sheet date, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured based on the estimated cash flows required to settle the present obligation, it is carrying amount represents the present value of these cash flows when the effect of the time value of money is material.

All contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. At the end of subsequent reporting periods, such contingent liabilities are measured at the higher of the amount that would be recognized in accordance with IAS 37 and the amount initially recognized, less cumulative amount of income recognized in accordance with IFRS 15.

Uncertain tax treatments

The Company constantly evaluates the tax treatments of all its consolidated entities and identifies the tax treatments for which there is uncertainty as to their acceptance by the tax authorities. In view of the current circumstances of the reviews underway, as well as the tax treatments applied by the entities, the tax treatments are quantified considering the conditions of each tax jurisdiction and the approach that better predicts the resolution of the uncertainty, using the most likely amount or the expected value method, as applicable. The related effects are recognized in the statement of profit or loss.

The Company determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

r) Income tax

Income tax expense consists of current and deferred tax. Current and deferred taxes are recognized as either income or an expense in profit or loss, except for tax items that must be recognized as other comprehensive income items or in equity. For business combinations, the tax effect is included in the recognition of the business combination.

1. Deferred taxes

Deferred taxes are recognized on all temporary differences between financial reporting and tax values of assets and liabilities based on tax rates that have been enacted at the reporting date and where applicable, they include unused tax losses and certain tax credits. Deferred tax assets or liabilities are recognized for all temporary differences, with certain exceptions. The Company recognizes a deferred tax asset for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilized.

Deferred taxes are recognized for all taxable temporary differences, except:

i) when the deferred tax arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
ii) in respect of temporary differences associated with investments in subsidiaries and associates, when it is probable that the temporary differences will not reverse in the foreseeable future.
iii) taxable temporary differences arising on the initial recognition of goodwill. Deferred tax assets are recognized to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that taxable profit will be available against

which the deductible temporary difference can be utilized. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the liability is settled or the asset is realized, based on tax rates (and tax laws) that have been enacted or substantively enacted, for future tax periods, at the end of the reporting date.

The Company offsets deferred tax assets and deferred tax liabilities only if it has a legally enforceable right to set off current tax assets and current tax liabilities and relate to income taxes levied by the same taxation authority or if they are different taxable entities, which intend either to settle current tax liabilities and assets on a net basis, or to realize the assets and settle the liabilities simultaneously.

s) Employee benefits

i. Pensions and seniority premiums

Defined contribution plans are post-employment benefit plans under which an entity pays fixed contributions into a separate entity or a fund and will have no legal or constructive obligation to pay further contributions. The obligation is recognized as an expense when the employees have rendered the service entitling them to the contributions.

A defined benefit plan is a post-employment plan under which the Company has the obligation to provide the agreed benefits to current and former employees. The cost of providing benefits under a defined benefit plan that includes pensions and seniority premiums is determined using the projected unit credit method, with actuarial valuations being carried out at the end of each annual reporting period. Remeasurements, comprising actuarial gains and losses, the effect of the changes to the asset ceiling (if applicable) and the return on plan assets (excluding interest), are immediately recognized in the statement of financial position with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Remeasurements are not reclassified to profit or loss in subsequent periods. Past service costs are recognized in profit or loss at the date of the plan amendment. Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

The defined benefit retirement plan obligation recognized in the consolidated statement of financial position includes changes in the present value of the defined benefit obligation. The present value of the net defined benefit obligation is determined based on the discounted value of estimated net cash flows, using interest rates tied to government bonds denominated in the same currency in which the benefits are to be paid and whose terms are similar to those of the obligation.

ii. Statutory employee profit sharing

In Mexico, Ecuador and Brazil, the Company is required to recognize a provision for employee profit sharing when it has a present legal or constructive obligation as a result of a past event and the amount can be reliably estimated. Employee profit sharing is recognized in profit or loss as incurred.

iii. Short-term employee benefits

A liability is recognized for benefits accruing to employees in respect of wages and salaries, annual leave, short-term bonus and sick leave in the period the related service is rendered.

iv. Termination benefits

A liability is recognized for termination benefits only when the Company cannot withdraw its offer to provide termination benefits to the employee and/or when it recognizes the related restructuring costs.

v. Long-term bonus

The Company grants a long-term cash bonus to certain executives, which is calculated based on performance metrics. The bonus is paid 30 months following the date on which it was granted, and it is recognized in profit or loss in the year in which it accrues and the employee is entitled to receive the bonus.

vi. Multi-employer pension plans (MEPP)

The Company classifies multi-employer plans as defined contribution plans or defined benefit plans in order to determine the accounting for such plans. If the MEPP is classified as a defined benefit plan, the Company accounts for its proportionate share of the defined benefit obligation, plan assets and costs associated with the plan in the same manner as for any other defined benefit plan. When sufficient information is not available to use defined benefit accounting for a MEPP, the Company accounts for such plan as a defined contribution plan and recognized in profit or loss the total amount of contributions paid by the employer.

Liabilities related to the payment of or withdrawal from a multi-employer plan is recognized and measured in accordance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets.*

t) Revenue recognition

The Company earns its revenue primarily from contracts with customers for the sale of products. Revenue is recognized when control of the goods is transferred to the customer, which is when the performance obligation is satisfied and the Company is entitled to collect the consideration from the customer in exchange for these products. To determine the transaction price, the Company considers the effects of variable considerations such as rights of return and rebates. Payments made to customers for commercial services are recognized as distribution and selling expenses.

Rights of return

Certain contracts provide a customer with a right to return the goods within a specified period. The Company uses the expected value method to estimate the goods that will be returned because this method best predicts the amount of variable consideration to which the Company will be entitled. For goods that are expected to be returned, the Company recognizes a refund liability and a corresponding adjustment to revenue.

Volume rebates

The Company provides retrospective volume rebates to certain customers when the conditions established in the contract are met. Rebates are offset against amounts payable by the customer and against the respective revenue. To estimate the variable consideration for the expected future rebates, the Company applies the most likely amount method for contracts with a single-volume threshold and the expected value method for contracts with more than one volume threshold.

u) Reclassifications

Certain captions shown in the consolidated financial statements for the year ended December31, 2022 and 2021 as originally issued have been reclassified for uniformity of presentation with the 2023 financial statements. The effects of these reclassifications were recognized retrospectively, in accordance with IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors.

	Reference	Balance as of December 31, 2022 as originally reported	Reclassifications	Reclassified balances December 31, 2022
Investments in associates	(a)	$ 5,144	$ (746)	$ 4,398
Other non-current assets, net	(a)	$ 4,054	$ 746	$ 4,800

	Reference	Balance as of December 31, 2021 as originally reported	Reclassifications	Reclassified balances December 31, 2021
Investments in associates	(a)	$ 4,452	$ (561)	$ 3,891
Other non-current assets, net	(a)	$ 3,779	$ 561	$ 4,340

(a) The Entity presented its investment in the B37 Funds under the heading of investment in associates, which was reclassified to other non-current assets.

4. Critical accounting judgments and key sources of estimation uncertainty

In the process of applying the Company's accounting policies, which are described in Note 3, management is required to make judgments, estimates and assumptions about the carrying amount of assets and liabilities. The estimates and associated assumptions are based on historical experience and other factors that are considered relevant. Actual results could differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. The effects of changes in accounting estimates are recognized in the period of the change and future periods if the change affects both.

a) *Critical judgment in applying accounting policies*

Consolidation of structured entities

As described in more detail in Note 7, BBU has entered into agreements with third party contractors (Independent Commercial Partners) in which it holds no direct or indirect interest but that qualify as structured entities (SE). The Company has concluded that some of these structured entities meet the requirements to be consolidated in accordance with IFRS 10 *Consolidated Financial Statements*.

b) *Key sources of estimation uncertainty*

i. Useful lives, residual values and depreciation methods for long-lived assets

As described in Note 3, the Company periodically reviews the estimated useful lives, residual values and depreciation methods of long-lived assets, including property, plant and equipment and intangibles. Additionally, for intangible assets, the Company determines whether their useful lives are finite or indefinite. The Company, with an effective date of January 1, 2021, determined that the estimated useful life of the product displays ranges between 2 and 5 years; this change had an effect on the consolidated financial statements during the adoption period.

ii. Incremental borrowing rate

The Company uses its IBR to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment at contract inception date. The IBR therefore reflects what the Company 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Company estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates.

iii. Impairment of goodwill and indefinite-life intangible assets

Determining whether goodwill and indefinite-life intangible assets are impaired involves calculating the recoverable value of the cash-generating unit to which these assets have been allocated. Recoverable amount is the higher of fair value less costs of disposal and value-in-use. The calculation of the value-in-use requires the Company to determine the expected future cash flows from the cash-generating units, using an appropriate discount rate to calculate the present value.

iv. Fair value measurements

Derivative financial instruments are recognized in the statement of financial position at fair value at the reporting date. In addition, the fair value of certain financial instruments, mainly with respect to long-term debt, is disclosed in the accompanying notes, though there is no risk of adjustment to the related carrying amount (see Note 17). The Company has acquired businesses for which it is required to determine the fair value of the consideration paid, the identifiable assets acquired and liabilities assumed and, if applicable, the non-controlling interest at the date of the acquisition, as described in Note 1.

The fair values described above are estimated using valuation techniques that may include inputs that are not based on observable market data. The main assumptions used by management are described in the related notes. The Company considers that the valuation techniques and assumptions selected are appropriate for the determination of the fair values.

v. Employee benefits

The cost of defined benefit plans and MEPP (considered as defined benefits) is determined using actuarial valuations that involve assumptions related to discount rates, future salary increases, employee turnover rates and mortality rates, among others. Due to the long-term nature of these plans, the assumptions used for such estimates are subject to change.

vi. Recoverability of deferred income tax

To determine whether a deferred income tax asset related to tax losses carryforwards is impaired or if it will be recovered in the future, the Company analyses financial and tax projections to determine its recoverability.

vii. Insurance and other liabilities

Insurance risks in the United States of America related to the liability for general damages to third parties, car insurance and employee benefits are self-insured by the Company with coverage that is subject to specific limitations established in an insurance program. Provisions for claims are recorded on an incurred-claim basis. Insurable risk liabilities are determined using the Company's historical data. As of December 31, 2023, 2022 and 2021, the net liabilities amounted to $3,631, $4,741 and $5,546, respectively.

5. Trade accounts receivables and other accounts receivable

	2023	2022	2021
Trade receivables	$ 22,055	$ 22,449	$ 20,081
Allowance for expected credit loss [(1)]	(787)	(849)	(897)
	21,268	21,600	19,184
Notes receivable	62	69	23
Value added tax to be recovered [(2)]	8,541	5,879	3,541
Income tax and other recoverable taxes [(3)]	2,092	2,370	2,197
Sundry debtors [(4)]	1,306	2,267	2,225
	$ 33,269	$ 32,185	$ 27,170

(1) During 2022 and 2021, the Company had no significant increases in its trade receivables balance nor was it necessary to implement changes in the model for estimating expected credit losses as a result of the COVID-19 pandemic.

(2) During 2021, the Company recovered value added tax corresponding to the year 2020 for $3,506, mainly in the subsidiaries of Mexico.

(3) During March 2019, the Company obtained certain favorable rulings on legal actions in Brazil related to some contributions, recognizing a right to recover. As of December 31, 2021, the recoverable tax balance amounts to $170.

(4) As of December 31, 2022 and 2021, this balance includes an amount of $41 and $569 receivable from the insurance claim associated with the casualty in the San Fernando plant in Argentina.

Credit terms on non-cash sales of goods range from 21 to 60 days, depending on the customer and local business policies of the subsidiaries of the Company.

6. Inventories

	2023	2022	2021

Raw materials, containers and packaging	$ 7,100	$ 7,331	$ 5,966
Work in progress	96	171	111
Finished goods	6,086	6,030	4,864
Spare parts	1,002	1,832	1,400
	14,284	15,364	12,341
Raw materials in transit	1,836	1,625	1,369
	$ 16,120	$ 16,989	$ 13,710

For the years ended December 31, 2023, 2022 and 2021, the Company recognized inventory usage of $131,052, $133,808 and $106,199, respectively, in cost of sales, of which $$4,355, and $4,631 correspond to the discontinued operation for the years ended December 31, 2022 and 2021 respectively.

7. Structured entities

The Company, through its subsidiary BBU, enters into agreements with independent business partners for distribution rights to sell and distribute the Company's products through direct deliveries to retail stores in certain sales territories. The Company does not hold equity interests in any of the entities controlled by the independent business partners, some of which, finance the purchase of distribution rights through loans from financial institutions with the Company's support. To maintain working routes and ensure the delivery of products to customers, the Company assumes explicit and implicit commitments. The Company has concluded that all independent business partners that are legal entities qualify as Structured Entities (SE), primarily due to the financial and operative support they receive from the Company. Based on this, the SE are consolidated in the Company's financial statements.

An analysis of the assets and liabilities of independent operators before eliminations as of December 31 2023, 2022 and 2021 is as follows:

	2023	2022	2021
Inventories	$ 197	$ 295	$ -
Right of use – vehicles	3,335	3,422	3,653
Distribution rights	6,816	7,664	8,138
Total assets	$ 10,348	$ 11,381	$ 11,791
Current portion of non-current debt:			
Obligations under finance leases	$ 767	$ 830	$ 807
Accounts payables	1,018	1,167	-
Loans granted to independent business partners	35	43	45
Non-current debt:			
Obligations under finance leases	1,341	1,319	1,715
Loans granted to independent business partners	43	44	53
Debt with affiliates (net of accounts receivable)	6,340	6,301	6,581
Total liabilities	$ 9,544	$ 9,704	$ 9,201
Non-controlling interest	$ 804	$ 1,677	$ 2,590

Funding provided by BBU to independent business partners that have been classified as SE and consolidated are eliminated in the consolidated financial statements.

Non-current lease liabilities are secured by the vehicles subject to leases and do not represent additional claims on the Company's assets.

In addition, BBU has sold certain distribution rights to third-parties. These routes may be repurchased again from third-parties to operate or resell them. During 2023, 2022 and 2021, total buybacks, net of sales, were approximately $1,566, $372 and $519, respectively. When BBU buys a route from an unconsolidated entity, this transaction is accounted for in accordance with IFRS 3. BBU recognizes at the date of the buyback transaction, an impairment when the purchase price of the distribution rights es lower than its cost.

BBU funds up to 90% of the distribution rights sold to certain independent operators. The loans bear interest of between 6% and 11%, with a weighted monthly average of 10%, and are payable in 120 monthly installments. Independent operators make an initial payment to the Company for the remaining 10% of the purchase price. In most cases, an independent third-party finances the down payment. Both the Company and the financing of independent third parties are guaranteed by the distribution routes, equipment, customer lists, and other assets. The independent third-party has priority over the collateral.

Net gain or loss originating from the sale of routes to an entity that is consolidated under IFRS 10 is eliminated in consolidation. Net gain originating from the sale of the distribution rights to entities that are not consolidated under IFRS 10 is deferred primarily due to the financing provided by BBU and an independent third party. BBU recognizes the deferred gain on a straight-line basis over the remaining term of the note receivable after the independent operator obtains a 10% ownership level over the route and, where applicable, the one year put option has expired. BBU recognized losses of $47, $213 y $580 for the sale of routes during 2023, 2022 and 2021, respectively, which is reflected in different lines of the income statement.

8. Property, plant and equipment

A reconciliation of the carrying amount of intangible assets at the beginning and at the end of 2023, 2022 and 2021 is as follows:

	Balance as of January 1, 2023	Additions and depreciation of the year [3]	Business combinations and PPA adjustments[1]	Transfers[2]	Translation effect	Disposals	Impairment	Inflation restatement	Balance as of December 31, 2023
Investment:									
Buildings	$ 32,774	$ -	$ 826	$ 3,046	$ (4,624)	$ (402)	$ -	$ 1,257	$ 32,877
Manufacturing equipment	107,462	-	1,396	13,824	(10,931)	(2,869)	-	1,627	110,509
Vehicles	16,030	-	207	5,088	(464)	(733)	-	96	20,224
Office equipment and displays	6,475	-	19	2,639	(354)	(79)	-	53	8,753
Computer equipment	7,257	-	8	894	(726)	(445)	-	58	7,046
Total investment	169,998	-	2,456	25,491	(17,099)	(4,528)	-	3,091	179,409
Depreciation and impairment:									
Buildings	(17,841)	(1,316)	-	35	2,743	320	(14)	(891)	(16,964)
Manufacturing equipment	(55,190)	(7,712)	-	48	6,393	2,233	(156)	(1,157)	(55,541)
Vehicles	(7,288)	(1,073)	-	-	203	622	-	(21)	(7,557)
Office equipment and displays	(1,813)	(1,276)	-	1	119	75	-	(15)	(2,909)
Computer equipment	(5,742)	(815)	-	-	617	436	(2)	(48)	(5,554)
Total accumulated depreciation	(87,874)	(12,192)	-	84	10,075	3,686	(172)	(2,132)	(88,525)
	82,124	(12,192)	2,456	25,575	(7,024)	(842)	(172)	959	90,884
Land	8,144	-	113	351	(879)	(118)	-	166	7,777
Construction in process and machinery in transit	23,375	34,754	468	(25,808)	(2,748)	57	-	553	30,651
Less: Assets held for sale	(138)	-	-	(23)	5	-	-	-	(156)
Net investment	$ 113,505	$ 22,562	$ 3,037	$ 95	$ (10,646)	$ (903)	$ (172)	$ 1,678	$ 129,156

	Balance as of January 1, 2022	Additions and depreciation of the year [3]	Business combinations and PPA adjustments[1]	Discontinued operation	Transfers[2]	Translation effect	Disposals	Impairment	Inflation restatement	Balance as of December 31, 2022
Investment:										
Buildings	$ 34,256	$ -	$ 130	$ (350)	$ 907	$ (2,869)	$ (174)	$ -	$ 874	$ 32,774
Manufacturing equipment	105,750	-	532	(2,635)	11,363	(7,155)	(1,481)	-	1,088	107,462
Vehicles	14,944	-	14	(506)	2,250	(227)	(479)	-	34	16,030
Office equipment and displays	3,953	-	29	(77)	2,738	(160)	(24)	-	16	6,475
Computer equipment	7,016	-	7	(67)	826	(409)	(155)	-	39	7,257
Total investment	165,919	-	712	(3,635)	18,084	(10,820)	(2,313)	-	2,051	169,998
Depreciation and impairment:										
Buildings	(18,081)	(1,696)	(1)	185	695	1,523	164	-	(630)	(17,841)
Manufacturing equipment	(53,123)	(7,231)	-	1,336	(309)	3,961	1,006	(190)	(640)	(55,190)
Vehicles	(7,082)	(935)	-	238	3	115	382	(8)	(1)	(7,288)
Office equipment and displays	(1,130)	(770)	(18)	15	11	62	21	-	(4)	(1,813)
Computer equipment	(5,588)	(656)	(4)	32	12	349	144	(1)	(30)	(5,742)
Total accumulated depreciation	(85,004)	(11,288)	(23)	1,806	412	6,010	1,717	(199)	(1,305)	(87,874)
	80,915	(11,288)	689	(1,829)	18,496	(4,810)	(596)	(199)	746	82,124
Land	8,537	-	89	(76)	245	(736)	(20)	-	105	8,144
Construction in process and machinery in transit	14,633	28,669	10	(451)	(18,420)	(1,109)	(54)	-	97	23,375
Less: Assets held for sale	(194)	-	-	-	44	12	-	-	-	(138)
Net investment	$ 103,891	$ 17,381	$ 788	$ (2,356)	$ 365	$ (6,643)	$ (670)	$ (199)	$ 948	$ 113,505

	Balance as of January 1, 2021	Additions and depreciation of the year [3]	Business combinations and PPA adjustments[1]	Transfers	Translation effect	Disposals	Impairment	Inflation restatement	Balance as of December 31, 2021
Investment:									
Buildings	$ 31,431	$ -	$ 629	$ 2,044	$ (24)	$ (233)	$ -	$ 409	$ 34,256
Manufacturing equipment	95,573	-	1,038	10,210	230	(1,570)	-	269	105,750
Vehicles	14,545	-	10	875	15	(515)	-	14	14,944
Office equipment and displays	1,703	-	17	2,248	1	(16)	-	-	3,953
Computer equipment	6,851	-	8	807	109	(772)	-	13	7,016
Total investment	150,103	-	1,702	16,184	331	(3,106)	-	705	165,919
Depreciation and impairment:									
Buildings	(16,511)	(1,622)	-	201	(42)	168	(1)	(274)	(18,081)
Manufacturing equipment	(47,249)	(6,272)	-	(14)	(224)	925	(282)	(7)	(53,123)
Vehicles	(6,556)	(928)	-	28	(15)	397	-	(8)	(7,082)
Office equipment and displays	(851)	(305)	-	15	(3)	14	-	-	(1,130)
Computer equipment	(5,531)	(696)	-	(2)	(91)	744	-	(12)	(5,588)
Total accumulated depreciation	(76,698)	(9,823)	-	228	(375)	2,248	(283)	(301)	(85,004)
	73,405	(9,823)	1,702	16,412	(44)	(858)	(283)	404	80,915
Land	8,261	-	464	35	(70)	(241)	(24)	112	8,537
Construction in process and machinery in transit	9,722	20,671	766	(16,563)	35	(5)	-	7	14,633
Less: Assets held for sale	(140)	-	-	(55)	1	-	-	-	(194)
Net investment	$ 91,248	$ 10,848	$ 2,932	$ (171)	$ (78)	$ (1,104)	$ (307)	$ 523	$ 103,891

(1) This column in 2023 includes the preliminary fair value of BQ Colorado, Fortisa y Amaritta acquisition and the purchase price allocation adjustments (PPA) of: Twin City, Vel Pitar y Natural Bakery, in 2022 includes the preliminary fair value of St. Pierre acquisition and the purchase price allocation adjustments (PPA) of: Popcornopolis, Aryzta Brasil and Kitty Industries; in 2021 includes the fair value of the acquisitions of Modern Foods, Emmy's Organic and Dulces del Campo and the preliminary fair value of Popcornopolis, Aryzta Brasil y Kitty Industries acquisitions.

(2) Corresponds mainly to transfers of buildings and equipment to right-of-use assets.

(3) Includes depreciation of assets from business acquisitions from the acquisition date.

Impairment losses recognized during the year

In 2023, 2022 and 2021, the Company carried out an analysis of impairment indicators for buildings and manufacturing equipment, resulting in recognition of an impairment loss recognized in profit or loss of $172, $199 and $307, respectively.

As of December 31, 2022 and 2021, the Company performed its impairment analysis using the value-in-use of the manufacturing equipment in Argentina and resulted in an impairment loss recognized in profit or loss of $4 and $36, respectively.

9. Right-of-use assets and lease liabilities

A reconciliation of the carrying amount of right-of-use assets at the beginning and at the end of 2023, 2022 and 2021 is as follows:

	Balance as of January 1, 2023	Additions and depreciation of the year	Business combinations	Disposals	Early termination	Changes and initial costs	Translation effect	Balance as of December 31, 2023
Right-of-use assets:								
Buildings	$ 28,533	$ 2,107	$ 270	$ (633)	$ (199)	$ 657	$ (2,700)	$ 28,035
Vehicles	8,466	1,589	6	(176)	(273)	-	(973)	8,639
Other	442	49	-	(33)	(99)	-	(32)	327
	37,441	3,745	276	(842)	(571)	657	(3,705)	37,001
Assets under financial lease	5,757	6	-	(49)	-	537	(722)	5,529
Total right-of-use assets	43,198	3,751	276	(891)	(571)	1,194	(4,427)	42,530
Depreciation:								
Buildings	(9,458)	(3,138)	-	633	133	50	759	(11,021)
Vehicles	(3,465)	(1,187)	-	176	196	-	401	(3,879)
Other	(148)	(71)	-	33	47	-	15	(124)
	(13,071)	(4,396)	-	842	376	50	1,175	(15,024)
Assets under financial lease	(1,650)	(464)	-	49	-	203	204	(1,658)
Total accumulated depreciation	(14,721)	(4,860)	-	891	376	253	1,379	(16,682)
Right-of-use assets, net	$ 28,477	$ (1,109)	$ 276	$ -	$ (195)	$ 1,447	$ (3,048)	$ 25,848

	Balance as of January 1, 2022	Discontinued operation effect	Additions and depreciation of the year	Business combinations	Disposals	Early termination	Changes and initial costs	Translation effect	Inflation restatement increment	Balance as of December 31, 2022
Right-of-use assets:										
Buildings	$ 27,701	$ (522)	$ 1,924	$ 72	$ (562)	$ (318)	$ 1,459	$ (1,212)	$ (9)	$ 28,533
Vehicles	8,309	-	1,277	(2)	(189)	(324)	15	(620)	-	8,466
Other	293	-	202	(3)	(8)	(7)	(4)	(31)	-	442
	36,303	(522)	3,403	67	(759)	(649)	1,470	(1,863)	(9)	37,441
Assets under financial lease	5,915	-	36	-	-	-	202	(396)	-	5,757
Total right-of-use assets	42,218	(522)	3,439	67	(759)	(649)	1,672	(2,259)	(9)	43,198
Depreciation:										
Buildings	(7,009)	188	(3,319)	(4)	562	108	(191)	201	6	(9,458)
Vehicles	(2,885)	-	(1,265)	1	189	248	(5)	252	-	(3,465)
Other	(110)	-	(75)	3	8	7	2	17	-	(148)
	(10,004)	188	(4,659)	-	759	363	(194)	470	6	(13,071)
Assets under financial lease	(1,460)	-	(484)	-	-	-	187	107	-	(1,650)
Total accumulated depreciation	(11,464)	188	(5,143)	-	759	363	(7)	577	6	(14,721)
Right-of-use assets, net	$ 30,754	$ (334)	$ (1,704)	$ 67	$ -	$ (286)	$ 1,665	$ (1,682)	$ (3)	$ 28,477

	Balance as of January 1, 2021	Additions and depreciation of the year	Business combinations	Disposals	Early termination	Changes and initial costs	Translation effect	Inflation restatement increment	Balance as of December 31, 2021
Right-of-use assets:									
Buildings	$ 23,748	$ 2,658	$ 793	$ (506)	$ (540)	$ 1,040	$ 499	$ 9	$ 27,701
Vehicles	7,590	1,162	11	(67)	(508)	7	114	-	8,309
Other	286	125	8	(81)	(31)	1	(15)	-	293
	31,624	3,945	812	(654)	(1,079)	1,048	598	9	36,303
Assets under financial lease	5,483	22	-	(12)	-	321	101	-	5,915
Total right-of-use assets	37,107	3,967	812	(666)	(1,079)	1,369	699	9	42,218
Depreciation:									
Buildings	(4,681)	(3,099)	-	506	251	51	(30)	(7)	(7,009)
Vehicles	(2,023)	(1,253)	-	67	340	8	(24)	-	(2,885)
Other	(114)	(71)	-	81	9	-	(15)	-	(110)
	(6,818)	(4,423)	-	654	600	59	(69)	(7)	(10,004)
Assets under financial lease	(1,126)	(481)	-	12	-	4	131	-	(1,460)
Total accumulated depreciation	(7,944)	(4,904)	-	666	600	63	62	(7)	(11,464)
Right-of-use assets, net	$ 29,163	$ (937)	$ 812	$ -	$ (479)	$ 1,432	$ 761	$ 2	$ 30,754

An analysis of changes in lease liabilities in 2023, 2022 and 2021 is as follows:

	Capitalized operating leases	Finance leases	Total
Balance as of January 1, 2023	$ 26,565	$ 2,620	$ 29,185
Additions	3,745	6	3,751
Business combinations	276	-	276
Interest expense	1,251	225	1,476
Payments	(5,177)	(1,101)	(6,278)
Early termination	(210)	-	(210)
Modifications	681	6	687
COVID-19 rent concessions	(1)	-	(1)
Foreign exchange effects	(38)	(13)	(51)
Translation effect	(2,730)	710	(2,020)
Balance as of December 31, 2023	24,362	2,453	26,815
Less - current portion	(4,920)	(831)	(5,751)
	$ 19,442	$ 1,622	$ 21,064

	Capitalized operating leases	Finance leases	Total
Balance as of January 1, 2022	$ 28,066	$ 3,083	$ 31,149
Discontinued operation effect	(372)	-	(372)
Additions	3,403	36	3,439
Business combinations	50	-	50
Interest expense	1,077	252	1,329
Payments	(5,164)	(1,221)	(6,385)
Early termination	(298)	-	(298)
Modifications	1,385	52	1,437
COVID-19 rent concessions	(4)	-	(4)
Foreign exchange effects	(26)	(7)	(33)
Translation effect	(1,552)	425	(1,127)
Balance as of December 31, 2022	26,565	2,620	29,185
Less - current portion	(5,017)	(913)	(5,930)
	$ 21,548	$ 1,707	$ 23,255

	Capitalized operating leases	Finance leases	Total
Balance as of January 1, 2021	$ 25,865	$ 3,224	$ 29,089
Additions	3,945	22	3,967
Business combinations	753	-	753
Interest expense	974	281	1,255
Payments	(4,818)	(554)	(5,372)
Early termination	(509)	-	(509)
Modifications	1,362	-	1,362
COVID-19 rent concessions	(13)	-	(13)
Foreign exchange effects	4	2	6
Translation effect	503	108	611
Balance as of December 31, 2021	28,066	3,083	31,149
Less - current portion	(4,910)	(883)	(5,793)
	$ 23,156	$ 2,200	$ 25,356

An analysis of the maturities of non-current lease liabilities are as follows:

	Capitalized operating leases	Finance leases	Total
2025	$ 3,324	$ 559	$ 3,883
2026	2,507	377	2,884
2027	2,073	221	2,294
2028	1,530	280	1,810
2029 and thereafter	10,008	185	10,193
	$ 19,442	$ 1,622	$ 21,064

10. Investments in Associates

An analysis of investments in associates as of December 31, 2023, 2022 and 2021 is as follows:

Associate	Activity	% equity interest	2023	2022	2021
Beta San Miguel, S.A. de C.V.	Sugar refinery	8	$ 1,412	$ 1,353	$ 1,110
Mundo Dulce, S.A. de C.V.	Confectionery	50	427	392	373
Fábrica de Galletas La Moderna, S.A. de C.V.	Cookies	50	472	424	363
Grupo La Moderna, S.A. de C.V.	Holding company	4	405	353	312
Congelación y Almacenaje del Centro, S.A. de C.V.	Warehouse	15	300	256	222
Fin Común Servicios Financieros, S.A. de C.V. [(1)]	Financial services	43	279	281	258
Fruitex de México, S.A.P.I. de C.V.	Foods	16	343	343	295
Productos Rich, S.A. de C.V.	Baking	18	227	208	174
Scanntech Holdings, LLC.	Business intelligence	2	169	-	-
Eat Just, Inc	Foods	1	92	92	92
Sociedad Industrial de Equipos y Servicios, S.A.	Equipment manufacturing	39	90	76	71
Justo Inc.	Food commercialization	1	76	59	59
Zero Carb Company, B.V.	Foods	30	69	-	-
Other	Other	Various	670	561	562
			$ 5,031	$ 4,398	$ 3,891

The associate entities are incorporated and operate primarily in Mexico and are accounted for using the equity method in the consolidated financial statements.

Beta San Miguel, S.A. de C.V., Grupo La Moderna, S.A. de C.V., Congelación y Almacenaje del Centro, S.A. de C.V., Productos Rich, S.A. de C.V. and Fruitex de México S.A.P.I de C.V. and other entities, are all considered associates, since the Company has significant influence over these companies given that it is a member of the Board of Directors of such associates.

A summary of the changes in the Company's investments in associates is as follows:

	2023	2022	2021
Balance as of January 1	$ 4,398	$ 3,891	$ 3,069
Acquisitions and capital contributions	561	127	534
Dividends received	(86)	(75)	(59)
Share of profit	316	452	247
Impairment	-	(73)	-
Comprehensive items of associates and others	26	317	-
Translation effect	(184)	(241)	100
Balance as of December 31	$ 5,031	$ 4,398	$ 3,891

11. Intangible Assets

An analysis of intangible assets by geographical segment as of December 31, 2023, 2022 and 2021 is as follows:

	2023	2022	2021
Mexico	$ 1,397	$ 1,377	$ 2,540
North America	37,880	41,803	42,712
EAA	14,723	14,567	10,364
Latin America	1,101	1,315	1,349
	$ 55,101	$ 59,062	$ 56,965

An analysis of intangible assets by item as of December 31, 2023, 2022 and 2021 is as follows:

	Average useful life	2023	2022	2021
Trademarks	Indefinite	$ 36,159	$ 38,248	$ 37,268
Use and distribution rights	Indefinite	7,252	8,143	8,680
		43,411	46,391	45,948
Trademarks	4 to 40 years	1,173	1,338	1,445
Customer relationships	7 to 40 years	20,228	22,013	21,881
Licenses and software	2 to 8 years	4,575	4,143	3,944
Non-competition agreements	2 to 5 years	227	255	189
Other		1,484	1,426	1,314
		27,687	29,175	28,773
Accumulated amortization and impairment		(15,997)	(16,504)	(17,756)
		$ 55,101	$ 59,062	$ 56,965

The accumulated impairment in the value of trademarks with indefinite useful lives as of December 31, 2023, 2022 and 2021 is $2,648, $3,165 and $4,346, respectively.

The customer relationships that resulted from the Company's acquisitions are as follows:

	Year of acquisition	Remaining useful life (years)	Net carrying amount 2023	2022	2021
Bimbo QSR	2017	19 a 34	$ 2,870	$ 3,475	$ 4,122
Canada Bread	2014	12	1,344	1,644	2,045
Sherlock Foods Holdings Limited	2022	16	1,135	-	-
Siro Paterna	2021	21	968	1,121	1,321
Weston Foods, Inc.	2009	3	877	1,336	1,771
Vel Pitar, S.A.	2023	14	784	-	-
Sara Lee Bakery Group, Inc	2011	6	514	690	841

A reconciliation of the carrying amount of intangible assets at the beginning and at the end of 2023, 2022 and 2021 is as follows:

Cost

	Trademarks	Use and distribution rights	Customer relationships	Licenses and software	Non-competition agreements	Other	Total
Balance as of December 31, 2020	$ 36,941	$ 8,525	$ 20,269	$ 2,973	$ 187	$ 1,508	$ 70,403
Structured entities	-	77	-	-	-	-	77
Additions	-	-	-	882	-	-	882
Disposals	-	(260)	-	-	-	-	(260)
Business combinations and PPA adjustments [(1)]	1,251	88	1,105	7	5	-	2,456
Transfers	-	-	-	-	-	(201)	(201)
Translation effect	521	250	507	82	(3)	7	1,364
Balance as of December 31, 2021	38,713	8,680	21,881	3,944	189	1,314	74,721
Structured entities	-	(3)	-	-	-	-	(3)
Additions	8	-	42	590	-	158	798
Discontinued operation decrease	(1,058)	-	(83)	(72)	-	-	(1,213)
Business combinations	3,895	-	1,421	15	-	-	5,331
PPA adjustments	746	-	735	-	93	-	1,574
Translation effect	(2,718)	(534)	(1,983)	(334)	(27)	(46)	(5,642)
Balance as of December 31, 2022	39,586	8,143	22,013	4,143	255	1,426	75,566
Structured entities	-	129	-	-	-	-	129
Additions	-	-	-	810	-	108	918
Business combinations and PPA adjustments	1,617	-	1,090	-	-	-	2,707
Translation effect	(3,871)	(1,020)	(2,875)	(378)	(28)	(50)	(8,222)
Balance as of December 31, 2023	$ 37,332	$ 7,252	$ 20,228	$ 4,575	$ 227	$ 1,484	$ 71,098

[(1)] Includes $166 corresponding to the difference between the exchange rate of the business acquisition and the year-end exchange rate.

Accumulated amortization and impairment

	Trademarks	Use and distribution rights	Customer relationships	Licenses and software	Non-competition agreements	Other	Total
Balance as of December 31, 2020	$ (4,264)	$ (492)	$ (7,356)	$ (2,380)	$ (145)	$ (759)	$ (15,396)
Reversal of impairment in structured entities	-	72	-	-	-	-	72
Amortization expense	(35)	(3)	(960)	(293)	(8)	(241)	(1,540)
Impairment	(135)	-	-	-	-	-	(135)
Transfers	-	(483)	-	-	-	-	(483)
Translation effect	12	(14)	(203)	(72)	3	-	(274)
Balance as of December 31, 2021	(4,422)	(920)	(8,519)	(2,745)	(150)	(1,000)	(17,756)
Amortization expense	(60)	-	(1,087)	(473)	(26)	(10)	(1,656)
Impairment	-	9	(140)	-	-	-	(131)
Reversal of impairment in trademarks	861	-	-	-	-	-	861
Discontinued operation decrease	-	-	83	-	-	-	83
Transfers	-	483	-	-	-	-	483
Translation effect	484	74	790	241	15	8	1,612
Balance as of December 31, 2022	(3,137)	(354)	(8,873)	(2,977)	(161)	(1,002)	(16,504)
Amortization expense	(124)	-	(1,093)	(520)	(19)	(9)	(1,765)
Impairment	(44)	-	-	-	-	-	(44)
Reversal of impairment in trademarks	99	21	-	-	-	-	120
Translation effect	616	44	1,235	273	20	8	2,196
Balance as of December 31, 2022	$ (2,590)	$ (289)	$ (8,731)	$ (3,224)	$ (160)	$ (1,003)	$ (15,997)
Net balance as of December 31, 2021	$ 34,291	$ 7,760	$ 13,362	$ 1,199	$ 39	$ 314	$ 56,965
Net balance as of December 31, 2022	$ 36,449	$ 7,789	$ 13,140	$ 1,166	$ 94	$ 424	$ 59,062
Net balance as of December 31, 2023	$ 34,742	$ 6,963	$ 11,497	$ 1,351	$ 67	$ 481	$ 55,101

Amortization of intangible assets is recognized under administrative expenses.

In 2023, the Company recognize a trademark impairment for $44. In 2022 and 2021 an impairment of intangible assets was recognized, mainly in customer relations, in other expenses for $131 and $135, respectively.

As of January 1, 2022, the indefinite-lived trademarks are evaluated jointly in the impairment tests at the level of each corresponding CGU of the Group; this change originated a reversal of trademark impairments, mainly in the US CGU for an amount of $861, which was recorded under other income (see Note 22). As of December 31, 2023, the Company recognize a reversal of trademark impairment for $99.

Impairment tests of distribution rights are performed by determining a fair value, which is estimated based on a multiple applied to the average weekly sales of the last twelve months of operation. The multiple used is in a range that varies depending on the region in which the market is located.

12. Goodwill

An analysis of goodwill by geographical area is as follows:

	2023	2022	2021
Goodwill:			
Mexico	$ 1,674	$ 1,674	$ 2,306
North America	56,802	63,381	69,339
EAA	13,344	13,894	12,772
Latin America	3,357	3,635	4,154
	$ 75,177	$ 82,584	$ 88,571
Accumulated impairment:			
Mexico	$ (1,120)	$ (1,121)	$ (1,204)
North America	(5,486)	(6,285)	(6,690)
EAA	(4,989)	(5,388)	(4,299)
Latin America	(1,582)	(1,705)	(1,813)
	(13,177)	(14,499)	(14,006)
	$ 62,000	$ 68,085	$ 74,565

The movements in goodwill for the years ended December 31, 2023, 2022 and 2021 are as follows:

	2023	2022	2021
Balance as of January 1	$ 68,085	$ 74,565	$ 66,904
Acquisitions in business combinations [1]	5,446	3,021	6,983
Impairment	(303)	(1,597)	(324)
Transfers	-	-	201
Discontinued operation decrease	-	(549)	-
Reclassifications due to adjustments to the values of business combinations [2]	(3,168)	(1,804)	(1,125)
Translation effect	(8,060)	(5,551)	1,926
Balance as of December 31	$ 62,000	$ 68,085	$ 74,565

(1) In 2021, includes $118 corresponding to the difference between the exchange rate of the business acquisition and the year-end exchange rate.

(2) In 2021, includes $19 corresponding to the difference between the exchange rate of the business acquisition and the year-end exchange rate.

(3) During 2023 were recognized an impairment in China for $303. During 2022 impairments were recognized in China, India, Russia, Ukraine and South Africa for $878, $275, $393, $12 and $39, respectively. During 2021 impairments of $315 were recognized in China.

An analysis of movements in cumulative impairment losses as of December 31 is as follows:

	2023	2022	2021
Balance as of January 1	$ 14,499	$ 14,006	$ 13,690
Impairment for the year	303	1,597	324
Translation effect	(1,625)	(1,104)	(8)
Balance as of December 31	$ 13,177	$ 14,499	$ 14,006

Key assumptions used in the value-in-use calculations

An analysis of the key assumptions of the primary cash-generating units used in impairment tests is as follows:

	Discount rate (1)			Average growth			Capex over net sales		
	2023	2022	2021	2023	2022	2021	2023	2022	2021
Mexico	9.75%	10.75%	8.45%	8.92%	9.58%	6.96%	2.88%	5.78%	2.41%
USA	7.06%	7.25%	6.95%	5.42%	9.36%	5.12%	3.28%	5.84%	2.69%
Canada	6.75%	6.50%	5.75%	1.76%	2.99%	1.99%	4.17%	5.19%	3.19%
Spain	7.50%	7.50%	6.00%	3.89%	4.32%	3.38%	6.16%	6.24%	5.97%
Brazil	10.70%	11.06%	9.75%	8.63%	8.60%	8.28%	4.20%	3.78%	5.72%

(1) Discount rate after income tax

The projections developed by the Company in the impairment models consider assumptions based on the current macroeconomic conditions of each CGU.

As of December 31, 2023, the Company performed a sensitivity analysis on its main cash-generating units, considering an of 50 basis-point increase in the discount rate or a 50 basis-point decrease in the average growth rate, without giving rise to additional impairment.

Allocation of goodwill to cash-generating units

For impairment testing purposes, goodwill is allocated to cash-generating units, which are mainly the USA, Canada, Spain and others.

The carrying amount of goodwill assigned to each cash-generating unit, after impairment losses, is as follows:

	2023	2022	2021
USA	$ 37,236	$ 41,681	$ 47,549
Canada	12,141	13,207	15,003
Spain	1,467	1,338	1,520
Other CGUs	11,156	11,859	10,493
	$ 62,000	$ 68,085	$ 74,565

USA

The recoverable amount of the CGU is the higher of the asset's value in use and its fair value less costs of disposal. As of December 31, 2023, the value in use was higher and in order to calculate this amount, the Company applied the discounted cash flow method, which consists of applying a discount rate to the projected cash flows of the CGU. The discount rate used is the weighted average cost of capital (WACC), which considers the cost of capital contributed by the shareholder (CAPEM) and the cost of financial debt. The planning horizon was 5 years plus a perpetuity that considers the normalized cash flow with projected country's inflation rate.

After applying the aforementioned methodology, the Company concluded that there is no impairment in the value of the goodwill of this CGU.

China

The Company used the discounted cash flow method, which considers a discount rate applied to projected cash flows provided by the CGU. The discount rate used is the weighted average cost of capital (WACC), which considers the cost of capital contributed by the shareholder (CAPEM) and the cost of bond debt. The planning horizon was 7 years plus a perpetuity that considers the normalized cash flow with projected country's inflation rate.

Based on the application of this methodology, the Company identified impairment in the China CGU's goodwill of $303, $878 and $315 in 2023, 2022 and 2021, respectively which was recognized as other expenses in profit or loss.

Rest of CGUs

For the rest of the CGUs, the value in use was higher than the carrying amount and no impairment losses were recognized during 2023.

13. Debt

	Fair value	Book value 2023	Book value 2022	Book value 2021
International bonds:				
On November 2, 2023 the Company, through its subsidiary Bimbo Bakeries USA, Inc., issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) for USD450 million, maturing on January 15, 2029. Such bond pays a fixed interest rate of 6.05% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. Given the guaranteed structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issues.	$ 8,009	$ 7,602	$ -	$ -
On November 2, 2023 the Company, through its subsidiary Bimbo Bakeries USA, Inc., issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) for USD550 million, maturing on January 15, 2034. Such bond pays a fixed interest rate of 6.40% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. Given the guaranteed structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issues.	10,318	9,291	-	-
On May 17, 2021 the Company, through its subsidiary Bimbo Bakeries USA, Inc., issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) for USD600 million, maturing on May 17, 2051. Such bond pays a fixed interest rate of 4.000% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. Given the guaranteed structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issues. See Note 17.2.3 (g). During 2022, the company made repurchases of this bond for 14.733 million US dollars.	7,929	9,887	11,332	12,350
On September 6, 2019 the Company issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) for USD600 million, maturing on September 6, 2049. Such bond pays a fixed interest rate of 4.000% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (e). During 2022, the company made repurchases of this bond for 34.885 million US dollars.	7,628	9,461	10,842	12,245

	Fair value	Book value 2023	Book value 2022	Book value 2021
On November 10, 2017 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD650 million, maturing on November 10, 2047. Such bond pays a fixed interest rate of 4.70% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (d).	9,797	10,981	12,585	13,379
On June 27, 2014 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD800 million, maturing on June 27, 2024. Such bond pays a fixed interest rate of 3.875% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (a) and (b). During 2023, the company prepaid USD392 million.	6,880	6,899	15,489	16,467
On June 27, 2014 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD500 million, maturing on June 27, 2044. Such bond pays a fixed interest rate of 4.875% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (c) and (f). During 2022, the company made repurchases of this bond for 2.5 million US dollars.	7,816	8,405	9,632	10,292
On January 25, 2012 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD800 million, maturing on January 25, 2022. Such bond pays a fixed interest rate of 4.50% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. On March 26, 2021, the company announced the early repurchase of USD600 million of this bond, in accordance with the terms of its issuance document. On January 25, 2022, the Company paid the remainder of said issuance, which was financed through the multicurrency revolving line.	-	-	-	4,072

	Fair value	Book value 2023	Book value 2022	Book value 2021
Structured notes:				
As of December 31, 2023, the Company has issued the following structured notes, payable upon maturity:				
Bimbo 23L- Issued on June 2, 2023. This structured note matures on May 20, 2033 and pays a fixed interest rate of 9.24%. The note is linked to sustainability and focused on reducing scope 3 carbon emissions. The note proceeds from this issuance were used to pay the perpetual subordinated bond and bank debt, in order to continue strengthening the financial flexibility of the company.	11,894	12,000	-	-
Bimbo 23-2L- Issued on June 2, 2023. This structured note matures on July 24, 2026 and pays a variable interest rate at 28 days Interbank Equilibrium Interest Rate ("TIIE") plus 0.10%. The note is linked to sustainability and focused on reducing scope 3 carbon emissions. The note proceeds from this issuance were used to pay the perpetual subordinated bond and bank debt, in order to continue strengthening the financial flexibility of the company.	3,000	3,000	-	-
Bimbo 17- Issued on October 6, 2017. This structured note matures on September 24, 2027 and pays a fixed interest rate of 8.18%. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity, as well as the partial payment of the Bimbo QSR acquisition.	9,076	9,633	9,633	9,633
Bimbo 16- Issued on September 14, 2016. This structured note matures on September 2, 2026 and pays a fixed interest rate of 7.56%. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity.	7,217	7,706	7,706	7,706

Revolving committed line of credit (multicurrency)				
On March 15, 2023, the Company renewed and amended the terms and conditions of the committed multicurrency line of credit, which is linked to sustainability.				
The financial institutions that participate in this line are BBVA Bancomer S.A., Bank of America N.A., Citibank N.A., Coöperatieve Rabobank U.A., New York HSBC México S.A., ING Bank N.V., JP Morgan Chase Bank N.A., Mizuho Bank, Ltd, Morgan Stanley Bank, N.A., MUFG Bank, Ltd. and Banco Santander S.A. The total amount is up to USD1,931 million, with USD875 million maturing on September 14, 2026 (tranche A) and USD1,056 million on March 15, 2028 (tranche B). As of July 1, 2022, a reduction in the applicable rates was obtained as a result of the achievement of the sustainable goals corresponding to this line for 2021. Considering this reduction, the drawdowns against this line of credit the tranche A bear interest at the Secured Overnight Financing Rate ("SOFR") plus 0.90% for drawdowns made in USD, at the Canadian Dollar Offered Rate ("CDOR") plus 0.90% for drawdowns made in Canadian dollars, at TIIE plus 0.75% for drawdowns made in Mexican pesos, and at the Euro Interbank Offered Rate ("EURIBOR") plus 1.05% for drawdowns made in euros. As of December 31, 2023 there is no outstanding balance on this line of credit.				
During 2023, 2022 and 2021, the drawdowns and payments totaled $17,231, $13,085 y $15,291, respectively.	-	-	-	-
Revolving committed line of credit (bilateral)				
On April 13, 2023, the Company contracted a bilateral revolving credit line, linked to sustainability metrics, with BBVA Bancomer S.A. The total amount of the committed amount is up to $5,000 maturing on April 13, 2028. As of July 1, 2023, a reduction in the applicable rate was obtained as a result of achieving the sustainable goals corresponding to this line. Considering this reduction, the drawdowns made under this line of credit have an applicable interest rate of TIIE plus 0.85%. The line of credit was fully drawdown as of December 31, 2023.	5,000	5,000	-	-

Lines of credit bilateral				
On August 9, 2023, the Company contracted a credit line, linked to sustainability metrics, with Bank of America, N.A. The total amount of the committed amount is up to USD125 million with a maturity USD12.5 million on August 11, 2026, another USD12.5 million on August 11, 2027, and USD100 million on August 11, 2028. This line of credit has an applicable interest rate of SOFR plus 1.25%. The line of credit was fully drawdown as of August 11, 2023.	2,112	2,112	-	-
On October 4, 2023, the Company contracted a credit line, linked to sustainability metrics, with Banco Nacional de Mexico, S.A., member of Grupo Financiero Banamex. The total amount of the committed amount is up to USD100 million with a maturity on April 4, 2027. This line of credit has an applicable interest rate of SOFR plus 1.00%. The line of credit was fully drawdown as of October 5, 2023.	1,689	1,689	-	-
Unsecured working capital loans - The Company occasionally enters into short-term unsecured loans to meet its working capital needs. During 2023, the drawdowns and payments totaled $67,517 and $64,534, respectively and in 2022 and 2021, the drawdowns and payments totaled $30,655 and $430.	2,983	2,983	-	-
Other: Certain subsidiaries have entered into other direct loan contracts to meet their working capital needs. The maturity dates for such loans range from 2024 to 2033. During 2023, 2022 and 2021, the drawdowns and payments totaled $,6,855, $9,311, $7,930, $6,710, $11,413 and $5,905, respectively.	4,141	4,141	7,522	7,483
Debt issuance expenses	(855)	(855)	(687)	(772)
	104,634	109,935	84,054	92,855
Less:				
Current portion of non-current debt	(12,932)	(12,932)	(6,435)	(10,625)
Non-current debt	$ 91,702	$ 97,003	$ 77,619	$ 82,230

An analysis of maturities of non-current debt as of December 31, 2023 is as follows:

Year	Amount
2025	$ 202
2026	10,969
2027	11,583
2028 y años posteriores	74,250
	$ 97,003

During 2022, the Company has made repurchases of several of its International Bond issues for an approximate amount of $1,044 (52.1 million US dollars).

A reconciliation of the Company's debt at the beginning and at the end of the year is as follows:

Debt	2023	2022	2021
Beginning balance	$ 84,054	$ 92,855	$ 85,229
Proceeds from loans, net of debt issuance expenses	136,638	51,670	38,924
Repayments of loans [1]	(109,847)	(55,542)	(33,535)
Reclassification of equity financial instrument	8,845	-	-
Debt issuance expenses amortization	126	70	60
Business Combinations	86	-	-
Effects of remeasurements	(9,967)	(4,999)	2,177
Ending balance	$ 109,935	$ 84,054	$ 92,855

(1) Includes $8,611 for the payment of the perpetual subordinated bond.

The international bonds, structured notes, the revolving committed credit lines and the bilateral credit lines with BBVA México, S.A., Institución de Banca Múltiple, Grupo Financiero BBVA México, y los Créditos Bilaterales con Bank of America N.A. and Banco Nacional de México, S.A., member of Grupo Financiero Banamex are guaranteed by Grupo Bimbo, Bimbo, S.A. de C.V., Barcel, S.A. de C.V. and Bimbo Bakeries, Inc. As of December 31, 2023, 2022 and 2021, the Company has complied with all of its obligations established in the loan agreements, including the interest coverage ratio. Such ratios are calculated considering a Conformed Adjusted Earnings Before Interest Tax Depreciation and Amortization ("EBITDA") as defined in provisions established in the applicable loan agreements. These ratios may differ to similar calculations used by others.

14. Other accounts payable and accrued liabilities

	2023	2022	2021
Other accounts payable:			
Other taxes payable	$ 4,183	$ 3,839	$ 3,378
Other creditors	1,438	1,248	2,133
	5,621	5,087	5,511
Accrued liabilities:			
Employee compensation and bonuses	$ 8,824	$ 9,240	$ 10,152
Fees and consultations	1,858	2,188	1,734
Insurance and guaranty bonds	1,219	1,498	1,566
Taxes and contributions	1,076	1,239	842
Interest payable and bank fees	1,055	774	817
Advertising and promotion	941	1,495	2,026
Supplies and fuel	489	672	777
Other	989	2,005	677
	16,451	19,111	18,591
	$ 22,072	$ 24,198	$ 24,102

15. Related party balances and transactions

Balances and transactions between Grupo Bimbo and its subsidiaries, which are related parties, have been eliminated in preparing the consolidated financial statements and are not disclosed in this note. Information on the Company's transactions with related parties is provided below.

a) Business transactions

An analysis of transactions carried out with related parties in the normal course of the Company's operations is as follows:

	2023	2022	2021
Purchase of raw materials			
Associates:			
Beta San Miguel, S.A. de C.V.	$ 2,847	$ 2,335	$ 2,584
Other associates	7	3	7
Related parties:			
Frexport, S.A. de C.V.	1,069	959	871
Other related parties	76	80	61
Finished product purchases			
Associates:			
Fábrica de Galletas La Moderna, S.A. de C.V.	$ 1,418	$ 1,203	$ 1,083
Pan-Glo de México, S. de R.L. de C.V.	364	273	200
Mundo Dulce, S.A. de C.V.	13	5	914
Other associates	4	3	2
Stationary, uniforms and other			
Associates:			
Sociedad Industrial de Equipos y Servicios, S.A. de C.V.	$ 454	$ 362	$ 234
Efform, S.A. de C.V.	397	379	365
Uniformes y Equipo Industrial, S.A. de C.V.	293	191	202
Other associates	36	23	29
Related parties:			
Autotab, S.A. de C.V.	407	7	3
Proarce, S.A. de C.V.	159	176	169
Automotriz Coacalco-Vallejo, S.A.P.I de C.V.	57	40	33
Other related parties	196	125	88
Financial services:			
Associates:			
Fin Común Servicios Financieros, S.A. de C.V.	$ 1,811	$ 1,367	$ 1,094

Balances receivable due from related parties consist of unsecured accounts and are payable in cash. No guarantees have been given or received with related parties.

b) Accounts payable to related parties

Net balances payable due to related parties are as follows:

	2023	2022	2021
Associates:			
Beta San Miguel, S.A. de C.V.	$ 631	$ 577	$ 801
Fábrica de Galletas La Moderna, S.A. de C.V.	298	164	144
Efform, S.A. de C.V.	86	96	83
Pan-Glo de México, S. de R. L. de C.V.	75	47	34
Sociedad Industrial de Equipos y Servicios, S.A. de C.V.	33	45	58
Uniformes y Equipo Industrial, S.A. de C.V.	23	35	80
Mundo Dulce, S.A. de C.V.	2	-	107
Fin Común Servicios Financieros, S.A. de C.V.	1	-	-
Related parties:			
Frexport, S.A. de C.V.	183	206	119
Proarce, S.A. de C.V.	20	18	33
Makymat, S.A. de C.V.	9	36	26
Automotriz Coacalco-Vallejo, S.A.P.I de C.V.	6	-	8
Other associates and related parties	45	16	34
	$ 1,412	$ 1,240	$ 1,527

c) Compensation of key management personnel

Compensation for the Company's Board of Directors and other key management personnel for the years ended December 31, 2023, 2022 and 2021 totaled $796, $596 and $658, respectively. This compensation is determined based on the employee's performance and market trends and is approved by the Board of Directors.

16. Income Tax

Income tax in Mexico

The income tax rate enacted for 2023, 2022 and 2021 was 30% and it is expected that it will remain the same in subsequent years.

Tax reforms

Amendments to IAS 12 International Tax Reform–Pillar Two Model Rules

The Organization for Economic Co-operation and Development (OECD) under the OECD Inclusive Framework on Base Erosion and Profit Shifting (BEPS) issued Pillar Two Global Anti-Base Erosion (GloBE) Model Rules (GloBE MR) and related guidance. The GloBE MR introduce a new, complex 15% global minimum tax regime applicable to multinational entities (MNEs) with consolidated financial statement revenues of EUR 750 million or more in two of the four fiscal years immediately preceding the tested fiscal year. More than 135 countries and tax jurisdictions are members of the Inclusive Framework and will be enacting tax laws to adopt the GloBE MR in the upcoming years. Grupo Bimbo has concluded that it falls within the scope of the rules.

Since at December 31, 2023 there is no legislation in force in any jurisdiction where Grupo Bimbo operates, that obliges MNEs to calculate the pillar two regulations and the additional TopUp Tax if any, this additional income tax payable (recoverable) as of December 31, 2023 would not be applicable, as there is no tax due.

As of December 31, 2023, the Company applied the mandatory temporary exception to not to account for deferred taxes that may arise from the jurisdictional implementation of the Pillar Two model rules. Therefore, no deferred taxes have been recognized for Pillar Two model rules as of this date. However, the Company is still in the process of monitoring the definitions to be adopted in each of the countries and regions in which it operates, to assess the potential impacts and the implementation challenges of the complementary income tax established in the BEPS Pillar Two Model.

Mexico

On October 26, 2021, a series of tax modifications were approved in Mexico that are effective as of January 1, 2022, these reforms did not generate a financial impact for the Company, but it did generate a series of compliance obligations.

To date, the Company has complied with its obligation to disclose tax schemes subject to reporting corresponding to fiscal years 2023, 2022 and 2021.

United States of America

In August 2022, the CHIPS & Science Act (HR 4346) was enacted, introducing a 25% tax credit for investments in the manufacturing sector. This measure is not expected to have a significant impact on GB's operations in the United States.

In August 2022, the Reduction Act 2022 was enacted, which includes a new minimum tax for certain large taxpayers starting in 2023. The new law gives rise to a minimum tax equal to the difference between such tax and income tax and Base Erosion and Anti-Abuse Tax (BEAT).

These modifications did not have a significant impact on the financial statements.

Spain

On 29 December 2022, Law 38/2022 was enacted, which imposes a temporary limitation in 2023 on the recognition of tax loss carryforwards generated individually by the different entities of a corporate group.

In addition, the remaining individual tax loss carryforwards shall be included in taxable profit in equal parts in each of the first ten fiscal periods beginning on or after 1 January 2024.

Income tax in other countries

Subsidiaries established abroad calculate income tax based on the individual performance of each subsidiary and in accordance with the regulations of each country. U.S. regulations allow the filing of a consolidated income tax return. As of 2023, Spanish regulations allow the filing of a consolidated tax return.

As of 2019, French regulations allow the filing of a consolidated tax return.

Except for the subsidiaries mentioned above, each subsidiary calculates and pays income tax as an individual legal entity. The annual tax returns are filed within the six months following the end of the fiscal year. Additionally, the subsidiaries must make provisional payments during each fiscal year.

The tax rates applicable in other countries where the Company operates and the period in which tax losses may be applied, are as follows:

	Statutory income tax rate					Expiration of tax loss carryforwards	
	2023		2022		2021		
Argentina	35	(a)	35	(a)	35	5	(b)
Brazil	34		34		34		(c)
Canada	15	(d)	15	(d)	15	20	(e)
Spain	25		25		25		(f)
USA	21	(g)	21	(g)	21		(h)
Mexico	30		30		30	10	

The tax losses generated by the Company are mainly in Mexico, Brazil, Argentina and Spain.

(a) From 2021 and in the coming years, the corporate rate is 35%. Such rate will depend on the range of the accumulated taxable profit generated.

(b) Losses on the sale of shares or other equity investments may only be offset against income of the same nature. Tax losses from foreign sources may only be carried forward against income from foreign sources.

(c) Tax losses may be applied indefinitely but may only be offset each year up to an amount equivalent to 30% of the net taxable profit for each year.

(d) The corporate income tax rate is a combination of the federal corporate tax rate 15%, and relevant state (provincial) corporate income tax rates where the Company has a permanent establishment. State tax rates range from 10% to 16%; therefore, the combined tax rate may range from 25% to 31%.

(e) The Company's tax losses may be carried back against the three prior years.

(f) Tax loss carryforwards have no expiration date; however, their application is limited to 25% of the net taxable profit for the year.

(g) The corporate income tax rate is a combination of the federal rate, which is 21%, and the state rates where the Company has a permanent establishment. State rates range from 0% to 12%, therefore, the combined tax rate may range from 21% to 33%.

(h) As a result of the tax reform, tax loss carryforwards have no expiration date; however, their amortization is limited to 80% of the taxable profit generated for the year.

At the date of issue of these consolidated financial statements, no changes have been disclosed for the corporate tax rates in subsequent years, the applicable changes for the years presented are the following:

- Turkey, where the tax rate was changed from 22% in 2020 to 25% in 2021; as of 2022 it will be 23% and as of 2023 will be 25%.
- United Kingdom where the tax rate will change from 19% in 2022 to 25% in 2023.
- South Korea where the tax rate will change from 22% in 2022 to 21% in 2023.
- South Africa where the tax rate will change from 28% in 2022 to 27% in 2023.
- Morocco where the tax rate will change from 31% in 2022 to 24.5% in 2023.

Operations in the USA, Canada, Uruguay, Guatemala, Panama, Honduras, Nicaragua, Colombia, and Ecuador are subject to minimum income tax payments or substitutive tax.

Analysis of provisions, effective tax rate and deferred effects

a) The Company's consolidated income tax is as follows:

	2023	2022	2021
Income tax:			
Current income tax	$ 9,462	$ 9,938	$ 7,846
Deferred income tax and other items	(1,076)	4,443	880
	$ 8,386	$ 14,381	$ 8,726

The income tax incurred is the tax determined for the year plus crediting effects. Deferred income tax and other items mainly include the effects of: income tax differences from previous years, IFRIC 23 and foreign withholdings.

b) A reconciliation of the statutory income tax rate to the effective income tax rate in Mexico expressed as a percentage of the profit before income tax for the years ended December 31, is as follows:

	2023	2022	2021
Profit before income tax and discontinued operations	$ 25,324	$ 45,878	$ 24,854
Profit before income tax from discontinued operations	(23)	23,516	1,498
Profit before income tax	25,301	69,394	26,352
Statutory income tax rate	30%	30%	30%
Income tax at statutory tax rate	7,591	20,818	7,906

	2023	2022	2021
Plus/(less) the tax effects of the following items:			
Inflationary effects of monetary accounts in the statement of financial position and statement of profit or loss	813	1,051	1,025
Non-deductible expenses and other	965	1,508	973
Non-taxable profit and tax incentives	-	(356)	(322)
Difference in tax rates and currency of subsidiaries in different tax jurisdictions	(296)	(1,243)	(421)
Effects on tax values of property, plant and equipment	(600)	(807)	(561)
Share of loss of associates	(95)	(136)	(74)
Permanent effects of discontinued operation	-	(528)	(205)
Unrecognized available tax loss carryforwards	1	602	650
Income tax recognized in profit or loss	$ 8,379	$ 20,909	$ 8,971
Effective income tax rate	33.1%	30.1%	34.0%
Income tax continuous operation	$ 8,386	$ 14,381	$ 8,726
Income tax discontinued operation (Note 24)	(7)	6,528	245
Income tax	$ 8,379	$ 20,909	$ 8,971
Effective income tax rate continuous operation	33.1%	31.3%	35.1%
Effective income tax rate discontinued operation	31.8%	27.7%	16.4%

To determine their deferred income tax as of December 31, 2023, 2022 and 2021, the Company's subsidiaries applied the income tax rate that will be in effect when the temporary differences giving rise to deferred taxes are expected to reverse.

c) The primary items that generate deferred income tax as of December 31, are as follows:

	Balance as of January 1 2023	Effects through profit or loss	Effects through comprehensive income	Translation effect	Business combinations	Balance as of December 31, 2023
Allowance for expected credit loss	$ (438)	$ (21)	$ -	$ -	$ -	$ (459)
Inventories and advances	62	(169)	-	-	-	(107)
Property, plant and equipment	4,765	(127)	-	-	217	4,855
Intangible assets and other assets	7,274	204	-	(828)	521	7,171
Other reserves and provisions	(7,154)	(299)	(164)	(83)	-	(7,700)
Current employee profit sharing	(535)	6	-	-	-	(529)
Available tax loss carryforwards	(343)	(586)	-	-	-	(929)
Net economic hedge	-	(514)	514	-	-	-
Lease assets and liabilities, net	(529)	(29)	-	-	-	(558)
Derivative financial instruments	511	(618)	258	16	-	167
Total deferred income tax (asset), net	$ 3,613	$ (2,153)	$ 608	$ (895)	$ 738	$ 1,911

	Balance as of January 1, 2022	Effects through profit or loss	Effects through comprehensive income	Translation effect	Discontinued operation	Business combinations	Balance as of December 31, 2022
Allowance for expected credit loss	$ (301)	$ (148)	$ -	$ -	$ 11	$ -	$ (438)
Inventories and advances	16	46	-	-	-	-	62
Property, plant and equipment	4,501	299	-	-	(49)	14	4,765
Intangible assets and other assets	7,869	134	-	(2,098)	(112)	1,481	7,274
Other reserves and provisions	(12,501)	5,030	207	(47)	157	-	(7,154)
Current employee profit sharing	(500)	(48)	-	-	13	-	(535)
Available tax loss carryforwards	(303)	(40)	-	-	-	-	(343)
Net economic hedge	-	(432)	432	-	-	-	-
Lease assets and liabilities, net	(469)	(70)	-	-	10	-	(529)
Derivative financial instruments	914	182	(574)	(11)	-	-	511
Total deferred income tax (asset), net	$ (774)	$ 4,953	$ 65	$ (2,156)	$ 30	$ 1,495	$ 3,613

	Balance as of January 1, 2021	Effects through profit or loss	Effects through comprehensive income	Translation effect	Business combinations	Balance as of December 31, 2021
Allowance for expected credit loss	$ (283)	$ (18)	$ -	$ -	$ -	$ (301)
Inventories and advances	(59)	75	-	-	-	16
Property, plant and equipment	5,026	(525)	-	-	-	4,501
Intangible assets and other assets	8,068	565	-	(641)	(123)	7,869
Other reserves and provisions	(13,922)	989	432	-	-	(12,501)
Current employee profit sharing	(299)	(201)	-	-	-	(500)
Available tax loss carryforwards	(568)	265	-	-	-	(303)
Net economic hedge	-	(77)	77	-	-	-
Lease assets and liabilities, net	(329)	(140)	-	-	-	(469)
Derivative financial instruments	399	(345)	860	-	-	914
Total deferred income tax (asset), net	$ (1,967)	$ 588	$ 1,369	$ (641)	$ (123)	$ (774)

The deferred income tax assets and liabilities are presented separately in the consolidated statement of financial position, since they correspond to different taxable entities and tax authorities. As of December 31, are as follows:

	2023	2022	2021
Deferred income tax asset	$ (7,313)	$ (3,962)	$ (7,861)
Deferred income tax liability	9,224	7,575	7,087
Total deferred income tax (asset)/liability, net	$ 1,911	$ 3,613	$ (774)

The Company has determined that the undistributed earnings of its foreign subsidiaries will not be distributed in the foreseeable future. As of December 31, 2023, there are undistributed earnings for temporary differences related to investments in subsidiaries and associates for which no deferred tax liabilities have been recognized. In the same date, the amount of undistributed earnings for temporary differences related to subsidiaries is immaterial.

As of December 31, 2023, the Company's unused tax losses have the following expiration dates:

Year	Amount
2024	$ 1,084
2025	800
2026	779
2027	682
2028	1,139
2029	41
2030 and thereafter	21,160
	25,685
Unrecognized available tax loss carryforwards	(22,010)
Total	$ 3,675

Certain subsidiaries that have tax losses have not recognized the deferred tax asset, since they do not have sufficient taxable income or projected earnings to estimate the time for recovery of such tax losses. Unrecognized accumulated benefits of such tax losses were $6,572 in 2023, $7,902 in 2022 and $8,644 in 2021.

Some subsidiaries have unused tax losses. The unused tax losses for which a deferred tax asset has been recognized can be recovered, provided that they meet certain requirements. As of December 31, 2023, the Company expects to recover such tax losses through the reversal of temporary differences and future taxable profits.

17. Financial instruments

1. Financial instruments by category as of December 31 is as follows:

	2023	2022	2021	Category / Hierarchy
Assets				
Financial assets:				
Cash and cash equivalents	$ 6,353	$ 12,313	$ 8,748	Fair value – Level 1
Trade accounts receivables and other accounts receivable, net	22,636	23,936	21,432	Amortized cost
Derivative financial instruments	119	38	1,293	Fair value - Level 1 and 2
Guarantee deposits for derivative financial instruments	1,519	879	-	Fair value - Level 1
Total current assets	30,627	37,166	31,473	
Other non-current assets	489	675	273	Amortized cost
Other non-current assets – plan asset surpluses and other assets	2,403	1,752	1,657	Fair value - Level 1, 2 and 3
Derivative financial instruments	468	2,005	1,962	Fair value - Level 1 and 2
Total assets	$ 33,987	$ 41,598	$ 35,365	

	2023	2022	2021	Category / Hierarchy
Liabilities				
Financial liabilities:				
Current portion of non-current debt	$ 12,932	$ 6,435	$ 10,625	Amortized cost
Trade accounts payable	40,409	44,058	35,752	Amortized cost
Other accounts payable	1,354	1,154	1,998	Amortized cost
Accounts payable to related parties	1,412	1,240	1,527	Amortized cost
Guarantee withdrawals for derivative financial instruments	-	-	392	Fair value - Level 1
Derivative financial instruments	2,164	1,458	169	Fair value - Level 1 and 2
Total current liabilities	58,271	54,345	50,463	
Non-current debt	97,003	77,619	82,230	Amortized cost
Derivative financial instruments	1,888	590	67	Fair value - Level 1 and 2
Total liabilities	$ 157,162	$ 132,554	$ 132,760	

2. Risk management

During the normal course of its operations, the Company is exposed to risks inherent to financial variables, as well as changes in the prices of some of its raw materials that are traded in international markets. The Company has established an orderly risk management process that assesses the nature and extent of those risks.

The primary financial risks to which the Company is exposed are as follows:

- Market risk
  - Interest rate risk
  - Foreign currency risk
  - Commodity price risk
- Liquidity risk
- Credit risk
- Equity risk

The risk management process includes the following activities:

- Identify, evaluate and monitor external and internal risks that could have a significant impact on the Company
- Prioritize risks
- Ensure risk assignment and monitoring
- Validate bodies and/or those responsible for risk management
- Validate the progress made in the management of each prioritized risk
- Review the consistency of open positions in respect of the corporate strategy
- Make recommendations

Since the variables to which the Company is exposed are dynamic, hedging strategies are evaluated and monitored periodically. Such strategies are reported to the relevant governing body within the Company. The primary purpose of hedging strategies is to achieve a neutral and balanced position in relation to the risk exposure caused by certain financial variables.

As of December, an analysis of the Company's derivative financial instruments is as follows:

	2023		2022		2021	
	Book value	Changes in OCI	Book value	Changes in OCI	Book value	Changes in OCI
Assets						
Current assets:						
Forwards on raw materials	$ 56	$ 56	$ -	$ (92)	$ 92	$ 92
Foreign currency forwards	33	-	-	-	-	-
Futures of raw materials	4	(23)	25	(922)	953	152
Swaps of raw materials and energetics	26	12	13	(237)	248	174
Total current derivative financial instruments	$ 119	$ 45	$ 38	$ (1,251)	$ 1,293	$ 418
Non-current assets:						
Cross currency swap	$ 456	$ (400)	$ 1,430	$ 249	$ 1,951	$ 427
Interest Rate swaps	11	786	575	575	-	-
Swaps of raw materials and energetics	-	-	-	(9)	9	9
Forwards on raw materials	1	1	-	(2)	2	2
Total non-current derivative financial instruments	$ 468	$ 387	$ 2,005	$ 813	$ 1,962	$ 438
Liabilities						
Current liabilities:						
Foreign currency forwards	$ 78	$ 47	$ 10	$ 76	$ 169	$ 175
Forwards on raw materials	660	(148)	512	(512)	-	784
Futures of raw materials	312	(75)	234	(237)	-	-
Cross currency swap	901	(224)	-	-	-	-
Swaps of raw materials and energetics	213	488	702	(702)	-	-
Total current derivative financial instruments	$ 2,164	$ 88	$ 1,458	$ (1,375)	$ 169	$ 959
Total non-current derivative financial instruments	$ 1,888	$ 288	$ 590	$ (54)	$ 67	$ 1,203
Equity:						
Total valuation of cash flow hedges, net of accrued interest	$ (292)	$ 808	$ (1,100)	$ (1,867)	$ 767	$ 3,018
Closed contracts for unused futures	(222)	130	(352)	(346)	(6)	(30)
	(514)	938	(1,452)	(2,213)	761	2,988
Deferred income tax, net	127	(274)	401	585	(184)	(860)
Other comprehensive (loss)/income	$ (387)	$ 664	$ (1,051)	$ (1,628)	$ 577	$ 2,128

As of December 31, 2023, 2022 and 2021, derivative financial instruments did not generate significant ineffectiveness in the hedging strategies executed.

2.1 Market risk

The Company is exposed to interest rate and foreign currency exchange risks, as well as commodity price risks. The Company occasionally uses derivative financial instruments to mitigate the potential impact of fluctuations in these variables and prices on its financial performance. The Company considers that the derivative financial instruments it enters into provide flexibility that allows for greater financial stability and better visibility and certainty regarding future costs and expenses.

The Company determines the target amounts and parameters of the primary positions for which the derivative financial instruments are contracted in order to minimize one or more of the risks generated by a transaction or group of transactions associated with the primary position.

The Company only enters into derivative financial instruments with financial institutions of well-known solvency and within the limits set for each institution.

The main types of derivative financial instruments used by the Company are as follows:

Contracts that establish a mutual obligation to exchange cash flows on preestablished future dates, at the nominal or reference value (swaps):

1. Interest rate swaps to balance the mix of fixed and variable interest rates used for financial liabilities
2. Cross currency swaps, to change the currency in which both the principal and interest of a financial liability are expressed

    a) Foreign currency forwards
    b) Foreign currency call options
    c) Foreign currency denominated zero-cost call and put options (zero-cost collars)
    d) Raw materials futures
    e) Options on raw material futures
    f) Commodity swaps

Market risk exposure is monitored and reported on an ongoing basis.

The Company's policy is to contract derivative financial instruments for the sole purpose of hedging its foreign currency risk. Accordingly, in order to contract a derivative financial instrument, it must necessarily be associated with a primary position that exposes the Company to a specific risk. Consequently, the notional amounts of the Company's derivative financial instruments must be consistent with the amounts of the primary positions that are being hedged. The Company does not contract derivative financial instruments to obtain earnings from premiums.

2.2 Management of interest rate risk

The Company is exposed to interest rate risk, mainly with respect to its financial liabilities. The risk is managed through an adequate mix of fixed and variable rates, which on occasion, is achieved by contracting derivative financial instruments, such as interest rate swaps, which are accounted for as hedging instruments when they meet with the corresponding criteria.

As a result of the COVID-19 pandemic, volatility in financial markets led to fluctuations in interest rates, particularly in short-term rates. Since most of the Company's financial liabilities bear interest at long-term fixed rates, these fluctuations did not have a material effect on the consolidated financial statements during 2022 and 2021.

Company management considers that the interest rate risk related to its financial assets is limited, since they are generally current assets.

Interest rate sensitivity

The sensitivity analyses below have been determined based on balances exposed to interest rate risk, considering both derivative and non-derivative financial instruments at year-end closing; therefore, the analyses may not be representative of the interest rate risk for the period due to changes in the balances exposed to such risk. For floating rate instruments, for which the Entity has not contracted a hedge to fix the rate, the sensitivity analysis is prepared assuming the amount of the liability outstanding at the end of the reporting period was outstanding for the whole year.

An increase/decrease of 20 basis points in the SOFR would result in a decrease/increase in profit or loss of approximately $8 for the year ended December 31, 2023.

An increase/decrease of 100 basis points in the TIIE would result in a decrease/increase in profit or loss of approximately $110 for the year ended December 31, 2023.

As of December 31, 2022 and 2021, the Company had no non-current debt bearing interest at variable rates.

2.3 Management of foreign currency risk

The Company carries out transactions in different foreign currencies and presents its consolidated financial statements in Mexican pesos. Accordingly, it is exposed to foreign currency risk (i.e. due to forecasted purchases of raw materials, contracts and monetary assets and liabilities) and foreign currency translation risk (i.e. due to net investments in foreign subsidiaries). The Company is mainly exposed to foreign currency risk associated with the performance of the Mexican peso against the American dollar and the Canadian dollar, and the Canadian dollar against the USD.

- Management of foreign currency translation risk

The Company has investments in foreign subsidiaries whose functional currency is not the Mexican peso, which exposes it to foreign currency translation risk. The Company has contracted intercompany financial assets and liabilities with those foreign subsidiaries in various currencies, which also generates foreign currency translation risks.

Foreign currency translation risk is mitigated mostly through the issuance of one or more loans denominated in currencies other than the functional currency to naturally hedge exposure to foreign currency and presented as a net investment in foreign subsidiaries.

As of December 31, 2023, 2022 and 2021, the loans in USD (described in Note 13) that have been designated as hedges on the net investment in foreign subsidiaries amount to USD841 million, USD1,058 million and USD1,295 million, respectively.

As of December 31, 2023, 2022 and 2021, the loans that have been designated as hedges on the net investment in foreign subsidiaries in Canada amount to CAD289 million, CAD354 million and CAD354 million for the three periods (see Note 17, 2.3 (a)).

As of December 31, 2023, 2022 and 2021, the loans that have been designated as hedges on the net investment in foreign subsidiaries in Spain amount to EUR318 million, EUR318 million and EUR126 million, respectively.

As of December 31, 2023, 2022 and 2021, the amount designated as a hedge for non-current intercompany asset positions is CAD664 million, CAD630 million and CAD630 million for the three periods.

As of December 31, 2023, 2022, and 2021, the amount loans for non-current intercompany that have been designated as the investment in USA subsidiaries is USD185 million, USD756 million and USD748 million, respectively.

As of December 31, 2023, the amount designated as a hedge for non-current intercompany liability positions is USD13 million.

As of December 31, 2023 and 2022, the amount designated as a hedge for non-current intercompany asset positions is GBP0 and GBP18 million, respectively.

To test hedge effectiveness, the Company compares the changes in the fair value of the hedging instrument against the changes in fair value of the hedged item attributable to the net investment.

Management of transactional foreign currency risk

The Company's risk management policy on transactional foreign currency risk consists of hedging expected cash flows, mainly with regard to expected obligations that qualify as hedged items, represented by "highly probable" forecasted transactions for purposes of hedge accounting. When the future purchase is made, the Company adjusts the non-financial asset hedged for the gain or loss previously recognized in OCI.

Foreign currency sensitivity

The sensitivity analyses below have been determined based on balances exposed to foreign currency risk, considering both derivative and non-derivative financial instruments at the reporting date; therefore, the analyses may not be representative of the foreign currency risk for the period due to changes in the balances exposed to such risk.

A depreciation/appreciation of one Mexican peso per USD that represents management's estimate of a reasonable potential change in the parity of both currencies would result in an increase/decrease of approximately $63 in profit or loss for the year ended December 31, 2023.

A depreciation/appreciation of one Mexican peso per Canadian dollar that represents management's estimate of a reasonable potential change in the parity of both currencies would result in an increase/decrease of approximately $0.3 in profit or loss for the year ended December 31, 2023.

A depreciation/appreciation of one Mexican peso per Euro that represents management's estimate of a reasonable potential change in the parity of both currencies would result in an increase/decrease of approximately $1 in profit or loss for the year ended December 31, 2023.

Analysis of derivative financial instruments for hedging interest rate and foreign currency risk

An analysis of the derivatives used to hedge interest rate and foreign currency risks and their fair value as of December 31, 2023, 2022 and 2021 is as follows:

Assets Long-Term Derivative Financial Instruments:

a) Swaps that translate the 144A bond of USD800 million, which matures on June 27, 2024, to Canadian dollars and change the fixed interest rate in UDS to a fixed interest rate in Canadian dollars, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
270	USD	354	CAD	27-jun-2024	3.875%	3.970%	$ -	$ 133	$ (171)

b) Swaps that translate the 144A bond of USD800 million, which matures on June 27, 2024, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
100	USD	1,827	MXN	27-jun-2024	3.875%	8.410%	$ -	$ 162	$ 339
150	USD	3,225	MXN	27-jun-2024	3.875%	7.160%	-	-	103
76	USD	1,392	MXN	27-jun-2024	3.875%	8.387%	-	123	257
204	USD	4,376	MXN	27-jun-2024	3.875%	7.330%	-	-	123
							$ -	$ 285	$ 822

c) Swaps that translate the 144A bond of USD500 million, which matures on June 27, 2044, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
100	USD	1,829	MXN	27-jun-2028	4.875%	9.838%	$ -	$ 183	$ 423
100	USD	1,829	MXN	27-jun-2044	-	1.190%	204	131	245
							$ 204	$ 314	$ 668

d) Swaps that translate a portion of 144A bond of USD650 million, maturing on November 10, 2047, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
100	USD	2,150	MXN	10-nov-2047	-	3.415%	$ -	$ 92	$ -
50	USD	1,075	MXN	10-nov-2047	-	3.120%	-	71	-
							$ -	$ 163	$ -

e) Swaps that translate a portion of 144A bond of USD595 million, maturing on September 6, 2049, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
50	USD	1,075	MXN	06-mar-2030	4.000%	8.080%	$ -	$ -	$ 72
50	USD	1,033	MXN	06-sep-2030	4.000%	9.810%	-	-	5
50	USD	1,018	MXN	06-sep-2030	4.000%	9.670%	-	-	30
25	USD	495	MXN	06-sep-2030	4.000%	9.370%	-	-	44
25	USD	494	MXN	06-sep-2030	4.000%	9.340%	-	-	44
200	USD	3,733	MXP	06-sep-2049	-	2.980%	-	5	185
							$ -	$ 5	$ 380

f) Swaps that translate a portion of 144A bond of USD500 million, maturing on June 27, 2044, to euros and change the fixed interest rate in USD to a fixed interest rate in euros, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
100	USD	93	EUR	28-jun-2032	4.870%	3.610%	$ -	$ 41	$ -

g) Swaps that translate a portion of 144A bond of USD595 million, maturing on September 6, 2049, to Euros and change the fixed interest rate in USD to a fixed interest rate in euros.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
150	USD	126	EUR	6-mar-2031	4.000%	2.110%	$ 252	$ 488	$ 252

h) Interest rate swap that hedges the floating rate in USD of coupon payments related to forecast transactions:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
200	USD	24-may-2034	SOFR 3M	1.690%	$ -	$ 513	$ -
75	USD	30-jun-2033	SOFR 3M	3.320%	-	21	-
75	USD	30-jun-2033	SOFR 3M	3.320%	-	22	-
30	USD	30-jun-2034	SOFR 3M	3.420%	1	-	-
					$ 1	$ 556	$ -

i) Long-term swaps to cover the price risk associated with raw materials and others:

	December 2023		December 2022		December 2021		Market value		
Unit	Quantity	Average price	Quantity	Average price	Quantity	Average price	2023	2022	2021
Barrels	$ -	$ -	$ -	$ -	23,400	49.90	$ -	$ -	$ 9

j) Long-term forwards to cover the exchange risk associated with raw materials and others:

		December 2023		December 2022		December 2021		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2023	2022	2021
Canada	USD/CAD	19	1.32	-	-	10	1.25	$ 1	$ -	$ 3
Mexico	USD/MXN	-	-	-	-	3	22.52	-	-	(1)
								$ -1	$ -	$ 2

k) Interest rate swap that hedges forecast flows related to the finance lease of Italy operation:

					Market value		
Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
8	EUR	03-feb-2031	Euribor 3M	1.280%	$ 6	$ 11	$ -
7	EUR	03-mar-2031	Euribor 3M	1.250%	4	9	-
					$ 10	$ 20	$ -
Total non-current assets for derivative financial Instruments					$ 468	$ 2,005	$ 1,962

During 2023, the Company restructured the notional amounts (for USD 280 million) and interest rates of some derivative financial instruments, as indicated in paragraph h), resulting in the collection of $1,216 corresponding to the fair value of these instruments at the time of the restructuring. The Company's risk management objectives were not modified as a result of this restructuring.

During 2022, the Company restructured the notional amounts (for USD150 million) and interest rates of some derivative financial instruments, as indicated in paragraph g), resulting in the collection of $419 corresponding to the fair value of these instruments at the time of the restructuring. The Company's risk management objectives were not modified as a result of this restructuring.

Derivative financial instruments Liabilities Non-current

l) Swaps that translate the 144A bond of USD800 million, which matures on June 27, 2024, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
150	USD	3,225	MXN	27-jun-2024	3.875%	7.160%	$ -	$ 163	$ -
204	USD	4,376	MXN	27-jun-2024	3.875%	7.330%	-	234	-
							$ -	$ 397	$ -

m) Swaps that translate a portion of 144A bond of USD500 million, maturing on June 27, 2044, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate Mexican peso, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
100	USD	1,830	MXN	27-jun-2028	4.880%	9.840%	$ 115	$ -	$ -
100	USD	1,869	MXN	27-jun-2044	-	3.550%	112	-	-
							$ 227	$ -	$ -

n) Swaps that translate a portion of 144A bond of USD500 million, maturing on June 27, 2044, to Euros and change the fixed interest rate in USD to a fixed interest rate Euros, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
100	USD	93	EUR	28-jun-2032	4.870%	3.610%	$ 103	$ -	$ -

o) Swaps that translate a portion of 144A bond of USD595 million, maturing on September 6, 2049, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate Mexican peso, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
50	USD	1,075	MXN	06-mar-2030	4.000%	8.080%	$ 194	$ 27	$ -
50	USD	1,033	MXN	06-sep-2030	4.000%	9.810%	246	80	-
50	USD	1,018	MXN	06-sep-2030	4.000%	9.670%	223	57	-
25	USD	495	MXN	06-sep-2030	4.000%	9.370%	87	5	-
25	USD	494	MXN	06-sep-2030	4.000%	9.340%	87	4	-
200	USD	3,733	MXN	06-sep-2049	-	2.980%	59	-	-
							$ 896	$ 173	$ -

p) Swaps that translate the 144A bond of USD800 million, which matures on November 10, 2047, to Canadian dollars and change the fixed interest rate in UDS to a fixed interest rate in Canadian dollars, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
100	USD	131	CAD	10-nov-2047	-	-	$ 87	$ -	$ -
120	USD	158	CAD	10-nov-2047	-	0.020%	116	-	-
							$ 203	$ -	$ -

q) Swaps that translate a portion of 144A bond of USD650 million, maturing on November 10, 2047, to Mexican pesos, where the notional to maturity is hedged by changing the debt denominated in USD to Euros.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
100	USD	2,150	MXN	10-nov-2047	-	3.420%	$ 217	$ -	$ -
50	USD	1,075	MXN	10-nov-2047	-	3.120%	79	-	-
							$ 296	$ -	$ -

r) Swaps that translate a portion of 144A bond of USD650 million, maturing on November 10, 2047, to Euros, where the notional to maturity is hedged by changing the debt denominated in USD to Euros.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
100	USD	99	EUR	10-nov-2032	1.020%	-	$ 140	$ 20	$ -

s) Interest rate swap that hedges the floating rate in USD of coupon payments related to forecast transactions:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
100	USD	24-may-2034	SOFR 3M	3.510%	$ 12	$ -	$ -
50	USD	30-jun-2033	SOFR 3M	3.500%	5	-	-
50	USD	30-jun-2033	SOFR 3M	3.500%	5	-	-
50	USD	30-jan-2034	SOFR 3M	3.450%	1	-	-
					$ 23	$ -	$ -

t) Interest rate swap that hedges the variable rate in USD:

Notional amount	Currency	Maturity	Rate received	Rate pa0id	Market value 2023	Market value 2022	Market value 2021
200	USD	24-may-2034	SOFR 3M	1.690%	$ -	$ -	$ 54

u) Interest rate swap hedging forecasted flows related to financial leases of Italy operation:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
8	EUR	03-feb-2031	3-month Euribor	1.280%	$ -	$ -	$ 7
7	EUR	03-mar-2031	3-month Euribor	1.250%	-	-	6
					$ -	$ -	$ 13
Total non-current financial liabilities					$ 1,888	$ 590	$ 67

Foreign currency hedges

There is an economic relationship between the hedged items and the hedging instruments as the terms of the foreign exchange and commodity forward contracts match the terms of the expected highly probable forecast transactions (i.e. notional amount and expected payment date). The Company has established a hedge ratio of 1:1 for the hedging relationships as the underlying risk of the foreign exchange and commodity forward contracts are identical to the hedged risk components.

Derivative Financial Instruments Current Assets – Foreign Currency Hedging:

a) As of December 31, 2023, 2022 and 2021, the Company had the following forwards to hedge forecast transactions:

		December 2023		December 2022		December 2021		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2023	2022	2021
Mexico	MXN/CLP	1,203	49.87	-	-	-	-	$ 24	$ -	$ -
United Kingdom	EUR/USD	16	1.08	-	-	-	-	9	-	-
			Total non-current liabilities financial instruments					$ 33	$ -	$ -

An analysis of the maturities of these forwards as of December 31, 2023 is as follows:

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Mexico						
Notional amount in MXP	-	-	1,203	-	-	1,203
Average exchange rate CLP	-	-	49.87	-	-	49.87
United Kingdon						
Notional amount in EUR	3	5	5	2	1	16
Average exchange rate	1.06	1.08	1.09	1.09	1.09	1.08

b) As of December 31, 2023, 2022 and 2021, the Company had contracted the following forwards to hedge its foreign currency risk related to raw materials and other:

		December 2023		December 2022		December 2021		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2023	2022	2021
Canada	USD/CAD	29	1.32	-	-	125	1.26	$ 2	$ -	$ 17
Canada	CAD/USD	39	1.34	-	-	28	1.28	7	-	7
Chile	USD/CLP	45	841.02	-	-	37	795.93	38	-	65
Colombia	USD/COP	-	-	-	-	16	3,894.38	-	-	19
Colombia	COP/USD	8,150	4,250.99	-	-	-	-	3	-	-
Mexico	USD/MXN	-	-	-	-	320	21.12	-	-	(43)
Mexico	MXN/USD	602	17.24	-	-	545	21.43	5	-	20
Mexico	EUR/MXN	-	-	-	-	1	25.29	-	-	(1)
Peru	USD/PEN	5	3.69	-	-	25	4.03	1	-	-
Uruguay	USD/UYU	-	-	-	-	9	46.09	-	-	(2)
France	USD/EUR	-	-	-	-	6	1.16	-	-	2
Russia	EUR/RUB	-	-	-	-	1	73.76	-	-	1
Brazil	USD/BRL	-	-	-	-	15	5.62	-	-	3
Brazil	BRL/USD	-	-	-	-	53	5.79	-	-	4
								$ 56	$ -	$ 92

An analysis of the maturities of these forwards as of December 31, 2023 is as follows:

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Canada						
Notional amount in USD	1	-	8	6	14	29
Average exchange rate	1.31	-	1.32	1.32	1.32	1.32
Canada						
Notional amount in CAD	13	26	-	-	-	39
Average exchange rate	1.34	1.34	-	-	-	1.34
Colombia						
Notional amount in COP	-	4,463	2,874	813	-	8,150
Average exchange rate	-	4,426.12	4,042.04	4,109.53	-	4,250.99
Mexico						
Notional amount in MXN	199	403	-	-	-	602
Average exchange rate	17.15	17.28	-	-	-	17.24
Chile						
Notional amount in USD	7	12	15	8	3	45
Average exchange rate	834.87	839.25	831.25	850.10	882.65	841.02
Peru						
Notional amount in USD	1	1	2	1	-	5
Average exchange rate	3.67	3.69	3.70	3.69	-	3.69

Current Liabilities Derivative Financial Instruments – Foreign Currency Hedging:

c) Swaps that translate a portion of 144A bond of USD800 million, maturing on June 27, 2024, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate Mexican peso, as well as notional coverage at maturity:

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
100	USD	1,827	MXN	27-jun-2024	3.880%	8.410%	$ 42	$ -	$ -
76	USD	1,392	MXN	27-jun-2024	3.880%	8.390%	31	-	-
150	USD	3,225	MXN	27-jun-2024	3.880%	7.160%	63	-	-
204	USD	4,376	MXN	27-jun-2024	3.880%	7.330%	765	-	-
							$ 901	$ -	$ -

d) As of December 31, 2023, 2022 and 2021, the Company had the following forwards to hedge forecast transactions:

		December 2023		December 2022		December 2021		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2023	2022	2021
Mexico	MXN/CLP	-	-	1,388	43.23	894	40.24	$ -	$ (3)	$ (20)
Mexico	USD/MXN	125	17.77	190	19.63	252	21.39	71	(19)	189
Mexico	MXN/USD	-	-	607	19.91	-	-	-	(5)	-
Mexico	USD/GBP	-	-	31	1.13	-	-	-	41	-
Mexico	EUR/MXN	-	-	100	21.01	-	-	-	12	-
United Kingdom	EUR/GBP	16	0.89	30	1.15	-	-	6	(17)	-
United Kingdom	USD/EUR	4	1.12	53	1.08	-	-	1	1	-

$ 78	$ 10	$ 169

An analysis of the maturities of these forwards as of December 31, 2023 is as follows:

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Mexico						
Notional amount in USD	28	65	28	4	-	125
Average exchange rate	17.24	17.70	18.49	17.72	-	17.77
United Kingdom						
Notional amount in EUR	2	4	5	2	3	16
Average exchange rate	0.90	0.89	0.90	0.88	0.88	0.89
United Kingdom						
Nocional amount in USD	-	1	1	1	1	4
Average exchange rate	-	1.12	1.12	1.12	1.12	1.12

e) As of December 31, 2023, 2022 and 2021, the Company had contracted the following forwards to hedge its foreign currency risk related to raw materials and other:

		December 2023		December 2022		December 2021		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2023	2022	2021
Canada	USD/CAD	118	1.34	140	1.30	-	-	$ 27	$ (116)	$ -
Canada	CAD/USD	-	-	47	1.36	-	-	-	(1)	-
Chile	USD/CLP	21	912.44	67	936.37	-	-	9	104	-
Colombia	USD/COP	23	4329.00	18	4,665.24	-	-	35	(22)	-
Mexico	USD/MXP	492	18.54	613	20.90	-	-	560	525	-
Mexico	MXP/USD	-	-	1,745	20.06	-	-	-	(26)	-
Mexico	EUR/MXP	2	20.29	2	22.67	-	-	2	2	-
Peru	USD/PEN	19	3.82	28	3.95	-	-	8	14	-
Uruguay	USD/UYU	9	40.67	11	43.01	-	-	4	11	-
France	USD/EUR	6	1.09	6	1.06	-	-	1	2	-
Brazil	USD/BRL	23	5.02	14	5.43	-	-	10	4	-
Brazil	BRL/USD	-	-	22	5.44	-	-	-	(2)	-
Costa Rica	USD/CRC	5	545.2	12	648.50	-	-	4	17	-
								$ 660	$ 512	$ -

The maturities of these forwards as of December 31, 2023 are as follows:

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Canada						
Notional amount in USD	12	28	38	27	13	118
Average exchange rate	1.34	1.34	1.34	1.34	1.34	1.34
Chile						
Notional amount in USD	2	1	3	7	8	21
Average exchange rate	920.45	894.08	908.13	910.00	917.88	912.44
Colombia						
Notional amount in USD	3	7	8	4	1	23
Average exchange rate	4,376.36	4,341.93	4,316.28	4,263.53	4,472.01	4,329.00

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Mexico						
Notional amount in USD	65	109	156	112	50	492
Average exchange rate	19.03	18.64	18.40	18.32	18.63	18.54
Mexico						
Notional amount in EUR	-	1	1	-	-	2
Average exchange rate	-	19.81	20.14	-	-	20.29
Peru						
Notional amount in USD	3	5	5	4	2	19
Average exchange rate	3.90	3.82	3.79	3.79	3.83	3.82
Uruguay						
Notional amount in USD	1	2	2	2	2	9
Average exchange rate	40.89	40.70	40.35	40.50	41.09	40.67
France						
Notional amount in USD	1	2	2	1	-	6
Average exchange rate	1.09	1.09	1.09	1.09	-	1.09
Brazil						
Notional amount in USD	5	8	8	2	-	23
Average exchange rate	4.97	5.02	5.06	5.00	-	5.02
Costa Rica						
Notional amount in USD	1	2	2	-	-	5
Average exchange rate	550.20	546.67	539.11	-	-	545.20

As of December 31, 2023, 2022 and 2021, the Company reclassified $1,916, $394 and $549, respectively, to cost of sales.

2.4 Management of commodity price risk

There is an economic relationship between the hedged items and the hedging instruments as the terms of purchases of raw materials match the terms of the expected highly probable forecast transactions (i.e. notional amount and expected payment date). The Company has established a hedge ratio of 1:1 for the hedging relationships as the underlying risk of the purchases of raw materials are identical to the hedged risk components.

In accordance with the Company's risk management policies, it enters into wheat, natural gas, and other commodity futures contracts to minimize the risk of variation in international prices of such commodities.

Wheat, the main commodity used by the Company, together with natural gas, are some of the commodities hedged. The transactions are carried out in well-known commodity markets and through their formal documentation, are designated as cash flow hedges of forecasted transactions. The Company performs prospective and retrospective effectiveness tests of the instruments to ensure that they mitigate the variability of cash flows from fluctuations in the price of such commodities.

As of December 31, 2023, 2022 and 2021, the Company has recognized, in other comprehensive income, closed wheat derivative contracts that have not yet been reclassified to cost of sales, since the wheat under these contracts has not been used for flour consumption.

Analysis of derivative transactions to hedge commodity price risk

As of December 31, 2023, 2022, and 2021, the principal characteristics of the Company's futures contracts are as follows:

	2023			2022			2021		
	Contracts			Contracts			Contracts		
	Number	Maturity	Fair value	Number	Maturity	Fair value	Number	Maturity	Fair value
Diesel	3,276	Jan-24 a Dec-24	$ 2	-	-	$ -	1,841	Jan-22 a Dec-22	$ 245
Gasoline	2,142	Jan-24 a Dec-24	4	-	-	-	764	Jan -22 a Dec-22	130
Natural gas	4	Jan-24 a Dec-24	1	-	-	-	628	Jan -22 a Dec-22	(12)
Polyethylene	25,152	Jan-24 a Sep-24	18	-	-	-	84,269	Jan -22 a Dec-22	(124)
Wheat	40	Jan-24 a Jul-24	3	-	-	-	13,202	Jan -22 a Dec-22	936
Corn	39	Jan-24 a Sep-24	1						
Soybean oil	-	-	-	798	Jan-23 a Dec-23	25	818	Jan -22 a Dec-22	14
Crude Oil	25,000	Jan-24 a Dec-24	1	21,450	Jan-23 a Nov-23	13	23,400	Jan -22 a Dec-22	12
Total current assets			$ 30			$ 38			$ 1,201
Polyethylene	45,488	Jan-24 a Dec-24	$ 35	109,571	Jan-23 a Mar-24	$ 482			$ -
Natural gas	586	Jan-24 a Dec-24	94	623	Jan-23 a Jan-24	194			-
Wheat	8,241	Jan-24 a Sep-24	285	11,375	Feb-23 a Dec-23	234			-
Soybean oil	635	Jan-24 a Dec-24	27						
Diesel	2,230	Jan-24 a Dec-24	72	1,982	Jan-23 a Jan-24	12			-
Gasoline	508	Jan-24 a Dec-24	12	1,239	Jan-23 a Dec-23	14			-
Total current liabilities			$ 525			$ 936			$ -

As of December 31, 2023, 2022 and 2021, the Company reclassified $1,767, $(1,749) and $(1,351), respectively, to cost of sales.

The fair values of these financial instruments used to hedge the raw material price risk are considered within Level 1 of the fair value hierarchy.

As of December 31, 2023, 2022 and 2021, the Company has not identified any embedded derivatives that require bifurcation.

Valuation techniques and assumptions applied to measure fair value

The fair value of the Company's financial assets and liabilities is calculated as follows:

The fair values of financial assets and financial liabilities with standard terms and conditions which are traded on active, liquid markets are determined based on their quoted market prices. Derivative financial instruments fall under this category; therefore, these instruments are classified within Level 1 of the fair value hierarchy described below.

The fair value of other financial assets and liabilities carried at fair value is determined in accordance with accepted pricing models, generally based on an analysis of the discounted cash flows.

As of December 31, 2023, 2022 and 2021, the carrying value of financial assets and liabilities does not vary significantly from their fair value.

These derivative financial instruments are considered within level 1 and 2 of the fair value hierarchy.

The valuation of the Company's structured notes was determined based on the market value with prices provided by Valuación Operativa y Referencias de Mercado S.A. de C.V. ("VALMER"), which is an entity supervised by the *Mexican National Banking and Securities Commission* (CNBV, Spanish acronym) that provides updated prices for financial instruments. This valuation is considered Level 1 in accordance with the hierarchy described below.

Fair value hierarchy

All assets and liabilities for which fair value is measured or disclosed in the consolidated statement of financial position are categorized within one of the following three hierarchy levels based on the data used in the valuation. Categorization within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement.

- Level 1: Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2: Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3: Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

2.5 Management of liquidity risk

Liquidity risk management allows the Company to determine its short-term, medium-term and long-term cash flow needs, while seeking financial flexibility. The Company maintains sufficient liquidity through an orderly management of its resources and constant monitoring of cash flows, as well as through a variety of credit lines (some of them committed) with banking institutions and proper management of working capital. These actions ensure the payment of future obligations. Due to the nature of its business, the Company considers its liquidity risk to be low.

Obligations arising from accounts payables, derivative financial instruments and debt amortization are as follows:

	< 1 year	>1 year < 3 years	>3 years < 5 years	> 5 years	Total
Debt and interest	$ 19,205	$ 24,088	$ 28,807	$ 109,136	$ 181,236
Lease liabilities	5,751	8,771	5,389	14,138	34,049
Derivative financial instruments	3,562	969	1,170	11,895	17,596
Trade payables, accounts payable to related parties and other accounts payables	43,175	-	-	-	43,175
Total	$ 71,693	$ 33,828	$ 35,266	$ 135,168	$ 276,056

2.6 Management of credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss.

The Company recognizes a provision for expected credit losses for trade receivables. The Company uses a provision matrix to calculate expected credit losses for trade receivables. The provision matrix is initially based on the Company's historical credit loss experience and is subsequently adjusted for factors that are specific to the debtors, general economic conditions and an assessment of the current direction and forecast of future conditions at the reporting date, including the time value of money, when applicable.

With respect to transactions with derivative financial instruments related to interest rate and exchange rate hedges, and some commodities such as natural gas, these instruments are entered into bilaterally with counterparties of high repute that meet certain criteria mentioned below, and who maintain a significant and ongoing business relationship with the Company.

These counterparties are deemed of high repute, as they are sufficiently solvent, based on their "counterparty risk" rating from a rating agency, for current and non-current obligations in local and foreign currency.

The Company's transactions with derivative financial instruments related to raw materials are carried out in the following renowned markets:

a) Minneapolis Grain Exchange (MGE)
b) Kansas City Board of Trade (KCBOT)
c) Chicago Board of Trade (CBOT)
d) New York Mercantile Exchange (NYMEX)

The Company monitors counterparty credit risks on a monthly basis and performs the related measurements.

All derivative financial instrument transactions are performed under standardized derivatives contracts that are duly executed by the legal representatives of the Company and those of the counterparties.

The appendices and annexes to these derivative contracts establish the settlement and other relevant terms in accordance with the uses and practices of the Mexican market and the markets in which the Company operates.

Some derivative financial instrument contracts, appendices and annexes, through which bilateral derivative financial transactions are carried out, consider the establishment of a cash deposit or other securities to guarantee payment of obligations arising from such contracts. The credit limits established by the Company with its counterparties are large enough to support its current operations; however, the Company maintains cash deposits as collateral for payment of certain derivative financial instruments.

For commodities future contracts executed in well-known international markets, the Company is subject to the regulations of such markets. These regulations include, among others, establishing an initial margin call for futures contracts and subsequent margin calls required of the Company.

2.7 Management of equity structure

The Company maintains a balance between debt and equity in order to maximize the shareholders' return.

As of December 31, the equity structure and leverage ratio are as follows:

	2023	2022	2021
Debt (i)	$ 109,935	$ 84,054	$ 92,855
Cash and cash equivalents	(6,353)	(12,313)	(8,748)
Net debt	103,582	71,741	84,107
Equity	111,628	127,602	101,606
Net debt to equity	0.93 times	0.56 times	0.83 times

(i) Debt is comprised of bank loans and current and non-current structured notes, net of amortizable transaction costs.

18. Employee benefits and welfare plans

An analysis of the net liability generated by employee benefits and long-term social welfare by geographical segment as of December 31, is as follows:

	2023	2022	2021
Retirement and post-retirement benefits			
Mexico	$ 1,495	$ 2,283	$ 3,618
USA	858	724	786
Canada	-	-	18
EAA and Latin America	434	479	545
Total liabilities from retirement and post-retirement benefits	2,787	3,486	4,967
Multi-employer pension plans – USA	-	31	19,227
Social welfare USA	2,855	3,873	4,012
Net plan assets presented in other assets	455	708	1,245
Long-term bonuses payable to employees	1,120	1,284	1,261
Total net liability	$ 7,217	$ 9,382	$ 30,712

a) Mexico

The Company has a defined benefit pension and seniority premium plan. The Company's funding policy is to make discretionary contributions. During 2023, 2022 and 2021, the Company contributed $816, $781 and $1,150, respectively, to the plan assets.

As of December 31, 2022, due to the labor reform in Mexico regarding vacations, which increases the number of vacation days for workers, the Company estimated the amount of the increase in the net liability for post-employment benefits, the which turned out to be not significant.

Seniority premiums consist of a one-time payment equal to 12-days' salary for each year worked based on the employee's final monthly salary (capped at twice the legal minimum daily wage) as stipulated in the employment contracts. Such benefits are granted to employees with 15 or more years of service.

The most recent actuarial valuations of the plan assets and present value of the defined benefit obligation were performed as of December 31, 2023, 2022 and 2021 based on independent actuarial calculations.

b) USA

The Company has a defined benefit pension plan that covers eligible employees. Some of the benefits of the plan for non-unionized workers were frozen. The Company's funding policy is to make discretionary contributions. As of December 31, 2023, the Company did not make contributions; as of December 31, 2022 and 2021, the contributions made to the plan total $101 and $203, respectively.

The Company has also established post-retirement social welfare plans, which cover the medical expenses of certain eligible employees. The Company has insurance and pays these expenses as incurred.

The most recent actuarial valuations of the plan assets and present value of the defined benefit obligation were performed as of December 31, 2023, 2022 and 2021 based on independent actuarial calculations.

c) Canada

The Company has a defined benefit pension plan that covers all eligible employees. Some of the benefits of the plan for non-unionized workers were frozen. The Company's funding policy is to make discretionary contributions. The contributions made to the plan in 2023, 2022 and 2021 total $81, $118 and $711, respectively.

The most recent actuarial valuations of the plan assets and present value of the defined benefit obligation were performed as of December 31, 2023, 2022 and 2021 based on independent actuarial calculations.

The Company has also established a defined contribution plan through which contributions are paid as incurred. For the years ended December 31, 2023, 2022 and 2021, the contributions made to the plans total $61, $67 and $74, respectively.

As of December 31, 2023, the principal assumptions used in the actuarial valuations are as follows:

	2023	2022	2021
Mexico:			
Discount rate	9.73%	9.59%	8.30%
Salary increase rate	4.75%	4.75%	4.50%
Inflation rate	3.75%	3.75%	3.50%
Expected average weighted return	9.59%	8.30%	7.68%
USA:			
Discount rate	4.98%	5.22%	2.73%
Salary increase rate	3.50%	3.50%	3.25%
Inflation rate	2.50%	2.50%	2.25%
Expected average weighted return	5.22%	2.73%	2.30%
Canada:			
Discount rate	4.60%	5.10%	2.90%
Salary increase rate	4.00%	4.00%	3.00%
Inflation rate	2.00%	2.00%	2.00%
Expected average weighted return	5.10%	2.90%	2.50%

The assumptions related to the mortality rates used in the actuarial valuations are as follows:

	2023	2022	2021
Mexico:			
Mortality table	EMSSA 2009	EMSSA 2009	EMSSA 2009
USA:			
Mortality table	MP-2023	MP-2022	MP-2021
Canada:			
Mortality table	CPM2014Priv	CPM2014Priv	CPM2014Priv

Based on the aforementioned assumptions, the retirement and post-retirement benefits to be paid in the following years are as follows:

	Mexico	USA	Canada
2024	$ 463	$ 574	$ 180
2025	529	618	181
2026	628	660	184
2027	675	658	187
2028	728	658	189
2029 to 2034	3,442	3,147	938
	$ 6,465	$ 6,315	$ 1,859

An analysis of the amounts recognized in profit or loss and other comprehensive income with respect to defined benefit plans is as follows:

	2023	2022	2021
Amounts recognized in profit or loss:			
Current year service cost	$ 837	$ 1,013	$ 1,128
Interest cost	1,821	1,867	1,745
Return on plan assets	(1,657)	(1,567)	(1,324)
	1,001	1,313	1,549
Actuarial (loss)/gain on defined benefits recognized in other comprehensive income:			
Mexico, USA and Canada:			
Experience adjustments to plan obligations	468	(671) [3]	911
Effect of changes in demographic assumptions	-	-	87
Effect of changes in financial assumptions	61	(7,711) [1]	(3,534) [1]
Actuarial (gain)/loss on estimate of plan assets [3]	(127)	7,793	810
EAA and Latin America	(53)	(211)	183
	349	(800)	(1,543)
	$ 1,350	$ 513	$ 6

(1) Effects of an increase in the discount rate in Mexico, the United States of America and Canada in 2022 and 2021.
(2) Effects of the decrease in the real rate of return, mainly in Mexico and the United States of America, in 2022 and 2021.
(3) Effect due to the increase in employee turnover rate, mainly in Mexico.

Of the current year service cost, $724, $931 and $957 were included in 2023, 2022 and 2021, respectively, in the consolidated statement of profit or loss as part of cost of sales and the remainder as part of general expenses. Interest costs and the expected return on plan assets are recognized as part of comprehensive finance cost.

An analysis of the amount recognized in the consolidated statement of financial position in respect of the Company's obligation regarding its defined benefits plans as of December 31, is as follows:

	2023	2022	2021
Present value of defined benefit obligation	$ 27,163	$ 27,465	$ 41,401
Less - fair value of plan assets	24,788	24,413	36,823
	2,375	3,052	4,578
Plus - Retirement benefits for Latin America and EAA	434	479	545
Plus – Pensions net assets	97	79	-
Less - Current portion of retirement benefits recognized in accrued liabilities	(119)	(124)	(156)
Present value of unfunded defined benefits	$ 2,787	$ 3,486	$ 4,967

An analysis of changes in the present value of the defined benefit obligation for the years ended December 31, is as follows:

	2023	2022	2021
Present value of defined benefit obligation as of January 1	$ 27,465	$ 41,401	$ 42,386
Current year service cost	837	1,013	1,128
Interest cost	1,821	1,867	1,745
Gains on plan settlements	-	-	-
Experience adjustments to plan obligations	(468)	(671)	911
Effect of changes in demographic assumptions	-	-	87
Effect of changes in financial assumptions	61	(7,711)	(3,534)
Translation effect	(1,762)	(1,500)	963
Discontinued operation	-	(309)	-
Benefits paid	(1,727)	(6,625)	(2,285)
Present value of defined benefit obligation as of December 31	$ 27,163	$ 27,465	$ 41,401

An analysis of changes in the fair value of plan assets for the years ended December 31, is as follows:

	2023	2022	2021
Fair value of plan assets as of January 1	$ 24,413	$ 36,823	$ 34,790
Return on plan assets	1,657	1,567	1,324
Actuarial (gain)/loss on estimate of plan assets	127	(7,793)	(810)
Employer contributions	897	1,000	2,064
Translation effect	(1,659)	(1,452)	882
Benefits paid	(647)	(5,732)	(1,427)
Fair value of plan assets as of December 31	$ 24,788	$ 24,413	$ 36,823

Categories of plan assets:

	Fair value of plan assets		
	2023	2022	2021
Equity instruments	$ 6,333	$ 6,260	$ 7,247
Debt instruments	15,730	16,288	25,471
Other	2,725	1,865	4,105
	$ 24,788	$ 24,413	$ 36,823

The fair value of the equity and debt instruments shown above is measured based on market prices quoted in active markets.

The Company's technical committee, as well as the trust committees, are responsible for defining and monitoring the Company's investment strategy and policies on a quarterly basis in order to optimize the risk/return in the long-term.

Sensitivity analysis:

The significant actuarial assumptions for the determination of the defined benefit obligation are the discount rate and the expected salary increase rate. The sensitivity analyses described below consider reasonable potential changes in the respective assumptions at the end of the reporting period, with all other assumptions remaining constant.

A sensitivity analysis considering a variance of 50 basis points in the assumptions as of December 31, 2023 is as follows:

	Mexico	USA	Canada
Discount rate increase	$ (1,116)	$ (506)	$ (156)
Discount rate decrease	1,303	506	181
Salary rate increase	(544)	(28)	(9)
Salary rate decrease	618	28	11

In the sensitivity analysis described above, the present value of the defined benefit obligation is calculated using the projected unit credit method at the end of the reporting period, which is the same method applied to calculate the liability for the defined benefit obligation recognized in the consolidated statement of financial position.

There were no changes in the methods or assumptions considered in the sensitivity analyses of prior years.

Duration of the defined benefit obligation

An analysis is as follows:

	Duration in years		
	2023	2022	2021
Mexico:			
Average duration	16.62	16.95	20.20
Active members	24.90	25.49	26.50
Retired members	8.35	8.41	8.30
USA:			
Average duration	10.10	10.41	12.16
Active members	11.06	11.12	13.83
Retired members	7.76	7.53	9.46
Deferred members	10.32	10.16	12.94
Canada:			
Average duration	9.90	10.20	12.80
Active members	13.00	13.20	16.80
Retired members	8.20	8.50	9.30
Deferred members	15.70	16.10	18.40

An analysis of the experience adjustments and other items for the years ended December 31, is as follows:

	2023	2022	2021
Present value of defined benefit obligation	$ 27,163	$ 27,465	$ 41,401
Less - Fair value of plan assets	24,788	24,413	36,823
Unfunded defined benefit obligation	$ 2,375	$ 3,052	$ 4,578
Experience adjustments to plan obligations and actuarial loss	$ 468	$ (671)	$ 911
Experience adjustments to plan assets	$ 127	$ (7,793)	$ (810)

The Company expects to make a contribution of $827 to the retirement and post-retirement benefit plans in 2024.

Multi-Employer Pension Plans (MEPP)

The Company participates in defined benefit MEPPs through its subsidiary BBU, that are administered and controlled by an independent board of trustees that generally consists of an equal number of union and employer representatives. BBU's responsibility to contribute to these plans is established pursuant to its collective agreements that cover its union-represented employees. These plans generally provide for retirement benefits for eligible employees with the applicable bargaining units, based on specific eligibility and participation requirements, vesting periods and benefit formulas.

Assets contributed to a MEPP by one employer may be used to provide benefits to employees of other participating employers. In the event other employers withdraw from a MEPP in which BBU participates, without satisfying their entire withdrawal liability, the amount of the unsatisfied withdrawal liability would be allocated to the remaining active employers.

Generally, allocation of withdrawal liability is related to BBU's contributions to the plan in relation to other employers' contributions to the plan and is subject to the collective bargaining process as well as approval from the Pension Benefit Guarantee Corporation.

If any of the MEPPs in which BBU participates enters critical status and its contributions are not sufficient to satisfy any rehabilitation plan funding schedule, the BBU could be required to make additional surcharge contributions to the MEPP based on a percentage of existing contributions required under the Company's labor agreement.

Unless the Company determines that it is probable that it will exit the MEPP, this type of plan is measured as a defined contribution plan, since the Company does not have sufficient information to perform the related calculations due to the collective nature of the plans and the Company's limited participation in the management of the plans. For the years ended December 31, 2023, 2022 and 2021, the contributions made to the MEPPs total $2,430, $2,655 and $2,556, respectively. The Company expects to contribute of $2,167 to the plan in 2024.

Liabilities recognized related to MEPPs are updated annually due to changes in wages, seniority and the combination of employees within the plan and are recorded in profit or loss for the year, in addition to amounts that are contributed regularly to different MEPPs.

When it is probable that the Company will exit a MEPP, a provision is recognized for the present value of the estimated future cash outflows, discounted at the current rate (Note 19).

The movements of the MEPPs liability during the years ended December 31 were as follows:

	2023	2022	2021
Balance as of January 1	$ 31	$ 19,227	$ 20,343
Remeasurement – (Note 22)	(28)	(18,697)	(2,005)
Financial cost – (Note 23)	-	303	230
Effect of foreign exchange differences	(3)	(802)	659
Balance as of December 31	$ -	$ 31	$ 19,227

In March 2021, the United States federal government passed and signed into law the American Rescue Plan Act of 2021 ("ARPA"). ARPA aims to redress some of the economic damages inflicted by the COVID-19 pandemic, including a provision of special financial assistance ("SFA") for certain underfunded PPMs through 2051. According to regulations issued in July 2021 and finalized In July 2022, underfunded PPMs in which the Company participates are eligible to apply for SFA in 2022 and 2023.

In December 2022, the largest critical and declining pension fund in the United States, Central States Teamsters, received approval for Special Financial Assistance (SFA). The Company believes that this approval significantly reduces the level of uncertainty with respect to other qualified pension funds and provides assurance that the SFA application process is progressing as planned. Accordingly, the Company believes that the previously expected contributions that were recognized on a provisional basis will no longer be required, so this provision has been reversed. The amount of this reversal is $19,010, which was recognized in other expenses in the statement of profit or loss.

Social welfare benefit plan in USA

The Company has a social welfare post-retirement benefit plan that qualifies as a defined contribution plan. The amounts corresponding to this obligation are recognized in profit or loss as incurred. These obligations are classified as current or long-term welfare benefit plans and the amounts are recognized in the consolidated statement of financial position. These liabilities are classified as short-term and long-term and their amounts included in the statement of financial position are:

	2023	2022	2021
Social welfare:			
Short-term [(a)]	$ 1,189	$ 1,462	$ 1,511
Long-term	2,855	3,873	4,012
	$ 4,044	$ 5,335	$ 5,523

(a) Included in other accounts payable and accrued liabilities.

19. Other non-current liabilities

The other non-current liabilities as of December 31, are as follows:

	2023	2022	2021
Provisions	$ 9,755	$ 8,663	$ 5,793
Liabilities for exits from multi-employer plans	2,033	2,075	2,370
Deferred compensation	846	1,022	1,206
Other	252	247	453
	$ 12,886	$ 12,007	$ 9,822

In the other non-current liabilities caption, the Company has recognized provisions for lawsuits of different nature that arise in the normal course of its operations. The liabilities related to tax uncertainties were also recognized under the same caption. Based on this assessment, the Company has recognized the following amounts:

Type	2023	2022	2021
Tax	$ 1,104	$ 1,146	$ 1,191
Labor	478	649	711
Civil	179	120	110
Other	28	79	1
Uncertain tax positions	7,966	6,669	3,780
Total	$ 9,755	$ 8,663	$ 5,793

The movements in the Company's provisions and liabilities related to uncertain tax positions as of December 31, are as follows:

	2023	2022	2021
Balance as of January 1	$ 8,663	$ 5,793	$ 4,919
Net increases	1,503	3,033	1,107
Payments	(170)	(113)	(177)
Effect of foreign exchange differences	(241)	(50)	(56)
Balance as of December 31	$ 9,755	$ 8,663	$ 5,793

As of December 31, 2023, the cumulative amount corresponding to tax, civil and labor lawsuits deemed as less than probable, but more than remote by the Company's internal attorneys is $379. However, the Company considers that such lawsuits will not have a material effect on its consolidated financial position or operating results.

Brazil:

As a result of the purchase of property, plant and equipment and intangible assets in Brazil in connection with the Firenze brand in 2008, the Company was subject to tax liens as the presumed successor to companies that participate in these actions. On January 7, 2021, the Company signed an agreement with the corresponding authorities related to the above process, which implies payments during 7 years following the signing of said agreement with the option to settle in advance at any time. As a consequence of the above, as of April 29, 2022, in advance the Company paid the total debit $310.

In addition, the Company has secured its labor and civil lawsuits with security deposits totaling $170, which are presented as part of other non-current assets.

Canada:

The Competition Bureau of Canada in 2017 started an investigation into alleged collusion between various participants of the baked goods industry, including Canada Bread, although to date no formal accusations have been charged against the Company. The Company is cooperating with the Canadian authorities in this process.

On July 20, 2023, the subsidiary Canada Bread made the payment for 50 million CAD, which was fully provisioned, corresponding to the fine imposed by the Superior Court of Justice of Ontario related to the investigation opened by the authority in matters of economic competition in 2017.

In addition, Grupo Bimbo and Canada Bread have been required in two class actions in connection with such investigation. Given the status of this legal process as of December 31, 2023, the Company has not recognized a provision related to this matter.

20. Equity

An analysis of the Company's equity as of December 31, 2023, 2022 and 2021 is as follows:

	2023		2022		2021	
	No. of shares	Amount	No. of shares	Amount	No. of shares	Amount
Fixed share capital:						
Series A	4,433,667,641	$ 3,984	4,475,068,991	$ 4,021	4,516,329,661	$ 4,059
Treasury shares	(41,576,201)	(38)	(41,401,350)	(37)	(41,260,670)	(38)
Total	4,392,091,440	$ 3,946	4,433,667,641	$ 3,984	4,475,068,991	$ 4,021

The Company's share capital has been fully subscribed and paid in. The Company's fixed share capital is represented by series "A" shares. The variable portion of the Company's share capital cannot exceed ten times the amount of minimum fixed share capital without right of withdrawal and must be represented by common registered series "B" shares with no par value and/or shares with limited voting rights and no par value of the series to be named when they are issued. Shares with limited voting rights cannot represent more than 25% of the Company's share capital.

i) At a regular shareholders' meeting held on April 26, 2023, the shareholders declared dividends of $3,458 (0.78 per share), which were paid out of the Net tax profits account (CUFIN, by its acronym in Spanish) in cash on May 18, 2023.

ii) At a regular shareholders' meeting held on April 26, 2023, the shareholders approved the cancellation of 41,401,350 Series "A" shares held in Treasury, resulting in a share capital and treasury shares reduction of $37.

iii) At a regular shareholders' meeting held on November 17, 2022, the shareholders declared dividends of $2,882 ($0.65 per share), which were paid out of the Net taxed profits account (CUFIN, by its acronym in Spanish) in cash on November 28, 2022.

iv) At a regular shareholders' meeting held on April 27, 2022, the shareholders declared dividends of $2,909 ($0.65 per share), which were paid out of the Net taxed profits account (CUFIN, by its acronym in Spanish) in cash on May 19, 2022.

v) At a regular shareholders' meeting held on April 27, 2022, the shareholders approved the cancellation of 41,260,670 Series "A" shares held in Treasury, resulting in a share capital and treasury shares reduction of $38.

vi) At a regular shareholders' meeting held on April 30, 2021, the shareholders declared dividends of $4,502 ($1 per share), which were paid out of the Net taxed profits account (CUFIN, by its acronym in Spanish) in cash on May 07, 2021.

vii) At a regular shareholders' meeting held on April 30, 2021, the shareholders approved the cancellation of 17,428,926 Series "A" shares held in Treasury, resulting in a share capital and treasury shares reduction of $15.

viii) Dividends paid to foreign individuals and corporations are subject to an additional 10% withholding tax. These tax withholdings are considered final income tax payments. Treaties to avoid double taxation may apply. The additional withholding tax is applicable to earnings generated since 2014.

ix) The Company's legal reserve is included in its retained earnings. In accordance with the Mexican Corporations Act, the Company is required to appropriate at least 5% of the net profit of each year to increase the legal reserve. This practice must be continued each year until the legal reserve reaches 20% of the value of the Company's share capital. The legal reserve may be capitalized but may not be distributed to the shareholders unless the Company is dissolved. Also, the legal reserve must be replenished if it is reduced for any reason. As of December 31, 2023, 2022 and 2022, the legal reserve is $500 (nominal amount) and it is fully constituted.

x) As of December 31, 2023, 2022 and 2021, retained earnings include the reserve for share repurchases; the total approved amount (at face value) of said reserve is $15,200.

xi) Except for earnings distributed from the Restated contributed capital account (CUCA, by its acronym in Spanish) and the CUFIN account, dividends will be subject to the payment of corporate income tax at the statutory rate at that time. Income tax paid on dividends may be credited against income tax payable (annual or in prepayments) in the year of payment or either of the two immediately subsequent years.

xii) As of December 31, the Company has the following tax balances:

	2023	2022	2021
Restated contributed capital account (CUCA)	$ 35,182	$ 33,924	$ 31,760
Net taxed profits account (CUFIN)	122,333	110,344	87,424

Other equity financial instrument

On April 17, 2018, Grupo Bimbo, S.A.B. de C.V. issued a perpetual subordinated bond of USD500 million with no maturity date. The issuer has the option to redeem the bond in full, but not partially, five years after the date of issuance. The bond bears annual interest of 5.95%, which is payable semi-annually in arrears on January 17 and July 17. Such coupons are deferrable at the Company's discretion.

This bond is subordinated to the existing and future liabilities of the Company and its subsidiaries and the coupons for the periods accrued by this instrument must be paid prior to any distribution of dividends.

On March 24, 2023, the Company announced the redemption of the perpetual subordinated bond in its first repurchase call, recognizing the following effects in equity prior to it being reclassified as debt:

Balance as of December 31, 2022 – Principal	$ 8,699
Issuance expenses	(58)
Repurchased [(1)]	(78)
Exchange fluctuation	281
Reclassification to debt	$ 8,844

(1) During March, 2023, the Company repurchased perpetual bond instruments in the secondary market for a nominal value of $78.

On April 17, 2023, the Company paid off the entire outstanding balance of the perpetual subordinated bond.

The value of the equity instrument as of December 31, is as follows:

	2022	2021
Perpetual subordinated bond - principal	$ 8,699	$ 9,044
Issuance expenses	(58)	(58)
	8,641	8,986
Current income tax	(544)	(124)
Deferred income tax	1	5
Perpetual subordinated bond – principal	$ 8,098	$ 8,867

As of December 31, 2023, 2022 and 2021, the Company made semi-annual coupon payments of $395, $649 and $621, respectively, and recognized an income tax effect of $(119), $(195) and $(187), respectively. Therefore, retained earnings decreased by $276, $844 and $434, respectively.

During 2022, the Company repurchased perpetual bond securities in the secondary market for a nominal value of $344, recognizing a decrease of $32 for exchange rate fluctuations in retained earnings.

21. Costs and expenses based on their nature

An analysis of cost of sales and distribution, administrative, selling and other general expenses recognized in the consolidated statement of profit or loss for the years ended December 31 is as follows:

	2023	2022	2021
Cost of sales:			
Raw materials	$ 131,052	$ 129,454	$ 101,568
Salaries and benefits	34,234	33,342	31,438
Freight, fuel and maintenance	17,092	17,008	12,212
Depreciation	7,698	7,750	6,975
Professional services and consulting	1,514	1,665	1,711
Short-term and low value lease expense	1,342	1,125	1,002
Indirect taxes	1,031	988	933
Travel expenses	248	171	86
Other production expenses	158	1,822	1,778
	$ 194,369	$ 193,325	$ 157,703
Distribution, selling, administrative and other expenses:			
Salaries and benefits	$ 73,847	$ 74,128	$ 68,820
Freight, fuel and maintenance	41,373	43,729	35,251
Advertising and promotional expenses	15,066	14,218	12,907
Professional and consulting services	10,363	14,048	13,609
Depreciation and amortization	11,231	10,288	9,151
Logistics expenses	4,984	4,649	3,994
Remeasurement of multi-employer pension plans (MEPP)	175	(19,010)	(2,247)
Integration expenses	288	367	724
Indirect taxes	1,598	1,882	1,553
Restructuring expenses	2,959	1,657	2,059
Short-term and low value lease expense	2,626	1,394	1,151
Travel expenses	1,871	1,537	1,159
Other	3,674	2,798	378
	$ 170,055	$ 151,685	$ 148,509

22. Other expenses, net

As of December 31, are as follows:

	2023	2022	2021
(Gain) loss on sale of property, plant and equipment	$ (175)	$ 33	$ (187)
Impairment of goodwill (Note 12)	303	1,597	315
Impairment of trademarks and distribution rights (Note 11)	44	131	63
Impairment trademarks and r distribution rights reversal (Note 11)	(120)	(861)	-
Restructuring expenses	2,959	1,657	2,059
Labor obligations	-	22	19
Usufruct amortization	-	-	201
Other non-current assets amortization	112	196	106
Remeasurement of multi-employer pension plans (MEPP) (Note 18)	-	(18,697)	(2,005)
Provision for updating other non-current liabilities	175	(313)	(242)
Gain from acquisition in stages	(124)	-	-
Other	1,256	926	(113)
	$ 4,430	$ (15,309)	$ 216

23. Interest expense

	2023	2022	2021
Interest on debt	$ 7,469	$ 5,006	$ 5,550
Interest on lease liabilities	1,476	1,328	1,238
Net interest on pension plans	411	627	394
Surcharges	403	483	3
Interest for updating MEPPs	-	303	230
Other finance costs	247	302	408
	$ 10,006	$ 8,049	$ 7,823

24. Discontinued Operation

As December 31, 2023, 2022 and 2021, the breakdown of the result from discontinued operations, which belonged to the geographic segment of Mexico, is as follows:

	2023	2022	2021
Net sales	$ -	$ 10,115	$ 10,075
Costs, general expenses and interest [1]	-	8,637	8,576
Profit before income tax	-	1,478	1,499
Profit on disposal of discontinued operation	(23)	22,038	-
Profit before income taxes for discontinued operation	(23)	23,516	1,499
Income tax for discontinued operation	-	346	245
Income tax for profit on disposal for discontinued operation	(7)	6,182	-
	(7)	6,528	245
Net profit later income tax for discontinued operation.	$ (16)	$ 16,988	$ 1,254

(1) Includes $164 of depreciation of property, plant and equipment and $80 of depreciation of rights of use.

As of November 1, 2022, the assets and liabilities attributable to the confectionery business are as follows:

	2022
Cash and equivalents	$ 442
Other current assets	3,137
Property, plant and equipment, net (Note 8)	2,356
Right-of-use assets, net (Note 9)	334
Intangible assets, net (Note 11)	1,130
Goodwill (Note 12)	549
Other non-current assets, net	126
Total assets	$ 8,074
Trade accounts payable	$ 1,447
Other accounts payable and accrued liabilities	1,610
Current lease liabilities (Note 9)	372
Employee benefits [1]	315
Other non-current liabilities	571
Total liabilities	$ 4,315
Assets disposal, net	$ 3,759
Price charged in cash (Note 1)	$ 25,797
Profit on disposal of discontinued operation	$ 22,038

(1) Includes $309 of pension plans and $6 of long-term bonds.

	2022	2021
Operating activities flows	$ 1,601	$ 652
Investing activities flows	$ (328)	$ (495)
Financing activities flows	$ (846)	$ (152)

25. Commitments

Guarantees and/or guarantors

1. Grupo Bimbo, S.A.B. de C.V. and some of its subsidiaries have issued letters of credit to guarantee certain ordinary obligations and contingent risks related to the labor obligations of some of its subsidiaries. As of December 31, 2023, 2022 and 2021, the value of such letters of credit is $3,822, $4,515, and $5,020, respectively.

2. As of September 2019, the Company acts as guarantor in voluntary payment program in North America between the suppliers and Bank of America, under which the suppliers discount their invoices. As of December 31, 2023, 2022 and 2021, the balance of $ 1,826, $2,813 and $2,237, respectively, under this program is presented as part of trade payables.

3. The Company has created a trust that allows suppliers of its subsidiaries in Mexico to obtain financing through a factoring program operated by Nacional Financiera, S.N.C. (Nafinsa). As of December 31, 2023, 2022 and 2021, the liability payable to Nafinsa under this program totals $ 2,355, $3,233 and $1,734, respectively.

4. Additionally, it has a factoring contract with Banco Santander México, S.A., for the discount of invoices of the suppliers of its subsidiaries in Mexico, whose liability in favor of said financial institution amounts to $18 and $552 as of December 31, 2023 and 2022.

5. The Company entered into an energy self-supply contract which requires it to acquire certain amounts of renewable energy at a fixed price that will be updated based the National Consumer Price Index (NCPI). Although the contracts have the characteristics of a derivative financial instrument, they fall within the exception of “own-use”; therefore, they are recognized in the consolidated financial statements as the consumption of energy occurs. An analysis of the main characteristics of these contracts is as follows:

Country	Contracting date	Start date	Term	Energy commitments 2024	
Mexico	02/Dec/2008	01/Nov/2012	18 years	MXP	314.22
Argentina	05/Sep/2019	01/Jan/2020	15 years	USD	1.33
Chile	22/Feb/2020	01/Apr/2021	8 years	USD	1.17
Panama	22/Dec/2020	01/Jul/2021	5 years	USD	0.32
Colombia	22/Dec/2021	01/Jan/2022	8 years	USD	1.86
Brazil	03/Dec/2021	01/Jan/2022	3 years	USD	2.39
Ecuador	13/Apr/2022	01/Jun/2022	10 years	USD	0.54
Guatemala	30/Mar/2023	01/Apr/2023	10 years	USD	0.50
Peru	30/Jun/2023	01/Jul/2023	3 years	USD	0.27

6. On March 30, 2018, the Company, through BBU, entered into a virtual wind energy supply agreement in the United States for a term of 12 years, which is recognized as a financial asset measured at fair value through profit or loss, net of the related deferred gain, which will accrue over the term of the agreement.

   As of December 31, 2023, 2022 and 2021, the net financial asset/(liability) of $852, $789 and $336, respectively, is recognized as part of other non-current assets/(liabilities). In 2023, 2022 and 2021, the Company recognized $59, $67 and $68, respectively, under comprehensive financing cost corresponding to the amortization of the liability, and $(140), $(587) and $(512), respectively, for changes in the fair value of assets/(liabilities).

7. On February 1, 2021, the Company, through Canada Bread, entered into a virtual wind and solar energy supply agreement in Canada for a term of 15 years, which will be recognized as financial asset measured at fair value through profit and loss net of the effects of the associated deferred income and that will be accrued during the term of the contract. The start date of operation of this contract will be on November 1, 2023 and January 1, 2025, respectively.

26. Segment information

The information used by Company management for purposes of resource allocation and assessment of segment performance is focused on four geographical areas: Mexico, North America, Latin America and EAA.

The Company considers that the qualitative and quantitative aspects considered for grouping of operating segments described above have a similar nature for all of the periods presented and show a similar performance in the long-term. The key factors evaluated for the appropriate aggregation of the operating segments include but are not limited to: (i) similar customer base, (ii) similar product nature, (iii) production and distribution process characteristics, (iv) similar governments, (v) inflation trends and (vi) monetary trends.

An analysis of the primary data by geographical area in which the Company operates for the years ended December 31 is as follows:

	2023					
	Mexico	North America	Latin America	EAA	Eliminated on consolidation	Total
Net sales	$ 145,387	$ 192,534	$ 36,647	$ 40,545	$ (15,234)	$ 399,879
Sales between segments	(14,643)	(463)	(63)	(65)	15,234	-
Consolidated net sales	$ 130,744	$ 192,071	$ 36,584	$ 40,480	$ -	$ 399,879
Operating profit [1]	$ 21,882	$ 11,175	$ 1,294	$ 326	$ 778	$ 35,455
Depreciation and amortization [5]	$ 5,524	$ 8,946	$ 2,215	$ 2,244	$ -	$ 18,929
Impairment of non-current assets	$ 78	$ (79)	$ 22	$ 362	$ -	$ 383
Other items not affecting cash flows	$ -	$ 175	$ -	$ -	$ -	$ 175
Adjusted EBITDA [1] [2]	$ 27,484	$ 20,217	$ 3,531	$ 2,932	$ 778	$ 54,942
Net profit - Equity holders of the parent	$ 13,704	$ 3,522	$ 494	$ 222	$ (2,465)	$ 15,477
Income tax	$ 7,316	$ 1,156	$ 232	$ (344)	$ 26	$ 8,386
Interest income	$ 2,673	$ 515	$ 752	$ 33	$ (3,164)	$ 809
Interest expense [3]	$ 8,380	$ 3,905	$ 716	$ 169	$ (3,164)	$ 10,006
Total assets	$ 96,617	$ 175,929	$ 32,882	$ 49,988	$ (7,314)	$ 348,102
Total liabilities	$ 128,027	$ 83,133	$ 14,057	$ 14,634	$ (3,377)	$ 236,474
Purchase of property, plant and equipment	$ 18,944	$ 7,397	$ 5,857	$ 2,556	$ -	$ 34,754

	2022					
	Mexico	North America	Latin America	EAA	Eliminated on consolidation	Total
Net sales	$ 130,401	$ 205,674	$ 38,411	$ 37,536	$ (13,316)	$ 398,706
Sales between segments	(12,873)	(391)	(12)	(40)	13,316	-
Consolidated net sales	$ 117,528	$ 205,283	$ 38,399	$ 37,496	$ -	$ 398,706
Operating profit [1]	$ 18,824	$ 33,263	$ 1,087	$ (486)	$ 1,008	$ 53,696
Depreciation and amortization [5]	$ 4,424	$ 9,248	$ 2,278	$ 2,088	$ -	$ 18,038
Impairment of non-current assets	$ 72	$ (890)	$ 46	$ 1,024	$ -	$ 252
Other items not affecting cash flows	$ -	$ (19,010)	$ 22	$ -	$ 448	$ (18,540)
Adjusted EBITDA [1] [2]	$ 23,320	$ 22,611	$ 3,433	$ 2,626	$ 1,456	$ 53,446
Net profit - Equity holders of the parent	$ 46,221	$ 21,579	$ (349)	$ (658)	$ (19,883)	$ 46,910
Income tax	$ 7,001	$ 6,834	$ 253	$ 99	$ 194	$ 14,381
Interest income	$ 2,750	$ 570	$ 33	$ 38	$ (2,651)	$ 740
Interest expense [3]	$ 7,107	$ 2,905	$ 685	$ 3	$ (2,652)	$ 8,048
Total assets	$ 89,070	$ 191,504	$ 31,557	$ 49,033	$ (13,400)	$ 347,764
Total liabilities	$ 117,136	$ 78,602	$ 13,729	$ 13,909	$ (3,214)	$ 220,162
Purchase of property, plant and equipment	$ 13,853	$ 8,291	$ 4,553	$ 1,972	$ -	$ 28,669

	2021					
	Mexico	North America	Latin America	EAA	Eliminated on consolidation	Total
Net sales	$ 109,089	$ 175,369	$ 31,109	$ 34,195	$ (10,970)	$ 338,792
Sales between segments	(10,507)	(335)	(25)	(103)	10,970	-
Consolidated net sales	$ 98,582	$ 175,034	$ 31,084	$ 34,092	$ -	$ 338,792
Operating profit [1]	$ 16,731	$ 15,171	$ 78	$ 292	$ 308	$ 32,580
Depreciation and amortization	$ 3,907	$ 8,470	$ 1,687	$ 2,062	$ -	$ 16,126
Impairment of non-current assets	$ 133	$ 57	$ 142	$ 350	$ -	$ 682
Other items not affecting cash flows	$ -	$ (2,246)	$ 19	$ -	$ 211	$ (2,016)
Adjusted EBITDA [1] [2]	$ 20,771	$ 21,452	$ 1,926	$ 2,704	$ 519	$ 47,372
Net profit - Equity holders of the parent	$ 16,544	$ 8,864	$ (1,227)	$ (729)	$ (7,536)	$ 15,916
Income tax	$ 5,320	$ 2,699	$ 343	$ 149	$ 215	$ 8,726
Interest income	$ 826	$ 99	$ 56	$ 29	$ (647)	$ 363
Interest expense [3]	$ 6,252	$ 1,685	$ 436	$ 97	$ (647)	$ 7,823
Total assets [4]	$ 78,386	$ 202,347	$ 30,121	$ 45,860	$ (19,074)	$ 337,640
Total liabilities [4]	$ 111,439	$ 100,225	$ 13,191	$ 12,499	$ (1,320)	$ 236,034
Purchase of property, plant and equipment	$ 6,913	$ 8,550	$ 3,065	$ 2,143	$ -	$ 20,671

(1) Does not include intercompany royalties.

(2) The Company determines the Adjusted EBITDA as operating profit plus depreciation, amortization, impairment and other non-cash items, mainly the adjustments for valuation of MEPPs. Adjusted EBITDA differs from Conformed EBITDA mentioned in Note 13.

(3) Includes monetary position gains and losses.

(4) Until October 31, 2022, the Mexico segment included the assets and liabilities attributable to the assets and liabilities of the confectionery business.

(5) Depreciation and amortization in the consolidated statement of cash flows includes $244 corresponding to the discontinued operation.

For the years ended December 31, 2023, 2022 and 2021, sales to the Company's largest customer represent 17.77%, 15.20%, and 15.30%, respectively, of the consolidated net sales of the Company, which correspond mainly to the Mexico, USA and Canada regions. There are no other customers whose sales exceed 10% of the Company's total consolidated sales.

27. Subsequent Events

International bonds issuance

On January 4, 2024, the Company, through its subsidiary Bimbo Bakeries USA, Inc., issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) with a tranche of USD800 million, maturing in 2036 and bearing a fixed interest rate of 5,375% payable on a semi-annual basis.

Additionally, on that same date, it executed a reopening of the International Bond initially issued on November 2, 2023, thus obtaining an additional USD450 million, which are subject to the same conditions of the original issue and increasing the total amount to USD900 million.

The settlement of both transactions took place on January 9, 2024. These issues are guaranteed by Grupo Bimbo, Bimbo S.A. of C.V. and Barcel, S.A. of C.V.

Business acquisition – Romania

On February 29, 2024, through two of its subsidiaries, the Company acquired a 100%-stake in four Romanian companies, dedicated to the production and distribution of bread, cookies and fresh pastries. The segment that will group this business will be EAA. This acquisition was settled with the resources from the issuance of the international bond issued in January 2024.

For this acquisition, the determination of the fair values of the assets acquired and liabilities assumed will be carried out in the coming months in accordance with those established in IFRS 3 Business Combinations.

28. Authorization of the Consolidated Financial Statements

On March 20, 2024, the accompanying consolidated financial statements were authorized by the Company's Chief Executive Officer, Daniel Servitje Montull, and the Board of Directors. Consequently, these consolidated financial statements do not reflect the facts and circumstances that occurred after that date and are subject to the approval of the shareholders, who have the authority to modify these consolidated financial statements in accordance with the Mexican Corporations Act.

Mexico City, March 20th, 2024

To the Board of Directors of
Grupo Bimbo, S. A. B. de C. V.

Dear members of the Board of Directors.

To comply with the "Ley del Mercado de Valores", the charters of the Company and the Regulations of the Audit and Corporate Practices Committee of Grupo Bimbo, S.A.B. de C.V. ("the Group", "the Company", "the Society"), I submit to you the report of the activities carried out by the Audit and Corporate Practices Committee ("the Committee") during the year ended on December 31, 2023. During the development of our work, we kept in mind the recommendations established in the Code of Best Corporate Practices.

Based on the previously approved work program, the Committee met seven times in the year, and we vented the issues that we are legally bound by law and conduct the activities that I describe below:

INTERNAL CONTROL

We ensure that management has established the general guidelines on internal control as well as the necessary processes for its application and compliance, with the help of both Internal and External Auditors. Additionally, we followed up on the observations developed in this regard by both audit bodies in the performance of their work.

Those responsible for the Administration presented us with the action plans corresponding to the observations derived from the internal audits, in such a way that the contact with them was frequent and their responses satisfactory.

The Committee learned about the functions of the Global Internal Control and Risk Management Department during the year, who reported on the progress of the execution of control self-assessments, the implementation of the tool for declaring conflicts of interest in BBU and the progress of the regulatory compliance project related to properties at risk of closure due to regulatory permit deficiencies; as well as the alignment of the scenario simulation methodology with its crisis management manual. Finally, they reported on the progress of the Identity and Access (IAM) project, which is already functional and implemented in the operations of Mexico, BBU and Bimbo Canada.

CODE OF ETHICS

With the support of both Internal Audit and other instances of the company, we ensure the degree of compliance, by its staff, with the Code of Ethics in force in the Group.
We learned about the results and outstanding topics in the contact line for the Group's employees. The Administration let us know of the actions they took in such cases.

EXTERNAL AUDIT

We were in constant contact with the representative of the firm EY to follow up on the relevant matters and learn about the activities conducted during the year, in conjunction with the Company's Management. The audit of the consolidated financial statements as of December 31, 2023, was completed and the opinion was clean.

We approved the contract and fees for these services for the years 2023 and 2024, including those related to the additional fees for the growth of the Group and other permitted services. We ensured that such payments did not interfere with their independence.

The external auditors presented us, and the Committee approved, their approach and work program and the areas of interaction with the Group's Internal Audit Department.

The external auditors asked this committee about the knowledge of relevant fraud, complaints about financial information, concerns about transactions of related parties and/or knowledge of possible violations of laws or regulations, to which the Committee gave a negative answer to these questions.

We maintained direct and close communication with the external auditors, and they informed us quarterly of the progress of their work, the observations they had and we took note of their comments on the quarterly and annual financial statements. We learned in a timely manner its conclusions and reports on the annual financial statements.

We review the contents in a timely manner of the Communication prior to the issuance of the External Audit Report (or Report of the Independent Auditors) made in accordance with International Standards on Auditing on the Company's consolidated financial statements as of December 31, 2023 and for the year ended then, which have been prepared in accordance with International Financial Reporting Standard (hereinafter IFRS), issued by the Company's Independent External Auditor and legal representative of Mancera, S.C. (or EY Mexico), in order to comply with the provisions of Article 35 of the General Provisions Applicable to Entities and Issuers Supervised by the National Banking and Securities Commission that Contract External Audit Services of Basic Financial Statements (hereinafter Provisions, Single Circular of External Auditors or CUAE).

We evaluated the services provided by the firm of external auditors, corresponding to the year 2023 and we knew the preliminary financial statements in a timely manner.

INTERNAL AUDIT

The audit plan for 2024 was approved, corresponding to a total of 591 projects in 30 countries, which represents a 25% increase compared to the number of projects in 2023 and covers 22% of the auditable universe of Grupo Bimbo, which consists of 43% of the total bakeries and snacks, 37% of all distribution centers; 37% of all legal entities and 18% of all sales centers. To comply with the Audit Plan, the Management has 119 auditors and 10 trainees and the collaboration with PwC for a co-sourcing in India with 10 auditors.

At each session of this Committee, we receive and adopt periodic progress reports on the approved program of work. We followed up on the observations and suggestions made by Internal Audit and made sure that the administration solved the internal control deviations indicated, so we consider that the state of said system is reasonably correct.
We authorize the annual training plan for area personnel and ensure its effectiveness. Several firms of specialized professionals actively participate in this plan, in such a way that the topics covered keep the members of this function updated.

In accordance with compliance with the Standards for the Professional Practice of Internal Auditing, this Committee approved the update to the Internal Audit Charter of Grupo Bimbo, the Audit VP confirmed to the Committee the independence of the internal audit activity, there were no relevant risks assumed by the operation that this Committee had to know and the conflicts that currently occur with the auditors of the department and the Plan for its mitigation.

SECURITY

The Global Head of Security and Assets reported on major security developments during the year across organizations. Special attention is given in the countries of Mexico and the Central Latin American region.

BUSINESS TECHNOLOGY

The Global Business Technology Department presented the company's cybersecurity strategy, as well as the actions that have been taken to improve the group's security systems, which generated favorable comments from the committee.

We learned about the details of the cybersecurity incident that took place on April 5th, as well as the impacts, and the actions that were taken to safeguard the company are reported.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES

Together with the persons responsible for the preparation of the quarterly and annual financial statements of the company, we knew about them, reviewed them, and recommended their approval to the Board of Directors and granted the authorization to be published. To carry out this process, we considered the opinion and observations issued by the external auditors.

The Committee approved, at the request of the Global Comptroller's Office, the company's accounting policies for the year 2023, which have not undergone significant changes compared to the year 2022. The only variations correspond to the change in the estimate of the useful life of wooden exhibitors in BBU from 2 to 5 years and the incorporation of Türkiye into the accounting model for hyperinflationary economies.

With the support of the internal and external auditors and in commenting on the financial statements, we ensure that the criteria, accounting policies and information used by Management to prepare financial information are adequate and sufficient and have been applied in a manner consistent with the prior period, considering the changes applicable both in the year and for the previous year, related to IFRS. Accordingly, the information presented by Management reasonably reflects the Company's financial position, results of operations, changes in stockholders' equity and cash flows.

EVD

COMPLIANCE WITH REGULATIONS AND LAWS THAT CAN BE MET WITH CONTINGENCIES

We ensure the existence and reliability of the internal controls established by the company to fully comply with the different legal provisions to which it is subject, making sure that they were adequately disclosed in the financial information. All the above with the support of internal and external auditors.

At the end of each quarter we reviewed the various fiscal, legal and labor contingencies existing in the company and we made sure that the procedure established to identify them was comprehensive and followed consistently, so that the Administration had the elements for its timely and adequate follow-up. The status and progress of activities related to cases that continue to be faced in various countries were reviewed.

The Global Fiscal Director presented the results of the evaluation of PwC as the global advisor on transfer pricing compliance, at the end of 5 years of work. Their functions will continue for one more year, however, as a result of the evaluation, important areas for improvement were identified that must be covered during this period of time to justify the renewal of their work as the main advisor on this subject. It is important to mention that KPMG is the transfer pricing advisor for the BQ business.

The Procurement Department presented its report on related suppliers that offer their services to Grupo Bimbo. In this report, the amounts, categories, and participation percentages of each one with the company were presented. It also comments on the exposure risks of Commodities where

coverage is maintained between 4 and 18 months for the main products. For 2023, there is 98% coverage for wheat, 95% for oil, 99% for cocoa. Regarding wheat, there is only 7% coverage and it will be kept under closer observation due to the downward changes in future prices. The downward expectation is given in wheat and oil while increases are expected in sugar, cocoa, and natural gas.

The Global Chief Compliance Officer presented his annual report on progress and plans on training and compliance with the code of ethics, anti-corruption policy, and regulatory compliance.

The Global Insurance Department reported on the behavior of the cost in global insurance, in particular property insurance, cybersecurity, crime. Likewise, the global policy administration model was commented on in terms of the sufficiency of limits, definition of appetite, declaration of risk values and loss prevention actions.

The Global Institutional Relations Department reported the progress of the 'Comenta' complaint line in terms of the number of cases per Organization, the levels of complaint attention in Grupo Bimbo, the types of incidents and the average days of response also by Organization. Fraud risk processes were included in the case catalog and training in the processes of investigation and response of labor cases was reinforced.

The Global Quality and Food Safety Department commented on the evolution of the global strategy on this issue and its incorporation into the entire supply chain, as well as the formation of the new technical audit task force required to support the reviews between this new technical audit team and the work carried out by the internal audit department, with the purpose of increasing the frequency of visits and coverage of food safety risks in bakery factories and snacks.

The Global Corporate Affairs Department presented the resilience model for Grupo Bimbo, aligned with the maturity models of best practices in Business Continuity and Crisis Management such as ISO22301, which includes the design of new policies, governance model, risk analysis, strategy design, as well as its implementation and validation. Its objective is to strengthen Grupo Bimbo's response capacity and foster its resilience culture, by ensuring the organization's ability to effectively manage unexpected events, protect people, maintain the continuity of operations, and safeguard its reputation.

The Global Sustainability Department reported on the progress that has been made since 2020 in the strategy, specifically in the three segments that are: nutritional diversity (For you), improving people's lives (For life) and improving natural systems (For nature). From a quantitative point of view, there is a 92% progress with respect to the goals established for 2025. An important effort is being made to identify and communicate best practices in these areas to accelerate the impact of the benefits of the sustainability issue globally.

COMPLIANCE WITH OTHER OBLIGATIONS

We hold meetings with the VPs and officials of the Administration that we consider necessary to keep us informed of the progress of the Company and relevant and unusual activities and events.
We were aware of the significant issues that could involve possible breaches of the operating policies, internal control system and accounting record policies, likewise, we were informed about the corrective measures taken in each of them, finding them satisfactory.

We do not consider it necessary to request the support and opinion of independent experts because the issues discussed in each session were duly supported by the relative information and therefore the conclusions reached were satisfactory for the members of the Committee.

We conducted training on Artificial Intelligence from the perspective of corporate governance. It is mentioned that this is a very current and important topic and it is requested that we can continue discussing this topic later on.

OPERATIONS WITH STAKEHOLDERS

We review and recommend to the Board for approval, each and every one of the transactions with stakeholders that require approval by the Board of Directors for the year 2023, as well as the recurring transactions that are planned to be held during the year 2023 and that require approval by the Board of Directors.

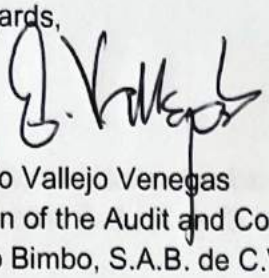
MANAGEMENT EVALUATION

We review and recommend to the Board for approval, the evaluation of the management and remuneration of the CEO, as well as the VPs that make up the Executive Committee for the year 2023, previously reviewed and recommended by the Evaluation and Results Committee.

In my capacity as Chairman of the Audit and Corporate Practices Committee, I reported to the Board of Directors the activities that we carry out collegially within that entity.

The work we carried out was duly documented in the prepared minutes of each meeting, which were reviewed and approved in a timely manner by the members of the Committee.

Kind regards,



Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
of Grupo Bimbo, S.A.B. de C.V.

Mexico City, April 4th, 2023

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

Dear members of the Board of Directors.

To comply with the “Ley del Mercado de Valores”, the charters of the Company and the Regulations of the Audit and Corporate Practices Committee of Grupo Bimbo, S.A.B. de C.V. ("the Group", "the Company", "the Society"), I submit to you the report of the activities carried out by the Audit and Corporate Practices Committee ("the Committee") during the year ended on December 31, 2022. During the development of our work, we kept in mind the recommendations established in the Code of Best Corporate Practices.

Based on the previously approved work program, the Committee met seven times in the year, and we vented the issues that we are legally bound by law and conduct the activities that I describe below:

INTERNAL CONTROL

We ensure that management has established the general guidelines on internal control as well as the necessary processes for its application and compliance, with the help of both Internal and External Auditors. Additionally, we followed up on the observations developed in this regard by both audit bodies in the performance of their work.

Those responsible for the Administration presented us with the action plans corresponding to the observations derived from the internal audits, in such a way that the contact with them was frequent and their responses satisfactory.

The Committee learned about the functions of the Global Internal Control and Risk Management Department during the year, who presented the consulting work conducted by the firm Deloitte on the evaluation of the activities of that department in terms of governance structure, control self-assessment process, risk assessment, global policies and regulations. He also reported on the progress of the implementation of the Control Self-Assessment model, as well as the progress of the regulatory compliance project related to properties at risk of closure due to lack of regulatory permits. Finally, he was informed about the progress of the Identity and Access (IAM) project that is already functional and is implemented in the operations of Mexico, BBU and Bimbo Canada.

CODE OF ETHICS

With the support of both Internal Audit and other instances of the company, we ensure the degree of compliance, by its staff, with the Code of Ethics in force in the Group.

We learned about the results and outstanding topics in the contact line for the Group's employees. The Administration let us know of the actions they took in such cases.

EXTERNAL AUDIT

We were in constant contact with the representative of the firm EY to follow up on the relevant matters and learn about the activities conducted during the year, in conjunction with the Company's

Management. The audit of the consolidated financial statements as of December 31, 2022, was completed and the opinion was clean.

We approved the contract and fees for these services for the years 2022 and 2023, including those related to the additional fees for the growth of the Group and other permitted services. We ensured that such payments did not interfere with their independence.

The external auditors presented us, and the Committee approved, their approach and work program and the areas of interaction with the Group's Internal Audit Department.

The external auditors asked this committee about the knowledge of relevant fraud, complaints about financial information, concerns about transactions of related parties and/or knowledge of possible violations of laws or regulations, to which the Committee gave a negative answer to these questions.

We maintained direct and close communication with the external auditors, and they informed us quarterly of the progress of their work, the observations they had and we took note of their comments on the quarterly and annual financial statements. We learned in a timely manner its conclusions and reports on the annual financial statements.

We review the contents in a timely manner of the Communication prior to the issuance of the External Audit Report (or Report of the Independent Auditors) made in accordance with International Standards on Auditing on the Company's consolidated financial statements as of December 31, 2022 and for the year ended then, which have been prepared in accordance with International Financial Reporting Standard (hereinafter IFRS), issued by the Company's Independent External Auditor and legal representative of Mancera, S.C. (or EY Mexico), in order to comply with the provisions of Article 35 of the General Provisions Applicable to Entities and Issuers Supervised by the National Banking and Securities Commission that Contract External Audit Services of Basic Financial Statements (hereinafter Provisions, Single Circular of External Auditors or CUAE).

We evaluated the services provided by the firm of external auditors, corresponding to the year 2022 and we knew the preliminary financial statements in a timely manner.

Finally, it was reported that EY in conjunction with the management, reached an agreement to renew for five more years the external audit services for Grupo Bimbo. Based on this agreement, the board was asked to approve the renewal of EY as an external auditor.

EY also introduced Enrique García C., partner of the EY audit area to the Audit Committee, who will be the partner responsible for Bimbo's account from 2023 until 2027.

INTERNAL AUDIT

The audit plan for 2023 was approved, corresponding to a total of 468 projects in 31 countries, which represents a 5% increase compared to the number of projects in 2022 and covers 11% of the auditable universe of Grupo Bimbo, which consists of 45% of the total bakeries and snacks, 42% of all distribution centers; 31% of all legal entities and 3% of all sales centers. To comply with the Audit Plan, the Management has 119 auditors and 5 trainees and the collaboration with PwC for a co-sourcing in India with 10 auditors.

At each session of this Committee, we receive and adopt periodic progress reports on the approved program of work. We followed up on the observations and suggestions made by Internal Audit and made sure that the administration solved the internal control deviations indicated, so we consider that the state of said system is reasonably correct.

We authorize the annual training plan for area personnel and ensure its effectiveness. Several firms of specialized professionals actively participate in this plan, in such a way that the topics covered keep the members of this function updated.

In accordance with compliance with the Standards for the Professional Practice of Internal Auditing, this Committee approved the update to the Internal Audit Charter of Grupo Bimbo, the Audit VP confirmed to the Committee the independence of the internal audit activity, there were no relevant risks assumed by the operation that this Committee had to know and the conflicts that currently occur with the auditors of the department and the Plan for its mitigation.

SECURITY

The Global Head of Security and Assets reported on major security developments during the year across organizations. Special attention is given in the countries of Mexico and the Central Latin American region.

INFORMATION TECHNOLOGIES

The Global Business Technology Department presented the company's cybersecurity strategy, as well as the actions that have been taken to improve the group's security systems which generated favorable comments from the committee.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES

Together with the persons responsible for the preparation of the quarterly and annual financial statements of the company, we knew about them, reviewed them, and recommended their approval to the Board of Directors and granted the authorization to be published. To carry out this process, we considered the opinion and observations issued by the external auditors.

The Committee approved, at the request of the Global Comptroller's Office, the company's accounting policies for 2022, which have not undergone significant changes compared to 2021. The only changes correspond to the change of the estimate of the useful life of wood displays in BBU from 2 to 5 years and the incorporation of Turkey into the accounting model for hyperinflationary economies.

With the support of the internal and external auditors and in commenting on the financial statements, we ensure that the criteria, accounting policies and information used by Management to prepare financial information are adequate and sufficient and have been applied in a manner consistent with the prior period, taking into account the changes applicable both in the year and for the previous year, related to IFRS. Accordingly, the information presented by Management reasonably reflects the Company's financial position, results of operations, changes in stockholders' equity and cash flows.

COMPLIANCE WITH REGULATIONS AND LAWS THAT CAN BE MET WITH CONTINGENCIES

We ensure the existence and reliability of the internal controls established by the company to fully comply with the different legal provisions to which it is subject, making sure that they were adequately disclosed in the financial information. All the above with the support of internal and external auditors.

At the end of each quarter we reviewed the various fiscal, legal and labor contingencies existing in the company and we made sure that the procedure established to identify them was comprehensive and followed consistently, so that the Administration had the elements for its timely and adequate follow-up. The status and progress of activities related to cases that continue to be faced in various countries were reviewed.

The firm PwC presented the annual evaluation to its work in transfer pricing. It was commented on the activities that have generated a positive evaluation, as well as the areas for improvement, related to information flows and delivery times. The Committee was aware and satisfied with the evaluation and progress in the relationship.

The Global Procurement Department presented its report of related suppliers that offer their services to Grupo Bimbo. In this report, the amounts, categories and percentages of participation of each one with the company were presented.

The Global Chief Compliance Officer presented his annual report on progress and plans on training and compliance with the code of ethics, anti-corruption policy, and regulatory compliance.

The Global Insurance Department reported on the behavior of the cost in global insurance, in particular property insurance, cybersecurity, crime. Likewise, the global policy administration model was commented on in terms of the sufficiency of limits, definition of appetite, declaration of risk values and loss prevention actions.

The Global Institutional Relations Department reported the progress of the 'Comenta' complaint line in terms of the number of cases per Organization, the levels of complaint attention in Grupo Bimbo, the types of incidents and the average days of response also by Organization. Fraud risk processes were included in the case catalog and training in the processes of investigation and response of labor cases was reinforced.

The Global Procurement commented on the conditions of the markets for raw materials throughout the year, the hedging conditions and the future strategy due to the volatility of the markets, especially the prices of wheat and corn.

The Global Quality and Food Safety Department commented on the evolution of the global strategy on this issue and its incorporation into the entire supply chain, as well as the formation of the new technical audit task force required to support the reviews between this new technical audit team and the work carried out by the internal audit department, with the purpose of increasing the frequency of visits and coverage of food safety risks in bakery factories and snacks.

The Global Corporate Affairs' VP presented the new structure of the Business Continuity and Crisis Management model that now depends on this direction. It was commented on the new strategy aligned with the maturity models of the best practices in Business Continuity and Crisis Management

such as ISO22301, which includes the design of new policies, governance model, risk analysis, strategy design, as well as its implementation and validation.

COMPLIANCE WITH OTHER OBLIGATIONS

We hold meetings with the VPs and officials of the Administration that we consider necessary to keep us informed of the progress of the Company and relevant and unusual activities and events.

We were aware of the significant issues that could involve possible breaches of the operating policies, internal control system and accounting record policies, likewise, we were informed about the corrective measures taken in each of them, finding them satisfactory.

We do not consider it necessary to request the support and opinion of independent experts because the issues discussed in each session were duly supported by the relative information and therefore the conclusions reached were satisfactory for the members of the Committee.

OPERATIONS WITH STAKEHOLDERS

We review and recommend to the Board for approval, each and every one of the transactions with stakeholders that require approval by the Board of Directors for the year 2022, as well as the recurring transactions that are planned to be held during the year 2023 and that require approval by the Board of Directors.

MANAGEMENT EVALUATION

We review and recommend to the Board for approval, the evaluation of the management and remuneration of the CEO, as well as the VPs that make up the Executive Committee for the year 2022, previously reviewed and recommended by the Evaluation and Results Committee.

In my capacity as Chairman of the Audit and Corporate Practices Committee, I reported to the Board of Directors the activities that we carry out collegially within that body.

The work we carried out was duly documented in the prepared minutes of each meeting, which were reviewed and approved in a timely manner by the members of the Committee.

Kind regards,

Edmundo Vallejo

President

Chairman of the Audit and Corporate Practices Committee of Grupo Bimbo, S.A.B. de C.V.

Mexico City, April 4th, 2022

To the Board of Directors of
Grupo bimbo, S.A.B. de C.V.

Dear members of the Board of Directors,

In conformity with the provisions of the Stock Market Act, the Company's bylaws and the Regulations of the Audit and Corporate Practices Committee of Grupo Bimbo, S. A. B. de C. V. ("The Group", "The Company", "The society"), I hereby submit to you the report of the activities carried out by the Audit and Corporate Practices Committee ("the Committee") for the year ending December 31, 2021. During the course of our workings we were mindful of the recommendations set forth in the Code of Best Corporate Practices.

Based on the previously approved work program, the Committee met seven times during the year, and we discussed the topics we are legally required to address, and carried out the activities described below:

INTERNAL CONTROL

With the assistance of both Internal and External Auditors, we verified that management had established general guidelines for internal control, as well as the necessary procedures for their application and enforcement. In addition, we followed up on the observations made by both auditing bodies in the performance of their duties.

The members of Management responsible for such matters presented the action plans corresponding to the observations resulting from the internal audit, so our contact with them was frequent and their responses satisfactory.

The Committee learned about the functions of the Global Internal Control and Risk Management Department during the year, specifically the Control Self-Assessment (CSA) within the organizations, and in most of the operational processes, the results of such self-assessments, reliability levels, as well as the follow-up of action plans.

The project for monitoring regulatory compliance at plants and work centers and the implementation of the Microfocus system for identity and access management were presented, and it was recommended that the internal control structures of the organizations be strengthened.

CODE OF ETHICS

With the support of the Internal Audit Department and other areas of the Company, we verified compliance by the associates of the Company with the Group's current Code of Ethics.

We learned of the results and central issues identified in maintaining a hotline for The Group associates, and management informed us of the actions taken in those cases.

EXTERNAL AUDIT

We were in constant contact with the representative of the EY firm to follow up on the relevant issues and know the activities carried out during the year, along with the Company's management. The audit of the consolidated financial statements as of December 31, 2021 has been completed and the result was satisfactory.

We approved the contract and fees for these auditing services for the years 2021 and 2022, including additional fees for the growth of the Group and other permitted services. We ensured that these payments did not compromise the independence of that firm.

The external auditors presented their approach, work program and areas of interaction with Grupo Bimbo's Internal Audit department; the Committee approved this presentation.

An inquiry was made by the external auditors, to this Committee, about the knowledge of relevant fraud, complaints to financial information, concerns about related party transactions and/or knowledge of possible violations of laws or regulations, to which, the Committee responded to the external auditors that they had no knowledge of the above stated.

We maintained direct and close communication with the external auditors, and they informed us on a quarterly basis of the progress of their work and any observations they had; we took note of their comments on the quarterly and annual financial statements. We were promptly informed of their conclusions and reports on the annual financial statements.

We reviewed the content in a timely manner of the Prior Notice to the issuance of the External Audit Report (or Independent Auditor's Report) made in accordance with the International Auditing Standards on the consolidated financial statements of the Company as of December 31, 2021 and for the year ended on that date, which have been prepared in accordance with International Financial Reporting Standards (hereinafter IFRS), issued by the Independent External Auditor of the Company and legal representative of Mancera, S.C. (or EY Mexico), in order to comply with the provisions of Article 35 of the General Provisions Applicable to Supervised Entities and Issuers by the National Banking and Stock Commission that Contract External Audit Services of Basic Financial Statements (hereinafter Provisions, Sole Circular of External Auditors or CUAE).

In addition, we conducted an evaluation of the services of the external auditing firm for the year 2021 and were promptly informed of the preliminary financial statements.

INTERNAL AUDIT

The audit plan for the year 2022 was approved, consisting of a total of 444 audits in 29 different countries. The auditable universe was reviewed in detail, including legal entities, factories, sales centers, systems, and projects, among others, and the analysis of business risks that will be covered by the audits. In addition, the annual budget of the internal audit department was approved, as well as the agenda and schedule of meetings of this Committee for 2022.

At each of the meetings of this Committee, we received and approved the periodical reports on the progress of the approved work program. We followed up on the observations and suggestions made by Internal Audit and ensured that management resolved the internal control deviations indicated; therefore, we consider that the status of this system is reasonably correct.

We authorized an annual training plan for personnel of the area and verified its effectiveness. A number of specialized professional firms participated actively in that plan to maintain the members with updated information on the appropriate topics.

The Committee authorized the Internal Audit Department to renew the services of the firm Baker Tilly for internal audit work in finance and information technology for the operations of Bimbo QSR and the firm PwC for co-sourcing in India. The use of external audit firms was also authorized for general information technology controls assurance projects.

In compliance with the International Professional Practices Framework (IPPF) of the Institute of Internal Auditors, The Committee approved the update of Grupo Bimbo's Internal Audit Charter, the Internal Audit VP confirmed to the Committee the independence of the internal audit activity, the risks assumed by the operation, the conflicts that currently occur with the auditors and the mitigation plan for these conflicts were presented.

SECURITY

The Global VP of Security and Assets reported on the main security events during the year. Special attention was given to the increase in criminal events, as well as assaults on delivery vehicles. There has been an increase in the number of working groups with the authorities in the area of transportation theft, training for associates, and the penalization of omissions and investigations with the prosecutor's offices.

INFORMATION TECHNOLOGY

The Global CIO presented the progress of the company's cybersecurity strategy, as well as the identification of relevant risks, in addition to access and identity management and personal data security, third party risks, data structure, and especially the privacy and data protection awareness campaign for all Grupo Bimbo associates and followed up on the implementation of Oracle in the cloud in the different organizations of the group.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES

In collaboration with the parties responsible for the preparation of the company's quarterly and annual financial statements, we reviewed them, recommended their approval to the Board of Directors, and granted the authorization to publish them. To carry out this process we considered the opinion and observations issued by the external auditors.

The Committee approved, at the request of the Global Controller's Office, the company's accounting policies for the year 2021, which are unchanged with respect to 2020.

With the support of the internal and external auditors and in order to express an opinion on the financial statements, we ensured that the criteria, accounting policies and information used by Management to prepare the financial information were appropriate and sufficient and had been applied consistently with the previous year, considering the changes applicable both in the year and for the previous year, related to IFRS. Consequently, the information presented by Management fairly reflects the Company's financial position, results of operations, changes in stockholders' equity and cash flows.

COMPLIANCE WITH REGULATORY STANDARDS AND APPLICABLE LAW CONTINGENCIES

We ensured the existence and reliability of the internal controls established by the company to fully comply with the different legal provisions to which it is subject, making sure that they were adequately disclosed in the financial information. All of the above with the support of the internal and external auditors.

At the end of each quarter, we reviewed the different tax, legal and labor contingencies existing in the company and we made sure that the procedure established to identify them was integral and consistently followed, so that Management had the elements for their timely and adequate follow-up. We reviewed the status and progress of the activities related to the cases that continue to be faced in Canada, Brazil and Portugal based on the information generated, the opinion of the law firms handling the cases in those countries and the progress of the investigations carried out by the local authorities.

The PwC firm presented the annual evaluation of its transfer pricing work. They commented on the activities that have generated a positive evaluation, as well as the areas for improvement, related to

information flows and delivery times. The Committee acknowledged and was satisfied with the evaluation and progress in the relationship.

The Global Insurance Department presented the progress of the relevant topics such as Natural Risks Insurance, Fire Risk, Personal Insurance, COVID Protection Insurance, an overview of recent claims in Argentina and follow-up to the 2019 Vachon incident, as well as a current outlook of the global insurance market. Additionally, the finalization of the GB Insurance Captive project was discussed. Finally, the review of limits to cybersecurity, Crime, D&O, and property insurance was mentioned.

The Corporate Management Department presented the progress of acquired businesses in the process of integration, as well as the identified risks associated with these acquisitions. The Committee acknowledged the work that has been done in recent years to strengthen and professionalize these processes.

The Global Department of Institutional Relations informed the Committee about the new transformation strategy from Línea Comenta to 'COMENTA', which includes a change of image, digital iconography, new communication channels and new messages. The Committee was informed about the number and types of cases reported, the levels of attention and the inclusion of potential fraud cases in the category of breaches of integrity to align it with the fraud risk management model.

The Global Procurement Department presented its report on the performance of the main raw materials for the year 2021. The inflationary trend is present in almost all geographies, along with an increase in demand which has stressed the global supply chain. An acceleration of the post-COVID economy is forecasted for the coming months. The strategy has focused on adequate hedging of purchase positions, particularly for wheat positions, due to potential future price volatility.

The Global Food Safety and Quality Department commented on the integration process of the new global strategy, the overview of this new function, as well as the strategy designed for an independent Food Safety and Quality operating model. The new dynamic audit model from the new function complemented with increased plant coverage by the Global Internal Audit Department was presented. The new Global VP of Food Safety and Quality will report directly to general management and will work with the VPs of each organization.

COMPLIANCE OF OTHER OBLIGATIONS

We held the meetings with the directors and officers of the Administration that we considered necessary to keep us informed of the progress of the Society and the relevant and unusual activities and events.

We were informed of the significant matters that could imply possible non-compliance with the operating policies, internal control system and accounting record policies, and we were informed of the corrective measures taken in each of them and found them satisfactory.

We did not deem it necessary to request the support and opinion of independent experts, since the matters discussed in each session were duly supported by the related information and therefore the conclusions, we reached were satisfactory for the Board members of the Committee.

RELATED PARTY TRANSACTIONS

We reviewed and recommended to the Board for its approval, each and every one of the operations with related parties that require approval by the Board of Directors for the 2021 fiscal year, as well as the recurring operations that are projected to be carried out during the 2022 fiscal year and that require approval by the Board of Directors.

MANAGEMENT EVALUATION

We reviewed and recommended to the Board for its approval, the evaluation of the management and compensation of the Chief Executive Officer, as well as the members of the Executive Committee for the 2021 fiscal year, previously reviewed and recommended by the Evaluation and Performance Committee.

In my capacity as Chairman of the Audit and Corporate Practices Committee, I reported to the Board of Directors the activities that we developed collegially within the Committee.

The work that we conducted was duly documented in minutes prepared for each meeting, which were reviewed and approved in a timely manner by the Committee members.

Sincerely,



Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
Grupo Bimbo, S. A. B. de C. V.